

Tata Power Co. Ltd. (TATAPOWER)

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Call: May 2023

9th May 2023
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
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Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, C -1,Block G
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Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on 4th May 2023, on the Audited Financial Results (Standalone and Consolidated) of the Company for the quarter and financial year ended 31st March 2023, is attached herewith. The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-relations/analyst-call-recordings.aspx>

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary

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"Tata Power Limited
Q4 FY 2023 Earnings Conference Call "
May 04, 2023

MANAGEMENT : DR. PRAVEER SINHA – MANAGING DIRECTOR – TATA
POWER LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER– TATA POWER LIMITED
MR. JV PATIL – FINANCIAL CONTROLLER – TATA
POWER LIMITED
MS. KASTURI – INVESTOR RELATIONS – TATA POWER
LIMITED
MR. RAJESH – INVESTOR RELATIONS – TATA POWER
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 FY '23 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, Managing Director, The Tata Power.

Thank you and over to you sir.

Praveer Sinha: Good evening, everyone, and thanks for joining the call. I'm joined today by my colleagues, Sanjeev Churiwala, CFO; Mr. JV Patil, Financial Controller, Kasturi and Rajesh from the Investor Relations and other members from my finance and corporate communication team. As all of you are aware, India's power demand continues to be very, very robust. In fact, the power demand grew by nearly 7% in the last quarter, but by nearly 9% in the full year. And this has seen growth right across all areas, summer generation grew by 8%. Renewables grew by 18% on a year-on-year basis. And this is expected to continue in future also. Normally, the ratio of power generation growth to our GDP growth used to be 0.94 in the last decade. But in the last 5 years, we have seen it to increase 1.11. And we expect that with more and more of the economic activity in the country, this will possibly get enhanced in the coming years.

We have seen that the international thermal coal prices have reduced considerably from a high of \$400 it has come down to less than \$200, and it will further stabilize as we move during the current year. And this also demonstrates that the price of power will, over a period of time, come down, especially those plants, which are operating on imported coal. We have seen the government is pushing for renewable capacity addition and they recently came out with an order, whereby they are targeting to auction nearly 50 gigawatt of renewable capacity, which includes solar, wind and hybrid solutions storage. And this will get added in, this will be bid out in this year as also in subsequent years. So a huge amount of push is being given by the government. They have very clearly brought out, which will be the agencies which will carry out the bid and how they will do this bundle or power along with their existing generation capacities, especially NTPC, NHPC and some of the other public sector undertakings. On Mundra, we are pleased to inform you that our plant is operating four of the five units. The fifth one is under maintenance and under Section 11. And barring Haryana all these states are drawing full capacity of power from this. And as you are aware, under Section 11, we get a full pass-through of cost of power generation. That means the coal cost as well as the full fixed cost and all other related cost is a pass-through. And on similar lines, we will get it now and similar order was issued earlier in January by CERC for the last section 11 period.

Moving to the financials. The Tata Power has again reported a very good quarter, which has shown an excellent performance from all our businesses, our existing generation business, coal, gas and hydro have done very well. And so also our existing transmission, distribution and new areas of renewable EV charging. And this has shown that we have, again -- this is the 14th consecutive quarter in which we have shown an increase, our PAT for the quarter is INR939 crores, which is higher than the last year.

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Similarly, the revenue has grown in this quarter as also our EBITDA, which has increased by 38% to INR3,101 crores. For the whole year, Tata Power reported a very strong revenue of INR56,000 crores, which is nearly 32% increase

from the previous year. And the previous year itself was an increase of more than 30% from the year before.

And with the EBITDA of nearly INR10,000 crores for the first time we are crossing an EBITDA of INR10,000 crores and a PAT of INR3,810 crores. Our renewable capacity growth continues to be there. We have nearly 6,600 megawatts of renewable projects. Out of which we have installed 3,927 -- and the balance, 2,669 is in the various stages of implementation. And hopefully, in the next 12 to 18 months, all of them will get completed.

During the quarter, TPREL, which is the renewable arm for the developing utility-scale projects, our own projects got orders of 200 megawatts from MSEDCL as also the green shoe option from TPDDL of 255 megawatt. We continue to get a large number of orders for our solar EPC business, and we have nearly an order backlog of INR17,000 crores, consisting of 4 gigawatt of projects to be implemented.

Our plans to set up 4 gigawatt cell and module manufacturing plant in Tamil Nadu is on track, and we expect the modules line to be ready by September, October and the cell line by the end of the year. So we are very much on track, and this has been one area of concern of how do we ensure that the uncertainty of supply as also of price is taken care. And hopefully, once the cell

and module line comes, we will be much better and better to execute these projects within the cost that we have built.

Our rooftop business is seeing very good traction. We installed nearly 300 megawatt in Q4. And we also won new orders of 400 megawatts in the quarter.

We have a very good order backlog of nearly 468 megawatt of worth nearly INR1,900 crores.

We have seen that during the year, our rooftop business has grown many times -- and we did a total installation during the year of 718 megawatts with a revenue of nearly INR2,770 crores.

And as all of you are aware, we used to be a very small player in this market, but we have done very well in this market. Our Cumulatively, in fact, our solar rooftop portfolio has expanded more than 1,600 megawatts, and we are the largest and biggest in the market at present.

And this is right across in commercial buildings, industrial buildings and also residential business. We have also, in the last quarter, installed nearly 4,000 solar pumps, and we have nearly 97,000 solar pumps running right across the country in various states, which is the highest by any clients in the company.

In the green mobility space, we continue to grow and have a lot of partnerships. We recently signed up with the Coimbatore Municipal Corporation and also with GAIL. And we have more than 3,778 public and semi public EV chargers and nearly 39,000 home chargers, and we expect that this will grow in the coming years by adding public charges as well as fleet chargers and home chargers.

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In our T&D business, we continue to perform very well and have been given a huge number of awards in different areas, whether it is in terms of transmission operations in Mumbai or the distribution business in Delhi, Mumbai and in Odisha.

And all our distribution companies have been doing exceedingly well. Specific mention is to the Odisha distribution business, where all the 4 discoms have reported very huge reduction in AT&C losses, and what we have seen is that during the quarter, the PAT from the Odisha DISCOMs has increased by nearly 30%, and for the whole year, the Odisha DISCOMs have reported a PAT of nearly INR253 crores. We have also been very conscious that our balance sheet should be very healthy, and our debt has been reduced by nearly INR2,800 crores in the March quarter, and our debt is now INR35,328 crores. This is because of very healthy operating performance, equity infusion by our strategic partner, and also working capital release.

So, a lot of our investment, and last year

we did nearly INR6,600 crores of investment, has come

from the internal accruals and the savings that we have done, and we expect that going forward, when we are targeting that in FY 2024, we will do an investment of nearly INR12,000 crores, which includes the investment in the new manufacturing plant, renewable projects, both group capital as well as utility scale our existing transmission and distribution businesses in Delhi, Mumbai, Odisha, will be able to get most of this money from our internal accruals and with operating profit that we make.

Acknowledging our efforts on debt reduction, S&P Global Ratings have upgraded Tata Power's consolidated credit rating from BB to BB+, and standalone credit rating from BB - to BB with a very stable outlook. Tata Power has also been awarded the India's Best Annual Report Award by Free Press General in Grant Thornton for 2021, for the quality of financial reporting and the disclosure.

Tata Power continues to be moving steadily in its long-term aspiration to build various businesses which give sustained performance, as has been seen in the last so many quarters, and this is also visible in the improvements that have been seen in various operational and financial metrics in each of the quarters and in each of these businesses.

I do look forward for your continued support in this direction, and I look forward to answering your questions, which between Sanjeev and me, we'll try to respond.

So, with that, I request Faizan to open the floor for Q&A.

Moderator: Thank you very much. The first question is from the line of Sumit Kishore from Axis Capital.

Please go ahead.

Sumit Kishore: Good evening, Dr. Sinha. My first question is on the other income in the P&L for Q4. It seems to have gone up to INR8.7 billion versus INR2.59 billion in Q4 FY '22. What's driving the increase?

Sanjeev Churiwala: I'm Sanjeev Churiwala here. Let me take this question. When you look at Q4, I'll also draw your attention to the full year as well. Particularly, a big amount that you see is on account of dividend from Arutmin. And since so many people have been tracking Tata Power stock, as you're aware

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that a few years back we had sold our stake in Arutmin mines and we were kind of waiting to get our full contribution back. I'm happy to report that a large chunk of the consideration, close to about INR900 crores have been received now. And we are in the process of winding up this complete transaction.

In the process, we also had about INR500 odd crores of shareholders' loan line that has been converted to dividend in our favor. And because this is a non-core asset sitting in the book, this is reflected in other income. So that is one. Second of course, this is the profit that you see. And there are two other transactions that are also written here. What you see, net of everything, is possibly a one-off item of INR183 crores positive. So that is because we also had, because of the situation that during January, February, March, we hardly ran our Mudra plant and there were some pay-or-take obligations for some of the logistics shipment providers, we have provided some penalty for them, about INR100 odd crores.

And Tata Projects was also in the process of cleaning up. And as such, Tata Projects posted higher losses. On account of that, we had to provide INR232 crores. But I guess when I look at the overall as a year, which is also important for you to consider because this will have a bearing as to how we look at it next year. While we have this INR512 crores dividend from our footprint, this is more of a one-off. But we also had a hit of almost INR478 crores, almost equivalent, because of Tata Projects' losses, which will not incur. And for the full year, we took almost close to INR200 crores of provisioning.

This is just provisioning for an onerous contract, a

assuming that the shipments that we had

promised will not happen. And as a take-and-pay obligation, we have taken a provision. Now that the Section 11 notification is imposed and all our plants are running, hopefully we will be able to do many of the shipments as we go forward. And likely there could be a possibility of some reversal also happening.

Sumit Kishore: What is the provision related to shipments? I did not follow that.

Sanjeev Churiwala: We have a back-to-back tie-up for bringing our coal from Indonesia to our Mudra plant throughout the year, assuming that all the 4 and 5 units will be running. But given that during the year, as you are aware, that we had PPA, we had Section 11 notification till December and for January, February, March, we had hardly run the plant, we were not able to use those shipments. And as such, we had to contractually provide for that, assuming that this is an onerous contract. Now, from April onwards, we see all the 4 units running, hopefully we will be able to meet the contractual obligation.

Sumit Kishore: Just to clarify, both the Tata project's hit, as well as this hit on shipping costs, will not be part of other income, obviously. They will be appearing in their respective places as share of associate income and the share of above the EBITDA like.

Sanjeev Churiwala: Yes.

Sumit Kishore: My second question is related to the JV and associate profit in Q4. The share of profit has fallen sharply to INR179 crores in Q4, versus what we did in the first three quarters of FY23, which is close to about INR3,000 crores. The customary slide on breakup for JVs and associates has been

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removed from the presentation deck. Can you provide color on performance of Indocoal and Tata projects in particular? Especially Indocoal, because it's such a significant portion of your business.

Sanjeev Churiwala: Let me give you some high-level color on this. Q4 has been a significant quarter in terms of what we see happening on overall coal prices globally, especially the Indonesian coal prices. We have seen a softening of the Indonesian coal prices happening. But where currently the regulations in Indonesia are, they're still supposed to pay a royalty basis a certain fixed slab. That the government has now changed. While the prices were falling down, the Indonesian coal mines had to pay still higher royalty. That is now, hopefully in the next two, three months, we'll start seeing some reversal and improvement happening over there. So that is one. Second is, as I said, on the part of Tata projects, for the full year, we have booked our share of JV losses of about INR480 crores and about INR200 odd crores in the last quarter. So as a result of that, you'll see a softening in our JV overall profits.

Sumit Kishore: What is the outlook there, given you own 47% stake in that company?

Sanjeev Churiwala: I think Tata projects kind of looks like have been able to clean up a lot of past losses, legacy losses. Tata's sons have now infused INR1,500 crores in that business. And to that extent, our stake, which is 48%, is now diluted to 31%. But given the current planning, we are looking forward to Tata projects making some profit in FY'24. So against a loss that we have booked of INR480 crores in FY'23 full year, we are expecting some profit to come in next year. So to that extent, yes, it will benefit us.

Sumit Kishore: When did your stake reduce to 31% and so Tata Power has not infused any equity in Tata projects?

Sanjeev Churiwala: No. So the stake reduced in the month of April.

Sumit Kishore: April '23?

Sanjeev Churiwala: April '23, yes.

Sumit Kishore: Tata's sons have infused INR1,500 crores?

Sanjeev Churiwala: Yes.

Sumit Kishore: Okay. I've just one more question on Mundra. If you could give us some sense on EBITDA for Mundra UMPP in Q4 and FY '23 and fuel cost under

recovery per kilowatt hour over this period.

Any color on receivables which are outstanding under Section 11, which have been booked but not yet realized?

Sanjeev Churiwala: So Section 11, actually means a full cost pass-through. And to that extent, we have started the four units already. But during the year, as you see, we were under various different regimes. We were earlier under PPA and then there was a special requirement to start the plant wherein the certain rate was agreed. Then we had Section 11 for a period. Then we, in the last three months, under PPA. So it's quite a complex working. To kind of just narrate everything on the call itself, I would request you to drop us a mail and Rajesh should kind of get back to you with some better clarification.

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Sumit Kishore: Sure. Thank you.

Sanjeev Churiwala: But yes, I think what is also important to note that as of now, our four plants are operating under Section 11. And the Section 11 is as of now till June. And given the past range, we would expect that this to be extended to September, October.

Sumit Kishore: So just the total receivables that are due to you for Mundra UMPP, after imposition of Section 11 last year, the bulk of the fiscal was under Section 11. So are you getting those cash flows from the associated?

Sanjeev Churiwala: We are continuously getting our cash flows. And even in the latest appeal, CERC said to do all these DISCOM's to pay up 50%. So our net dues is not a very, very significant amount. So, to that extent, we have LCs with us. We also carry LCs with us.

Praveer Sinha: I think the total amount due is about INR300 crores.

Sumit Kishore: How much?

Praveer Sinha: Yes. Section 11, the amount is INR400 crores.

Sumit Kishore: Okay. Thank you so much. And wish you all the best.

Sanjeev Churiwala: But we have been receiving this amount even in the month of April itself. We have already received, close to INR150-odd crores. So we don't see any concerns with respect to our receivables.

Sumit Kishore: Sure. Those were my questions. Thank you.

Sanjeev Churiwala: Thank you, Sumit.

Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet: Yes, thank you so much. And good to see performance improving with debt remaining under control. My first question is, is the understanding correct that in terms of pass-through, when you say pass-through, you are still assuming the 30% share in coal profits to be passed on to the customer and you'll retain the balance 70%?

Praveer Sinha: No. See, we have to go as per this section 11 order issued by CERC. So what it says is that whatever is the cost of coal, you will be given. On the mining profits, if you bring coal from KPC and use it in Mundra, to that extent, you will have to pay 30% of your share of the profit. So this is only for the quantity of coal that you bring from Mundra, bring from KPC. So if you do not bring, you will not. So last year when the section 11, we did very small quantity. I think about 15% was only brought from KPC. The rest was from outside. This year, there is no coal that has come from KPC. So there is virtually no impact of the profit sharing.

Puneet: Okay. That's very interesting. And any progress that you're seeing with your off-takers now, given that there is expectation of high power demand going in to summers. Any progress on how the Mundra PPA will be redone?

Praveer Sinha: Right now, the section 11 is till 15th of June. So hopefully by that time, the procurers will find light. Because till that time, in any case, we will be operating the plant under Section 11.

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Puneet: And would the understanding be correct that section 11 implementation is the best case scenario that you have?

Praveer Sinha: Yes, absolutely. Because

se Section 11 gives me a full pass -through of the cost without any issues.

Puneet: That's great. My second question is on the Odisha. The profitability is indeed quite good. Are you worried on account of any reserves, or is the collection also going on quite nicely?

Praveer Sinha: So Odisha, in the last quarter, we had a collection in each of the DISCOMS in the range of 140% to 150%. And for the whole year, the collection has been nearly more than 100%. So I think, Odisha has done exceedingly well in terms of the collection. And if you see the trend, it has been able to clear virtually a lot of the old outstanding. And of course, we had the ECL provision and based on that, we have already cleaned up a lot of receivables which are not expected. And that is primarily because there were issues on the way the billing was done. There were a lot of customers who were not there and were still billed. So I think the cleaning of operations has been done. And what you see as a profit, is a profit after considering all these things. So hopefully from next year, we will not have any such impact on our profitability. And we will see the real profit coming out of Odisha.

Mind you, when we had bid, at that time we had considered that for the first three years, we will have no profit. We will have losses. In fact, the cumulative losses that we had considered was a very large number. Which right from year 1, we have been making profits. So it's actually a big turnaround story.

Puneet: Okay, that's very good to hear. Thank you so much. Lastly, in the renewable business, given that incrementally a lot of bids are going towards round the clock kind of model, are you prepared to bid for similar projects in terms of ability to capture storage, trading, etcetera?

Praveer Sinha: Yes, absolutely. We have very strong solutions on round the clock solutions. And we have now already offered a number of solutions, which is a combination of solar and wind. We are also now in the process of offering solar, wind, and storage. We are actually now implementing a project on a third-party EPC basis of solar and storage. So we are very much equipped. We are also working on our home storage projects. As you are aware, we already have hydro power plants, and we are working on that. So we will definitely be coming with very attractive solutions and very cost-effective solutions to consumers to provide them. 24x7, round the clock, peaking powers, as is the requirement of the customers.

Sanjeev Churiwala: If I look at what is in the pipeline, which is about 2.7 gigawatts, it's almost kind of more tilted towards hybrid at the moment. We already have 1.4 gigawatts in the pipeline, and this is happening for the first time because we have seen many hybrid bids coming up, and our wind ratio has been great. So to that point, as Dr. Sinha said, as and when we keep on bidding, we will be working towards it.

Puneet: I didn't see you participating in the round-the-clock project, which is why I asked, but it's great. Thank you so much for this clarity.

Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead

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Rajesh Majumdar: Yes, sir. Thanks for taking my call. Sir, I had a question on the Renewables hybrid project. What are the current discovered tariffs versus the fall in the module or the sale prices? Where are the ROEs now at the current discovered tariffs, or some color on that?

Praveer Sinha: No color can be given on this because it all depends on where you are setting up the project. If I set up in Rajasthan, it has a different context of tariff. If I set up in Gujarat, it has different. In Karnataka, it is different. So it is very difficult to have the same brush to say what sort of tariffs will come in which state. Also, it depends on what is the cost of land in those areas

and what

sort of wind speeds and what sort of solar intensity is there. There is no generalization that can be done.

As regards the cost is concerned, we had seen the cost of modules go up to \$0.32 to \$0.34. It has come down in the range of about \$0.22 to \$0.23. So, I think it has come down drastically. So, also the cost of cells and cost of wafer, polysilicon everything has come down because of more demand, more manufacturing capacity that has been set up, not only in China but in other parts of the world, including ASEAN countries and also capacity additions, which are expected in the country. So, I think we are moving in the right direction. The Slide 19, which has been shared with you will give you a much better perspective.

Rajesh Majumdar: And sir, what is the current PLF being realized in the hybrid projects versus the PLF we were getting earlier on standalone solar, for example, or even in the solar projects themselves, have the sale has gone up compared to what we were getting last year or something like that?

Praveer Sinha: The PLF for different locations, again, depends on what sort of weather conditions are there. So, if the weather conditions are good in some places it has gone up, some places, the weather has not been very good. Also extreme weather conditions we have been seeing in the month of April, last few days of the month, there was a lot of rain and the cloud cover, so the generation has not been good during that period but the balance of the month, it was very good. So, it all depends on how it is changing. Also, we have given the slide which gives you the operational highlights,

which is Slide 27, you can see that the availability of all these plants.

Rajesh Majumdar: Sure, sure, sir. And sir, just one question on TPSSL. It seems that the profitability has gone up, but the sales is down. So, is that just because of some kind of completion of projects in Q4, the operating income is down from INR3,481 to INR2,958 but is the EBITDA is up from INR77 to INR85 and the PAT is also substantially up?

Praveer Sinha: Yes, you're absolutely right that we were a little selective in terms of executing the projects. And that's why our, we didn't execute some of the projects because the cost of the module was a little higher. And I think that was a good decision because by deferring those projects, we will be able to get the benefit of lower cost in the future. And also, some of the high profit margin projects were completed in the last quarter, which has given us better EBITDA margins.

Rajesh Majumdar: So, will the steady-state margins go up a little bit in TPSSL it safe to assume that compared to what you have been changing in the past?

Praveer Sinha: That's what is our game plan. So, we definitely expect now that the prices are coming up, our margins should go up in the future.

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Rajesh Majumdar: Fine. That's quite helpful. Thank you.

Moderator: Thank you. The next question is from the line of Bharanidhar Vijayakumar from Avendus Spark Capital. Please go ahead.

Bharanidhar Vijayakumar: So you mentioned that for the fourth quarter, the Tata Projects loss was about INR200 crores. Am I right, sir?

Sanjeev Churiwala: Yes.

Bharanidhar Vijayakumar: So what would be the profit for the coal companies in the quarter?

Sanjeev Churiwala: So I think if you can send the mail we can share separately with you. So, I think what you see the JV profits, gives an indication on softening of the coal prices and the softening of the profits.

But if you need specific details, we can share with you offline separately.

Bharanidhar Vijayakumar: Sure. My second question is on Mundra. Now since the Section 11 was operational from mid of March, but we were not operating for a reason that we were waiting for some deals to come in.

So, what has changed now that we have started the operations?

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Praveer Sinha: Because the money came consequent to the decision. So they paid the money and a very small amount of Section 11 payment is due now. So virtually, all the money has come and that is why we have started the plant. And so also the other states Punjab and Haryana, has been asked by Aptel to make payment in two weeks time. So, that's why we started from 16th of April...

Bharanidhar Vijayakumar: Okay. So, could you quantify the amount that came in? And was it in receivables, which was realized as cash in cash?

Praveer Sinha: It will get reflected in this quarter because this order was issued in, I think, around 16th April.

So, it will get reflected in this month, of this quarter results.

Bharanidhar Vijayakumar: Okay. My final question is on the other income clarification, you gave. So, net profit booked on consideration got for Arutmin sale. You said it's INR512 crores. Am I right, sir? Which is booked in...

Sanjeev Churiwala: As I clarified to I think, Sumit, we have sold this Arutmin mine about a few years back, and we were supposed to get a total remaining consideration of close to about INR1,200 crores. We have been able to now receive a major consideration already in this year. So we are in the process of winding up this transaction. There was a shareholder loan of INR512 crores that's outstanding, which has been converted to dividend. And given that this is a noncore asset to that extent that INR512 is treated as part of the other income.

Bharanidhar Vijayakumar: Okay. So what is remaining to be incurred in a similar fashion in the future, sir?

Sanjeev Churiwala: No. So now what is remaining is to kind of get the remaining amount, which is close to about \$27 million, \$28 million. So we are hoping that money should also come very soon. And thereafter, we will close the transaction.

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Moderator: Next question is from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Sir, actually, a few things. So, why have we stopped disclosing the coal profitability from this quarter? We've been doing it for several quarters now.

Sanjeev Churiwala: The coal profitability is kind of reflected in the JV profits that we are sharing, but we're not exclusively giving exact numbers for the coal mines because that's not warranted. But if you need separate details, you can just drop in the mail, you can always share.

Girish Achhipalia: But sir, we've been giving it for several quarters now. How do we understand the results because there's been a big number on your profits for several quarters now ...

Sanjeev Churiwala: The whole process there is that we don't look at our coal mines on a stand-alone basis.

Girish Achhipalia: Absolutely. That's why I want to look at it completely. That's why I want to look at Mundra because you stopped giving Mundra and now you stop giving coal. I'm wondering what next because TATA Power is always known for very strong disclosures.

Sanjeev Churiwala: Yes. So, disclosures...

Girish Achhipalia: Initial slides also going down, sir. Pardon me, but I mean, like for example, I mean, I can't reconcile your renewable business, TPREL and WREL. Why would revenues be down Y-o-Y in Q4?

Sanjeev Churiwala: I think there are a couple of questions that is there. A is our disclosure in terms of the presentation this time you see, we have made a dramatic change in terms of simplifying the overall presentation in the...

Girish Achhipalia: Coal is the part of the disclosure, right? Coal is an inherent part of our profitability.

Sanjeev Churiwala: Yes. So Mundra is now not a stand-alone company. Mundra is part of Tata Power Company itself. So, we are not segregating Mundra from there. And then...

Girish Achhipalia: Disclosing the operating parameters on Mundra as well, right? And coal also, you were till last quarter, you were

disclosing everything.

Sanjeev Churiwala: No, I think what we have very clearly said also that...

Girish Achhipalia: In quarter three, there was slide 20 and slide 21. There were two slides.

Sanjeev Churiwala: Yes, you're right, Girish, but we don't want the number to be misused by the competition on the...

Girish Achhipalia: What's the competition here, sir? In terms of competition pardon me, but who's the competition here...

Sanjeev Churiwala: Well, I think we can always have these different views. But the fact is, if you need the details, we can provide to you.

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Girish Achhipalia: Sir, tell me what is the renewable, why is the renewable revenue down Y-o-Y for TPREL and WREL?

Sanjeev Churiwala: Last year, we had a one-off revenue and profit that was both removing the one-off Y-o-Y is higher.

Girish Achhipalia: What is the one-off, sir, please? Can you help us? Because the slides don't have any details.

Praveer Sinha: Okay. And that we can give you, the one-off is basically because last year, we got some orders, which was order from the regulatory commission because of that, we have taken.

Girish Achhipalia: Yes. Do we know returns over here please?

Praveer Sinha: Yes, INR182 crores.

Girish Achhipalia: Across two entities, TPREL and WREL?

Praveer Sinha: Yes, yes. These are the two entities because the others are very small ones. And...

Girish Achhipalia: If this is a revenue impact, what is the PAT impact here on this level?

Praveer Sinha: This is not the revenue. This is the PAT impact, Revenue impact is about INR350 crores. But we can check and let you know. I don't have it off hand, but that's correct. I know the PAT number is INR182, but the revenue number I can share with you.

Girish Achhipalia: Okay, sure. And then capex we will have incurred capex of INR7,656 crores as per your cash flow. Can you help us like how much has the renewable gross block gone up by? And where the other broadly where the money has been spent out of that INR7,656 capex that you have incurred this year. And what's the outlook for FY...

Praveer Sinha: It is not it's some it is 62 67. So out of that, we can give you a...

Girish Achhipalia: I'm referring to your consolidated cash flow statement on page number 12.

Praveer Sinha: Got it because we do the elimination in the assets because...

Sanjeev Churiwala: I can give you much broad number. Our total capex on the console all put together is about INR6,500 -odd crores roughly give and take. And if you look at our renewables in spite of some of the deferrals that we have done, our total capex is close to about INR2,500 -odd crores.

Girish Achhipalia: Okay. And what is the outlook for FY'24, please? For capex?

Sanjeev Churiwala: We already have in the pipeline, if you have already seen the disclosures, we have commissioned about close to 4GW. In the pipeline, we have close to about 2GW.

Praveer Sinha: 2.6

Sanjeev Churiwala: Yes, 2.6, 2.6GW, and our order book as of now is about close to INR17,000 crores, right? So, hopefully, we'll have a much higher capex in FY'24 next year or the current year.

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Girish Achhipalia: How much should I assume, sir, for my modelling total?

Praveer Sinha: Our total capex, sir, for FY'24 is about INR12,000 crores, which consists of about INR3,000 crores for the manufacturing plants. And they would be about, I would say, INR4,500 crores in the renewables for group captive as well as for utilities scale. So, that's the type of numbers that

we have. And then we have, of course, capex for our transmission and Odisha Discom and Mumbai and Delhi Discom. So, that's what. And then there is some capex which is there for our FGDs for the coal business.

Girish Achhipalia: So, is it fair to assume, given that your operating cash flow was

this year INR7,100 crores, and

if you were spending INR12,000 crores next year, next year also you will have a free cash flow negative year? Is that a fair comment to make?

Praveer Sinha: It's a wrong assessment. I told you that this year also we will whatever capex we did from our free cash flow. Similarly, next year also I will do my capex more or less to the free cash flow that I have.

Sanjeev Churiwala: If I could also add, while you were looking at the free cash flow that is available, for example in '23 full year, we had an operating cash flow close to about INR6,500 -odd crores, but at the same time we also separately received equity infusion of INR4,000 -odd crores, which is also kind of sitting with us, right? And this equity will be utilized next year for the purpose of our capex.

Girish Achhipalia: Okay, understood. So, INR12,000 crores of capex is what you are saying for FY'24? Understood sir. Thank you so much.

Sanjeev Churiwala: We want to deliver a higher operating cash flow and also use the existing equity to kind of draw down to deliver our capex aspirations.

Girish Achhipalia: Okay, thank you.

Moderator: Thank you. The next question is from the line of Abhishek Maheshwari from Sky Ridge Wealth Management. Please go ahead.

Abhishek Maheshwari: Yes, hi. Thank you for taking my question. So, one simple question. When we talk about Section 11 where it gives us a full cost pass-through, do we also get a margin for that or is it only just cost that we are recovering?

Praveer Sinha: So, we get the full fixed cost. So, whatever is our fixed cost, we get the full fixed cost. So, that is assumed to have a built-in margin.

Abhishek Maheshwari: Okay. And secondly, regarding the Section 11 only, right now it's applicable till June. Is there any possibility of this becoming permanent going ahead or, you know, too soon to make any assumption?

Praveer Sinha: It will not be permanent but it will again, if the summer condition continues and there is a shortage of power, then it may get extended. Like last year also, it started from 5th May onwards to 30th June got extended till 31st of October and then got extended up to 31st December. So, it

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all depends as to what is the demand supply and what sort of weather conditions are there and very difficult to predict what will happen.

Abhishek Maheshwari: Okay. And one question regarding the capex plan that we were discussing previously. What capex are you planning to spend on transmission and distribution in FY'24? I'm sorry, I missed it. You have already mentioned.

Praveer Sinha: So, I mentioned to you that 3000 will do on the manufacturing. We will do about 4500 for our renewable projects and then we have some capex for our generation business GD and all that.

And you can consider maybe about INR3000 crores-3500 crores but exact numbers we can give you separately.

Abhishek Maheshwari: Okay. Got it. Understood. And one last question. Regarding your...

Praveer Sinha: And we will be able to provide you with that but approximately it is in this range.

Abhishek Maheshwari: Okay understood. And just one last question regarding the module manufacturing project. You know, I think previous participant had already asked, you know, how will the economics be affected now that the solar module and wafer costs, everything is going down. Is your internal IRR also changing or is it more or less the same since the realization as well as the realization as well as the costs both are going down?

Praveer Sinha: So, when we had considered the manufacturing at that time, the cost of module was \$0.18 with 40% basic customs duty. With that also we were making very good returns. So, now the module prices are still \$0.21-\$0.22. So, we would still be doing very good.

Abhishek Maheshwari: Okay. Great. Thank you very much. All the best.

Moderator: T

Thank you. The next question is from the line of Harshil Solanki from Equitree Capital Advisors. Please go ahead.

Harshil Solanki: Hi, team. Good evening. My question is on the solar pump side. Sir, any update on the price revision that is expected in the KUSUM Scheme?

Praveer Sinha: I don't know that. If it happens, we will let you know. Can't predict these things.

Sanjeev Churiwala: It all depends on the bidding process and I think you should hear the financial year ending has just happened. And I think in the next one quarter we will get to know the new prices as well.

Harshil Solanki: Okay and what is the internal expectation on the price hike? What are we expecting? How much

percentage?

Praveer Sinha: Price hike on?

Harshil Solanki: There is a revised price. How much percentage increase are we budgeting sir?

Praveer Sinha: See that is the business we do if we get prices to our requirement. If we will not get we will not go and do that.

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Harshil Solanki: Okay. Got it. Thanks.

Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Thanks for taking me again. I actually got confused with one figure. You mentioned that the RE capex is going to be only INR 4500 crores. Am I reading something wrong here? That means

you are going to be adding just about 1GW this year? Or is there something I am reading wrong?

If you are going to be adding just 1GW and you are going to be expanding the module capacity, the total India additions will be just about 10GW this year? Or am I reading this wrong?

Praveer Sinha: I am not able to make out. Can you take this question offline with Rajesh tomorrow?

Rajesh Majumdar: Yes, sure. Okay. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question. I now hand the conference over to the management for closing comments.

Praveer Sinha: Thank you, everyone. I know you still have a lot of questions. My suggestion is please connect with Rajesh and we'll try to respond to all the questions you have. Also, on some of the aspects on the details which have been shared, if you feel that you want more details, more micro information on that, we should be in a position to share that. It's just that there are certain requirements in terms of governance where we would like to share information in a way that is more acceptable to the market and also to the stakeholders. So that's why these changes have been made. But the purpose of changes is to bring more transparency and to make it simple to read.

And many a times many of the analysts have got back that it is very confusing. So a lot of effort has been made by Rajesh and team to come up with the revised presentation. But we always keep on improving and your feedback will be useful for us to improve and provide more data and information which is relevant and useful for your requirement. So, we look forward for your comments on that and we look forward for your feedback which will help us to make it much more and much simpler and much more detailed as is required. But in any case whatever you would require we will furnish that. Offline you can connect and we will be more than happy to provide. Once again thank you everyone for joining and take care and hope to catch up soon in person.

Moderator: Thank you. Ladies and gentlemen, on behalf of the Tata Power, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Aug 2023

August 14, 2023
BJ/SH -L2/

BSE Limited
Corporate Relationship Department
Phiroze Jeejeebhoy Towers
Dalal Street
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, C -1,Block G
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER
Dear Sirs,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 9, 2023, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter ended June 30, 2023, is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-relations/inv-info-archive.aspx>

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary

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"The Tata Power Company Limited Q1 FY24 Earnings
Conference Call "

August 09, 2023

M
MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
TATA POWER LIMITED
MR. SANJEEV CHURIWALA – CFO, TATA POWER
LIMITED
MR. J. V. PATIL – FINANCIAL CONTROLLER , TATA
POWER LIMITED
MR. SOUNDARARAJAN KASTURI – INVESTOR
RELATIONS , TATA POWER

MR. RAJESH LACHHANI – INVESTOR RELATIONS ,
TATA POWER LIMITED

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Moderator : Ladies and gentlemen, good day and welcome to the Tata Power Q1 FY24 Earnings Conference Call.

As a reminder, all participants will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – CEO & Managing Director, The Tata Power. Thank you and over to you, sir.

Dr. Praveer Sinha: Thank you. Thank you very much and good afternoon to all the analysts who have joined for the call. I have with me my colleagues Sanjeev Churiwala – CFO, J V Patil – Financial Controller, Kasturi and Rajesh Lachhani from the Investor Relations and other members from the finance team.

Just to give you a little background on the power sector globally and in the country, during the first quarter that is during the period April, May, June this year, there were extreme weather conditions. We had heavy rains right through these months and we saw that we also had the cyclone in the Western part of India impacting Gujarat. We also had the extreme weather conditions in Odisha where a large number of times the Kalbaisakhi, which is lower level of cyclone, came over there due to extreme heat conditions and due to all these reasons, the consumption of power during the last quarter only increased by 1.5%, which was not expected based on the earlier trends, in fact the month of February had seen very high temperature. We were expecting much higher growth in consumption. We also saw how globally the coal prices have come down and to that extent, today imported coal is available in large quantity and at a much lower price compared to last year. We also saw that the prices of solar material that is solar cells and modules and wafers have come down drastically and we expected that with more capacity addition that will take place in China and some of the other countries in Southeast Asia, there will be an oversupply and there will be much restrained prices of cells and modules going forward.

As far as Tata Power is concerned, this is the 15th consecutive quarter in which we have shown a growth in our PAT. For this quarter, the reported PAT is Rs. 1,141 crores compared to Rs. 884 crores. And if we see the PAT before exceptional items, which is in the core business, it is Rs. 906 crores compared to Rs. 884 crores. Our revenue has virtually remained flat, Rs. 15,003 crores compared to Rs. 14,776 crores. But there has been a huge improvement in the EBITDA, which has grown to Rs. 3,005 crores compared to Rs. 2,107 crores, 43% growth, showing the robustness of the core business of Tata Power. We have also seen that during this quarter, all our businesses have done exceedingly well. Whether it is our existing generation business, all of them have performed much better than the previous years and the benefit of efficiency and improved cost control, the results are there for all to see. Similarly, our Mundra plant has operated during this quarter under section 11 and it continues to do that till 30th September. And if the heat conditions continue, it may get extended and to that extent, our operations at Mundra are cost reflective and our losses are very restricted over there. Our core business, of course, though it is doing very steady because of the prices coming down has reduced profit compared to last year, but the reduction in profit in coal business has been more than made up by our existing operations in our generation business, Mundra as also in our renewable and in our T&D business where all our businesses are virtually getting stabilized and the improvements that have happened over there because of fundamental business, which has become much more robust. We will see this continuing in future quarter and is the precursor of the improvements that we would see

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to Rs. 884 crores. Our revenue has virtually remained flat, Rs. 15,003 crores compared to Rs. 14,776 crores. But there has been a huge improvement in the EBITDA, which has grown to Rs. 3,005 crores compared to Rs. 2,107 crores, 43% growth, showing the robustness of the core business of Tata Power. We have also seen that during this quarter, all our businesses have done exceedingly well. Whether it is our existing generation business, all of them have performed much better than the previous years and the benefit of efficiency and improved cost control, the results are there for all to see. Similarly, our Mundra plant has operated during this quarter under section 11 and it continues to do that till 30th September. And if the heat conditions continue, it may get extended and to that extent, our operations at Mundra are cost reflective and our losses are very restricted over there. Our core business, of course, though it is doing very steady because of the prices coming down has reduced profit compared to last year, but the reduction in profit in coal business has been more than made up by our existing operations in our generation business, Mundra as also in our renewable and in our T&D business where all our businesses are virtually getting stabilized and the improvements that have happened over there because of fundamental business, which has become much more robust. We will see this continuing in future quarter and is the precursor of the improvements that we would see

getting stabilized and the improvements that have happened over there because of fundamental business, which has become much more robust. We will see this continuing in future quarter and is the precursor of the improvements that we would see

subsequently .

In our transmission and distribution business, our Odisha business has stabilized to a large extent, notwithstanding the fact that we had a very tough 3 months wherein we had to do huge amount of restoration activities and field

activities to take care of the weather conditions, but I think again the Odisha business has stabilized and future quarter performance will be much better for us to see. Our EV business also has been doing consistently very well. Our

operations right across the country , we have nearly 4,400 public charges, 50,000 home charges and large number of bus charges that we are putting. We are putting one of the largest number of bus charges, nearly 1200 in

various cities in the country under E SL tenders that was won by our OEM partner , Tata Motors.

If we look at our other area, our balance sheet has improved. Our debt equity ratio continues to be at 1.1 and our working capital has improved over the period of time, which has helped us to ensure that we are within all the financial

metrics that we have planned for ourselves, though the debt during the period increased because of the huge CAPEX that we have planned this year, Rs.

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12,000 crores. We would still be within the ceiling of 3.5 for the net debt to underlying EBITDA. During the quarter , we have also seen that our ratings have improved. Both ICRA and CARE have upgraded their credit rating from AA stable to AA positive and this is a reflection of the performance of the company in better management of them financially.

We have also been awarded in a number of places, whether it is in terms of employer brand or also in areas such as corporate governance, and I think it all demonstrates and shows the good performance of the company in all (Inaudible) 08:24 . I'm sure Tata Power , the way it has been steadily improving,

its performance will continue to do that in future quarters also and we'll maintain a very healthy balance sheet going forward. All our existing operations and the growth areas will continue to perform well in the future also and I'm sure we

will continue to get your support in meeting all the objectives of the company.

With this, I will ask Yashashri to open the floor for questions and answers .

Moderator: Thank you very much, sir. We will now begin the question- and-answer session.

We have our first question from the line of Sumit Kishore from Axis Capital.

Please go ahead.

Sumit Kishore: Good evening Dr. Sinha. My first question is on the solar EPC business. The solar rooftop revenue is down year -on-year. Solar pump is also down and the quarterly run rate for the utility scale solar EPC business revenue booking is significantly low as compared to the 170 billion order backlog that you have

there. So, how would you cite this performance relative to the FY 25 and FY 27 targets that you had given us on scale up for solar EPC business ?

Dr. Praveer Sinha: So, this is a timing issue. One is on solar pumps , by design, we are going slow because the orders under the KUSUM program have not come. Also, the

margins in the KUSUM program in the earlier ones were very low and hence we have decided that we will wait for the revised KUSUM program to come before we go full out. As far as our rooftop is concerned, our business has done

very well in this quarter, the margins have improved tremendously. And we expect that the order backlog that we have, we will be executing in the subsequent quarter with much better and higher margins because the emphasis is now that we should improve our margins in all these business , having established ourselves in

more than 460 cities with our channel partners

and that's what you would see in our PAT and EBITDA for the rooftop business .

Similarly, on our EPC projects, you would see that our margins have improved,

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though we have not executed too many orders because the full benefit of lower prices of cells and modules which we are now going to get , will get reflected in Q2, but more in Q3 and Q4 because now we have ordered all of them and they will start coming from the month of September onwards. So, you will see that

on an overall basis, we will be doing very well in all these businesses and the real improvement and the benefits you would start seeing in this subsequent

quarter .

Sumit Kishore: Sure. My second question is on Mundra. We see that the plant availability despite Section 11 being in work was just about 54%. In fact, down on a year-on-year basis. So, why is that and is there any update on the Mundra PPA resolution ?

Dr. Praveer Sinha : So, one of the units is down, there was a transformer failure in one of the units, so only four units are operating out of the five. And then we started operating under Section 11 from 15th of April because we were wanting to first resolve the SPPA issues, but since Section 11 was already imposed, there was a delay from the procurer side to finalize it, and then we said we'll operate it under Section 11. So, I think this quarter you will see our availability will improve drastically. Incidentally, the plant is operating, all the four units are operating. And being a low cost or one of the most efficient plants on merit order, it is being scheduled compared to all the other plants nearby plants in Gujarat. So, I think you will see much better performance in terms of both availability and PLF. But yes, in the first quarter we missed the first 15 days and that's why you see a lower availability and PLF.

Sumit Kishore : What is the implied equity value of Tata projects for the fund raise which has happened? In Tata projects, what is the implied equity value for 100% equity stake?

Mr. Sanjeev Churiwala: So, basically if you're talking about the number of shares that is held by TPCL that has come down from 47.78% to 30.81% and the book value per share is about Rs. 110 per share.

Sumit Kishore: I'm not talking about the book value. I'm talking about the total implied equity value for Tata projects ?

Mr. Sanjeev Churiwala: I think we have a stake holding of about 30.81, so 31% which is at a book value of 110. So, you can simply multiply this by almost like 3.5x, that would be the total book value of the shares.

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Sumit Kishore: I will take that separately. Finally, my question is on Rs. 100 odd crores of income that you have booked from Maithon. That is a non-recurring income, right? So, we should be adjusting it in the profits?

Dr. Praveer Sinha: No, it's not non-recurring, I would say this is the nature of the business it is because across our various procurers, we keep on having this discussion on the tariff adjustments and the relief that we sought. For example, in this particular case, during the COVID, of course, the plant utilization was low and we had to seek relief and they've given us the relief. It just takes time and normally every year you will have something or the other coming up, right? So, we don't classify this as a non-recurring. But Yes on one particular plant, it may be non-recurring, but it will have some other plants across the entire thermal generation capacity across procurers every year you will have something or the other coming up and that's the nature of the business.

Sumit Kishore: Fair enough. Over next 5 years, how do you foresee demand for group captive renewable capacities from Tata Group companies, especially Tata? That's my last question.

Dr. Praveer Sinha: Thank you.

Dr. Praveer Sinha: There is lot of opportunity now, especially there has been an amendment in the policy both on group captive as well as on open access where anything more than 100 kilowatts you can supply under open access and group captive, the definition has been widened. So, you would find that all the new plants of Tata Group which are coming, whether it is the electronics plant or the battery plant or any of the other new semiconductor initiatives, the growth of Tata Motors in their new plant, EV plant which is coming up in Sanand. So, everywhere you will find that we will have a huge opportunity and we will virtually be having 100% renewable supply to all these customers. But apart from that, we are also getting huge opportunities outside and we can share there's a very large list of group captive customers which we have tied up in last quarter and we continue to get it on a regular basis and you would see that our group captive business this year will be quite substantial.

Moderator: Thank you. We have our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Sir, first question is on the solar pumps. I understand that there is a new SECI bid which is up for bidding. Can you just explain is there any change in tender

terms compared to the last tender which afforded by ESL and what are the timelines for the bids?

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Dr. Praveer Sinha : So, the solar pump, the last big bid happened was in 2020 and thereafter the bids have still not happened now. ESL is not doing the bids that mandate has been given to S ECI. So, we still have to see now what sort of new bids are coming, but what has also happened is that there are number of states which are coming up with the different combinations of these, not just solar pumps but the rural electrification of grids like Maharashtra is coming up with a huge plan to set up nearly 7000 megawatts of solar generation in rural areas, which is very close to existing grids, so that the evacuation of power takes place and the purpose is that it will supply to the local areas in the rural area for pumping purpose as well as for local supply to the other types of consumers . So, I think different combinations of the KUSUM program will come, which I think will help a much better penetration of solar in rural areas.

Mohit Kumar : Is it that you are less optimistic about the solar pump in the near term? Is that right fair assessment?

Dr. Praveer Sinha : Not that . It will go certain modifications because the earlier programs were not so successful and hence each one of them, KUSUM had three components, KUSUM A, B, C . We are seeing that the K USUM C initiative will possibly get more traction compared to the K USUM A&B.

Mohit Kumar : So, my second question is, how much is the capacity you expect on the renewable side to install in FY24 and FY25?

Dr. Praveer Sinha : There are two parts. One is capacity bid out and capacity installation. Now , the installation of FY24 and 25 will be all those which will bid out in the previous years and you have seen MNRE has also given extension up to 31st March for

the projects, which were ordered in ' 21-22 and also for DCR projects up to 30th September 2024. So, I think many of the projects , which could not come earlier because of abnormal increase in project cost, increase in cost of cells and modules , those will get executed in this year. The ones where the bidding is being taken place will take about 24 months to come up, so they will only come in more in FY 26 and 27.

Mohit Kumar : I am asking sir our capacity, so how much you expect to install in FY24 and FY25, is it possible to give the number?

Dr. Praveer Sinha: I don 't have that number. We can check from MN RE's website or some of the people who carry out these reports which to ... Our

number is I think this year

we are targeting to set up nearly 2.5 GW, which partly is for us and partly is the

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third party. So, that's the type of number that we are looking that we will set up this year and as I mentioned to you, we have nearly 4 GW order, which is under execution which includes for us also and outside, some of that will get into FY25 .

Moderator: Thank you. We have our next question from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My first question is on the Odisha discoms. Can you help us understand how to read this? You know your performance versus AT&T losses, till last quarter, I think you were trending below the trajectory and now this quarter it seems you are above the trajectory. How should one read that , if you can give some more color there?

Dr. Praveer Sinha: So, as I mentioned to you last quarter, because of the extreme weather conditions, the billing efficiency and collection efficiencies were impacted and that is why when you have to see the distribution business, AT&T losses, you have to see on a 12- month rolling basis and not on 3-month basis because

some of the supplies that takes place in summer months, the collection happens in the subsequent months and some of the earlier collections, which were now there that gets adjusted. So, I think you have to see more from a 12-month cycle rather than just seeing on quarter -to-quarter because many of these things get you if there is a lesser collection in one month; in the next

month, you end up doing 105% or 110% collection and that will get reflected in the subsequent quarter .

Puneet Gulati: Understood. And second question is on the Tata Power EPC business. This quarter also, margin seemed to be a bit lower. What would that be attributable to and where do you think will these margins ultimately

Dr. Praveer Sinha: So, I think the worst is behind us as far as the EPC business is there . We were under tremendous stress because there were some legacy orders, which we had to execute. Now that the prices of cells and modules have come down, you will see most of it getting reflected in Q3 and Q4. Q2 also , you will start seeing early stages of improvement. So, you will actually see all the improvements coming in the subsequent quarter and we'll be able to do a much better margin going forward.

Puneet Gulati: But I thought that hump was crossed last quarter itself when you reported almost 10% EBITDA margin, so what..?

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Dr. Praveer Sinha: So, I think there are some rollovers which were there, which could not get completed in the month of March. They rolled over to April, May and that's what it is and that is why you do not see too much of topline also compared to what we would have otherwise done. So, going forward, you will find that our top line will also improve and the bottomline will also.

Puneet Gulati: And lastly, you are one of the best capitalized firms in terms of available equity for renewable power. How are you positioning yourself in the S ECI bidding as well? Do you think the current tariffs have become attractive enough for you to participate or you think the expected IRR is still low from those ?

Dr. Praveer Sinha: We have our band within which we operate and we ensure that we bid within those bands. We have seen last year we won a large number of orders nearly 2.6 GW of order that we have won and most of them were hybrid orders. They were not pure solar or pure wind. In any case, we don't bid pure wind. We only bid either pure solar or hybrid solution. So, you will find that the returns in complex solutions of hybrid are much better compared to the returns in pure vanilla solar or pure vanilla wind.

Puneet Gulati: How is company prepared in terms of the more complex bi

ds which are coming

in from dispatchable power etc.?

Dr. Praveer Sinha: You see, other than solar and wind, we have not gone for storage. We will now go now that you would have heard that yesterday we went and signed the MoU for setting up pumped hydro. Now , we will be in a position to offer combined solution with storage also. So, I think those projects we will be able to get much better returns .

Puneet Gulati: And what is the timeline one should think about those pumped hydro projects ?

Still MoU, I presume?

Dr. Praveer Sinha: Yes, but then the benefit for us is that these will come up on our existing hydro plants. We've already done a lot of work. We actually have been working on that for more than last 6 to 9 months and I can tell you that we will possibly be one of the first ones who would come on line.

Puneet Gulati: And how much capacity can you build on your existing hydro plants?

Dr. Praveer Sinha: Right now , we have planned 2, 800 and this is only at two of the reservoirs. We have 6 reservoirs. So, we've not actually gone for the full potential.

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Puneet Gulati: So, 2.8 GW on just two reservoirs?

Dr. Praveer Sinha: Yes.

Moderator: Thank you. We have our next question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: On this pump storage projects , just wanted to understand what would be your capital cost?

Dr. Praveer Sinha: So, see typical if you do a Greenfield pumped hydro, it would be about Rs. 7 crores to Rs. 8 crores . Since we already have the reservoir, we have the dam over there for storage, so our cost will be less than Rs. 5 crores.

Apoorva Bahadur: These are all closed loop or open loop?

Dr. Praveer Sinha: This is all closed loop.

Apoorva Bahadur: So, secondly on Mundra, just wanted to understand at what coal price will we operate Mundra even without Section 11?

Dr. Praveer Sinha: Well, let's see. Right now, we are under discussion. So, our objective is that something similar to Section 11, we should be in a position to negotiate and we will work out and let you know once it's decided.

Apoorva Bahadur: So, sir, just wanted to clarify in case Section 11 is not extended and the global coal prices declined, right? Will we operate the plant or will we put it, I mean we won't use it then?

Dr. Praveer Sinha: I'm optimistic that the Section 11 will get extended and during the extended period, we will be able to find out a mutually acceptable solution.

Apoorva Bahadur: Understood, sir. Sir, I think last question. Can you share the margin profile for group captive and rooftop projects that we're doing?

Dr. Praveer Sinha: They are very good margins, I can tell you that and that's why you see there is a lot of focus now on group captive projects and once these results start coming, we'll be able to show you more. Right now, these are very early stages of group captive projects, but I expect by end of this financial year, we'll have some of them operating and you will be able to see the EBITDA.

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Apoorva Bahadur: And just for the projects that we're doing for Tata Group, I mean, if you can quantify the margins over there?

Dr. Praveer Sinha: We don't give the margin, but I can tell you those are good margin projects.

Moderator: Thank you. We have our next question from the line of Subhadip Mitra from Nuvama Institutional Equities. Please go ahead.

Subhadip Mitra: My first question is with regard to the coal profitability. If I look at the numbers based on the JV and the associate numbers, which I understand has the majority of the coal profits, clearly there is a decline on a Y-o-Y basis; however, on a Q-o-Q basis, the number seems to have improved. So, is it possible to get some color as to did we see better volumes on a Q-o-Q

basis on the

realizations or on the margins?

Dr. Praveer Sinha: We'll share that with you because the coal company has its own working in terms of how much of mix of coal that they are supplying. So, happens that in some quarter it is more of high CV coal and less of less CV coal that they dispatch. In some quarters, they supply more of low CV coal and less of high CV. So, it depends on what sort of mining mix they have and the profit comes based on that.

Subhadip Mitra: Understood. Secondly, in terms of the upcoming renewable bids, right, so there is a plan to auction out maybe 50 GW of renewables every year by the government. Along with that, you also have your own plans on the captive power side, on the C&I side or on rooftop. So, as a strategy, how would you look at your annual renewable capacity addition, would you have an internal target of any number to that one?

Dr. Praveer Sinha: Yes, there is a number, but we play between the utility scale and in terms of group captive and wherever we find we have a better margin, we do that. We are typically looking at something like 2 GW to 2.5 GW of capacity addition every year.

Subhadip Mitra: 2 GW to 2.5 GW of capacity addition every year?

Dr. Praveer Sinha: Yes. But it's a mix of group captive and utilities.

Subhadip Mitra: Of course and the pumped hydro related opportunity, now that we have a ready 2.5 GW of opportunity there, that would be over and above this run rate of 2.5?

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Dr. Praveer Sinha: Yes, that is to support the renewable power. So, typically it's in the 3:1 ratio. So, if I put a 2 GW of pumped hydro, it can support 6 GW, 3-3.5x, so 6 GW to 7 GW of renewable capacity for giving firm 24/7 power.

Subhadip Mitra: Understood. It is going to be a combination of hydro plus solar plus wind or more of solar plus hydro. How does the configuration work?

Dr. Praveer Sinha: Depending upon what sort of requirement is there from customers. In some cases, it may be just solar and wind, but in some cases we will give a good combination whereby we can give them 24/7 100% power.

Subhadip Mitra: Last two questions from my side. Firstly, on the EPC side of things, again with

such a large quantum of tendering activity expected over the next few years and so you would be sensing a large opportunity again opening up on the EPC side. So, any thoughts on how large this opportunity can be or what kind of market share you would like to take here? And also, what do you feel are the sustainable margins?

Dr. Praveer Sinha: So, again for us, the first priority is to meet our own internal requirement. So, whether it is the group captive or it is the utility scale, we will meet that requirement and I mentioned to you that we are looking at 2 GW - 2.5 GW. Thereafter, we will look at opportunities, which are third-party opportunity and again it will be all dependent on what sort of margins we are getting and what sort of returns we will have in there. Also, now earlier we used to do EPC projects with land. Now we don't do with land, so we do more projects where the owner provides us the land and we develop the project for them. So, it's again a place where we are very careful and there's a very calibrated growth that we will have.

Subhadip Mitra: Understood. Lastly, on the Tata Projects stake sale. I think this question came up earlier as well. So, while you did mention that I think the book's value was around 110 per share, what was the price at which the transaction was done, is it possible to know?

Mr. Sanjeev Churiwala: So, I think the way to look at it is we have not sold any stake, right? Because we did not participate in the rights issue. Our overall shareholding dropped from 48% to 31% and because Rs. 1,500 crore of additional equity was infused by the Tata Group, to that extent the book value per share increased.

As a result, we had to book the profit that you see as an exceptional item, which normally should be in the OCI balance sheet, but because this is The Tata Power Company Limited
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not in subsidiary but more of an associate, we had to book it in the P&L. But this is a non-cash item as such has no implication on the cash of the company.

Subhadip Mitra: Understood. So, this infusion of capital by Tata Group was again done at book value or at a higher number?

Dr. Praveer Sinha: But at a certain valuation.

Subhadip Mitra: Would it be possible to know that number or that's not available?

Dr. Praveer Sinha: Yes, I think it's already there as part of the release by Tata Project itself, so we can forward that release to you separately.

Moderator: Thank you. We have our next question from the line of Bharanidhar Vijayakumar from Spark Capital. Please go ahead.

Bharanidhar Vijayakumar: Just trying to understand if the investment into pump storage opportunity would attract the regulated return of 16.5%. Is it the case?

Dr. Praveer Sinha: No, this we will combine with our renewable business. So, it has nothing to do with this. It's not on a regulated basis that we are going to supply.

Bharanidhar Vijayakumar: So, then it will not be also for just peaking purpose, it will be round-the-clock kind of a...

Dr. Praveer Sinha: It can be anything. It can be for peaking, it can be round-the-clock, depends on what sort of combination we will do.

Bharanidhar Vijayakumar: And what is the update on the supplementary PPA for Mundra?

Dr. Praveer Sinha: Right now, we are under Section 11, so let's see till what time it goes. Once it gets over, then we will look at the supplementary PPA.

Bharanidhar Vijayakumar: And on the Mundra side, you mentioned that given variable cost has fallen and it's attractive for the discom to schedule on merit order dispatch. This is for the power of the plant. What would like the variable cost per unit right now that is in your 1st FY24 from Mundra?

Dr. Praveer Sinha: I think it's around Rs. 5, but I don't have exact numbers, but it's around that number.

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Moderator: Thank you. We have our next question from the line of Gaurav Kumar from TRG Corporate Ventures. Please go ahead.

Gaurav Kumar: My question is Tata Power is spending in the EV space, so can I know that how much does the EV station contribute in your revenue?

Dr. Praveer Sinha: So, there are three businesses. One is the home charger, which we provide

against the return. The 2nd is the bus charger where again it is on a return basis that we do. And the third is the public charger where it is on a revenue basis in the sense if the utilization is more, we get higher revenue. If it is less, we get it. So, there are two which has a guaranteed return, including the fleet charges, while the one is a public charger which is based on the demand supply.

Gaurav Kumar: And you also installed EV charging setup in restaurants and resorts as well.

So, what is the revenue sharing structure? I just wanted to know that you have installed more than 4,000 EV charging points. So, I just wanted to know what the revenue share is expected and how much revenue do you intend to generate in coming future?

Dr. Praveer Sinha: The typical arrangement with most of the people, whether they are in restaurants or shopping malls or any public parking place or it is in petrol stations depends on the owner of that place. In some places, it is a revenue sharing. In some places, it's a fee that you have to give on a monthly basis or yearly basis. So, different places have different models and we work on those lines. And of course there is a presentation that has been put. You can see the details of each of these chargers.

Moderator: Thank you. We have our next question

from the line of Sumit Kishore from Axis

Capital. Please go ahead.

Sumit Kishore: The question is what is the price of RE, RTC, wind, solar, hybrid with storage along with it. So, at what tariff do you think is viable right now?

Dr. Praveer Sinha: See, it all depends where you are putting up. If you are putting up in Maharashtra, it has a different; if you are putting up in Rajasthan.

Sumit Kishore: Rajasthan, which is very sunny or take a site which is windy and sunny.

Dr. Praveer Sinha: Every place in the country is sunny, right? You tell me where it is not sunny.

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Sumit Kishore: So, the idea is more generically to see how low that tariff has come?

Dr. Praveer Sinha: So, I would say a Rs. 3 range is a good range. People who have gone and done crazy numbers, they are struggling to execute those projects and the margins are impacted. So, in a better sunny place, better wind speed, it can be 2.80 or 2.70. So, a Rs. 3 plus minus 10% is a good reference if you want to, but it's a very thumb rule sort of it.

Sumit Kishore: But if you want to include storage along with it, say battery energy storage systems or pump storage hydro, for round-the-clock power, so then where would you see the RE, RTC tariffs?

Dr. Praveer Sinha: Sumit, this is more an academic question, so let me give you a very generic answer or maybe a Rs. 5 tariff will be something that is there. But it all depends what sort of, see you want 4 hours of battery backup or you want 2 hours of battery backup, it all depends on that. So, very difficult to say number and say that this is the correct number and we cannot deviate, it is a different arrangement.

Sumit Kishore: And just one question on the EPC business. We find that most of your utility scale EPC order book which is third party is PSU focused. So, how is the risk sharing on price of procurement of modules between Tata Power and your PSU customer?

Dr. Praveer Sinha: No one shares the risk, excepting that if there is any change in law that happens, the good thing with PSU is that you get paid on time. Many of the other developers don't pay on time and that's why we have been very averse to bidding for non PSUs.

Sumit Kishore: So, you basically take the risk of procuring modules and the volatility of prices in modules?

Dr. Praveer Sinha: Absolutely, excepting for change in law. If there's any change in law, that takes place that we get protected.

Moderator: Thank you. We have our next question from the line of Gopal Nawandhar from SBI Life Insurance. Please go ahead.

Gopal Nawandhar: So, receivables actually has gone up quarter-on-quarter. So, can you just ascribe which business this relates to?

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Dr. Praveer Sinha: So, receivables is a function of business growth. Also, many of them are little cyclical in terms of like I mentioned to you that in summer months, the

consumption in the distribution areas increases, but the receivable comes in July month. So, May or June will be very high consumption and payments will start coming in July and August. So, that's the cycle that you have. Also, some of the cycles of some of the supplies that comes to us. We need to make payment depending upon what is the market condition. Sometimes we buy some of the material and stock it with us. So, there what happens is the receivables that we get change, but I think over a period of time our receivable number of days has reduced drastically.

Gopal Nawandhar: And the second question is that we have seen correction in the cell and module prices. Obviously, it should help our existing order book in terms of execution. My question is on our plant, which we are putting for cell and module, how should one look at that project IRR and whether the final product which comes out of these plan

ts will be competitive enough to comparable with the import or you will need some more support from the government to replace the import?

Dr. Praveer Sinha: So, the cell and module, you know that there is a basic customs duty. On module, it is 40% and on cell, it is 25%. So, that gives the protection to the domestic manufacturer to the extent of the difference at which you would procure and pay the duty vis-à-vis what you manufacture over here. And in the Indian context, many of the plants, including our plant, we've got the PLI benefit and some of the other state incentives. So, I think we are going to be very competitive. We are going to be very efficient and we will be much better place compared to the imported modules that others would.

Gopal Nawandhar: I'll just try to rephrase and understand the point is maybe say 6 months, 9 months back when we started these projects, the prices were different. And now prices have come off. So, what will help you in terms of reducing the cost or versus what maybe?

Dr. Praveer Sinha: The prices of the raw material also have reduced. See 6 months back, the wafer prices were Rs. 90 a Kg. Now it is Rs. 40 a Kg. So, everything has gone down. So, production cost will come down to that extent and you will be much more competitive.

Gopal Nawandhar: And the last bit on the wind side, we have seen significant reduction in the PLF year-on-year. Generally this is a high seas on month. So, 3% reduction year -
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on-year, we have seen on the wind PLF. How should one look at it this in terms because there is?

Dr. Praveer Sinha: Again, you should look at it all on a 12-month cycle. This year, the wind speeds in the month of June were very bad, but in July, it has got up. Last year, the June month was very good, but May was bad. So, these are things which are because of extreme weather conditions, things are changing, but on an overall basis, it is not happening. You have seen that Mumbai has got rain, what it was expected to get in the month of July itself, but August there is no rain. In June, there was very little of rain, so I think on an overall basis, whatever rain it has to get, the precipitation is more or less the same, but yes, it changes what used to take three months to fill up, today it takes maybe 2 months or 1.5 months to fill up. So, that is what it is.

Gopal Nawandhar: So, there is no overall change in the assumption or there is no structural change in the pattern?

Dr. Praveer Sinha: No. If you see on a 12-month rolling basis, if you see it on a 1 month or 3-month basis, you will find a change.

Moderator: Thank you. We have our next question from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: Sir, regarding the adverse weather events in Odisha, so is it sort of allowed as a force majeure in terms of the impact on performance? Also, the incremental CAPEX that you would have to incur or is it something that the company has to take a hit?

Dr. Praveer Sinha: So, it is not a force majeure condition unlike full-fledged cyclone that takes place. So, what happens is the regulatory, the system allows any of these type of CAPEX that you need to incur and you incur those CAPEX as a part of your annual plan.

Apoorva Bahadur: And sir, the impact on performance that it has, is that allowed under the handover agreement or?

Dr. Praveer Sinha: No, the impact on performance, you need to catch up on that.

Apoorva Bahadur: And how will the commission look at this performance? Will it look at it on a rolling basis or a cumulative basis or what?
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Dr. Praveer Sinha: Everything is on a yearly basis, nothing is on quarterly basis.
Apoorva Bahadur: So, in case there's a bad weather event at the end of the year and because of that the perfor

mance is hampered, will be penalized?

Dr. Praveer Sinha: So, you have to within the 12-month period until and unless I told you that if it is a declared cyclone or a declared extreme weather condition, so if it is declared, then they would consider it suitably, but if it is not a declared weather condition, then they don't consider.

Moderator: Thank you. We'll take our last question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: I have only one question. How should we read the profits of the share of associates in JV for this quarter? It has gone up on a sequential basis. So, what is the coal price approximately for the quarter? And should we take this as a sustainable run rate going forward, is there any change in the royalty tax which is incorporated in this also? Yes, that's it.

Mr. J.V. Patil: So, mainly actually, there is a change in quantity. Actually, there is a slight increase in quantity of sales this quarter and in addition to this, because the prices have come down, so the cost of production also has been minimized.

That effort has been put in by our coal JV partner. Those are the major things which have resulted in an increase in profit from our coal companies as compared to the Q4. And in addition to that, definitely the last year previous year, there was Tata projects losses that is not there in this year. The losses have reduced substantially. If you remember last year, it was actually Rs. 240 odd crores. So, this year it is hardly anything. So, those are the two major things.

Mr. Sanjeev Churiwala: I think I'll request you to have a look at Page number 32 of the uploaded investors deck. It has the complete breakdown.

Moderator: Thank you. I now hand over the conference to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you. Thank you very much to all of you for joining on this call. If you have any more questions, please get in touch with my colleagues, Kasturi and Rajesh, and we'll be more than happy to share the details. And I do look forward to having interaction with you during the next few months and we will
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also have interaction with all the analysts like last year. Once we fix up the date, we'll inform you about this. Thank you. Thank you for joining us.

Moderator: Thank you, sir. On behalf of the Tata Power, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Nov 2023

November 14, 2023

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sirs,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on November 8, 2023, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter and half year ended September 30, 2023, is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-relations/inv-info-archive.aspx>

You are requested to take the same on record.

Yours faithfully,
For The Tata Power Company Limited

(H. M. Mistry)
Company Secretary
FCS 3606

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"Tata Power Limited Q2 FY-24 Earnings Conference
Call"

November 08, 2023

MANAGEMENT : DR. PRAVEER SINHA – MD AND CEO, TATA POWER
MR. SANJEEV CHURIWALA – CFO , TATA POWER
MR. J.V. PATIL – FINANCIAL CONTROLLER , TATA
POWER
MR. KASTURI SOUNDARARAJAN – INVESTOR
RELATIONS , TATA POWER
MR. RAJESH LACHHANI – INVESTOR RELATIONS ,

TATA POWER

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Moderator : Ladies and gentlemen good day and welcome to the Tata Power Q2 FY24 Earnings Conference Call.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – MD and CEO Tata Power. Thank you and over to you.

Praveer Sinha : Thank you, good evening to all of you and thanks for joining the call. On behalf of Tata Power, I would like to extend my best wishes to you and your family for a very happy and safe Diwali in advance. I'm joined today with my colleague Sanjeev Churiwala – CFO, Mr. J.V. Patil – Financial Controller, Mr. Kasuri and Mr. Rajesh Lachhani from Investor Relations and other members from my Corporate Finance and Corporate Communication team.

At the outset let me talk a little bit about the power sector. We have seen that the power demand in the last quarter has gone up by maybe 13% compared to the previous year and this increase in demand has been seen right through in this financial year. We have seen on a cumulative basis, there has been a growth of more than 10% this year as was seen last year where the growth has been 10% compared to the previous year. I think the cumulative growth in last 2 years is nearly 22% which is a record. The peak demand of power was 241 GW which was really more than 10% of the previous year and we see that this demand continues to be very high even in the month of October. We expect that this will continue for at least another 2 years considering that the demand has gone up, not only for the industries but also for our commercial and industrial consumers and including residential consumers where a huge demand of air conditioning load has led to this surge in demand. Because of these reasons, the Ministry of Power has been trying to ensure that there is adequate supplies of power in the country and has extended the Section 11 so that all the imported coal-based plants continue to operate and supply power. As also they have mandated that the domestic coal plants also use up to 6% of the imported coal for purpose of blending, so that there is no shortage of power in the country. I think this has given good results in the sense that the country has been able to meet the enhanced power requirement where many of the other countries have struggled to do that.

Moving to our financial performance; I am extremely pleased to share that this is the 16th

successive quarter in which we have shown profit growth, and this has been based on very strong fundamentals of all our existing businesses, including new businesses in renewable and distribution. This year in this quarter the consolidated PAT is 1,017 crores which is a 9% increase compared to last year. Similarly, the revenue growth has been 9% and the EBITDA growth has been 51% because of much better performance of all the plants including the Mundra plant. And
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what we have seen is that in the half year our Revenue has gone up over ₹30,000 crores which if you remember 3 years back used to be our annual revenue. Our EBITDA has also grown to more than 6,000 crores, 6092 crores in the first half of the year and our PAT has grown by 6% on a half yearly basis to 1,924 crores. This has been possible because of large number of initiatives taken by Tata Power. We have been steadily working on our renewable capacity where capacity additions have taken place during this quarter and today our clean energy portfolio stands at 5500 MW which is nearly 38% of our installed capacity. This is on back of n

early 3200

MW of solar, 1000 MW of wind and the balance being hydro and off gas plants and with another 3760 MW under implementation which will get completed in next 2 years, we will achieve an installed capacity of 9300 MW clean energy which will be nearly 50% of our total capacity. So, we have actually set up a very ambitious target that by 2030 we'll have 70% of our installed capacity will be clean energy. I think we'll be able to achieve it because this does not include the 2800 MW of pumped hydro which we will be setting up in our hydro plants starting mid of next year when the work will start, and it will get executed in 36 months thereafter. In all our renewable business, including large scale EPC business, our own utilities as well as rooftop and group captive we have seen huge growth and there is a huge pipeline of projects which are under implementation. We have also been able to start the trial production from our 4.3 GW cell and module plant. The first of the module units have started trial production and we expect in next 2

to 3 months they will stabilize the module production and the cell production will start in the month of January and will stabilize by March- April. So, one of the big challenges of supply chain management and having a much better control on the input cost for solar plants will be taken care of once this 4.3 GW plants get fully operational. In fact, we are the first one in the PLI scheme who have been able to start production and we do hope that 4.3 gigawatt which will become the single largest manufacturing of solar cell and module plant will not only get operational but will operate at a very high yields and throughput.

Our other business, especially in our EV charging has also been doing very good. We have nearly 62,000 home chargers and we have nearly 4,900 public chargers. We've also been able to implement lot of bus charging facilities starting from Kashmir up to various cities such as Jammu, Srinagar and we have in Delhi, Jaipur, Ahmedabad, Bangalore and Mumbai. So, I think with widespread projects for bus charging we'll see more and more public transportation also going through EV. Our Orissa DISCOMS have been doing very good and we have a PAT of nearly 90 crores in Q2 and 154 crores in H1. We have been taking huge number of initiatives to clean up the data after the implementation of ERP as also moving away from provisional billing which is in few cases less than 5% which will help us to bring better control and visibility in the billing and collection division. We have till now replaced nearly 25 lakh meters in last 3 years and it really shows that how discipline is being brought in doing the right billing and collecting from the consumer.

Our balance sheet continues to be very sturdy with the net debt declining by nearly 1,140 crores in Q2 and our net debt stands at a very heavy 36,609 which means that our net debt to underlying
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EBITDA is 2.65 and our net debt to equity is 1.02 which is I think a benchmark for infrastructure industries. We expect the CAPEX to pick up significantly in the second half with large number of projects planned in Q3 and Q4 and we will be able to see many of them getting implemented and the benefits of that will start extending to us especially in the utility scale and group captive project in the subsequent years. We have been able to tie up the arrangement with the Zambia unit where we had a 120 MW hydropower plant which was not able to conclude the power purchase arrangement and receipt of payment. That has been resolved and the company has received a payment of USD102 million out of which our share is 50%. So, we've received the payment of USD51 million and all this has led to a very solid balance sheet, and this has also led to the upgradation of Tata Power's credit rating from Baa2/Stable to

Baa1/Stable.

As you would have noticed Tata Power is continuously working to stabilize its operations and bring consistency in the performance and every quarter, we have shown improvement in our performance because of the stable operations of all our existing and new businesses. This will go a long way in making the company much more stable and with a very healthy balance sheet. We would also be closely monitoring all our financial and operational metrics to ensure that there is consistency in the performance in the future quarter. With this I would request Yas Hashri to open the floor for questions.

Moderator: Thank you very much sir. Ladies and gentlemen, we will now begin the question-and-answer session. The first question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Can you elaborate a bit more on what you are seeing in terms of profitability for Mundra and the coal mine separately as well?

Sanjeev Churiwala: Hi Puneet and hi everyone. This is Sanjeev Churiwala, CFO for Tata Power. First of all, let me wish all of you a very Happy Diwali in advance. I think in our previous calls, lot of questions have been asked on the Mundra and the coal mines. So, what we have done this time for the benefit of all of you, we have included a separate slide which gives you the cluster wise performance. If you have access to that deck, if you go to slide #36 and #37, all the details are available for you. But just for the sake of your understanding, this year when we see our EBITDA going up by 51% and PAT going up by 9%, that is in spite of our coal mining profits significantly going down. Last year for the same period, the coal pricing was close to about \$135 to \$140. And we are now witnessing coal prices of about close to about \$80. So, our coal profits have significantly come down. But that has been most compensated for by profits coming from all our core business, including overall generation business, our existing thermal business, including transmission, distribution renewal, new businesses like in Odisha and renewal. I think which is a big shift that we're kind of delivering our PAT almost 80% of that plus is coming from the core profit and we want to continue delivering that. When it comes to Mundra, Mundra is just a cost-plus model under Section 11. So, we are recovering all the cost. So, it's just a little, under a
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normal PPA would have had a loss and under Section 11 it's just a cost recovery. Of course, there is no loss but it's almost a break even on the PAT as well.

Puneet Gulati: So, you are breakeven at PAT as well.

Sanjeev Churiwala: Yes.

Puneet Gulati: And secondly on the renewable side, there have been a lot of bids which happened during the first half of this year. How are you positioning yourself for that opportunity or do you think the pricing is still quite tough and competitive intensity too high? If you can elaborate a bit, there.

Sanjeev Churiwala: Our strategy is very clear. We're kind of still looking at delivering 1.5 to 2 GW of renewable on an average. Even this year we will be commissioning close to about 1 GW of renewable. We already have a very healthy pipeline in terms of the prints that we had including our group captives. So, our focus when we look at overall solar, it's a combination of group captives, rooftop and large-scale projects put together. In both of them we have a healthy pipeline and that of course includes hybrid and as well as RTCs. There's a combination of all of that.

Puneet Gulati: So, you don't want to build further pipeline right now the way some of the other peers have been talking about building 10-20 GW of potential pipeline?

Sanjeev Churiwala: When it comes to the long-term pipeline, in case we have set an aspiration that we will be delivering (+15) GW in the next couple of years.

As we speak, we already have a commissioned capacity of 4.2 GW and about 3.6 GW is in the pipeline. So overall we're talking about an 8 GW commissioned and under pipeline. So, I don't think that we are not building it up. We are kind of sticking to our aspirations and most likely with our aspirations for the pump storages, coming through in the next few years' time we're likely to want to exceed that target that we have set for ourselves.

Puneet Gulati: And lastly what stage are you on your pump storage business? Do you have all approvals, environment clearance in place or still applying for the same?

Praveer Sinha: All the approvals have been applied for, some have been received and we expect all our approvals to be in place by March-April 2024 and that's why we are saying that we will start the work by mid of next year. Since this is in our existing reservoir and existing location where we have the hydropower plants, there's no fresh land acquisition or anything that is required, and we will be able to complete it in 6 months. So that's our timeline that we are looking. So mid '27 we will have the pump hydro plants operating.

Moderator: We have our next question from the line of Apoorva Bahadur from Goldman Sachs.

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Apoorva Bahadur: If I see the financials, the trust energy has reported meaningful swing in profits. So just wanted to understand what's driving this and how should we view this business in future?

Sanjeev Churiwala: Yes, I think when you look at the trust energy, the way we are reporting here is basically entity wise. Best if you look at the cluster wise performance. But what is trust energy, trust energy is simply nothing else but with the shipping company. The more coal we bring in which is part of any case our coal cost, it is the profit attributed to the trust company. But Best is to look at Mundra and the coal companies together. If you go to slide #36 and #37, you can look at here go to #37 which is H1. If you look at the line which says Mundra, Coal and Shipping this gives you the combination of all the things which includes the Mundra, which includes the shipping and which includes the coal mines profit.

Apoorva Bahadur: So, it is completely linked to the volume of freight which we are moving and not to the shipping rates at all.

Sanjeev Churiwala: Yes, correct. It's largely related to the volumes.

Apoorva Bahadur: So, every quarter whenever Mundra operates more sort of trust we will make a higher profit. Understood.

Sanjeev Churiwala: So actually, that is kind of a cost-plus model. We will not look at that very small amount sitting over there. It's best to look at the Mundra, coal and shipping which if you look at slide #37, I'm sure you have access to that. You will find all the combined numbers here.

Apoorva Bahadur: So secondly also if I see the same slide, I think eliminations used to be quite significant historically, I think that number is down meaningfully. I believe some part of it could be attributed to probably not utilizing own coal at Mundra. But if you can throw some light.

Sanjeev Churiwala: Elimination is basically all the intercompany things. We are an integrated company. So, while the overall numbers are only coming down not going up in terms of elimination, but the fact is it all depends, higher the intercompany transactions there will be higher elimination. So, I think the best way to look at is post elimination because otherwise the numbers are sitting in the drawers and thereafter there's an elimination. This is more of an accounting entry.

Apoorva Bahadur: And I think lastly on the realization of dues from KPC sale and also from Itezhi I believe that sits in reduction in the unbilled revenue in your cash flow.

Sanjeev Churiwala: You're looking at a particular slide?

Apoorva Bahadur: The Itezhi tari

ff order like maybe a resolution which happened I think 1 61 million for us and also the receipt of
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Praveer Sinha: That is not in the previous quarter , so Itezhi will come in the subsequent quarter. So, it is not in the previous quarter.

Apoorva Bahadur: And for Arutmin we have received already.

Praveer Sinha: Yes. Arutmin money has been received, and your question was ITPC , ITPC has received the money from its procurer that is ZESCO, and we have received our dividend this month. So , nothing is reflected in September, but that profit will be reflected in Q uarter 3 and will not be shown as receivable because we have already received the money.

Moderator: We have our next question from the line of S ubhadip Mitra from N uvama.

Subhadip Mitra: My first question is that in a scenario where we are looking at S ection 11 benefits continuing for an entire fiscal year , would Mundra still be at net break even or would there be profits?

Sanjeev Churiwala: I think as of now under Section 11 the whole idea of S ection 11 is cost passed through. So eventually the purpose is , that whatever is the cost and the overhead to be able to recover fully in the tariff and hence you will likely see a breakeven scenario.

Subhadip Mitra: So, this is at the net level. So maybe at the cash l evel there might still be some cash profits. Is that the right understanding ?

Sanjeev Churiwala: When we're looking at overheads and all you kind of include all the Ind -AS adjustments , you look at your depreciation. So yes , on a P AT level it will be neutra l. On a cash level it will be slightly positive.

Subhadip Mitra: And with regard to the long-term resolution on Mundra , are we looking at it following the lines of the S ection 11 tariffs or thereabouts?

Praveer Sinha: Something very close to that. So that the tariffs become more cost reflective, and this is under discussion, but I think somewhere close to that.

Subhadip Mitra: Secondly with regards to the renewable business profit which has certainly offset the loss of profit from coal and UN DP in this quarter. So, on the renewable piece clearly , it's visible that I think the EPC side of the business is throwing up a good amount of profitability. So, I just wanted to understand that for this business we are still looking at doing more third -party sales and hence this can continue to become be a growth center.

Praveer Sinha: For renewable typically you would see that , we have a huge pipeline 3800 MW of projects which we need to commission apart from the rooftop that we ne ed to sell. M any of the projects will get completed in the next two quarters. So, I think you can expect very good performance by the

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renewable business next two quarters as also in the next 12 to 18 months when many of these projects will get commissioned . But I think with a renewable business you will see a huge improvement over a period of time.

Subhadip Mitra: But my question was that , if we are continuing to do more of self EPC then in the consolidation it will get knocked off. So only the third -party related EPC would actually start showing up as your profits and the consolidated numbers , just wanted some clarity on that.

Praveer Sinha: Even when we do our own projects , there is a profit in that. So , they work as separate entities. So, the EPC business will have a profit from execution of those .

Sanjeev Churiwala: In fact, even in this current quarter , more than 50% of the business and the profit that you see , is basically coming from third party. I think it's a combination of third pa rty as well as in house .

Subhadip Mitra: And on the coal front , with the recent uptick in the international coal indices , would you again see a jump back to coal profitability over the next couple of quarte

rs?

Sanjeev Churiwala: I think all indicators are showing that the coal prices possibly globally are stabilizing now. We have seen a sharp drop every month over the last 6 to 9 months. In fact , when we compare over 12 months from about \$ 135-\$140 it comes down to \$80 and over the last few weeks we are seeing the price stable in that quarter. It's unlikely that we will see a big swing going forward but you never know what will happen . We never predicted this kind of high prices ear lier and then such a sharp f all drop again. So, it's very difficult to predic t. But as of now we're kind of thinking that it should remain range bound.

Subhadip Mitra: Last question from my side. This would be with regard to the large tendering activity that we're seeing on renewables , whether it's solar or hybrids etc. Is there any ballpark target number that you have or market share number that you have in terms of winning across this market size of maybe 30 -35 GW.

Praveer Sinha: The only ballpark is that there should be good return from them. That is what it is. If it is not a good return, then there is no point in taking orders. And you have seen that many of the developers took orders at Rs . 2 and 1. 99 and all that and have lost money. So, the only ballpark

is we should get good returns and also, we are now leveraging more towards hybrid project. So, it's not just pure solar or pure wind but they are solar and wind combination. They are solar wind and storage combination which we won yesterday. So, we will be moving more towards complex projects which require a combination of solar and wind and once we have our pumped hydro then we will be giving 24/7 renewable power.

Moderator: We have our next question from the line of Sumit Kishore from Axis Capital.

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Sumit Kishore: My first question is regarding the trajectory of margins expected for TPSSL, once the 4.3 GW module cell manufacturing capacity will be commissioned by the end of the year. So, for next what will be the bump up that you expect in margins here?

Sanjeev Churiwala: I think when we look at EPC business per se, while in Quarter 2 we are about 4%. That's too in a very difficult environment situation where the cells and module prices have moved significantly. Our desire is to kind of deliver an EPC margin on 4%, about 5% of the EPC business when it comes to cells and modules, of course it's a combination of largely using in-house where we ensure that whatever cost we have incurred which is roughly about (+ 4,000) crore s, we get a decent return on that. We will ensure that the cost-plus markup happens to get back our return. We'll not link it directly to the EPC business per se, but we will be setting it up as a separate profit center.

Sumit Kishore: But ultimately it will get used up in your EPC projects as well as your in-house projects and it would be reported under TPSSL is that right?

Sanjeev Churiwala: No, when the manufacturing business starts, so the rate is for almost two thirds of the production which is 3 GW, that will be used of course in-house. So TPSSL will buy that material from our new manufacturing plant and then it will basically be billing to our last scale utility project. And that's the way we want to do so. We already have a new company called TP Solar which is in Tamil Nadu where this 4.3 GW setup is coming through and of course that company might also sell 1 to 2 GW depending upon the need international market and domestic market and whatever profit it comes over there will be sitting over there.

Sumit Kishore: Could you give us a sense of the capital cost for the project as well as number of hours of storage that you would have in your projects in Maharashtra and the associated RE that you would have to set up pump storage.

Praveer Sinha: I think you're asking about pump storage.

Sumit Kishore:

ore: Yes.

Sanjeev Churiwala: I think we have already tied up with the Government of Maharashtra for 2.8 GW which will be setting up in the next 3-4 years. Of course, it is basically to cater to round the clock delivery of renewable energy and depending upon the model either we can sell the storage capacities or tie-up separately. But that will depend once we commission the plant as to what is the need of the hour. But yes, again that will be a separate profit center and will be delivering its own profit.

Sumit Kishore: What is capital cost sort of targeted for this project? How does the project mechanics work?

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Sanjeev Churiwala: So, as of now the cap ex that they are planning is roughly about ₹13,000 crores in terms of the capital outlay.

Sumit Kishore: And are there any non-recurring items in Q2? We see some other income from partial sale of Unit 6 equipment of Trombay of ₹52 crore s and what is the treatment of this Rs. 2.3 billion of Arutmin sales proceeds?

Sanjeev Churiwala: Arutmin sales is part of the consideration. It's nothing to do with the P & L. That's purely the cash flow that has come because Arutmin was sold many years back which was the final, last leg of the consideration which is now coming. So, there's no impact of that on the P & L.

Sumit Kishore: The only P & L impact is on the other income for this Trombay Unit 6?

Sanjeev Churiwala: Yes, that's Unit 6, ₹50 odd crores.

Sumit Kishore: There is no other non-recurring item in this regard.

Sanjeev Churiwala: No, there is nothing.

Moderator: We have our next question from the line of Anuj Upadhyay from Investec.

Anuj Upadhyay: Question relates to the ₹1158Cr of EPC project which we have canceled off. Could you just elaborate further which project exactly it was and why the need to cancel it off now considering the fact that the module prices have almost come down significantly?

Praveer Sinha: These projects were basically where we had to do third party EPC work and the client was supposed to provide us the land and they could not provide us the land and the other clearances which were required to set up these projects. So that's why it was decided that we would terminate, and we have come out of them. Other than that, all the other projects were of course

going and implemented.

Anuj Upadhyay: And considering your earlier remarks to question which was asked by a few of my colleagues, is it a shift in a strategy that our focus would largely be catering to most about the C & I (Commercial & Industrial) category of consumers rather than the DISCOM from the IPP scale? Because the scale of tendering which has been happening in the first half and the rate of the project winning which we are having specifically for the IPP side doesn't match. On the other hand, we have been getting good orders from the C & I on the rooftop.... So just to understand, is there any strategic shift or calculated bidding which we are doing?

Praveer Sinha: Our stand has been consistent. Those places where we will get better margin, we will execute those projects. We have seen that in group captive we have been able to get much better margin
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and that's why we are doing and also some of the utility scale that we have won, we have won large projects in Delhi and from Delhi DISCOM and then from Mumbai DISCOM and some of the others. We have been doing those projects. Those are typically hybrid projects. So, I think focus is that we need to get better margins. Those are the type of projects.

Anuj Upadhyay: And on the Odisha we have been seeing Western Odisha again reporting high AT & C losses. Is this something cyclical or seasonal impact which actually has led to a drop in the profitability as well over there?

Praveer Sinha: So, O

disha what is happening is as I mentioned to you a lot of cleaning up operations have been going on in terms of the number of consumers and the type of billing. And you have seen that in last 3 years we have replaced 25 lakh meters and discontinuing the provisional billing and cleaning up the books. So that's what we have done and hopefully by the next two quarters we will have completed all the four platforms and many of the consumers who were earlier so-called ghost customers they have been doing. So, I think you would see that we bring huge amount of consistency in the Odisha operations and also ensure that proper billing and proper collection takes place.

Anuj Upadhyay: And lastly on the Mundra. So, till when the Section 11 will be enforced as on date and our expectation going ahead considering the fact that the company is moving into a deficit zone.

Praveer Sinha: Mundra right now is till June '24 and as you rightly mentioned that there is a huge demand of power, and this is expected to continue next year also. So, I think for next 2 years it looks like there will be a shortage of power and there will be huge demand and we expect that if we have to meet 100% requirement some of the imported coal plants have to operate under Section 11.

Anuj Upadhyay: If I just chip in for last question, you mentioned ₹13,000 odd crores as overall CAPEX for the PSP project. So, it includes the renewable capacities as well which will be filling the PSP plant or it's only the PSP equipment or the setup for which you have mentioned 13,000 crores.

Praveer Sinha: This is only the PSP. The energy that will be required for mopping up will be a separate investment which will come in the renewable basis.

Moderator: We have our next question from the line of Rajesh Majumdar from B & K Securities.

Rajesh Majumdar: I had a few questions. First question is on the regulated equity which is at about ₹11,850 odd crores as of 30th September, so considering the CAPEX you're planning for the next 5 years on the existing operations as well as Odisha DISCOMs and pumped hydro, where should we see this in regulated capital for FY27 -FY28?

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Sanjeev Churiwala: I'm not clear. So, I think if you're looking at the regulated equity, this depends upon the kind of CAPEXs that is required to be done and the percentage of money that will come to the equity.

There's no direct correlation per se. It all depends upon the opportunities that we will have in the next 3 years. For example, this year if we're doing a CAPEX of let's say 12,000 odd crores and we look at 25% -30% of equity coming in, we'll also have to look at the cash flow. So, I think it's a combination of various things. This per se on the regulated equity we will not be able to decode and give you a perfect answer. But yes, if you see between Quarter 2 of '23 and Quarter 2 of '24 from 10,900 crores this has gone up by roughly about 1,900 crores. Of course, to that extent we contribute equity, it will keep on going up. And this is mind you all regulated equity which will be giving us return of (+ 15%).

Rajesh Majumdar: So, the pumped hydro storage will not be a part of this regulated equity income, or it will be separate?

Sanjeev Churiwala: No, pumped hydro storage will not be part of the regulated equity. This will be separate. It is not regulated.

Rajesh Majumdar: How do we look at the economics of this pump hydro if we see it as a separate business?

Sanjeev Churiwala: The approach to hydro feasibility is very simple. That will enable us to kind of deliver the RTC

ambitions that India has. Because pure solar or pure wind will have its own limitations on a large -scale deployment and very clearly given that we are putting up this on our own reservoir our CAPEX cost and our per unit cost should be very , very competitive.

Rajesh Majumdar: So, we would be targeting the 15% ROE here also or more than that , as per the internal IRR rate of return that we target in projects.

Sanjeev Churiwala: As Dr. Sin ha said anything that we do have to deliver us the cash , deliver us the return so till such time that is delivered we will not touch any project.

Praveer Sinha: That is the minimum.

Rajesh Majumdar: And my other question was on Mundra you mentioned that we are breaking even now. So, are we breaking even at the cash level or at the PA T level? Because we have a lot of non -cash expenses as well on the interest and depreciation. So where are we breaking even at the cash or the PA T level?

Sanjeev Churiwala: We are break even at the PA T level. You can say there's a slight improvement on the cash side because we'll have various adjust ments for Ind -AS and the depreciation that you can add back.

But by and large it's not much of a difference. So, I think best to kind of consider that the PA T

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level , if we continue with Section 11, we like to ensure that we are at a breakeven at the PAT level.

Rajesh Majumdar: And my last question is do we have any merchant power sales from our existing operations?

Because the merchant power rates are very lucrative, we see lots of competition plugging in the merchant power market. And do we have any cap acities there and do we plan to increase the capacities there?

Sanjeev Churiwala: So, we have merchant power sales from our two locations. One is Haldia, t he entire capacity is for merchant capacity. Another is at Prayag Raj where there's a small quantity of merchant sales .

All put together we do not have huge capacit ies on merchant.

Rajesh Majumdar: Totall y how many megawatts would be there on the merchant right now?

Sanjeev Churiwala: About 300- odd put together.

Rajesh Majumdar: And we don't plan to incre ase this significantly or do we plan to?

Praveer Sinha: No plan.

Moderator: We have our next question from the line of Atul Tiwari from Citi Group.

Atul Tiwari: So, for this PSP project has the PPA been signed, or do you plan to keep it open like on m erchant?

Praveer Sinha: The PPA will be signed with the renewable company, and we will package it as a 24/7 renewable power source.

Atul Tiwari: Okay so your own renewable arm will sign the PPA. But then there has to be ultimately an end party who will be taking this power? So, I am asking whether do you have visibility of a guaranteed offtake from this or how does it work? That is the question.

Praveer Sinha: Right now , we have not tied up but there are large number of people who are interested including Tata Steel with whom we recently signed the group captive of 900 odd megawatts. So , there are a large number of people who are interested. We need to be 100% sure as to when we will be able to offer this power. At that stage we will sign it.

Moderator: We h ave our next question from the line of Girish from Morgan Stanley.

Girish: I had a question to the CFO. So basically, on slide number 34 we have table B which is the gross revenue EBITDA and P AT and then the elimination. What I observe is at EBITDA line an d PAT level there is a YoY decrease in elimination of 1000 crore. I wanted to understand which entities are attributing to a lower decline negative number in EBITDA and P AT.

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Sanjeev Churiwala: That is correlated to the dividend. Depending upon the dividend that we have at a consol level it is eliminated. If you go to Slide #39, you'll find the workings over there.

Girish: And this is part of the standalone entity only ?

Sanjeev Churiwala: Yes, it is p art of the standalone entity.

Moderator: We have our next question from the line of Puneet Gulati from HSBC.

Puneet Gulati: My first question, in presentation you talk about a c

ancellation of order. Is there any penalty

associated with it and has that already been accounted for?

Praveer Sinha: There's no penalty. These are all third -party PC orders and all . We have cancelled it because as I mentioned to you, they could not comply to their requirement of giving us land and some other benefits.

Puneet Gulati: I'm taking the ■1,158 crore number was canceled by IPP.

Praveer Sinha: I didn't say IPP. These are people who wanted projects to be implemented. There can be a large

number of other people also.

Puneet Gulati: I'm just trying to understand, so who initiated the cancellation? Did you have to initiate, or did they have to initiate, the off taker and if they paid any penalty for that or if we had to pay any penalty for this.

Praveer Sinha: It's mutually negotiated, I think.

Puneet Gulati: And no, it wouldn't have impacted the P & L at all?

Praveer Sinha: No.

Puneet Gulati: Secondly on the Mundra when you say breakeven what is the underlying debt that you assume for calculating interest?

Praveer Sinha: We will have to look at the Mundra standalone numbers and the debt over there. But the usual debt that stays in the Mundra roughly about 11,000 to 12,000 odd crores which is there to support the business over there which includes both long term and short term. Which is all long term, short term, commercial paper, term loans all put together.

Puneet Gulati: No, specifically for the Mundra profitability. When you attribute that breaking even there is an interest, so that's on the entire 11,000.

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Sanjeev Churiwala: About 11,000 odd crores of debt.

Puneet Gulati: So, this full debt is assumed not the way it was earlier positioned separately under the SPV.

Sanjeev Churiwala: No, Mundra as a plant, has its own debt portfolio and we calculate basis that.

Moderator: We have a next question from the line of Noel Vaz from Union Mutual fund.

Noel Vaz: I just had one question on the upcoming cell and module line. I just wanted to know what exactly is the expected cost of production at this facility.

Praveer Sinha: Cost of production is still being worked out. So, it's a little too early to say what will be the actual cost of production. Maybe by February-March we may be in a position to give you the exact cost of production.

Moderator: We'll take the next question from the line of Gaurav Kumar from TRB Corporate Ventures.

Gaurav Kumar: I just wanted to know about your home automation and smart switches business and how is this business doing and what are your plans to scale up this business?

Praveer Sinha: These are still work in progress where we are trying to come up with new products as well as new solutions. These are still very small numbers where we are trying to test the market and its viability. At this stage we may not be in a position to give you any specific details.

Gaurav Kumar: So, you are operating this business as a separate strategic business unit, or does it come under consumer business?

Praveer Sinha: It comes under Tata Power.

Gaurav Kumar: My next question is regarding supplementary PPAs that you were about to sign with the state government of Gujarat and other states as well. So, have you signed this supplementary PPAs?

Praveer Sinha: No, we have not signed. We are now operating under Section 11. So, it's not been signed. We are waiting for.

Moderator: We'll take a last question from the line of Amit Bhide from Morgan Stanley.

Amit Bhide: I wanted to understand that when Mundra was consolidated with standalone, it was expected that tax will be there on the standalone entity, but we see that the tax is reflecting at around 20%-25%. So why is that and what should be the outlook on that? And the second question I want to understand is your CAPEX plan for F24 and '25.

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Sanjeev Churiwala: The CAPEX plan for the next year we are still working on our strategy. We'll let you know as and when we complete that. With respect to the tax, it is largely around the deferred tax reversal, we do not pay any tax at the Tata Power standalone level. As I said on a standalone basis, we do not have any cash tax payment because they are carry forward losses. So, what we would see is the deferred tax reversal only. So, there's no cash tax output.

Amit Bhide: And just on the CAPEX for this year. Next year, I understand you are still on the planning. For this year in H2 what should be?

Sanjeev Churiwala: I think in H1 we have spent close to about 4500 odd crore and possibly for the full year we might land up anything between 11,000 odd crores (+/-10%).

Moderator: I would now like to hand over the call to Dr. Sinha for closing comments. Over to you sir.

Praveer Sinha: Thank you everyone for joining for this call. And in case you have any further queries please connect with my investors relations team. You know both Rajesh and Kasuri and we'll be more than happy to furnish. We've tried to make the presentation much more simpler based on the feedback. So, keep on giving us your feedback and we'll try to make it more analyst friendly. And once again wishing all of you a very happy Diwali and hopefully we'll catch up soon and

thank you Yashri for arranging the call.

Moderator: It was my pleasure, sir. Thank you. On behalf of the Tata Power Limited, that concludes this conference. Thank you for joining us and you may now disconnect your line.

Call: Feb 2024

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February 15, 2024
BJ/SH/L2/
BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 50040 0 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra- Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : T ATAPOWER

Dear Sirs,
Earnings Call Transcripts
P

ursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on February 9, 2024, on the Audited Financial Results (Standalone) and Unaudited Consolidated Financial Results (with limited review) of the Company for the quarter and nine months ended December 31, 2023 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:
<https://www.tatapower.com/investor-relations/inv-info-archive.aspx>

Y
ou are requested to take the same on record.

Y
ours faithfully,
For The Tata Power Company Limited
Vispi S. Patel
Company Secretary
FCS 7021 G

TATA
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"The Tata Power Company Limited Q3 FY24 Earnings
Media Conference Call"

February 09, 2024

MANAGEMENT : DR. PRAVEER SINHA – MANAGING DIRECTOR & CHIEF
EXECUTIVE DIRECTOR , THE TATA POWER COMPANY
LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. JINENDRA PATIL – FINANCIAL CONTROLLER , THE
TATA POWER COMPANY LIMITED

MR. KASTURI , INVESTOR RELATIONS TEAM, THE TATA
POWER COMPANY LIMITED
MR. RAJESH LACCHANI – INVESTOR RELATIONS
TEAM, THE TATA POWER COMPANY LIMITED

The Tata Power Company Limited
February 09 , 2024

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Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY'24 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, M.D. and CEO of Tata Power. Thank you.

And over to you, sir.

Dr. Praveer Sinha: Thanks, Darwin . Good evening to everyone and thanks for joining the Q3 FY'24 Analyst Call. I'm joined today by my colleague , Sanjeev Churiwala – CFO; Mr. Jinendra Patil – Financial Controller; Mr. Kasturi and Mr. Rajesh Lakhani from Investor Relations and other team members from the Finance Team .

We have already shared the details with you, but just for the benefit of everyone, there are a couple of issues I thought I'll bring to everyone's notice. One is that the power demand in the country has grown at a very fast pace. We have seen a nearly 10% demand and surge in the last quarter and during the last nine months also the growth has been nearly 9% to 10%. This higher demand is expected to continue in future quarters and future years also, considering that there has been a huge surge in demand in all sectors, whether it is the commercial, industrial or the domestic residential sector as also in villages where we see that consumption has increased tremendously because of the government's Saubhagya Scheme . What we are expecting is that with the increased demand and in power, Tata Power will continue to provide supply of power from all its existing assets.

Coming to this Quarter :

This is the 17th successive quarter in which we have shown PAT growth, thereby demonstrating that solid business fundamentals are there of the company. And this is especially heartening because the majority of the profits have come from the core businesses, unlike previous years when we used to get a large quantum of profit from our non-core business, especially the coal business. This quarter we have a PAT of Rs.1,076 crores, which is nearly 2% higher than the last quarter. And similarly, our EBITDA has increased by 15% to Rs.3,250 crores.

On a nine -month basis :

Our EBITDA has jumped by nearly 34% to reach an all -time high of Rs. 9,342 crores. Similarly, our adjusted PAT before the exceptional items has gone up by 4% for the nine months to Rs.3,000 crores. And this is on the back of robust performance by all our core businesses including generation, transmission, distribution, renewables and also some of the new areas that we have gone into in EV charging as also in the rooftop solar. While we make huge progress in our various

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businesses, our commitment to net zero continues to be there and we will become net zero by 2045, which as a utility, we were the first one in the country to announce.

During this quarter, our Renewable business commissioned 72 MW of renewable capacity and 343 MW of capacity in our utility scale projects in the last nine months, and with our green portfolio and clean portfolio becoming nearly 5,600 MW. This of course includes our hydro, thereby accounting nearly 39% of our capacity in the clean generation capacity area.

We have won number of projects during this quarter, namely the 1,316 MW of RTC project, and this is the first RTC project that we have won from SJVN, which is a combination of solar, wind and battery storage, and with this, our project pipeline has become 4,752 MW. Over and above our existing 4,200 MW, we will have nearly 9,000 MW of renewable projects which we would be setting up.

With all this, we do expect that in the next quarter we

should be in a position to cross 10,000

MW of renewable projects and move to nearly more than 50% of our capacity coming from renewable sources.

Our Solar EPC business has again reported a very good performance during this quarter, both in terms of revenue and EBITDA as also as our utility business where nearly orders of 612 MW worth 2,849 crores has been received in this quarter. Rooftop business continues to see excellent traction with nearly 146

MW installed and nearly 87 MW of orders won in Q3.

During the last nine months, we have installed 350 MW of rooftop solar. And why I'm emphasizing this is, considering that Government of India has recently announced that 1 crore houses will be provided with the rooftop solution. Once the details are out and we know exactly what sort of capacity is being envisaged, we expect a capacity addition of nearly 30 to 40 GW of rooftop opportunity in the next two to three years, and that's where I think Tata Power will play a very, very important role going forward. In all our renewable businesses, we have seen huge amount of growth and we do expect that this trend will continue in the future quarters also. In our manufacturing plant, out of the 4.3 GW of solar cell and solar module, the 3 GW of solar modules have been commissioned and the manufacturing has started at our plant, and the 4th GW of module manufacturing will start in next two to three weeks. Similarly, on our 4.3 GW of cell line, the first cell is expected to be out in the month of April and the plant should stabilize to the full capacity by June, July. We do expect that going forward there would be large number of projects including the rooftop solar project of the government, 1 crore rooftops has been announced, which will use local make solar modules and thereby we will have great opportunity going forward to meet the production that comes from this plant.

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During this quarter, we have energized 412 public EV chargers and with this our total number of EV chargers which are operating, installed is much higher, is operating at 5,300 and this is also on back of nearly 73,000 of home chargers and 690 of bus chargers, which are operating. We have recently tied up with Indian Oil Corporation to use their outlets to put nearly 500 of fast and ultra-fast EV chargers at different locations.

Our T&D business has been doing consistently very good. In the last quarter, we won two bids of worth Rs.2,300 crores. This is the 344 circuit kilometer Bikaner Neemrana transmission line and the 80 circuit kilometer Jalpura Khurja line with a total investment of nearly Rs.2,300 crores, and all these projects will get completed in next 24 months.

Our Odisha discom continues to perform very well. It has been a very challenging experience, but the teams over there have ensured that better quality service and reliability is provided to the customer and that has been demonstrated by not only good service to the consumer, but also in terms of financial performance whereby in Q3 the PA T has gone up by nearly 75% to Rs.63 crores and on a nine-month basis it has become Rs.217 crores.

We have also installed nearly 3.6 lakh smart meters in Odisha and replaced nearly 27 lakh meters in Odisha out of the 95 lakh consumers over there. This has helped us to improve our billing efficiency and collection efficiency, and the results will start being seen in the subsequent quarters.

Our balance sheet remains very steady in spite of the increase in capital. We have spent nearly Rs.3,600 crores in the last quarter. In spite of all this, our net debt has increased only by Rs.2,000 crores and is at a very healthy level of Rs.38,600 crores.

Our leverage ratios are very healthy. Our net debt to underlying EBITDA is 2.86, in the previous quarter, it was 2.7 and our net debt-to-equity has been virtually stable at 1.0x level. We do expect

that

that our increase in CAPEX in the future quarters will also help us to generate better EBITDA and profitability for the company.

During the quarter, the company also received \$50 million out of the pending receivables of \$125 million from the investment done in Zambia, and we expect that the balance will also be collected in next 12 to 14 months as per the arrangement agreed with the discom in Zambia. Acknowledging all these efforts, CRISIL has upgraded Tata Power credit rating from "AA-Stable to AA-Positive and India Ratings has upgraded from AA/Stable to AA+/Stable, which I think is two notches improvement in last one year.

As the Tata Power continues to move forward with the better performance and consistent performance, we do expect that our new investments which is in our renewable business, transmission and distribution as also the pump hydro project which will start in later part of this

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year, will start showing much better consistent and stable performance for the company in the future.

I thank you for all your support. And this is especially required considering that Tata Power crossed the market cap of ₹1 lakh crore a few days back and continues to improve its performance going forward. I believe that all our existing operations will continue to do well in future, and we look forward for your continued support.

I will now ask Darwin to open the floor for question-and-answer.

Moderator: We will now begin the question-and-answer session. The first question is from the line of Sumit

Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My first question is, over the past one year, Tata Power has commissioned about 353 MW of RE capacity. What is the expected phase out of commissioning of close to 4.75 GW renewable project pipeline here on, how much is expected in FY'25 FY'26 would be?

Management: As you rightly said, when we look at our YTD commissioning is 353 MW, normally we do a big commissioning towards year end. So, the last quarter is supposed to be a big quarter for us where we would expect another 250 to 300 MW of commissioning happening. But looking at our current bid, which is in the pipeline, while we're still working on our overall strategy, but looking at the date of commissioning, in '25, we could commission anything between 1.5 GW to maybe closer to 2 GW and in the subsequent years from the existing pipeline, another 2 GW plus will get commissioned. As you will have seen, the numbers as of now is smaller. That's because it was a strategic decision that we took many months back given the very high cells and module prices to defer some of the projects so that the cells and module prices could return to normalcy. Luckily, that strategy has worked, and as you are aware that the prices of cells and modules have come down and to that extent, we have back-end profits in many of these projects that we are executing now.

Sumit Kishore: So, a related question now with the cells and modules prices having collapsed and you are at the brink of commissioning your expanded cell and module capacity, would it make sense to use this output for utility scale projects in India at present without implementation of ALMM and what are the margins that you could expect to make on the manufacturing side in FY'25 as you ramp up your manufacturing capacity?

Dr. Praveer Sinha: So, as you are aware, the ALMM will kick in from 1st April. So, many of the projects where they were given the concession till 31st March, if they have not got completed, then they will have to only procure Indian make modules. So, that's where our benefit is there. The international prices have crashed. But I do expect that with this condition and also the new opportunity of 1 crore houses, which will have only domestic make modules, we will have a great opportunity.

In fact, there is now huge demand that

at we are seeing from various of the CPSUs and various of

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the other procurers who want to set a project in the next financial year that they would like to tie up on a long-term basis from us. So, we don't expect that we will have any challenge in supplying modules from our factory and our margins to that extent will be quite protective.

Sumit Kishore: So, would it be reasonable to expect margins closer to 15% in manufacturing of cell plus module or is it early to talk about that?

Dr. Praveer Sinha: Well, I would always expect more than that.

Sumit Kishore: Finally, a question on the line that we see on your cluster wise summary, has there been significant improvement in Tata Projects in Q3 on a year-on-year basis or even quarter-on-quarter, which is driving some improvement in this quarter?

Dr. Praveer Sinha: Tata Projects has made profit in the last quarter, and this is the second quarter in which they have made profits, so last two quarters they have made profits and Tata Projects will surprise you going forward because all the projects where they had to make provision for the under-recovery or losses has been completed, and hereafter, it is only that will happen in Tata Projects.

Sumit Kishore: Has it been a significant increase in profit from Tata Projects in this quarter, if you could give us the absolute numbers ... maybe, Sanjeev?

Sanjeev Churiwala: I think the way to look at it there is a significant reduction in the losses. So, if I look at the nine months operations, what I had as the losses last year versus the profit I have, the difference is almost close to Rs.220 crores. To that extent Tata Projects have come a long way. In the last two quarters, we are starting to see the profits coming in and this is a kind of current working that is happening there, I think it's on a transformational path.

Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: My question is with respect to the future commissioning for Tata Power Renewables. Since ALMM will come in place, what kind of module price do you expect post 31st March 2024? I'm sure you would have tied up for those already. If you can give some color on the module prices there?

Dr. Praveer Sinha: I can't do prediction of the module prices What will happen. But I can only tell you that there will be huge demand for domestic make modules after the ALMM is fixed from 1st April. So, I think the commissioning of the plant has happened at the right time and we will have a huge upside because of the market demand that will take place.

Dr. Praveer Sinha: From Tata Power Renewables perspective, the consumer of these modules, where you intend to commission 1.5 to 2 gigawatts has something being tied up for FY'25?

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Sanjeev Churiwala: The other way to look at it is, when we look at our large scale utility business, we already have 4.8 GW of project under pipeline. And this pipeline consists of all the various bids that we have won. So, when we look at, since the module prices considered in the bid versus our cost, we will definitely have margins over there. So, we're not immediately concerned as to how the market will behave. The past couple of things will have to be kind of taken into consideration in the BCD of the cells and the modules will continue. To that extent, the price parity will continue to happen in spite of the Chinese cells and modules prices dropping. As you're aware, most of the cells and manufacturing facility have been put on the backing of the PLI and the state incentives, right? So, that will also count when we're looking at our returns. So, I think we're in a very good position that we have commissioned a part of our modules, we already have a healthy pipeline of projects coming in, we have

the protection of the BCDs there, as well as the incentive put in together. So, I think at least we don't see a concern going forward, but you never know what happens after one year, two years, but definitely, our pipeline is quite healthy as of now.

Puneet Gulati: If you comment on what is the progress in pump storage, have you placed orders for equipment, etc.,?

Sanjeev Churiwala: The pump storage as we had announced on 28th November, we are completing the feasibility and getting into the progress. Any pump storage to take easily four to five years to get commissioned and hence at the moment we're trying to tie up with the various things. At the right time when we have the proper approvals from the board, we will be coming back to you with more details.

Puneet Gulati: Lastly, on transmission projects also, you've once again started an initiative towards bidding for that. How is the competitive intensity there, if you can give some color and what kind of IRRs are you aiming for there?

Sanjeev Churiwala: I think the way we look at the transmission business, 50% of the bids on the market presently is still with PGCIL and then the overall private sector market share is close to about 10%. We have essentially won two bids and I think we continue to work on further bids coming in, because as and when you develop a portfolio of bids, you're in a position to kind of dictate better pricing in the marketplace from your vendors and suppliers. And of course, we want to ensure that we are getting good competitive returns on this bids and without that we're not bidding.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: My first question is with regard to the captive solar module manufacturing. Given that you're setting up let's say roughly about 2 gigawatts of capacity every year, is it right to assume that you would be looking at roughly 50% of module sales for your captive usage and the balance 50% would go to the external market, be it rooftops or otherwise?

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Dr. Praveer Sinha: When we are talking about 2 GW of our own utility scale, we also would be doing third-party EPC and there would be some quantity that would go. Similarly, we are already doing something like 300 plus MW of rooftop which we expect to increase to 500 MW. I also mentioned to you now that the big opportunity has come from the 1 crore houses to be provided with rooftop solar. So, I think we have a huge opportunity, both to supply within the country, as also maybe supply some quantity outside the country. So, we will have to see what sort of market opportunities are there and what sort of prices and returns we are seeing and then we will take a call based on the market requirement.

Subhadip Mitra: Secondly, on the transmission side, given that there is such a large opportunity opening up over there, is there any target you have in mind as to an X percentage market share or X quantum of projects that you would like to keep on winning every year and ramping?

Dr. Praveer Sinha: We don't look at investments on those principle of market, but we are more interested in what sort of returns we can get from these projects. So, we don't want to just for the sake of market share or just for winning projects, take any project for any margin. So, for us, if it is not meeting the threshold of returns, we would not take such projects. Opportunities are phenomenal, whether it is in transmission or renewable or it is in any of the other areas that we have seen, but for us the guiding principle will be what sort of return is there and what sort of risk and reward are there.

Subhadip Mitra: What is the ideal threshold for returns that you typically look at?

Dr. Praveer Sinha: Very difficult to say, but you have seen how we have been in a regulated business. Anything above that is the minimum

that we would expect.

Subhadip Mitra: I will refer to slide #41 of your presentation where you've given the nine months breakup of the income, EBITDA and PAT cluster wise. So, firstly, thank you very much. This is very helpful for us to understand it in detail. Secondly, just wanted to understand the last line over there which

is the other segment. That includes Tata Projects, NALCO and other eliminations. At least we are able to decipher is that out of the overall hit that has come from the coal front, maybe there's a 1,200 crore kind of hit that's coming over there, so while the renewables and the transmission pieces have all contributed maybe 300 crores and offset that hit, there is a large benefit that is coming from that others piece, almost about 1,000-odd crores and maybe 225 crores of that is Tata Projects as you mentioned. If you can throw some more light on this because that's a very large piece of business?

Management: We are in slide #41. Are you referring to the line which is others including -?

Subhadip Mitra: I'm referring to the 4th line from the bottom. Others including Tata Projects, NALCO and inter cluster elimination. So, the YTD FY24 number is -413 and the YTD FY'23 number is negative 1,426. That's a 1,000 crore gap over there.

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Management: Let me explain you. This is basically the dividends that we received from various associate and a joint venture company. So, to that extent this will also include the dividend from our coal mines, which we are not spelling out specifically out here. But what you can see is on a YTD basis, to that extent, it is lower by 1,000 crores and that has been fully mitigated from income from the core businesses which is coming from our renewable, T&D, transmission and our distribution businesses.

Subhadip Mitra: Probably, I'll take this offline with Rajesh.

Moderator: The next question is from the line of Sudhanshu Bansal from JM Financial. Please go ahead.

Sudhanshu Bansal: How do you see that trajectory of coal prices and power demand for next two to three years?

Secondly, any color on the Mundra PPA will be very helpful, sir?

Dr. Praveer Sinha: On this power demand, I think you have seen the last two years CAGR has been 10% and I do expect that this sort of demand will continue in the subsequent years also. As far as the Mundra is concerned, the plant is operating under Section -11 and this is applicable up to 30th of June. We

are in active discussion, but since the Section -11 is already in force, there has been a little bit of delay in finalizing, because this will eventually be applicable post the Section -11 period gets over. So, we do expect something on similar lines will get finalized much before the Section -11 period gets over.

Sudhanshu Bansal: And, sir, about the coal prices?

Dr. Praveer Sinha: Well, the coal prices is very difficult to say. I don't think there is anyone who can predict what the coal prices will be there, but what we have seen in the last six months is that the coal prices have stabilized, and it is expected to be in the same range, provided there are no other geopolitical changes that takes place.

Moderator: The next question is from the line of Apoorva Bahadur from Goldman Sachs. Please go ahead.

Apoorva Bahadur: Sir, wanted to understand this dividend. I think Rs.416 crores we have recognized. Is it one-time and what sort of cost this payment?

Sanjeev Churiwala: If you see, this is the turnaround story of one of our associate companies joint venture in Zambia, where we have hydro plant which has been underperforming for many, many years and there were tariff disputes which has now been settled. And because the tariff could have been settled, the company is now making profits and has decided to declare a dividend of \$100 million and we have received \$50 million in this particular quarter. But

that profit, which is reflected on PAT

as Rs.311 crores is less than offset by the one-time gain that we had because of Section -11 in the same quarter last year. So, net-net is about Rs.30-odd crores. So, it's not really impacting the extent the bottom line.

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Apoorva Bahadur: No, no, I wanted to understand that, will this be a recurring feature of Rs.416 crores benefit?

What's the annual PAT typically now that we have received?

Sanjeev Churiwala: So, let's put it that way that given that this is an accumulation of the profit which they are now distributing, of course, we have received a bigger number, but this company is capable of declaring a yearly dividend or maybe \$25, \$30 million going forward. So, yes, we would think that there will be some recurring income coming through every year, but this company has just revised, right? So, we're kind of at the moment and see how the performance shapes up to be able to give you a very confident answer. Maybe four quarters down the line we will have better comfort. But the good part is this company where we were not kind of looking at any cash flow coming through, have been revised and at least we are receiving a \$50 million to that extent, of course, the company's return profile improves.

Apoorva Bahadur: Second question is on the pump hydro projects. Wanted to check at what stage are we in terms

of CEA approval? Has the TPREL been concurred and all the approvals in place?

Management: All the documents have been submitted, whether it is for TPREL or for environment clearance and all, and these are going through various motions of approvals in the various departments.

So, we do expect that by the 1st Quarter of next financial year, we will have major approval and hopefully in the later part of this year, maybe by third quarter of the next financial year, we will be in a position to start work.

Apoorva Bahadur: By around mid of CY'25, we expect to start work and then it will take another 4-5 years. So, I believe I saw in the PPT something '27, '28 is what we are guiding for the commencement.

Dr. Praveer Sinha: We are trying to stick to some sort of similar timeline.

Apoorva Bahadur: So, are we beginning work before we are getting all the approvals civil work and all?

Dr. Praveer Sinha: No. We will start work only after we get all the approval and that's why I'm saying that maybe in the third quarter of FY'25, we will possibly start work.

Apoorva Bahadur: For these pump storage projects, how much of capacity tied up for group captives with the Tata group, any color on that?

Dr. Praveer Sinha: Those are still being discussed and we will figure it out.

Apoorva Bahadur: Last question is on this module manufacturing. If you could share the cost structure, what are final cost for these modules or how much closer are we to the Chinese prices without the duties and with the duties as well?

Dr. Praveer Sinha: As I mentioned to you, these modules are on a different putting altogether compared to what prices you see in other countries, because this is the DCR and any module that comes from

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outside, there is a custom duty and also they're not approved in the list of module manufacture.

So, this has to basically cater to the local requirement within the country and we need to do the pricing based on that.

Apoorva Bahadur: What would be our cost?

Dr. Praveer Sinha: Those details are being worked out and once we are ready with that possibly in next quarter we will be able to give you some idea.

Moderator: The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Just one question is on the pump storage. If you are close to starting construction in the next few quarters and let's say if you don't sign up the capacity before

you start construction, as you look

at financing, I understood previously banks were somewhat unwilling to lend to untied RE capacity is that for pump storage. If you do start construction before tying up, raising finance, is there any challenge on that front, just want to understand how do banks lend on these projects?

Dr. Praveer Sinha: So, what we are seeing is that there is a huge amount of bids which are coming up. In fact, the next few weeks and months we are expecting nearly six to seven GW of bids which are coming which are the TPREL bids. So, we are seeing huge demand. There is also huge demand from industrial and commercial users where they are looking at 24/7 power and this will be a packaged power of solar, wind and pump storage so as to give 24/7 availability of power. So, we do not expect that we will have any challenge in tying of this quantity of power.

Satyadeep Jain: So, just want to understand, you'll basically tie-up this entire 2.8 GW before you start construction, right?

Dr. Praveer Sinha: Not necessary. We will take a call on that. So, let's see how the market evolves. But yes, some quantity will definitely get tied up, but maybe not 100%.

Moderator: The next question is from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Firstly, on the TPREL side, when I look at the nine-month numbers, excluding other income, the EBITDA margins at about 77%, which clearly has been on a downward trajectory despite capacity additions that we have been doing. Just wanted to understand over the years what's the reason for the decline in EBITDA margins over here, and over the next three years as we commission capacity, how should we look at the EBITDA margin for TPREL?

Dr. Praveer Sinha: EBITDA margin is dependent on the project cost. As you have seen, now that the module prices have come down and large-scale projects will come in the last quarter as well as in the subsequent two quarters you will see a huge improvement in EBITDA.

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Aniket Mittal: So, for the coming, let's say two years, if we commission the remaining capacity, what sort of EBITDA margin should we look at for TPREL?

Dr. Praveer Sinha: I won't be able to give you guidance at this stage, but definitely it will be much better than what we were doing it one year ago.

Sanjeev Churiwala: If you look at this business and also the industry the EBITDA margin would be in the range of 75%, 80% given that this has a mix of both solar and wind. And this particular quarter normally

third quarter the wind is always low in terms of the generation. But yes, what we feel is once we go live with our cells and modules and with all the projects that are in the pipeline, this will keep on improving in the coming quarters. Deliberately as of YTD as I said in the earlier discussions that we only have commissioned 363 MW and of course to that extent the fixed cost absorption did not happen that much. But in the coming quarter, we will have further commissioning happening and bigger commissioning will happen in the first two quarters of the next year. So, you will see sequentially the improvements coming in.

Aniket Mittal: In terms of commissioning, I think you mentioned 1.5 to 2 GW for FY'25. How much would come in FY'26?

Sanjeev Churiwala: Given a current bid pipeline and the COD commissioning, definitely as of now, we would expect another 2 GW to come in, and if we're able to win something more in the coming quarters, this can go up to 3 GW. But yes, definitely 2 GW is for sure that we will be commissioning in '26 also.

Aniket Mittal: On a medium to long term basis, what's the optimal capital structure that you're looking for in terms of let's say the debt -to-equity or debt -to-EBITDA?

Sanjeev Churiwala: It's a very complicated answer because again, you have to think about whether you're looking at

a consol level, are you looking at the specific platform level, because at a platform level -

Aniket Mittal: At a consolidated level.

Sanjeev Churiwala: Yes, at a consol level, presently our debt-to-equity is about one -time, right, and with all our planning, we don't think that will go anything beyond 1.5 to 2 times in the near future, right. But at the entity levels where we plan the bid, the issues will be different. But finally, what we do intend to ensure is that with all our non-core, that we will keep on selling from time -to-time equity raise if at all that has to happen, we keep debt -to-equity definitely below two.

Aniket Mittal: Lastly, in the 4.8 GW of under -construction projects, what are the wind capacities?

Sanjeev Churiwala: If you can go to Slide #9, you will have the breakup of that.

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Aniket Mittal: This slide actually includes hybrid as well, right, which should also have a wind component in it?

Sanjeev Churiwala: Yes.

Aniket Mittal: So, if I were to take the wind component in the hybrid as well, I just want to understand how many capacity of wind that you have under construction right now including the component in hybrid?

Dr. Praveer Sinha: We will give you that.

Sanjeev Churiwala: But I think it's better to look at when we're bidding for solar separately and for wind separately. But when we win bid for the hybrid and also for the RTC, it's a various combination that we need to do for solar, wind and battery, right. So, we will have to look at it in that sense as a combined sense because the installed capacity and the TPA capacity will also differ. So, my urge to all of you would be not to break -up that, otherwise it will become more and more complicated.

Aniket Mittal: Probably, look to get that offline.

Moderator: The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Sir, first question relates to your standalone business. So, the decline in profitability, is it purely because of lower dividend income or there's some other factor as well because our sense was Mundra under recovery would have gone significantly due to Sec .11. But in spite of that, the profit is down to nearly one -third.

Sanjeev Churiwala: Basically, the profits that we get from our coal mines have significantly come down and that is what is contributing to a lower standalone. But for us it is always looking at the consolidated picture.

Anuj Upadhyay: Your margins across the EPC continue to remain quite volatile. This quarter we are back to close to 5% kind of a margin. Last quarter probably you have given a guidance at a low margin order book the execution has been completed. So, now we would be executing projects where margins are relatively closer to double digit or somewhere in the range of 7% to 9%. So, any comment on that sir?

Sanjeev Churiwala: Are you talking about the EPC margin?

Anuj Upadhyay: Yes, EPC.

Sanjeev Churiwala: In the EPC, our targeted margin is close to 5%, but as you are right, the market has been very volatile, especially because of the commodity prices, FX, cells, modules, it is now stabilizing and we think with the current bidded pipeline, we can still target that 5% kind of EPC margins.

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Anuj Upadhyay: So, this applies even to our current order book. Over there as well we are targeting close to 5%,

6% kind of an EPC margin.

Sanjeev Churiwala: We're talking about PA T margin of 5% on the EPC business, that's correct. But of course, that is what we're targeting in. It could be a little higher or lower depending upon how things move.

But when we do a particular bidding, we kind of target EPC margin of 5%.

Anuj Upadhyay: Any possibility where Mundra can participate in the open market? Currently, whatever selling has been hap

pening, I believe is unde r Section -11. But is there any possibility where we can participate in the merchant market provided we are venturing into a scenario where the Company is going to participating ?

Dr. Praveer Sinha: I think Mundra today is operating at full capacity and all the procurers are taking it because it's a very efficient plant. And if they don't buy it from Mundra, then they will have to buy from the market at a much higher price. So, none of the procurers need to leave the opportunity to schedule power from this pl ant. So, I don't think the procurers will have an opportunity to sell outside. But in case they don't take power , then of course, we have the freedom to sell in the open market.

Anuj Upadhyay: Lastly, can you just mention the offtake price from Mundra, lik e what is the generation cost and what price they're selling to consumer?

Dr. Praveer Sinha: It's there in the in the schedule. The Gujarat SLDC releases on a daily basis, the merit order. I can check and let you know.

Sanjeev Churiwala: Also, I think it's basically a cost-plus markup for us. So, to the extent what matters to us this is a pecking order, so that all the procurers can take our power. Beyond that I think the cost doesn't matter because it's still under Section -11 for us.

Anuj Upadhyay: Just wanted to get a sense, if at all we get an opportunity in the open market and that could be our cost and the spread on the machinery?

Sanjeev Churiwala: It's available. We can provide you separately, but it will not actually serve a purpose because it's all cost -plus markup. So, depending upon the coal prices and other things, it will just move up and down. So, it's kind of an arithmetical formula.

Moderator: The next question is from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet G ulati: My question is on your EV charging business. Are you aware whether Tata Motors is also engaging into the EV charging business and how does that fit into the collaboration with Tata Motors?

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Dr. Praveer Sinha: I've not heard about that. We cater to fu ll Tata Motors requirement whether it is for the four wheelers or it is for buses. I don't know of any other opportunity that Tata Motors is working on EV charging. All their present requirement whether it is for home charging, public charging, bus charging, free charging is being done.

Puneet Gulati: And secondly, if you can comment a bit on the profitability even on a YoY basis was a little weak for the renewables business despite adding significant capacity. How should we think of it, is it a function of part utilization, higher depreciation?

Dr. Praveer Sinha: So, what happens, as Sanjeev mentioned that it's very difficult to do on a quarter -to-quarter basis because there are certain periods in a year in a certain quarter when you have better radiation, and you have better solar generation. Similarly, there are certain periods during which you have better wind speeds and better wind generation. So, I think you need to do it on a 12-month basis rather than just trying to do it on a quarter -to-quarter basis .

Puneet Gulati: So, what was weaker this time on the wind part?

Dr. Praveer Sinha: Beg your pardon, sir.

Puneet Gulati: So, if you can comment on what was weaker this time in terms of solar or wind, where was the PLF lower?

Dr. Praveer Sinha: See, what happens is for us, what is important metrics is the availability of the plant and all the availability, whether it is solar or wind, are very, very high, it is benchmarked in the country. So, our abilities of the solar plant is virtually 100% and wind is also in (+98%). Secondly, we have shared what is the PLF for the solar and it's in slide 49 you can see.

Puneet Gulati: This other income part of 45 crores versus 106 crores, I thought that was generally operational income, but what e

xactly is that if you can throw some light there?

Sanjeev Churiwala: It will be a combination of some operating income, scrap, some interest income on investments, combination of that. But if you really see for the quarter, the number is quite small, 45-odd crores

Puneet Gulati: Correct, versus the 106 crores previous quarter.

Sanjeev Churiwala: Yes.

Moderator: The next question is from the line of Mithil Bhuvra from unlistedindia.com. Please go ahead.

Mithil Bhuvra: Coming to Slide #40, if I see Mundra Coal on shippi ng, the profits are down from Rs.924 crores to Rs.89 crores. Now, just to understand that because of the lower coal prices, the profits are

down, right?
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Sanjeev Churiwala: Yes, that's correct.

Mithil Bhuvra: And so Mundra is just a cost pass -through, which means that we are not benefited by the lower coal prices?

Sanjeev Churiwala: In a way, whatever coal we are procuring that cost plus the markups, that is pass -through. Drop in coal prices to that extent doesn't benefit, it's kind of more on a rolling basis . On an annualized basis you're right. But then what matters to us is the contribution that comes from coal mines, which is a PA T contribution, that has significantly dropped. As a result, you see overall lower profits from generation in coal and hydro.

Mithil Bhuvra: I was asking this because we have invested more than Rs.25,000 crores in the Mundra and coal business, and if the profits are to remain at this level, then we won't generate sufficient cash profits to repay our debt, right, that's the concern actually?

Dr. Praveer Sinha: See, you need to look at it from a loss -making today we're at. So, to that extent, I think we need to look at it in totality rather than just looking at it in terms of what sort of returns.

Mithil Bhuvra: But in the future, can we expect good profits from standalone Mundra also or the cost pass -through will be very minimal only?

Dr. Praveer Sinha: Like in today's scenario, when we have Section -11, it's cost -neutral. So, whatever the actual cost of generation is getting paid to you. In future based on what sort of CEA we enter with them; we will have to see what sort of returns is able to do.

Sanjeev Churiwala: To your question, if I add, there are two approaches; a) when you look at the PA T contribution coming from the coal mines, that is perfect. But on top of that, you also get the dividends, right, which on a consol basis gets netted off. But when I look at the cash flow, a significant cash flow comes from the dividend perspective.

Mithil Bhuvra: My second question is like the management has guided that the revenue will double in the next three years to around 1 lakh crores. Can you just give a brief on like where the revenue is going to rise actually, because in the last three years the revenue has risen only in the Odisha discoms mainly. So, can you just give a brief of where the revenue is going to rise in the next three years?

Dr. Praveer Sinha: I think the presentation that we have made in the analyst meet, if you see that, it will give you a very good idea that where we are putting the CAPEX and where both will come. So, I think it is a direct correlation to that.

Sanjeev Churiwala: I think part of the question we try to answer in our renewable pipeline itself. We're talking about 2 GW of commissioning happening in next year and 2 GW happening at '26. So, currently we are at 4 GW and then the 4 GW itself we are talking about 9 GW in the next three years ' time, right? So, I think to that extent that will contribute a big profit. Plus, I think the new

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manufacturing also we spoke about, the commissioning of the cells and modules, that will also start contributing towards profit. The opportunity in rooftop solar is big for us. We will also look

at that. So, I think it is a well thought-through strategy in terms of looking at where we want to reach in our aspiration three years down the line and we're tracking on that.

Moderator: Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you to everyone for joining in the call. And in case you have any further queries, you can contact our Investor Relations team and we will be more than happy to share with you. The presentation has been made quite detailed, but if there is any further improvement that you would like in this presentation or any more details, please connect with us and I'm sure with your support we have been able to get a market cap of more than 1 lakh crores and we are now looking for next milestones, and I'm sure you will support us in this direction. Thank you, everyone and take care and good night.

Moderator: On behalf of the Tata Power Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2024

May 13, 2024

BSE Limited

Corporate Relationship Department 1

1st Floor, New Trading Ring

Rotunda Bldg., P. J. Towers Dalal Street, Fort Mumbai – 400 001. Scrip Code: 500400 National Stock Exchange of India

Limited Exchange Plaza, 5

th Floor

Plot No. C/1, G Block

Bandra-Kurla Complex

Bandra (East) Mumbai – 400 051. Symbol : TATAPOWER

Dear Sir/Ma

dam,

Earnings Call Transcripts

Purs

uant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and

Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the

Company's Analyst Call held on May 8, 2024, on the Audited Financial Results (Consolidated and

Standalone) of the Company for the quarter and financial year ended March 31, 2024 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

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[tps://www.tatapower.com/investor-relations/inv-info-archive.aspx](https://www.tatapower.com/investor-relations/inv-info-archive.aspx)

You ar

e requested to take the same on record.

Yours Sincerely,

For The Tata Power Company Limited

Vispi S. Patel

Company Secretary

FCS 7021

Encl: As above

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Annual FY 24 Analyst Conference Call "

May 8, 2024

MANAGEMENT: DR. PRAVEER SINHA – MANAGING DIRECTOR & CEO,

THE TATA POWER COMPANY LIMITED

MR. SANJEEV CHURIWALA – CHIEF FINANCIAL

OFFICER , THE TATA POWER COMPANY LIMITED

MR. J.V. PATIL – FINANCIAL CONTROLLER , THE

TATA POWER COMPANY LIMITED

MR. KASTURI SOUNDARARAJAN - CHIEF TREASURY

AND INVESTOR RELATIONS , THE TATA POWER

COMPANY LIMITED

MR. RAJESH LACHHANI – INVESTOR RELATIONS

TEAM, THE TATA POWER COMPANY LIMITED

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Moderator : Ladies and gentlemen, good day, and welcome to Q4 FY '24 Earnings Conference Call for Tata Power.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*"an d then "0" on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – MD and CEO, Tata Power. Thank you, and over to you, Dr. Sinha.

Dr. Praveer Sinha : Good afternoon to everyone, and thank you,, for the introduction. We have with me my colleagues, Sanjeev Churiwala, CFO, Mr. J.V. Patil – Financial Controller; Mr. Kasturi and Mr. Rajesh from the Investor Relations and some of my colleagues from Corporate Communications and Finance team.

Before I share with you some of the salient features, let me just briefly cover about the power demand in the country :

Last year, like the previous year, the demand of power grew by nearly 8%, both in terms of the peak demand as well as in terms of energy. But what we have seen in the last 2 months, month of March and April, even before this summer has really started, there has been an increase of

nearly 10.5% in terms of energy and peak also reached a level of 224 -gigawatt on 29th of April. And this on a corresponding basis last year was 208. So, there is a huge increase in demand. The expectation is that we will have a peak of 260 -gigawatt, and there is lot of work that needs to be done to ensure that this peak demand is met as also the energy requirement is also met.

We have, from our side in Tata Power, taken all steps to ensure that all our plants operate at full capacity, all our coal -based plants, whether it is domestic coal -based, have full availability of coal, as also our imported coal -based plants at Mundra and in Trombay have full availability of coal, and we will be producing at 100% of ability all these plants.

Similarly, all our thermal plants are operating at full capacity, and we do expect that in the coming months, these will be able to generate enough quantity of power for the requirement of the consumers. We have tied up in our distribution business also, the total quantity of coal. And we do expect that the power that is required for all the distribution companies will be adequate to meet. In fact, we have seen in the month of April, we have nearly 25% growth in demand in many of the places in Odisha, including Bhubaneswar, and we have been able to successfully cater to that. And, in fact, some of the places in Odisha, we have seen that this is the second consecutive year of growth of demand by nearly 20%, 25%. So, I think we are well poised to meet the demand, though it is growing at a very, very fast pace.

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On Tata Power :

We have shared with you both the Q4 results as well as the annual FY '24 results, and the details are already there. The presentation has also been uploaded, and I am sure you would have got time to go through that. I am not going to repeat the numbers, but I will just take you through some of the important aspects of our business. Our coal -based and hydro plants, our generation businesses have done exceedingly well in the last quarter. They have performed at full capacity , and that is why it gets reflected in the higher revenue as well as higher EBITDA and PAT for all these businesses.

Similarly, in transmission and distribution :

We have seen our transmission businesses have also done exceedingly well. Our distribution business in Odisha, Delhi and Mumbai and Ajmer have also performed exceedingly well. There were a lot of challenges. In Odisha, we have been able to overcome most of them. And going forward, you would

see a substantial improvement in the financials of Odisha because we have been able to clean up a lot of issues, which were there about the earlier billing and their collection. And what you would see now is a huge improvement of the performance of Odisha DISCOMs. In fact, within a short span of 3 years, all the 4 DISCOMs have started making profit. And this is much better than what was initially planned when we had bid for these projects.

Coming to our Renewable business :

I think we have done exceedingly well in this year, many of the projects, which we could not do it in FY '22 and '23, whether they were third -party or our own utility scale, we have been able to implement. We have a huge backlog of projects, both third -party and utility scale, which we will be implementing in the next 24 to 36 months. A lot of it is planned in FY '25. We expect nearly 4-gigawatt of projects that will get implemented in FY '25, out of which nearly 2.5 will be third -party and 1.5 will be our own utility scale. And then, we will be doing the balance of 5-gigawatt balance in FY '26. So, a lot of capacity addition will happen.

We have also been able to commission our manufacturing facility in Tirunelveli. Our 4 -gigawatt module plant is commissioned, and it's fully operational. And our cell plant of 4 -gigawatt will start getting commissioned from next month. And over 3 months, it will stabilize and reach the peak capacity of 4 -gigawatt over there. So, we will start then producing 100% domestically manufactured cell and module, which is a requirement for many of the bids including the rooftop program of the government.

We have also done exceedingly well in our rooftop business in the last quarter, and the performance has shown not only very good margins, but also very good quality of service that has been provided to the customers. And we continue to have a leadership position in rooftop.

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And with the PM Surya Ghar Yojana program, we expect that we will play a very, very active role going forward in the market to create the rooftop solar for the consumers under the government scheme. So, we are expecting that our renewable business will really start showing great results in FY '25 onwards.

Similarly, in our EV business, we have nearly 86,000 home chargers, and we are #1 in the market with more than 5,500 public chargers and nearly 900 of bus chargers. And our emphasis has

been that the EV chargers, bus chargers, home chargers and the public chargers will support the e-mobility initiatives of the government and many of the OEMs with whom we have tied up.

Coming to our some of the other initiatives :

We are the only power company in the country, which has taken the science -based target initiative. And we have a very, very robust plan to implement it over a period of time. Similarly, we have taken a lot of initiatives in our other operations, including HR where we have been awarded a number of recognitions, we have got in terms of the best employer. Our credit rating also has improved in the last quarter, and it is today AA+.

So, I think what you would see is that all in all, the performance of the company has improved drastically. We do expect that this will continue. We also expect that the Section 11, which was up to 30th June has now been extended up to 15th of October. And with the type of demand of power in the country, we expect that we will be able to continue generating from Mundra plant. And since in merit order, it's still very, very attractive, it will continue to schedule power to the beneficiaries under the sale.

So, we are very confident that whatever we have done this year, and, in this quarter, we will continue to work on that. A very strong foundation has been made in the company. This is the 18th consecutive quarter in which we have shown a growth in profit. And the strong foundation and th

e fundamentals of the company will ensure that our performance in the future also continues to have similar trend. And we look forward to your continued support in this direction.

I would now request Nirav if any questions are there, you can ask.

Moderator : Thank you very much. We will now begin the question and answer session. The first question is from the line of Puneet from HSBC. Please go ahead.

Puneet Gulati: My first question is with respect to the Tata Power Solar company. Rooftop seems to be a big opportunity. Do you have a target revenue from that for the same? And the second part of the same business is, how should one think about margins from TPSSL?

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Dr. Praveer Sinha : So, let me try to respond to this. One is that based on the scheme that the government has announced, the main benefit is to consumers who use 1, 2 or 3 kilowatts of rooftop solar. The trend that we have seen based on the people who have registered, the first 1 crore household, more of it is 3 and 2 -kilowatt. So, what we can expect is the average of about 2.5. So, it means about 25 to 30 -gigawatt of rooftop has to be implemented in the next 3 to 4 years.

And considering that we already have a market share of nearly 20%, we are looking at something near to that. Mind you that we already have more than 2 -gigawatt of rooftop solar already installed in the country, so we have the largest penetration with 20% market share. And the #2 in this is someone with a 2% market share. So, we have a huge gap between us and the next one of players in that range. And we expect that we will maintain our leadership.

Puneet Gulati : But do you expect any constraint in terms of DCR availability of modules there? Or you think you'll largely do based on your own capacity?

Dr. Praveer Sinha : So, we are setting up this plant only for meeting the DCR obligations for the home purpose that we will be able to use it for our own utility scale group captive as well as for rooftop opportunity if that comes out.

Sanjeev Churiwala : Puneet, Sanjeev Churiwala here, just kind of wanted to tell you and all the analysts on the call that every quarter, including this quarter, we upload a very comprehensive financial analysis deck. This time, the upload is about 66 slides that you will find all the segmentation, dissection, range to help you do a much better analysis. We just want to thank that the quality of the analysis that is happening of late has significantly improved, which gives the reader of those reports, including all our investors, a good confidence on where the company is performing. To your question on how is the solar rooftop EPC and other EPCs are doing, you can look at the Slides #35, #58. And there are a lot of slides, which gives you a complete insight into that.

Puneet Gulati: Correct. It talks about roughly 8% margin. Is that the margin that we should be running with?

Sanjeev Churiwala : So, if you look at the EBITDA margin, yes, it's about 7.6%. For the full year, it's about 6%. Our endeavor is on the PAT margin that we work on a 4% to 5% PAT margin. That is what we have always been telling. This quarter, we had landed up with 4.3%. And all of you are aware that the market was quite choppy at the beginning of the year. But with our own module, cell manufacturing now going live and the cell and the module prices coming in, we are confident that we'll be delivering the margin expectations that we have. So, both our EPC business as well as the solar EPC overall is doing phenomenally well. As you can see, over the last 5 years, it had a CAGR of 17%, you can expect perhaps a better growth coming in.

Puneet Gulati : Okay. And in terms of just disclosures, can you also talk a bit about your Coal Infra business and Tata Projects, what kind of profits are they contributing?

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ev Chu riwala : So, Tata Projects is quite a turnaround this year. In fact, when we look at the Quarter 4 numbers itself, the profit for this quarter is about Rs. 37 crores , and it was a significant loss -making company until last year. This year, for the full year, the company has now completely turned around with a very solid order book position that the company is making profits. So, hopefully, with the order book that we have, we are sure that Tata Projects will be delivering better results going forward as well.

Puneet Gulati : And also, can you talk about how much more money should we expect to come from the ITPC dividend and also Arutmin?

Sanjeev Churiwala : Sorry.

Puneet Gulati : Sir, how much more money should we expect to come from ITPC dividend, which came in this quarter as well along with Q3? And also how much balance remains from Arutmin that can still come to us?

Sanjeev Churiwala : So, Arutmin, we have already sold, and that disclosure is already made in the notes of accounts. The sale was signed up a few years back, and we were expecting the sales proceeds to come. So, that has come last year and this year. And accordingly, in Quarter 4 , that investment in the books is now transferred. So, we don't have anything coming from Arutmin.

Puneet Gulati : Nothing coming from Arutmin. Okay.

Sanjeev Churiwala : Yes. When we look at ITPC, ITPC is a good turnaround story for us. We had last year entered into a settlement agreement with ITPC, which was duly acknowledged by the regulatory bodies over there. As a result of which we have received \$90 million of dividend this year in cash. We also expect around \$40 million to \$60 million of dividend next year as well. Besides the company is making about \$30 million of profit now every year. So, hopefully, we would expect \$10 million to \$15 million of dividend on an ongoing basis.

Puneet Gulati : So, \$10 million ongoing and \$60 million for next year.

Sanjeev Churiwala : Yes. So, \$40 million to \$60 million is what we're targeting. That will include the entire dividend for next year.

Puneet Gulati : Okay. So, including the \$10 million.

Sanjeev Churiwala : Yes. \$10 million is going forward as a run rate.

Puneet Gulati : And lastly, if you can also share if there are any remaining tax benefits from the merger of CGPL? What is the quantum of that?

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Sanjeev Churiwala : Sorry. Could you repeat that?

Puneet Gulati : What is the quantum of tax benefit that is remaining from the merger of CGPL?

Sanjeev Churiwala : You're talking about the carry -forward losses and business losses?

Puneet Gulati : Yes.

Sanjeev Churiwala : It's of significant amount. And of course, given our profitability is improving every year and we have business profits also, business income also, that is resulting in inflation of this carry -forward losses and as business. But of course, this is a tax position. So, if you want, we can send you the breakup separately.

Puneet Gulati : Sir, just the unabsorbed number remaining , if it is available ?

Sanjeev Churiwala : Yes. It's schedule processing.

Moderator : Next question is from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar : So, my first question is on the utility scale or renewables. Sir, last year, I think there was a huge bidding which happened in the industry. But I think we didn't participate in most of them. How to think about the way forward for FY '25 and FY '26?

Dr. Praveer Sinha : See, last year, there were nearly 50 -gigawatt of bids, which were supposed to come. Of course, all of them could not come. We expect this year also that the government has plans to make 50 -gigawatt of bids. So, there are a large number of bids coming. We ourselves won a large quantity of business, especially the ones which are the bids, which are hybrid bids or the fixed duration renewable energy that i

s FDRE -based. So, we do expect that this year also, many of those type of bids will come, hybrid as well as the ones with solar, wind, BESS solely. And we will actively participate in all of them. We, of course, expect that since these are little complex things, there would not be too many players who have the capability to execute projects like this, and thereby, we will be in a much better position to bring better bids, as also win with much better margins.

Mohit Kumar : My question was about the load. Our participation was very selective last year. Was there any particular reason for us to not participate aggressively in the bids?

Dr. Praveer Sinha : We always have been selective. For us, it's about getting good margins. And we have earlier also expressed that it's not a question about participating and winning, but it's participating in right

bids, and winning them at good margins, and we will continue to have similar focus in the coming years.

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Sanjeev Churiwala : And if I could add, if you have a look at Slide #24, you'll get a trait in terms of how the reverse auctioning tariffs have moved significantly. And as such, we have actively participated in the bids. In fact, the bid position that we are into today, we already have a 5 gigawatt plus of project execution in the pipeline, which was never the case. And to that extent, we have a pretty healthy bid position also last year. Overall, we have won close to about 1.8 gigawatts, and largely that will be complex, which is a combination of hybrid as well as FDRE projects. So, I think we are in a much better position than we were a few years back. So, I do think that the comment that we are not active, which is correct, in the sense that, yes, we have not participated deliberately into pure solar or pure wind because we are chasing better returns.

Mohit Kumar : My second question is on the 4 -gigawatt solar module capacity, which should be up and running in the next couple of quarters. Do you still intend to use the entire capacity for captive? Or do you think there is a market outside your own requirement?

Sanjeev Churiwala : Yes, of course, there's a market outside as well. So, as and when we are ramping up, as of now, we have sufficient contracts ourselves to kind of deliver this module themselves. But yes, as and when we ramp up, we will also look at opportunity of selling outside.

Mohit Kumar : My last question on the rooftop solar scheme. Have you got any color on the implementation? Is it right to say that there'll be no bidding like solar pump because solar pump, I think, it was not to the desired way, right?

Dr. Praveer Sinha : So, you are asking about solar pump or rooftop solar?

Mohit Kumar : My question is on rooftop solar scheme. Is there any color on the implementation, how this will get implemented because the solar pump scheme, I think everything were not to the desired way, right?

Dr. Praveer Sinha : No, I think rooftop solar is more of a bilateral arrangement between you and the consumers. And there is a certain amount of subsidy that is provided by the state government or central government. Now, the new scheme, of course, there's a central government subsidy. And in some cases, the state governments are topping up with some subsidies from their side also. So, we will be executing that. There is a portal, which has been created, where people have to go and register. And then, we will execute through an arrangement whereby we will respond to the consumers and implement the project, and they will get the payment of subsidy directly from the government.

Sanjeev Churiwala : All of these are summarized in Slide #34. We've kind of decoded the entire scheme in a very simple fashion to understand for everyone. We're kind of very bullish about this scheme.

Moderator : Next question is from the line of Vijayakumar from Avendus Spark. Please

go ahead.

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Bharanidhar Vijayakumar : So, my first question is on the recent RBI regulations on project financing where they have asked lenders to provide more, which is likely to have some impact on cost of funding in the future.

Though it is in a draft stage, what is your sense on how this will impact us, if at all? That's my first question.

Sanjeev Churiwala : So, I think the scheme has just come out, the draft, and we have looked at the scheme very initially. A couple of very high -level observation that comes in is the requirement to make up provisioning during the project stage. And this could take up the financing cost a bit more. But that's more on a project financing basis. With smaller projects, we normally do. Our funding is largely on a corporate loan basis, which we take at the bank holding company level. So, I think we are kind of comfortable to that.

The second big requirement is about the company owning about 50% of the land before they could disburse. I would think that would bring a bit more of a discipline in terms of companies who won't go for bids without the land and land up into a problem. So, hopefully, that will bring a little more discipline in the way execution happens. But yes, we have been given 3 months. We're also trying to understand that better and make appropriate representations.

Dr. Praveer Sinha : This is still a document for discussion, so I think it is too premature to say anything what will eventually come out. So, let's wait and watch rather than trying to really judge based on what has been provided.

Bharanidhar Vijayakumar : My second question is on your Mundra coal and shipping cluster wise numbers disclosed in the PPT. So, for this quarter, we are seeing that the EBITDA and the PAT for this cluster is lower than the last quarter. So, can you give a color of how the Mundra separately is performing and how the coal is performing, what contributed to this sequential drop in profitability?

Sanjeev Churiwala : So, I think quarter -wise number is very, very difficult to decode because a lot of changes keeps on happening. But I think the best way is to look at on an annualized basis. On an annualized basis, the entire Mundra plant has run on Section 11 throughout the year, which is cost plus. And as we have mentioned earlier, we're trying to work on a cash breakeven point.

Bharanidhar Vijayakumar : And how about the sales and realization and, say, gross margins at the coal mining business side?

Dr. Praveer Sinha : Coal mining, if you see the last year, the coal prices, especially in FY '23, was very high. Of course, now the coal prices have stabilized. So, this is the trend that we have been seeing for the last 6 months , and it may remain in the same band for some more months. So, the huge increase in coal prices and the dividend payout, which we saw, that was possibly a one -off and may not happen in near future.

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Bharanidhar Vijayakumar : So, the cluster -wise PAT at the full-year level comes to around about Rs. 600 crores. So, would this be like a number that we can expect in the next year also?

Dr. Praveer Sinha : If you see for the year, it's there in I think in Slide 7. You can have a look in that and see that how this coal type of projection is expected.

Moderator : Next question is from the line of Satyadeep Jain from AMBIT Capital. Please go ahead.

Satyadeep Jain : Three questions. First was on the impairment you've taken on the renewable energy assets. Can you talk about what drove that impairment?

Sanjeev Churiwala : Yes. So, this impairment we have taken on the acquisitions that we did for one asset. And during the acquisition, we had paid a goodwill of about Rs. 1,600 crores. During that time, it was allocated over 22 different assets. Overall, when we do the impairment test there is

a surplus

available. So, that's not a concern. But in some of the assets, there's a need for unwinding of the goodwill, which is a noncash winding up, which is shown as an exceptional item. So, this year or this quarter, we have provided for about Rs. 100 -odd crores. And given that this is more unwinding and the goodwill at some point of time needs to be unwinded, we're kind of expecting Rs. 100 crores, Rs. 150 crores of unwinding happening every year, which is, again, a noncash charge and is reflected as an exceptional item.

Satyadeep Jain : Just on another staff paper on the power market pricing. You also have some exposure through Haldia and through Prayagraj in the merchant market. And also in the FDRE, also, you're oversizing the capacity. So, there is some excess generation. Any initial read? I know it's still early stage, it's still for discussion. Any early stage, maybe, thoughts on that? And when you look at renewable power excess generation, how do you have figured out the variable cost in that excess generation through FDRE?

Sanjeev Churiwala : No, I think FDRE is a combination of solar, wind, battery. You cannot decode a separate variable component as yet. And what we really look at during the bidding as to what is the appropriate cost and what kind of returns we need to generate. So, I think it's too early to talk about the variable cost on that. As you spoke about the merchant power, right?

Satyadeep Jain : Yes.

Sanjeev Churiwala : Yes. So, we have about 300 -megawatt of overall merchant power available from Haldia and from some of our other plants. And of course, the operations have been good this year.

Hopefully, depending upon the energy's demand -supply situation, we are positive that we should be able to continue to earn good money from our merchant sales.

Satyadeep Jain : The CERC staff paper, would this have any implication of that?

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Sanjeev Churiwala : CERC what?

Dr. Praveer Sinha : That is on the DSS.

Satyadeep Jain : It's in a way, capping the merchant power, if you read it correctly, the price that you offer for merchant power?

Dr. Praveer Sinha : See, the merchant power, already there is a cap. Earlier, it used to be, 2 years back, Rs. 20. Then it was reduced to Rs. 12, and now it is at Rs. 10. So, at this stage, there is no discussion on capping it, the merchant power. Because if you cap it, then no one will generate it where ECR is higher than the merchant power rate. So, I think these are general discussions that keeps on happening, but there is no plan as such to use the merchant power rate.

Satyadeep Jain : Just 1 quick question if I can squeeze on the pump storage. I know you're starting construction soon. Any thoughts or developments on contract signings for that?

Dr. Praveer Sinha : We are in the process of obtaining all the approvals. And also, we will start the process of bidding for the civil, electromechanical and balance of plant. We expect later part of this year to start the construction activity.

Moderator : Next question is from the line of Amit from H.G. Hawa & Company. Please go ahead.

Amit Agicha : My question was regarding the usage of CRR, capital redemption reserve, which can be taken to give bonus shares, which will help to save the interest expense. Anything would help?

Sanjeev Churiwala : What is your specific question?

Amit Agicha : My question is like, is the company planning to use the capital redemption reserve to issue bonus shares so that the debt can be redeemed, and the interest elements of the expense can be saved?

Sanjeev Churiwala : Well, it's a hypothetical discussion for us because we are not releasing any bonus share. So, we have not examined it. But if you're kind of wanting to understand the implications of that, we can work it out and discuss with you separately.

Moderator : Next question is from the line of Sumit

Kishore from Axis Capital Limited. Please go ahead.

Sumit Kishore : My first question is that in the last annual meet, you all had laid down a plan to double revenue, EBITDA and profit over FY '23 to '27 timeframe. FY '24 has ended with a 10% consolidated revenue and 12% reported profit growth. And in the renewable, EBITDA, profit growth was in single digits. So, I mean, at this stage, would you review the roadmap of FY '27 growth and basically sum it up for the 3 main business segments you are in?

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Dr. Praveer Sinha : So, when we had presented, we had said in 5 years' time we will be doing that. And we are on track, and so we will be doing that. All the capacity add that we mentioned, more than 5 -gigawatt of renewables. Our returns from the manufacturing plant are in project, the pumped hydro projects. So, all these will start generating revenue and the profit.

Similarly, our projects in transmission, where 2 of them are in very advanced stage of implementation and will get operational by end of this year, and another 2 by next year. So, I think all of them, whatever we have plans, we are very much on track to deliver what we had presented last year in the analyst meet.

Sumit Kishore : Sure. My second question is regarding DISCOM privatization over the next 1 year. Do you have any expectations of progress in privatization of DISCOMs? And what opportunities are on the anvil?

Dr. Praveer Sinha : Yes, we are expecting, based on our discussion, that large number of states are planning to go for something similar to Odisha. Many of them have gone and seen in Odisha, the type of changes and type of improvement and how it is a win-win for everyone, the consumer benefits by getting better service, better reliability, better customer experience. And the tariffs have not gone up because whatever loss reduction happened, the benefit went to the consumer.

The government has benefited as they don't have to incur any further financial losses in running.

And the DISCOM has benefited because it has been able to generate enough cash to provide better technology and services to the consumer. So, I think it has been a win-win for everyone.

And many of these states are now looking at replicating similar opportunity. And I do expect that post the election, many of the states will take up these initiatives.

Sumit Kishore : Is there any large state, which is looking....

Dr. Praveer Sinha : I am looking at all the states. So, apart from Odisha, there are 27 states. And apart from Delhi, there are 8 union territories. So, all of them are my potential candidates.

Sumit Kishore : And with the sharp dip in battery energy storage, stand-alone BESS bids, where do you see the load following feasible FDRE rate now? So, do you see this following and presenting a viable alternative to setting up greenfield thermal capacity in next 2 to 3 years?

Dr. Praveer Sinha : Well, as you know, we have seen the FDRE projects are going to be the new future. And the number of bids that are expected are very large, where you get a certainty of getting renewable power. There is huge pressure. It is not only about supply, but there is a huge pressure from the customer side also that they want to transition to clean energy, whether it is industry or commercial or even residential consumer. So, there is a strong awareness level, which has been

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created. And I do expect that going forward, more and more people will insist on getting green power, and it is not that we can supply any power to them, and they will take it.

Moderator : Next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra : So, just carrying on from I think Sumit's earlier question on your targets of doubling profits over the next 5 years, by FY '27. So, my question is that is there a

certain targeted amount of

renewables that you are looking to add, let's say, overall on an annual basis in order to reach that target because the assumption was that a larger quantum of your FY '27 profits would now come from the green energy piece.

Dr. Praveer Sinha : So, let me tell you that in FY '20 -'21, we had a revenue of nearly Rs. 28,000 crores, Rs. 29,000 crores. This year, we have crossed Rs. 60,000 crores. We used to have a PAT of nearly Rs. 1,200 crores, Rs. 1,300 crores. We increased it to Rs. 2,200 crores. And this year, we are Rs. 4,000 - plus crores. So, we had, at that time, said that we will do it 4 times. Not many people believed us. We have in 3 years doubled it, more than doubled. And whatever we have said last year we have said with full conviction that we will deliver it. So, please take it on what we have said. We have a track record of demonstrating and we will demonstrate it.

Subhadip Mitra : And with regard to the dividend, let's say, the prior year's related dividend that we have received from ITPC. If we adjust for that number, what would have been the growth in the profits for the current year?

Sanjeev Churiwala : I think we will not be able to adjust for it for a simple reason because we also had another dividend last year. If you look at on a like-for-like basis, we had a higher dividend last year, right? To that extent, like-for-like basis, it will only go up.

Subhadip Mitra : Sir, if I understand it correctly, last year, the higher dividend would have come from the coal-related operations, whereas this year, it's come from this ambient entity. Am I right in understanding that?

Dr. Praveer Sinha : Yes, partly, not to the full extent. And as mentioned earlier by Sanjeev is that this is part of the old payment that we are getting. There's still some balance that we are still due. And also, these companies are now making profits, so we will start getting dividend from those profits also. So, yes, these will be over and above our 3 main businesses that is generation, transmission and distribution and renewable. They will also supplement in terms of the profitability.

Subhadip Mitra : Understood. And sir, lastly, with regard to the regulatory assets, both at Delhi and in Mumbai, that number has been growing every year, do you foresee a scenario post-elections where there will be some relief on both these parts?

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Dr. Praveer Sinha : So, Delhi, the regulatory assets have reduced by more than Rs. 800 crores. In Mumbai also, we expected because of the tariff increase that has been done in the month of March. In this financial year, we will reduce by another Rs. 1,200 crores to Rs. 1,300 crores. And Delhi, last year what has happened will continue in this year also. So, I think the trend of the reduction of regulatory asset has already started, and it will get amortized in the next 2, 3 years.

Moderator : Next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : My first question was on the net debt level. There seems to be some kind of working capital release in this quarter of Rs. 2,150 crores. What is this pertaining to?

Sanjeev Churiwala : So, I think, again, a quarter-wise number can be misleading. The way I would really explain is when I look at the complete full year, my average working capital is close to about Rs. 3,500 crores and significantly lower as compared to all the past years. A couple of reasons. As, I think a lot of financial discipline has gone in, in terms of how we are collecting receivables. We have a big presence with the retail customers in our DISCOMs, and there's a lot of efficiency built up, which has happened.

Also, with respect to support from the procurers, all the timely payments are also happening. So, all of this put together plus lot of supply chain and inventory management has led to

a significant

reduction in our working capital. And of course, as a result of that, if you see why we have done Rs. 12,000 crore CAPEX this year, almost an all-time high CAPEX for the full year, our debt levels are almost constant, and our debt equity is almost 1x. So, I think there is a very healthy and comfortable debt position and cash position.

Rajesh Majumdar : Yes, I was coming to that. So, basically, what would be our comfort level of debt for the current year and the CAPEX for FY '25?

Sanjeev Churiwala : Well, the CAPEX is something that we have already said that and some of you already alluded to that, that we are kind of spending more CAPEX in the current year as compared to what we had done in the past. We already have a renewable pipeline of 5.4 -megawatt, will be executed over 2 to 3 years' time. So, that would lead to a significant CAPEX of almost Rs. 15,000 crores to Rs. 20,000 crores every year. So, this is kind of maybe a little higher than what the CAPEX that we have mentioned during the investors call.

Rajesh Majumdar : And in targeting our debt equity at some kind of level, what will be the enhanced CAPEX then?

Sanjeev Churiwala : No, I think debt equity, while we are standing at 1.0 time, which is a very, very healthy situation, then ideally any debt equity of 1.5 is fine with us. But I think while debt equity is in our mind, most of that, I think, improving our cash flows every year so that we can self-fund a large part of the CAPEX is what we are working at.

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Rajesh Majumdar : And sir, my second question was on the wind assets. We've seen some kind of improvement in the new equipment in terms of CUF of the wind turbine generators. So, given that and the fact that the tenants have also gone up, will be aggressively getting into wind projects in the future?

Any direction on that?

Sanjeev Churiwala : So, for the FDRE and the RTC complex project that we do, it's all a combination of solar and wind, right? So, we cannot be in pure solar. It's always a combination of solar, wind and battery storages. So, yes, the answer is yes. It will always be combination of all this. And to that extent, whatever wind power needs to be deployed, we'll build those capabilities.

Rajesh Majumdar : And any IRR number on the revised tariff and capacity utilization on wind, solar, etc, any new IRR ranges that you can guide on versus what used to be 1 year ago?

Sanjeev Churiwala : The tariff is going up, and I think that there's a bit of a sanity in the market in terms of what returns we are targeting. But yes, every company depending upon their cost of capital, interest rate will have their own definition of what returns they want to target. We don't play on a low return kind of target. And for all the project wins that we have done so far, we are kind of looking at a good return on them.

Rajesh Majumdar : 15% plus, is that a right number to arrive at?

Dr. Praveer Sinha : I would say better than mid-teens because that's the type of return we get in our distribution and transmission business. So, yes, we definitely look at much better returns compared to others.

Moderator : Next question is from the line of Dhruv Muchhal from HDFC Asset Management. Please go ahead.

Dhruv Muchhal : Sir, the developer order book, the developer under construction renewable projects that we have is about 5.5 gigawatt, including hybrid, and you're guiding for about 1.5-gigawatt commissioning, I think, for FY '25. So, would it be fair to assume the remaining about 4 gigawatt would get commissioned in FY '26?

Sanjeev Churiwala : It will be a combination of 24 months, 36 months. So, yes, I suppose definitely, we're targeting 3.5 to 4 gigawatts by '26, and the remaining early 2026 probably. So, yes, 2.5 years is something that we can, as of now, assume. A quarter here and there, something that happens, but that's

the plan.

Dhruv Muchhal : And sir, when you give these hybrid numbers in the order book, I mean, in the under-construction portfolio, for the hybrid projects, I mean, does it include wind plus solar, and that capacity is the total capacity or it's just the AC capacity that we are quoting?

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Sanjeev Churiwala : So, the one that we quote is the installed capacity, right? And the installed capacity for an FDRE or a hybrid or an RTC is kind of 3x of the PPA capacities.

Dhruv Muchhal : Got it. So, this is the installed capacity number that we are giving. Perfect. That's helpful. And sir, secondly, would it be possible to give what is the EBITDA run rate for the current RE portfolio, I mean, the commissioned RE portfolio, which is about 4.5? On an annualized basis, assuming these projects were running throughout the year, what would be the EBITDA run rate?

Sanjeev Churiwala : We will give you much more than that, if you look at Slide #57.

Dhruv Muchhal : So, I was looking at that slide. So, for example, project got commissioned in fourth quarter, the EBITDA only for that quarter is considered. Next year, it will be the full EBITDA. I was just trying to understand what would be the run rate EBITDA or the commissioned capacity.

Sanjeev Churiwala : I think the way you have to look at it is look at the generation units, right? And this is a generation unit, you can calculate the first unit thing because, otherwise, to decode which date this particular capacity was commissioned becomes too complex a thing. And of course, for your modelling, if you need any help, we are more than happy. You can reach out to Rajesh separately. He can help you build upon that.

Dhruv Muchhal : Yes, sir, because run rate EBITDA is a thing, I think it's a common concept in renewable companies globally, and I think even some of the Indian companies, which helps us adjust for the seasonal or quarterly commissioning volatilities in the renewable portfolio, but, sure, probably we will discuss it offline.

Moderator : The next question is from the line of Gopal from SBI Life Insurance. Please go ahead.

Gopal Nawandhar : My question was on this impairment, which you have taken for WREL portfolio. So, this is on account of what, sir? Is it like the PPA remaining lives are coming down, that is the reason? Or how do you compare it?

Sanjeev Churiwala : So, let me just give you a conceptual reply. When we won this asset, we kind of paid a Rs. 1,600 crore goodwill. And then this goodwill kind of allocated over the 22 assets that we have. Overall company as a whole, we have a surplus position. But on the certain few assets, because of various reasons, there will be an impairment because the goodwill amount that's allocated to those assets during that time was done out of certain different assumptions. And of course, this is a common part that everyone knows that over a period of time, those assumptions may hold good or not good.

But I think what is important is this is more of an unwinding of the goodwill, which is a noncash charge and an exceptional charge. And this unwinding absolutely will keep on happening every year.
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year because we have Rs. 1,600 -odd crores, so you can assume about Rs. 100 crores to Rs. 150 crores of unwinding you'll see in the current year and going forward as well.

Gopal Nawandhar : And so what is the remaining life of PPA for WREL?

Sanjeev Churiwala : They have various assets, So, we'll have to get into the detail of it.

Gopal Nawandhar : So, there are changes in the thought process of the government in terms of putting more thermal capacities. We, in the past, have always indicated that we will focus more on renewables. And even there are thoughts on basically UMPPs and all. So, will you ever consider a change in your thoughts on adding more coal capacity in the future?

Sanjeev Churiwala : Well, we stay focused on what we have already communicated, so there's no change in our plans.
Gopal Nawandhar : And sir, what we've seen in the last year, almost 40 -gigawatt of ordering was done in renewables. What is that we have won out of that?

Sanjeev Churiwala : So, I think roughly a little less than about 2-gigawatt is what we have won. But I was as earlier explaining, we are not now doing a pure -play solar or pure -play bids, which is that consists of a large chunk of that 40 -gigawatt. We are largely focusing on the complex space.

Gopal Nawandhar : Okay. Despite there is an improvement in the pricing?
Sanjeev Churiwala : Yes. If you see the Slide #24, you'll get an understanding on the kind of pricing that is moving. And of course, FDRE complex bids, not everyone can do that. And to that extent, we are more confident that going forward, we will continue to have a portion of bids there. For example, last year, out of 40 -gigawatt, I think the hybrid on average is only 10 gigawatts. Another 10 -gigawatt, we have close to about 2 -gigawatt bid already.

Gopal Nawandhar : And sir, on capacity addition side also, this year, I think we hardly added 600 -megawatt in the renewable portfolio. So, do you think this share can go up? Are there any on -ground challenges, which is restricting us in terms of adding more capacities? What is that restricting us?
Sanjeev Churiwala : Last year, if you remember, the prices of the cells, modules, availability of land and various regulations, there were a lot of challenges that were there. And hence, we decided to deliberately push out some of the projects, right? And to that extent that has really helped us to sort of deliver at the bottom -line ambition that we have. But yes, we have basically about 5.4 -gigawatt in the pipeline. And one can expect 1.5 to 1.2 -gigawatt getting commissioned in the current year and a much bigger capacity getting commissioned in the subsequent years.

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Gopal Nawandhar : And lastly, sir, on T&D side, on these transmission projects, do we have any targeted market share or any value in mind because last year, out of Rs. 40,000 crores, we won only Rs. 2,300 crores. So, do we have any aggressive plan for the next year on transmission side?

Dr. Praveer Sinha : No. So, we are now looking at some of the states very aggressively. We won 2 of them. Again, we are selective. Because considering the timeline in which it has to be implemented and ROW (Right of Way) issues in many of the places, we have been very cautious. So, we will bid, of course, but we will be careful in the type of bids that we give, and we will create a good portfolio of transmission projects.

Moderator : Ladies and gentlemen, we'll take that as the last question. I'll now hand the conference over to Dr. Praveer Sinha for closing comments.

Dr. Praveer Sinha : Thank you, everyone, for joining for this analyst call. In case you have any further questions, please connect with my colleagues, and we'll be happy to respond to you and also help you in making it more easy. We have tried to make the presentation much simpler and much friendly in terms of providing as much detail as possible. But in case there are any further improvements that you would like, please inform us, and we'll try to incorporate that in the future presentation. So, thank you, and take care. All the best.

Sanjeev Churiwala : Thank you.

Moderator : On behalf of Tata Power, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2024

August 12, 2024

BSE Limited

Corporate Relationship Department1

stFloor, New Trading Ring

Rotunda Bldg., P. J. TowersDalal Street, Fort

Mumbai – 400 001.Scrip Code: 500400National Stock Exchange of India Limited

Exchange Plaza, 5thFloor

Plot No. C/1, G BlockBandra-Kurla Complex

Bandra (East)

Mumbai – 400 051.Symbol :T A T A P O W E R

Dear Sir/Madam,

Earnings Call Transcripts

Pursuant to Regulation 4 6(2)(oa) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 6, 2024, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter ended June 30, 2024 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link: !

https://www.tatapower.com/content/dam/tatapower/aem/sites/program/tatapower/pdf-root/company-financials/analyst-call-transcript/fy-2024-25/Tata%20Power%20Q1FY25%20earnings%20call_transcript.pdf

This is for your information and records.

Yours Sincerely,

For The Tata Power Company Limited

Vispi S. Patel

Company Secretary

FCS 7021

Encl: As aboveVISPI

SAROSH PATELDigitally signed by VISPI SAROSH PATEL Date: 2024.08.12 13:29:23 +05'30'

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Q1 FY25 Earnings Conference Call "

August 6, 2024

MANAGEMENT :D R.PRAVEER SINHA –CEO & MANAGING DIRECTOR –

THE TATA POWER COMPANY LIMITED

MR.S ANJEEV CHURIWALA –CHIEF FINANCIAL

OFFICER –THE TATA POWER COMPANY LIMITED

MR.J . V .P ATIL –FINANCIAL CONTROLLER –THE

TATA POWER COMPANY LIMITED

MR.K ASTURI SOUNDARARAJAN –INVESTOR

RELATIONS –THE TATA POWER COMPANY LIMITED

MR.RAJESH LACHHANI –INVESTOR RELATIONS –THE

TATA POWER COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to The Tata Power Company Limited (Tata Power) Q1 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO & Managing Director of Tata Power.

Thank you, and over to you, sir.

Praveer Sinha: Thank you, Dorwin. Good evening, everyone and thanks for joining for the Analyst Call. I'm joined today by my colleague, Sanjeev Churiwala, CFO; Mr. J.V. Patil, Financial Controller;

Kasturi and Rajesh Lachhani from the Investor Relations and few of my other colleagues from Finance and Investor Relations team.

It's a proud moment for us to once again share with you that Tata Power's performance this quarter has also been very good and this is the 19th consecutive quarter in which we have shown increase in our capacity. And that goes to prove that how consistent our performance has been, the good foundation that has been laid continues to support the company for improving its performance quarter over quarter. Then we are looking at the market, we find that the demand of power has grown by nearly 11% in the last quarter. And it continues to be very, very robust going forward also.

In the last budget announced by our honorable Finance Minister. There are four things that she mentioned, which has a huge impact on us. The first is the focus on the PM Surya Ghar Program. And as all of you are aware, we have already got more than 1 lakh rooftop solar installations. And with the focus of the government to install nearly 1 crore in next 3 to 4 years. We are poised to really be the market leader and take the pole position when implementing rooftop solar right across the country.

The second point that was mentioned that the government will be coming up with the policy to support the pumped hydro storage. As all of you are aware, government has been supporting many of the FDRE projects, especially considering that while going forward while we will have the infirm power from solar and wind, to make them firm battery storage or pumped storage will happen. And that's why government of India has seen that many of the firm storage projects, which are there in the pipeline should get implemented quickly.

As you are aware that in Tata Power, we have already taken initiatives. We have given 2,800 megawatts out of which the 1,000 megawatt should possibly start in this year, later part of this calendar year once we get all the necessary approvals. And the other 1,800 megawatt should start by mid of next year.

The third announcement, which the government -- the honorable Finance Minister made was, they will come up with a policy, which will encourage private sector participation in small The Tata Power Company Limited

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modular reactors. In this regard, we are discussing with the concerned authorities in the government and the company involved in such activity. And we do hope that we will play a very, very important role once there is a clarity on the technology and the fuel and...

Moderator: Sorry to interrupt, but the audio for you have been very low, not audible.

Praveer Sinha: So I think on smart modular reactors, there will be a lot of activity that will happen. And we will definitely examine them objectively to see the opportunity that we have and how in our quest to move towards the renewable energy. This can support us going forward. We also have seen in the budget that the honorable Finance Minister mentioned about some of the duty reduction on the green energy space, and those will benefit the industry

going forward.

We have already shared the financial details. I will not go through that. But just a couple of things. First is that our 4 gigawatt cell and module plant is progressing very well. The module plant, which was commissioned in the last financial year has now stabilized and is producing at full capacity. And we have already shared with you that performance in the first quarter has been good. And now that it has stabilized and the quality has improved, it will further improve in this quarter and subsequent quarters.

Our cell plant is ready to get commissioned in this month, the first 2 gigawatt will get commissioned. And in next month, we will have the next 2 gigawatt commissioning and we expect that it will get stabilized in the next 2, 3 months and the full capacity will start getting produced from the third quarter onwards.

We have also now finalized an agreement to execute a 600 megawatt hydro plant in Bhutan with Druk Green Power. This is a project which will produce power in Bhutan and partly will be consumed in Bhutan, especially during the winter months. And in the summer months, it will be sold in India. And the preliminary work on the statutory approval, land has been acquired and work will start in the later part of this calendar year. And this will require an investment of nearly

INR6,900 crores. We will have 40% equity in this project, with the responsibility of sale of power in India has also in project implementation and operations.

We have shared with you about some of the other initiatives that the company has taken, especially in terms of the execution of projects. And in this quarter, we have already spent INR4,000 crores of capex with nearly 60% in the renewable and balance 40% in transmission and distribution. And the results of that in terms of the returns will start showing in the next quarter onwards.

We have a very ambitious plan of INR20,000 crores investment in this year and we are on track to implement that. And all our initiatives in renewables, which includes our rooftop manufacturing, utility scale, third-party EPC are going very well. Similarly, in the transmission, our projects are getting implemented. The two projects where we had started, which was under stressed assets which we took over, the Part A of that project is already commissioned and started giving us returns.

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The Part B is under implementation and will get completed in this financial year. The two projects that we won in the bids, in the TBCB bids last year, they are under implementation and will get implemented and become operational in FY '26. We have recently won another transmission project. This is an intra-state project. This is a 765 kV line in Odisha, and we will complete that in 24 months as

per the condition of the contract.

All our businesses have done excellent performance, has given very good results. And we find that quarter-on-quarter, our results are improving because of the strong foundation of each of these businesses. And we expect that this will continue to improve going forward.

Our balance sheet is very, very steady in spite of large capex that we have incurred. And we do expect that our net debt, which has gone up by INR4,300 crores to INR42,000 crores will be very, very calibrated when we look at the financial metrics of net debt to underlying EBITDA, which is less than 3x and our net debt to equity is less than 1.1x.

So I think all these are very good signs and acknowledging all the efforts that the company has made. We have got upgraded in terms of our credit rating from AA+ to AA plus stable, both from ICRA and CARE. And this will help us to further bring down our financing costs and to that extent to improve our profitability.

With these remarks, I would like Dorwin to open the floor for questions and answers.

Moderator: The first question is from the line of Sumit Kishore from Axis Capital.

Sumit Kis

hore: My first question is that RE auction volume which one as per your presentation has been 20 gigawatt plus...

Moderator: Sorry to interrupt Sumit, the line for you is not very clear. I request you to please move to an area with better network.

Sumit Kishore: Yes. As per the presentation, RE auction volumes in Q1 have been 20 gigawatt plus. You also mentioned that solar cell and module prices have been falling while auction tariffs have risen. I

just wanted to understand why has Tata Power not seen an increase in solar and hybrid RE pipeline in Q1 FY '25? Even the EPC order book for utility scale solar has not grown quarter-on-quarter from March '24. So just wanted to understand any thoughts behind these numbers?

Praveer Sinha: So as you are aware, we have more than 5 gigawatts of utility scale renewals, which is under implementation, which includes some of the enterp rise orders also, which is the group captive for Tata Steel and some of the other industries. In addition to this, there is nearly 3 gigawatts of third-party EPC, which is under implementation. So we have nearly 8 gigawatt of projects, which is under implementation now.

And we are fully tied up for all the projects for this financial year where we expect to do more than 3 gigawatts of implementation and next year of 4 gigawatts. So we wanted to ensure that first we implement all these projects, at least, major quantum of these projects get completed in this year, before we started bidding for new projects going further.

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Also, what we have found is that while the re newable projects can be implemented in 24 months, the availability of evacuation arrangement transmission lines are taking much longer. And we expect the new set of transmission lines to only come in FY '27 and '28. So that's why we don't want to take a project and then get stuck with th em, which stuck because of the transmission or the evacuation arrangements not being available.

So we will definitely look at accelerating some of these projects. But our objective is that we will be participating more in complex and hybrid projects and FDRE projects then just lean in our solar and wind projects. And you will see in this quarter, a large number of hybrid and FDRE projects are going to come, and we will be aggressively bidding.

Sumit Kishore: This is very clear. The 3 gigawatt commissioning that you mentioned in FY '25 and 4 megawatts next fiscal includes both self Tata Power own projects and third-party projects?

Praveer Sinha: Absolutely right. So the 5 gigawatt of our own and 2 gigawatts to 2.5 gigawatts of others.

Sumit Kishore: Got it. The second question is on Delhi Distribution business in Q1 where we have seen an operating profit increased sharply to INR554 crores versus INR321 crores in Q1 FY '24. Is there any onetime tariff order impact, if you could please elaborate?

Praveer Sinha: Yes. There is a onetime tariff order impact of INR163 crores and that has been established.

Sumit Kishore: Okay. Just a last question is on your cluster-wise consolidated EBITDA numbers. So if I look at Solar EPC plus TP solar, which is the new disclosures including plus others, including elimination. It is actually all in year-on-year despite the TP solar, 4 gigawatt module facility being available for the full quarter. So I understand the intersegment elimination between solar EPC and TPC solar. But why is th e total EBITDA for solar EPC plus TP solar plus others lower on a year-on-year basis?

Praveer Sinha: See, the best way to look at them is on a 12-month cycle because what happens is certain activities gets completed in different quarters. So in one quarter, it may be that only the steel structures have consented. In the next quarter, the solar modules have gone up. It's very difficult to keep a track on a quarter-to-quarter basis. But if you see on a 12-month rolling basis, you will find that it has only improved.

tor: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congrats on good performance. My first question is on your pumped storage. Can you talk a bit about where you are in terms of approvals, et cetera? And what all more do you need before you

start construction?

Praveer Sinha: There are three parts of this. One is the land acquisition and various internal studies and approvals, all that has been done. So all the private and the government and the forest land has been obtained. The second component is about the approval from CEA and other CWC and other authorities. We have got all approvals except in one, which we expect that we will get in August.

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The third is the environment and forest. There also, most of the approvals have been received.

And we expect the balance approvals to come by September, October. So that's why in this year, we will start the construction activity. The preliminary work relating to the project has already started and we expect that the project will be completed in 44 to 46 months.

Puneet Gulati: And have you placed orders for the equipment yet?

Praveer Sinha: The bidding process is going on and hopefully by October, we will finalize the order.

Puneet Gulati: Okay, that is helpful. And on Bhutan, if you can talk a bit about the time line of completion and the role that we will play. So execution will be your responsibility there?

Praveer Sinha: So execution is a joint responsibility of Druk green and Tata Power. Already, the order for civil construction work has been given and the diversion tunnel work has already started 2 weeks back. So we will get the benefit of 5 months in that.

Secondly, once the civil work order is reinstated over there, we expect the work to start in later part of this calendar year. We will now be working with the banks on financial closure and also a tie-up of sale of power. And we expect that in next 3 to 4 months all this will be completed.

So our expectation is that within 5 years, we will be able to complete this project.

Puneet Gulati: Okay. And just a small accounting. There was just a negative working capital impact of some INR2,500 crores this quarter, if you can comment a bit on what does that relate to?

Praveer Sinha: Yes, there are some payments which we were expecting from some of our large EPC projects that we were executing. That got deferred. Some of it has been collected in the month of July and balance in August and September...

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question is on the solar manufacturing. Where is this profit on the module sitting in which entity?

Praveer Sinha: This is in TP Solar.

Mohit Kumar: TPSSL, right? Am I right?

Praveer Sinha: No, TP solar.

Mohit Kumar: That's not as part, the details are not there, understood.

Praveer Sinha: It is in renewables, it is in the Item 3 in renewables. You would see the TP solar 4.3 gigawatts cell and module manufacturing plant.

Mohit Kumar: Understood, sir. My question is, is it fair to say that we'll not be able to consume entire 4 gigawatts for the manufacturing during our pipeline. Do you think we'll open to external sales? And is it a case to expand the capacity?

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Praveer Sinha: I mentioned to you that we have already 5 gigawatt of our own projects, which we have to implement and another 3 gigawatt of third party. So I have already 8 gigawatt of capacity, which is tied up. So for the next 2 years, I'm already full. And -- but if there is any additional capacity we will have, we will look at the opportunities, especially projects on DCR modules. And also, if there are good export opportunities, which are available, we can definitely examine.

Mohit Kumar: Understood. My second question on the solar rooftop. Have you seen the guidelines from the government or in the pub

lic domain, do you see any uptick on the -- in the inquiries? How do you think about this business for the rest of planning for the year?

Praveer Sinha: There is a huge uptick. And it is something to the extent of 10x more than what we saw last year. So great opportunity. It's a question of how quickly we can convert them and execute these orders.

Mohit Kumar: And do you think we'll see the traction in a meaningful term?

Praveer Sinha: Beg your pardon?

Mohit Kumar: When do you think you see a meaningful accretion in the revenues from solar rooftop?

Praveer Sinha: I think by fourth quarter usually starting third to fourth quarter.

Moderator: The next question comes from the line of Satyadeep from Ambit Capital.

Satyadeep: First question is on the capex, there's a significant step-up in the capex guidance of INR20,000 crores this year versus last. And I believe whatever we allocate pumped storage in Bhutan, may not be that material. So I just want to, is it possible to outline where is all this capex going across different businesses?

Praveer Sinha: So just to give you a little general idea, out of INR20,000 crores, about 55% to 60% will go to renewable, which includes the renewable manufacturing plant and also the utility scale projects

that we will execute that the two captive projects that we will execute. Another 30% will go to our Transmission and Distribution business, the various projects and also the ongoing distribution in Delhi and Odisha. And about, I would say, about 15% -- 10% to 15% will be in our thermal and some of the new investments that we are doing in pumped hydro and the Bhutan project. So that's is the approximate sort of indicative numbers that is there.

Satyadeep: Okay. Just wanted to understand the SMR, there seems to be some excitement around there, i.e. we should believe the capex cost for SMR is somewhere around INR30 to INR40 crores. Can you outline maybe discuss what is driving this optimism around SMRs?

Praveer Sinha: The details are still to be out and it will be very premature at this stage to guess what will be their capex and what will be their cost of fuel and things like that. So let's wait for this type of structures that the government is proposing to come. And let's examine it and then we will be in a position to share our view on the same.

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Satyadeep: Okay. Just one quick question on rooftop solar. Are you seeing any increase in competitive intensity in your own expectations earlier, I believe you were looking at 30% market share has been toned-down to 20%. It seems like overall competitive intensity. Are you seeing more players enter this segment given the opportunity size?

Praveer Sinha: So there are very fragmented players. Those are I would say, not really competitor in that sense. So whatever, whoever is looking for quality products, longterm, we have 50% to 60% market share actually in those sectors.

So I think no one has the type of market access and the product quality as we have. So I think we are in very good position as far as rooftop solar.

Moderator: The next question is from the line of Apoorva Bahadur from Goldman Sachs.

Apoorva Bahadur: Sorry, you briefly touched upon the possible constraint on transmission sort of impacting renewable execution generally. So just wanted to check like what type of transmission capacity do we have in hand for executing future projects?

Praveer Sinha: I think the type of capacity that has been planned is among us and in the sense they are talking about how to add capacity of nearly 150 gigawatts in 2030. And the bidding process for rate and execution, ROW are huge challenges. So I think it will be very important that these are planned in such a way, that they come along with the execution of these projects in different parts of the country. And that's where also there is an opportunity for companies like us who are also in transmission to take a

much larger pie of the opportunity that will come.

Apoorva Bahadur: Sir, I meant from our renewable capacity development perspective. Do we have, say, any surplus transmission capacity beyond our renewable pipeline today? Or is it adequate for what we have in hand?

Praveer Sinha: So this is just adequate for all these new capacities that will come up in the next 2 years. And that's where we have to add more capacity, more transmission lines have to be set up. And FY '27 onwards more and more lines have to come with. So you want 50 gigawatts of renewables to come in FY '27, then you will have to create that sort of transmission arrangement to evacuate that power.

Apoorva Bahadur: Understood, sir. And do we have surplus land bank for renewables already in place or...

Praveer Sinha: The Tata Power, yes, we continuously keep on acquiring land at the various locations and we have a large land bank. Some of them we acquired, some of them we take it on long-term lease.

So that's an ongoing process and as I mentioned to you that we are now looking more of hybrid solutions, solar and wind sites we are looking at. And we continue to keep on adding as the demand increases.

Apoorva Bahadur: Sure, sir. Last question from my side is on the PPA for the Bhutan project. You mentioned that the arrangement will be such that power will be sold in Bhutan during winters and India in summers. So what type of an offtake agreement are you looking at over here?

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Praveer Sinha: Like a standard PPA will be there for any IPP. And this will primarily be for 25 or 30 years. The agreement is for 30 years. So we typically have a 30-year PPA for hydro plants, as is already being done for many of the plants which are developed in India and also developed in Nepal. So this will be primarily catering to the summer months from May to October, and it will actually meet this requirement of power of the country going forward.

Apoorva Bahadur: Sir, what type of returns are generally built in?

Praveer Sinha: Well, nothing less than what we get in CERC.

Moderator: The next question is from the line of Rajesh Majumdar from B&K Securities.

Rajesh Majumdar: Congratulations on a good set of numbers. Sir I want to harp on the nuclear...

Moderator: Sorry to interrupt Rajesh, but the line for you sound muffled. I request you to please change the handset mode?

Rajesh Majumdar: Yes. So as I was saying congratulations on a good set of numbers, sir. And just to harp on the nuclear modules a little bit. Would it be possible to give us an idea about the speed to delivery time in these modules? Like typically, what would be the kind of construction time for these SMRs?

Praveer Sinha: First of all, thank you. But I really don't know what to tell you very frankly. We are still waiting to hear from the government and also the identified public enterprise who would be working with us. So this is, it's very, very preliminary. And let's wait, I think, another 2, 3 months, we will get better clarity on this.

Rajesh Majumdar: Okay. Sir. And my second question, sir, would it be fair to assume that our growth in the Renewable Business will be fueled mostly from the whatever group in-house capex that is happening as well as the rooftop solar because you yourself opined that a large amount of transmission capacity would be coming in only in '28 and '29. So that would be normal hindrance to our ability to bag projects, other kind of projects. Is that a correct assumption?

Praveer Sinha: No, no, it's not a correct assumption. I mentioned to you that we have 8 gigawatt under implementation, which will come in FY '25, '26 and some of it in early part of '27. Now for '27, '28, the evacuation have to come. So if we get any new project for that, the evacuation has to be tied up. And it's important that the evacuation lines are planned for FY '27 and '28. So we will be taking a large number of projects, but w

e'll go further complex and hybrid projects like solar

and wind or FDRE projects with storage. And all these projects will come up in the year by '27,

'28. And you will find that these are not only for utility, but also for enterprise and industries with whom we will be tying up.

Rajesh Majumdar: And sir, my last question is, see, we've seen a large amount of investment by JSW Steel on the renewable front, wherever you've not seen a similar kind of move from Tata Steel taking place because they have their own issues regarding Europe, et cetera, which are getting sorted and probably at some stage they will do it. Do you see that coming as a kind of a large sector over, say, 1 or 2 years? The decarbonation right from Tata Steel in particular?

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Praveer Sinha: We have already signed an agreement with them to make -- to provide them 966 megawatts of hybrid projects. Part of it will get commissioned in this financial year and balance in the next financial year. Apart from that, we've already executed some of the projects for them of nearly 100 megawatts. And another 100 megawatts is under finalization. So I think Tata Steel is going very aggressive and they will be in the forefront and the Tata Power will provide them all support for clean energy.

Moderator: The next question is from the line of Ketan Jain from Avendus Spark.

Ketan Jain: Sir, my first question is on what is the status of solar pumped business? Like how much have we installed in FY '24 and the first quarter?

Praveer Sinha: So, we have not installed any more solar pumps in this year because the last order, which was given in FY '22 and whatever order was given, we have completed that. The new set of orders have not come and so we have not seen it.

Ketan Jain: Sir, in the module manufacturing, what type of realization can we expect in domestically, like in our facilities coming on?

Praveer Sinha: Very difficult at this stage to say that the plant is still stabilizing. And we'll be able to share more details maybe in quarter 3, once the plant has stabilized for this.

Ketan Jain: Understood. Sir, what is the view on power distribution reforms and what opportunities are likely to come at our way?

Praveer Sinha: So there are some states who are examining this proposal and we do expect that in next 2, 3 months, some of them will be formally come out with the proposal. Our seniors to submit the proposal, I'm sure you will come to hear of that.

Ketan Jain: Any state names you can?

Praveer Sinha: That the states have to be informed, I cannot give you...

Ketan Jain: Okay. And my last question on the section level. So when do you think section-11 will be reintroduced again?

Praveer Sinha: It's already in other operations. It's there until 15th of October. And we expect either that will get extended or we will find any amicable solution.

Moderator: The next question is from the line of Vishal Periwal from Antique Stockbroking.

Vishal Periwal: Yes. Sir, Vishal Periwal from Antique Stockbroking. So a couple of clarification. One is, you mentioned that you'll be doing 3 gigawatts this year, 4 gigawatts next year. So this is under the asset and we will be the asset owners? Is it in addition to the EPC, the separate line item for the site?

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Praveer Sinha: So I mentioned that 5 gigawatt of our own we will be doing and 3 gigawatts offer third party. So totally, we will be doing about 8 gigawatts. More than 3 gigawatts we will do this year and

more than 4 gigawatts, we will do in FY '26. So that's the broad plan that we have.

Vishal Periwal: Okay. So maybe I'll just clarify. So this includes we are the asset owners and also it includes where we are doing EPC for others?

Praveer Sinha: Absolutely right.

Vishal Periwal: Okay. And what will the breakup be there in terms of our where we are asset owners, what is the addition in this year

and next year?

Praveer Sinha: We'll be able to provide you separately. I don't have it in the breakup right now, but I'm sure we'll be able to provide you that.

Vishal Periwal: Sure. Sure, sir. Sure. And maybe one last thing. In the entity-wise consolidated performance, so elimination, which comes in that slide. So if one has to understand from which subsidiary it is largely coming in elimination?

Praveer Sinha: So elimination primarily comes from whatever you do utility scale for yourself. So that is the elimination or any rooftop business that you do. So that is anything within the company is the elimination.

Vishal Periwal: Okay. So the solar EPC is something which particularly coming to that. Okay.

Praveer Sinha: Absolutely right or maybe dividend.

Vishal Periwal: Okay. Okay. Sure, sir. I will get in touch maybe with the team separately for a bit more details.

Praveer Sinha: Yes, you can connect with Rajesh and Kasturi. I am sure they will provide you all the information.

Vishal Periwal: Sure sir. Sure, this is helpful.

Moderator: The next question is from the line of Amit Bhide from Morgan Stanley.

Amit Bhide: I just wanted to understand is there any capacity apart from Prayagraj where we have a possibility of selling it on merchant? And if so, in Quarter 1, how much did we sell and the kind of EBITDA we could have made on that one?

Praveer Sinha: So our Haldia plant is a merchant plant. So it's 120 megawatts and I think the 20 megawatts is given to Tata Steel, balance 100 megawatts to merchants and so also our Prayagraj is nearly 150-megawatt is available for either short term or merchant sales. So yes, these are the two plants which have merchant sales.

Amit Bhide: How much would have been the sales approximately and any EBITDA number that you can help us with on that?

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Praveer Sinha: That number, we'll be able to provide you separately. I don't have it readily.

Amit Bhide: Sure. And another thing that I want to understand is, given the transmission opportunity ordering that's happening, how much would be the balance sheet capability to build for a transmission rate, at that time when you are already looking aggressively to bid for renewables in the coming quarter?

Praveer Sinha: There are so -- we'll bid both of them aggressively. I mentioned to you that we are also doing a large amount of capex in our transmission business and we'll continue to do that.

Moderator: The next question comes from the line of Mittal and sorry, -- this is Anuj Upadhyay an Investec Capital.

Anuj Upadhyay: Sir you also mentioned about the evacuation facility from the Bhutan project, would be on us. Could you elaborate further on that? Would the return on the transmission evacuation facility will also be on a regulated basis or or how exactly is this being placed?

Praveer Sinha: So there are two parts of the transmission system. One is the transmission system within Bhutan up to the India border. So that will be done by the Bhutan Power Corporation. And that's the investment that they will do and charge the projects.

The other is the India side of the transmission, which, of course, has been already implemented in the large transmission system has already been implemented. And whatever are the transmission charges, one has to pay but the HPO policy of Government of India says that any project which comes up, up to 2030 may not be required to take ISTS charges. So this project should be able to meet that requirement.

Anuj Upadhyay: Okay. And any guidance on the capex, sir? Or does the capex for the hydro project includes transmission capex of cell or is purely for the plant per se and transmission capex, is this right?

Praveer Sinha: Yes, this is only for the plant that the transmission is not being done by us. So we have not kept that capex.

Anuj Upadhyay: Okay. And your share of profitability was slightly down during the quarter across the JV and the

associate. So was not the profitability across the Indonesian coal with full impact or it was some other line?

Praveer Sinha: Yes, coal companies profitability has been coming down because the coal prices are not going up and they have stabilized at certain level. So this is the profit that the coal company has been able to share.

Moderator: Thank you. Ladies and gentlemen, we will take that as a last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Praveer Sinha: Thank you. Thank you very much, Dorwin, and thank you to everyone for your questions. In case we have not been able to respond to all your questions or you still have some additional questions, please connect with my colleagues from the Investor Relations team, Kasturi and Rajesh and I'm sure we'll be able to provide you all information.

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We have over a period of time improved the way the presentations have been made but we continue to expect feedback from you so that it can further be elaborated and becomes more friendly in terms of analysis and assessment. So please continue to give us your feedback and we'll try to give you as in terms of presentation as possible. And thank you, everyone, for joining.

Moderator: Thank you. On behalf of The Tata Power Company Limited, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Nov 2024

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Dear Sir/Madam ,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on October 30, 2024, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2024 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:
Quarterly & Annual Financial Reports - Tata Power Investor Resource Center

This is for your information and records.

Yours Sincerely ,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

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"The Tata Power Company Limited
Q2 FY25 Earnings Conference Call "

October 30, 2024

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – INVESTOR
RELATIONS , THE TATA POWER COMPANY LIMITED
MR. RAJESH LACHHANI – INVESTOR RELATIONS , THE

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Moderator: Ladies and gentlemen, good day, and welcome to The Tata Power Q2 FY 25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – MD and CEO of The Tata Power Company Limited. Thank you and over to you sir.

Dr. Praveer Sinha: Thank you, Rayo, and good evening to everyone and thanks for joining for the call. On behalf of Tata Power and on my personal behalf, I would like to extend my best wishes to all of you for a very Happy and Safe Diwali.

I have over here my colleague, Sanjeev Churiwala – CFO along with Mr. Kasturi and Rajesh from Investor Relations. We have already shared the Presentation with you, but just wanted to take you through few important issues.

First is the last quarter we saw abnormal monsoon and which extended not only right through the quarter but also extended in October and due to which, the consumption of power was very muted. We of course expect that because of the impact of the long monsoon, the winter will be little severe and there will be an extra demand of power during winter months. Section 11 has been extended due to this reason because there is an expectation that many of the plants, especially coal-based plants, will be under maintenance during this period when the demand is less. Also, many of the hydro plants will not be in a position to generate during winter months and hence the demand of power from the operating coal plants will continue to be there.

We have already shared with you that this quarter our PAT before exceptional items was up by 51% to Rs. 1533 crores and EBITDA was up 23% to Rs. 3800 crores. Similarly in the first half of this year the EBITDA has jumped by 17% to reach Rs. 7158 crores and PAT is also up by 41% to Rs. 2721 crores.

Some of the important things that have happened in this quarter, one is that our 4.3 gigawatt manufacturing plant for cell and module are operating. Our module plant is operating at full capacity at 4.3 gigawatt. Our cell plant, the first 2 gigawatt of cell I has already started production and is now getting stabilized and will be fully stabilized by end of November. The second 2 gigawatt also is going to get commissioned in November and hopefully by end December they should be stabilized and producing at full capacity. So you will see massive improvement in the performance of the manufacturing plant from next quarter onwards. You would also be happy to note that this plant is showing very good initial signs in terms of productivity and yield for The Tata Power Company Limited
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the module plant. As also in the cell plant where we find that the efficiency of the cells being produced is possibly the highest in the country at this stage and with much better yield. We would also take the opportunity to invite you to visit the plant and we will coordinate your visit to the site in November or December so that you can see for yourself the way the plant is operating and how state-of-the-art that facility has been created.

We continue to do well in our large utility scale projects as well as first party EPC and you will see large quantity of these projects getting implemented in Quarter 3 and Quarter 4. In fact, there is a very large quantity expected to be commissioned before March this year, especially most of the third party projects will get commissioned before that. You will also see that our work in rooftop solar has really picked up pace. We are not only one of the biggest in the country, but our penetration

in various states have increased tremendously. We have huge traction in terms of order and execution of these rooftop projects in many states. And we have committed that we will be doing 10 lakh of rooftop in Odisha. Similarly, 10 lakh rooftop in UP and 10 lakh rooftop in Rajasthan apart from many other states where we are working very closely especially in Kerala and Chhattisgarh and few of the other states also to see that our penetration of rooftop increases in line with the PM Surya Ghar program and many of the initiatives that we have taken to increase our channel partner will start showing results in the third and fourth quarter. Our transmission and distribution businesses continue to do well. Four of our projects in transmission are under implementation. Two of them will get commissioned in FY25 and the balance too in FY 26. Similarly, we have recently won another big project, 765kV transmission line in Odisha from Paradeep to Angul. That will also start work in next few months and we

expect to take many more new transmission projects which are coming in different parts of the country in the next few quarters.

Our business in pumped hydro where we had earlier shared with you last year we had taken you to the site is also picking up pace. The first 1000 megawatt, our board has approved the proposal today and we will start the work over there from 1st January 25. The project has received all the necessary approvals accepting one approval which we expect within November, December and some of the activities have already started, the construction activity and full-fledged work will start from January. Similarly, the 600 megawatt of Bhutan project which we have signed the shareholder agreement and we will be starting work from January of 2025. In fact, already the diversion tunnel work has started at site and we do expect that it will pick up lot of pace once all the documentation and the financial closure is achieved within November-December.

We are also working on our 1800 megawatt pumped hydro project at Shirawta and hopefully by mid of next year, the work should start once all the necessary approvals are in place. Our Odisha Discom continues to do well. Of course it had been badly impacted during the monsoon months and then we had the cyclone also last week, but they have been able to very quickly restore work and restored the network which was appreciated by the people as well as the government. And I

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think the way the whole business has been structured, we will possibly be able to replicate this sort of an arrangement in many other states which are in discussion with us about distribution opportunities.

Our rating because of all the initiatives that we have taken has improved tremendously. Both ICRA and CARE have enhanced our rating as also S&P Global which has upgraded the rating to BBB negative from BB positive which is actually sovereign rating and we do expect that the way the company has been able to take care of its balance sheet. It will improve further by one notch or two notch in the coming quarters. I do believe that the way the company is today structured and focused on various businesses including new businesses like EV and rooftop and the businesses in our renewable space and clean energy space, we will be able to give unique solutions to customers of providing them 100% renewable power and the company has developed many solutions for that. And this will not only be for the RTC and FDRE projects for Discoms, but also for many of our commercial and industrial customers with whom we are working very closely to provide them 100% clean energy solution. So I strongly believe that The Tata Power Company Limited will continue to do exceedingly well in the future quarters based on the strong fundamentals and foundation it has laid for itself and do look forward for your

support in this direction.

I would now request Ravi to open the floor for questions and answers and would be happy to respond to.

Moderator: Thank you very much. We will now begin the question and answer session. First question is from Mohit Kumar from ICI CI Securities. Please go ahead.

Mohit Kumar: My first question is The Tata Power Company Limited solar system manufacturing capacity. So how are you thinking about this capacity? Is there any plan to expand the capacity or integrate backward? That's the first question. And the related question is how long do you think it will take to stabilize your cell line?

Dr. Praveer Sinha: So as I mentioned to you, we are in the process of stabilizing our cell line. And the task before us is how quickly we can stabilize, how do we improve the yield, how do we improve the efficiency. So this is a big task in our hand. We want to make it the best in terms of all operational parameters and financial parameters in the country and we are right now focused on completing these activities before we decide on any new steps in future.

Mohit Kumar: Understood sir. It's good to see sir that pumped storage project is taking off the ground, but my question was a large, bid was conducted in Maharashtra in recent past. It seems that we didn't participate in the tender. So how are you thinking about tying up this Pumped Storage Power Plant, which we are undertaking?

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Dr. Praveer Sinha: So our objective is that we will bundle this from storage power where we will be producing nearly 8 hours of peaking power along with solar and wind to not only Discoms under the FDRE and RTC project, but also to many of our industrial and commercial consumers who are looking for clean energy solutions. And I think we will play a very, very critical role in supporting many industries in the country who are looking at clean energy as their input for the activities that they carry out. So we have huge number of inquiry for all these type of projects and we will soon be tying up with many of them.

Mohit Kumar: My last question on this is solar order book. The accretion in solar order book has been on the lower side. We are at 150 billion or Rs. 15,000 crores. Is it the opportunity which is low or it is competitive intensity which has gone up in recent times especially for third party solar order ?

Dr. Praveer Sinha : So there are two parts of this. One is that we have a large order book of third party, which we are trying to complete within this financial year. And you will see that March, a major quantity of our third party order book we will complete. The second is our own more than five gigawatt of renewable projects are there, which are under various stages of implementation. We want to complete those also so that in FY26, all these projects are completed. And then we build up a pipeline of projects for FY27 onwards. So that's what is our plan. We decided that we will only go for complex projects that is hybrid solar and wind or hybrid projects and storage projects of solar wind and pump storage or battery storage. So we have been very calibrated in the way that we have been bidding and we will continue to focus on those type of projects which bring greater value to the consumers.

Moderator: Thank you. Next question is from Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My first question is, what would be the phase out of the RE capacity addition for under construction projects on your books in FY25 and FY26?

Dr. Praveer Sinha : So our phase out, we have already given that how much capacity we will be adding in FY 25 and what capacity will come in FY 26. All the so called nearly 5 gigawatt of under construction projects will get completed by FY 26. That is our plan on which we are working. And this also shared with you in our presentation.

Sumit Kishore:

Dr. Praveer Sinha : So you had mentioned 2 gigawatt to be commissioned in FY25 on the previous call. Is that on flag?

Dr. Praveer Sinha : We had said that our yearly run rate will be about 2 to 2.5 gigawatt and that's what we are working on.

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Sumit Kishore: So what was the capacity utilization for your module manufacturing facility in Tamil Nadu in the second quarter? And could you please speak about the end use of the modules manufactured?

How much is for your internal project requirements and how much is third party?

Dr. Praveer Sinha : So we will be able to share those details in our presentation. I think it's already there. I don't have the breakup, but yes, right now it is virtually equally divided between rooftop solar, third party and our own projects and going forward we will try to complete most of the third party in third and fourth quarter and thereafter most of the quantity that we will produce will go for our own utility scale projects and rooftop projects.

Sumit Kishore: And there seems to be a significant increase in your approved regulatory assets in The Tata Power Company Limited Delhi Distribution Limited.

Dr. Praveer Sinha : So, there was lot of regulatory asset amount which was not approved earlier. Now that all of it has been approved, the liquidation plan is being worked out by the regulatory commissions which will get amortized in next 2 to 3 years.

Sumit Kishore: Good to hear that. Just the last point. Are there any non-recurring items that you like to call out for Q2 either in other income or any other regulatory

Dr. Praveer Sinha : So, Sanjeev will respond to this.

Sanjeev Churiwala: Yes. So non-recurring I don't know, but we call it one-off because as Dr. Sinha said and you also alluded to that at The Tata Power Company Limited Delhi we have received approval for our regulatory assets, right? And there's a liquidation plan that will happen in the next 2-3 years. We already have some liquidation in quarter one and some liquidation in quarter two. And when you look at that one-off, we had at TPDDL Rs. 170 odd crore of liquidation, which is shown as part of the income in our distribution business. And then we also had a dividend that we have received from ITPC of Rs. 220 odd crores and this dividend most likely, well this is a dividend that is an accumulation of the past profits we have received, but more than likely that we will still continue to have recurring dividends coming from ITPC in the subsequent years. It's a good recurring item to have and good one-off to let you know.

Moderator: Thank you. Next question is from Aditya Vikram from Digital Research. Please go ahead.

Aditya Vikram: It seems the profit for Q2 and the EBITDA for Q2 has been aided by lower fuel cost. Do you see it sustainable or you think it will again go back to the normal rate?

Dr. Praveer Sinha : Fuel cost does not move the profit up and down. It is the regulatory environment, normally you get cost plus, right? So it is not because of the fuel cost that the profits are moved up and down.

It's because most of the clusters really performing well. And when you look at our renewable

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cluster, the profitability for the current quarter is Rs. 300 crore versus Rs. 186 crore in the

previous quarter, is up by 61%. Our generation cluster, our transmission distribution cluster, they all performed well.

Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: A few questions. One was on Mundra. Maybe what's the update there after the availability was down in the second quarter? Any latest update? And we've seen extension of Section 11 and that keeps happening every few quarters. But there's nothing, no update on supplementary PPA. There have been solar plus thermal awards

and MSEDCL here and different types of awards.

But why has there been delay on the supplementary PPA? So just on Mundra overall.

Dr. Praveer Sinha: One is that the Mundra plant suffered damage of the coal conveyor system due to heavy rains on I think 27th of August and whole of September we could not operate the plant, but within a period of one month, the conveyor system was repaired and it is now operating at full capacity. So the whole of October it has operated at more than 90% availability. There is one more pump that has to be repaired, which has already been repaired and so we do expect that Mundra in November-December should do about 95% to 97% of ability. So it will catch up and meet the yearly 80% requirement. Secondly, the discussions have been going on with the state governments on SPPA. Since the Section 11 continues to get extended, the SPPA discussions also have not been able to get concluded. But I do expect that we should be in a position to close this issue on SPPA with the states within next few months. Of course, the Section 11 helps us to get full pass through cost of the Mundra plant and hence something on similar lines are being discussed with the five procured states for finalizing.

Satyadeep Jain: Mr. Sinha, I think the delay is mainly because of Section 11 being extended so there is no urgency. Is that the main reason for delay in supplementary PPA?

Dr. Praveer Sinha: Not urgency but yes, it is getting little extended because of that. I expect that hopefully there is now sincere effort that is being made from all sides that we should quickly finalize the SPPA and move on with the agreement which can be there right up to complete the SPPA period of this project.

Satyadeep Jain: Second question is on the Bhivpuri PSP, it is largely a Brownfield, so we thought the CAPEX would be relatively lower at somewhere between 4.5 to 5 Cr. It seems like there's a cost inflation there and maybe some change in configuration from 6,000-megawatt hour to 8,000 megawatt. What is driving that maybe capital cost inflation for this brownfield project?

Dr. Praveer Sinha: What happens is each project is dependent upon the local site conditions. And since the site over here is an existing site and also the level of water from where the penstock will come, the alignment of it has to be done in such a way that it is sustainable for a long period of time.

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Secondly, many of the pump storage projects of 6 hours, we are designing over here for 8 hours with opportunity to enhance that also. So I think every project has a peculiar and specific requirements and that's why the cost has been worked on those lines and these are updated cost, these are not cost which are initial cost, this is the final DPR which has been done through various iterations. So we expect that we will be able to complete the project not only at this cost or may be little lower than this cost.

Satyadeep Jain: Given the 44-month timeline, it's safe to assume that this project will commission sometime in FY29 and maybe the other projects, we cannot use this cost as a benchmark for the remaining 1800 megawatt cost. Is that fair?

Dr. Praveer Sinha: There may not be too much of difference because that project also hopefully should start by mid of next year and we are in the process. But as I mentioned to you, each project has a specific design and architecture and we need to consider their topography, their condition before we can take a call of what actually. So thumb rules are just good enough for initial discussion, but when you do a final one, it takes some more time.

Satyadeep Jain: Just one quick question. On the EPC, I think recently the target was about Rs. 11,000 crores of revenue in FY27. Given the order book and you're looking to execute within the next two years, is there a possibility of risk to

that Rs. 11,000-crore target that you had for EPC revenue in FY27?

Dr. Praveer Sinha: We will share with you some more updated information when we have the analyst meet in December. So the way the business has moved, you will see that with more and more pipeline of projects, our own projects coming in, our focus is more on our own projects rather than third party EPC because we would like to conserve resources and use it for our own purpose.

Moderator: Thank you. Next question is from Murtuza Arsiwalla from Kotak Securities. Please go ahead.

Murtuza Arsiwalla: Yes, two questions. One, actually, the Delhi piece has already been addressed. On this Bhivpuri project against the project costs of Rs. 5,600 crore, is there any indication of what could be the potential revenue on an annual basis for this project, any return profile that you can talk about?

Second smaller piece but on Odisha, the second quarter seems to see some drop in PAT if there is anything out there that is non-recurring or one-off?

Dr. Praveer Sinha : So Bhiwadi, we will be able to share more details but the returns on all these projects we had already mentioned are definitely what we get in our regulated business, so nothing less than what we get in our regulated business. I think the team is there. The second is you are right that Odisha last quarter was a very tough quarter in terms of collection because of rains over there, access to many locations especially in remote and semi urban areas was difficult and the collection got impacted. I think they will catch up. September collection has been very good. I think October

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also it will pick up pace. And hopefully this quarter and coming quarter, whatever collection shortfall has been there will be made good.

Moderator: Thank you. Next question is of Sudhanshu Bansal from JM Financial. Please go ahead.

Sudhanshu Bansal: This, like, in last two quarters, we have been doing around 250 to 260 megawatt of the solar capacity addition. And on a yearly basis, we want to do around 2 to 2.5 gigawatt. So how we are planning to scale up this number to this thing is the first question, sir?

Dr. Praveer Sinha : So many of our projects which we were supposed to execute in Q2 and Q3 have got delayed because our DCR line, our cell line got delayed. We will catch up and do all that in Q3 and Q4.

So most of the other work at the site have been completed including balance of plant. It is just that once the DCR modules are ready, we will be able to. So you will see much faster pace of execution in Q4 once the modules are available. Similarly, many of the other projects which we are trying to pre-pone, which were part of FY26, you will see the results in Q4. So you will see a huge amount of capacity added, which will happen between now and Q4.

Sudhanshu Bansal: Okay, second is like few quarters back we changed our strategy to focus on the captive renewable capacities. So any assessment that how much this our group captive can become in terms of the size maybe in 2 years, 3 years?

Dr. Praveer Sinha : I think the details have been shared with you earlier. We will give you the updated numbers once we have the next round of analyst meet. But Sanjeev, you would like to add anything?

Sanjeev Churiwala: Yes, if you look at the slide 32 of the presentation that is uploaded, against the total order book of Rs. 15,000 odd crores, almost 50% of the order book is for the The Tata Power Company Limited Group companies. And you would expect more in the pipeline to come through. But yes, we are working on a strategy going forward. So when we are meeting up again somewhere in November to December, we should be able to give you more update, but I think the trend that we have earlier mentioned will continue with the similar trends.

Sudhanshu Bansal: Just last question that there was a media news that

that like we have come out with some tender for wind WTGs for 3 gigawatt. Any color on that in terms of prospective bidders in the timeline for ordering?

Dr. Praveer Sinha : Well, we examine all these bidders based on merit. So we do a technical and commercial evaluation of them. And based on these costs, we decide on the suppliers for these equipment.

Sudhanshu Bansal: Sir, any timeline that when we want to place orders on anything?

Dr. Praveer Sinha : I think before December we would like to place orders.

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Moderator: Thank you. Next question is from Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: My question is on the adjusted PAT number, a couple of one-offs that you mentioned. So the slide 52 has that exceptional item of Rs. 440 crore. So that's a cumulative number to take to come to adjusted PAT.

Dr. Praveer Sinha : Yes, so you're talking about the exceptional item, right, which is Rs. 440 crore in the bottom line. So that is a one-off exceptional item, and that is happened because 23 companies or subsidiaries of TPREL got merged into TPREL. And because of that, there's a small stamp duty implication of Rs. 140-odd crore, which is a cash out go. That will happen in any case after a year, after all the assessment happens. And there's about Rs. 330-odd crore roughly on account of deferred tax write-off because post-merger, the tax regime will be different and then the existing tax write up had to be done, but it's all non-cash and one time.

Vishal Periwal: At EBITDA level, there is no exceptional that you have. So, Rs. 3800 odd crore is the recurring sort of EBITDA for us, is that correct?

Dr. Praveer Sinha : Yes, that's correct.

Vishal Periwal: And then second is on the slide 32, where you have given a breakup of the EPC order book that we have. So what is the difference between The Tata Power Company Limited Group line item and Group Captive? So earlier it was not there, so we have separated this. So what is the difference in this?

Dr. Praveer Sinha : This is the EPC work that the EPC division would be doing for the various group companies within the Tata. For example, if we are executing work for Tata Steel or Tata Motors, all of that, we will follow it with this bracket.

Sanjeev Churiwala: And the group captive is the group captive which we do for group does not mean Tata group , it can be a group captive for any third party also.

Vishal Periwal: And in terms of a megawatt of this 15000 to 64 , it will be how much?

Dr. Praveer Sinha : Yes, it's this would be very difficult to say because it would be a mix of various types of projects, but I would say about 4-gigawatt , 3.5 gigawatt .

Vishal Periwal: And one last thing. So in terms of the project that we have, slide 9, where we have talked about total pipeline and further 21,668 megawatt that we have. So Bhi vpuri is not yet added in this particular number. Is that right?

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Dr. Praveer Sinha : Yes. So this was made before the board meeting. So Bhi vpuri got approved today in the board meeting. So that will get added. Hydro is included in this. So Bhivpuri is not added, you will get Bhivpuri , you need to add 1000 megawatts. So it will become 22 ,688.

Vishal Periwal: Bhutan is there, hydro 600 megawatt.

Moderator: Thank you. The next question is from Santosh Kesari from SK KHUF . Please go ahead.

Santosh Kesari: I just have one question about our borrowing profile. What is the plan for debt reduction in the next 2-3 years, which you can just elaborate ?

Dr. Praveer Sinha : So I think the way we're narrating is the kind of leverage ratio that we want to have and the coverage that we want to have. Standing as of now, our debt equity is in a very, very comfortable zone. So we don't think there is any need for us to

reduce debt further but to ensure that our debt

ratings are on a very healthy scale and our leverages are very very healthy as compared to our peers.

Santosh Kesari: Okay, so it may go up also. Does it mean that? Depending on the projects we have or the expansion plan we have?

Dr. Praveer Sinha : Yes, so the idea is to maintain a healthy debt equity and the debt coverage and ensure very high ratings for that.

Santosh Kesari: So, sir, what is the comfortable debt equity ratio you prefer to have? Something like below 1.5?

Dr. Praveer Sinha : As of now, we are going around that. So, assume 1.5 x to 2x for an infra company is a very healthy ratio to be in.

Santosh Kesari: Yes, sir, I agree for a power company it is so. But generally, all the Tata Group companies are debt-reverse now over the past few years. So that's why this question came through.

Moderator: Thank you. Next question is from Amit B hinde from Morgan Stanley. Please go ahead.

Amit Bhide: Just one question on your solar module manufacturing business. Last quarter you reported about Rs. 1000 crores of revenue on that and 614 megawatts. I think roughly your realization was coming to around 20 cents or so and margin of around 11 %. This quarter I see margin is close to 9% and if you can help us with the megawatt and in the market, we are hearing that some of the sales are happening at around 14, 15, 16 cents as well. So how is our realization?

Dr. Praveer Sinha : We have given our details in slide #52. And you can see over there. So our production has increased in the second quarter. And of course, our margins are based on how we can be competitive in the market. But definitely not what price range that you have mentioned. It is

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linked to the quality of the product and what sort of guarantee and warranty you are giving for that and what is the efficiency. So I think we definitely command a premium in the market vis-à-vis many others who do not have the quality and the backup of services that we offer.

Amit Bhide: Can you help us with the megawatt sold this quarter because I can see on slide 52 revenue , EBITDA etc. you have provided .

Dr. Praveer Sinha : We will provide you the megawatt. It is not an issue.

Sanjeev Churiwala: I think that the only thing that I would also want to add is we are still in the ramping up stage. So I think when you calculate the margins in the sense, we will not give you a right indicative number. Quarter 3 will be a better number to look at.

Dr. Praveer Sinha : So we have done 830 megawatts in this.

Amit Bhide: 830 megawatts, right now. So ballpark , would you target around 10 % to 12% of margin?

Dr. Praveer Sinha : It is the range we are looking at. A gain it depends on what sort of market penetration we are looking at and again many of these things are stabilizing, many of the things also will be impacted once we start getting the state government support and incentives that we are supposed to get.

Sanjeev Churiwala: And also one thing I would like to mention, it is very difficult for us to kind of compare this with

another plant which is in a standalone sale in the market . Here right now, most of our production line is dedicated to our pipeline that we have. And the overall profit that we're looking at is a composite profit that we're making against those bids and the cost that we use. Right now, there's a cost that has to be supplied and there's a transfer pricing margin , right. So I think on a standalone basis, I'll not be able to compare with other people who are producing to sell in the market.

Amit Bhinde: Another question that I have is on your Mundra coal and shipping cluster. So if I look at your EBITDA that's been mentioned Rs. 516 crores, if I remove the shipping EBITDA, the balance EBITDA is close to around Rs. 437 crores which I assume is for Mundra plant. We had I

ower

sales, so implied EBITDA per unit is coming pretty high 1.2 etc. versus 0.45 in the Q1 using the same logic. So why should that increase so much?

Dr. Praveer Sinha : Our coal profits have kind of almost flattened every quarter , right and you are looking at the PAT for the quarter, right?

Amit Bhinde: So Rs. 516 cross of EBITDA in the Mundra coal and shipping cluster. So I'm just looking at Q1 F25 over there and the current quarter. We are generating Rs. 437 crores implied EBITDA on

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Mundra it seems versus 263 cross in Q1 whereas our generation was down . Is there any one -off that you have realized in terms of ?

Dr. Praveer Sinha : It's not a one -off. Basically what happens is the way this plant runs and the regulatory power plant runs, you have to look at your annual utilization and your fixed costs is accordingly apportioned over 12 months. Right now, because we received Section 11 approval, to that extent there is a probe happening this quarter, which we will get normalized in the subsequent quarters.

We can give you the working separately if you need.

Moderator: Thank you. Next question is from Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: So my first question was actually on the solar cell plant . Does it make sense to export cells and use imported cells for our module plant because we've seen a number of companies who are exporting cells and generating much more EBITDA and EBITDA percentages than what we are generating right now. That was my first question.

Dr. Praveer Sinha : So the response right, the way the regulation presently works, we have to normally use ALM modules and DCR modules, so which means for most of the pipeline projects we will be using our own modules and cells. And hence right now we are not looking at an export, but yes when we fully ramp up, we can assume that 25% to 30% will be exported and rest will be used internally .

Rajesh Majumdar: And the balance you will be importing for the module plant. Is that correct?

Dr. Praveer Sinha : No, we said 25 %-30% will be exported and the rest will be used internally for our own asset under construction.

Rajesh Majumdar: Off the sales, right? Modules will still be made in -house for domestic sales, right?

Dr. Praveer Sinha : Both modules and cells will be made in -house only.

Rajesh Majumdar: And when you say 25% exports, you are including modules as well, is it?

Dr. Praveer Sinha : Yes, the export would be of modules.

Rajesh Majumdar: And sir my second question is on Delhi Discom again . Slide #50, if we look at it, the PAT has gone up by about Rs. 180 crores. So is that the right one time impact of the trueing up order on the P&L?

Dr. Praveer Sinha : Yes, that's correct. That's the one of trueing up on the P&L.

Rajesh Majumdar: And about Rs. 275 crores on the EBITDA and Rs. 180 on the PAT. Is that correct?

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Dr. Praveer Sinha : 238 and 170. Rajesh, just a clarification that 170 is before minority. So after minority, the impact should be only Rs. 85 crores.

Moderator: Thank you. The next question is from Swati from JM Financial. Please go ahead.

Swati: I just wanted to understand what is the potential capacity utilization that we can reach, let's say once our module and cell facilities have stabilized?

Sanjeev Churiwala : Around 97 %-98%.

Swati: And could you also say, so if I look at your cluster wise breakup that you have given, this within the renewables cluster, others include, does it include all of the TP solar sales as well as some of EPC or is it some of TP solar and some of solar EPC?

Sanjeev Churiwala : So others basically, the elimination that takes place for our own projects. So that's what it is.

Swati: I just wanted to understand what is this? What is exactly coming into thi

s others including

elimination? This Rs. 3400 crores that we have of revenue in Q2. What is that exactly that 3000?

What does that attribute to? Is it the EPC? Is it the solar? Is it a mix of the two?

Dr. Praveer Sinha : Yes, so maybe I'll help to address . In RT C business , the EPC does a lot of work for TPREL.

Similarly, the sales and modules is sold internally to TPREL. On a console basis, all of this gets

eliminated. And what you see is a pure plain revenue, EBITDA and PAT.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference back to the management team for closing comments.

Dr. Praveer Sinha : Thank you very much. Thank you to everyone for joining in the call. And if you still have any questions, please connect to Kasturi and Rajesh and we'll be happy to respond to them. And you

all have a safe Diwali and enjoyable Diwali. So we look forward to connect with you . Possibly

in December we'll have the site visit to the 4.3-gigawatt plant. And I do look forward to meet

many of you over there. Thank you, thank you very much.

Moderator: Thank you very much. On behalf of The Tata Power Company Limited , that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Feb 2025

February 7, 2025

BSE Limited

Corporate Relationship Department

1st Floor, New Trading Ring

Rotunda Bldg., P. J. Towers

Dalal Street, Fort

Mumbai – 400 001.

Scrip Code : 500400 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No. C/1, G Block

Bandra -Kurla Complex

Bandra (East)

Mumbai – 400 051.

Symbol : TATAPOWER

Dear Sir/Madam ,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call

held on February 4, 2025 , on the Audited Standalone Financial Results and Unaudited Consolidated

Financial Results of the Company for the quarter and nine months ended December 31, 2024 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

Quarterly & Annual Financial Reports - Tata Power Investor Resource Center

This is for your information and records.

Yours Sincerely ,

For The Tata Power Company Limited

Vispi S. Patel

Company Secretary

FCS 7021

Encl: As above

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"The Tata Power Company Limited

Q3 FY25 Earnings Conference Call"

February 4, 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR , THE TATA POWER COMPANY LIMITED

MR. SANJEEV CHURIWALA – CHIEF FINANCIAL OFFICER , THE TATA POWER COMPANY LIMITED

MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER , THE TATA POWER COMPANY LIMITED

MR. RAJESH LACHHANI – HEAD INVESTOR RELATIONS , THE TATA POWER COMPANY LIMITED

The Tata Power Company Limited

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Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star, then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO & Managing Director of Tata Power. Thank you, and over to you, Dr. Sinha.

Praveer Sinha : Thank you for joining in the call. I'm joined with my colleagues over here, Sanjeev Churiwala, CFO; Mr. J.V. Patil, Financial Controller; Mr. Rajesh Lachhani from Investor Relations and other the members from our Finance and Investor Relations team. As all of you are aware, last 9 months, the demand of power has gone up, but not to the extent what we had witnessed in the previous few years.

But we do find that in last 1 month, the demand of power has increased. And we are expecting that this year, the summer will be much more intense compared to the last year where we had a very long monsoon. Considering that, we do expect that there will be a peak demand of nearly 265 to 270 gigawatt. Already today, it was more than 230 gigawatt. And summer has still not started. So we do expect huge demand of power in the coming year.

Secondly, during the recent budget, honorable Finance Minister came out with a lot of initiatives and programs in the power sector. Some of the important ones are that the budget for PM Surya Ghar has been enhanced for this year as well as for next year and that gives us a lot of opportunity to increase our rooftop program, especially the PM Surya Ghar program in many of the states, where we have tied up with them for taking it forward.

The second big announcement by the Finance Minister was about nuclear power that the Nuclear Power Act will be amended which will allow private sector investment in nuclear power. As we have shared with you earlier, we will definitely be exploring this opportunity as and when it comes.

We are expecting the government to announce the amendments to the act and also the policy wherein we will get an idea what sort of foreign investment, what sort of foreign technology, what sort of Indian technology will be provided and also issues about the sourcing of fuel how to reprocess the spent fuel and storage of the fuel. So many of these are still grey areas and we expect that in the coming months, more details will be shared at. At that stage, we will be able to come out with our action plan on it.

Of course, as an initial comment, we are very keen to pursue this. We strongly believe that this will support us in our clean energy initiatives and we can use this along with our renewable power to supply 24/7 clean power solutions to our customers, both utilities skill as well as the C&I customers. We have already shared with you the performance highlights of the company. This is the 21st consecutive quarter in which we have shown the PAT growth.

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And this demonstrates the strong performance of each of our businesses. And each one of them are now getting consolidated and stabilized in terms of their performance. Our PAT for the quarter has gone up. Our EBITDA has gone up. And both have also gone up on a cumulative basis in the last 9 months and this trend will continue going forward.

We have, during this quarter, commissioned a number of projects. These are large renewable utility scale projects for ourselves as well as large number of projects have been commissioned for third party. And those details have again been shared with you. And this has supported us in showing very

good performance of our renewable business.

Our EBITDA for the renewable business itself has gone up by 38%. And also our PAT has gone up for renewable business in this quarter as well as for the full 9 months. During this quarter, we have seen a huge amount of growth in our rooftop business. For the first time we crossed in the quarter, INR 500 crores of revenue with a very healthy EBITDA and PAT. And you will see that this continuing in the subsequent quarter where because the benefit of creating the whole supply chain arrangement, the benefit of having large channel partners and our reach into the market. And the product quality and service that is being offered is being appreciated by the consumers and we actually get a premium in the market for the supplies that we are making. Our cell plant which we had taken many of you and shown our cell and module plants are performing very well. Our module plant has -- we got production done in the last quarter and also in the 9 months. And our cell plant which was commissioned in the month of November, the first 2 gigawatt is now more or less stabilized.

The second 2 gigawatt also has been commissioned in January and is under stabilization process. And we expect that within February, it will get stabilized and will be able to produce at full capacity during the next financial year. We have also seen our performance in our distribution business, stabilizing our Odisha operations have stabilized and we are doing a very good work in terms of building efficiency, collection efficiency and AT&C loss reduction.

And the performance in third quarter has been much better than compared to last year and the previous quarter. And also the fourth quarter will be, again, much better than the third quarter and second quarter and also compared to last year because many of these things, initiatives in

about INR 300-odd crores to replace the correct accounting principles post-merger. That has no implications on the profitability.

Mohit Kumar : Sir, margins are looking very high, sir, 16% in the quarter. Is that -- I think...

Sanjeev Churiwala : Yes. Optically, that's correct because the top line is lower, but the profitability still continues to be there. The best way to look is at the year to date number, which reflects the right position, and they're kind of in the range of 5% to 7% on EPC margin, which has always been our guidance.

Mohit Kumar: Understood. Thank you and all the best. Thank you. I will take it offline.

Moderator: Thank you. The next question is from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore : Sir, the first one is on the renewables cluster result. The elimination within renewables for revenue at about INR1,806 crores appears to be higher than solar or the TP Solar revenue for the quarter. Even in EBITDA, the elimination number is higher than the entire

EBITDA contribution

of TP solar. How should we read these elimination numbers? And what was the third-party sale that you did in TP Solar during the quarter? So if you could sort of explain the breakup of this elimination and how should we read it?

Sanjeev Churiwala : Yes, that's good question, Sumit. I think let me kind of simplify and answer your questions right as everyone else. Higher the level of internal work that happens, higher the elimination. For example, this quarter, our cell modules have gone live, and we have the models also being realized full production is happening.

This module entails, by and large, is sold internally to TPREL, and that gets eliminated.

Similarly, all the EPC in-house work that we do, the profit also that gets eliminated. Now elimination, we have unfortunately only show in one line because otherwise, there will be multiple eliminations shown at each of the levels, that might not be useful.

So if you see the investor deck that is circulated, there is detailing around that. And I think you can see Slide #53, which would give you, let's say, detailing of the requirement with respect to how much of the work was intended and how much was third party, we can possibly send you out separately.

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Sumit Kishore : Okay. So just a follow-up on this. Still the ALMM-2 is implemented by June 2026. Is there an opportunity to make higher profit by selling your backward integrated modules, which have sales made in-house to third-party customers rather than using them in-house?

Sanjeev Churiwala : Yes. As of now, a large chunk of this production is tied up for our in-house large-scale projects that we have already tied up. We have a large order book already in position as well as we have third-party order books that we need to also commission the projects. But yes, going forward, we will be opportunistic to see wherever the opportunity is there as and when the ALMM-2s picking up, in to sell some of this cells and modules to third party as well. So we'll do the balancing act.

Praveer Sinha : Yes. But we have already got some orders and they are under execution. We've got 1 of order recently, which is for ALMM. Last year, we had got an order for DCR. So as and when we get the opportunity, we definitely look at it. And so there will be a mix of supply only of modules.

There will be a mix of using it in our own projects, and there will be a bit of supplying it for rooftop and the third party and EPC.

So we will always be ensuring that based on the production capacity and the type of modules which are required because these modules also are of different capacities and sizes. So they are 540, 570, and 590. So depending upon the requirements, so we can leave and manufacture...

Sanjeev Churiwala : As Dr. Sinha was speaking, you see already those coming in that Tata Power has won solar in the sake is option for supply in 400 megawatt of domestically manufactured solar modules. So very clearly, we already see that happening next quarter with the sale as well as in-house.

Sumit Kishore : Well, I think I couldn't have expected a faster delivery on expectation. So one more question is on the increase in Mundra Coal and shipping Q3 FY '25 EBITDA. So what explains that? And on the other hand, this gets taken away by the steep drop in others, including Tata Power, Nelco and inter cluster elimination, which has dropped in Q3 FY '25 versus Q3 FY '24.

In general, the intersegment elimination volatility in quarterly disclosures over the last several quarters has been hampering predictability or the understanding of Tata Power financial and some way to remedy that would be very helpful?

Sanjeev Churiwala : Yes, sure. We can. We'll definitely see what other things we need to do to try and improve the disclosures. But of course, we have put a complete separate slide on there, which has

line-wise

items on additions and the deletions, which kind of gives a better understanding. But coming to

your question, on the one -off that you see possibly in the current year as well as in the previous year.

For our generation business, we had some one -off upside, which is close to about INR330-odd crores. Similarly, previous year, we had about INR311 crores of dividend to dividend from one of our foreign subsidiaries, right? But both of them are getting netted off with a similar amount.

Sumit Kishore : 3.3 billi on is what I heard. The one -off.

Sanjeev Churiwala : INR311 crores.

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Sumit Kishore : Growth in Mundra Is how much?

Sanjeev Churiwala : INR332 crores.

Sumit Kishore : INR32 crores. Okay. Just one quick question, if I may, the transmission auction bids, as you have shown in your presentation for India, have gone up quite sharply, 2.3x over FY '24. Tata Power share off late is still a very small fraction, this opportunity. Is the bidding to o aggressive or the suboptimal o r are you already full in terms of how many you want?

Sanjeev Churiwala : Our total operating lines plus under construction is a little over 6 – 7k Ckm . And of course, we are also very selective in our bidding. We don't want to go and bid out everywhere where we think t hat the returns are suboptimal o r we think the territory, the geography and the complexities are very high, but it could be very, very high.

So yes, we have been very selective. But in this selectiveness, we're also trying to see that we only bid for projects where we get good returns.

Sumit Kishore : I meant the transmission auction bids?

Sanjeev Churiwala : I'm also talking about the transmission auction, our total capacity -- exactly I use the word read at Circuit kilometers. So about 7,030 circuit kilometers is what we have operation and in pipeline.

Sumit Kishore: Got it. Thank you and wish you all the best.

Moderator: Thank you. The next question is from the line of Apoorva Bahadur from IIFL. Please go ahead.

Apoorva Bahadur : Sir, would request some more help on the accounting for solar cell module business, right? How should we think about it, especially, say, going ahead if -- once the manufacturing arms start supplying modules for the rooftop business, then where will exactl y will you be capturing this profitability both for internal sales and then for external sales? And what proportion?

Sanjeev Churiwala : See, I will not be able to tell you the proportion right now. But your question is very valid. In principle, whatever is sold outside will get captured in the manufacturing division's profitability and that will fully get consolidated in the Tata Power ren ewable books as well. So whereas whatever is done in -house, would ultimately get eliminated.

Since this particular quarter, we are just ramping up our cell production, it will not give us complete true understanding on how this manufacturing and sales profitability will look like. Maybe from next quarter onwards, we'll try and bring in a little mo re clarity on how we kind of grow it proper reporting with respect to investors, so you get a better clarity.

And what we will do is, we'll open our date for the next quarter. We will also reach out to you separately and so want to have a better understanding as to how the specific accounting will happen.

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Apoorva Bahadur : That will be helpful. Also wanted to check about the stabilization of our cell capacity. Have we managed to stabilize the plant? And what was the output for this quarter?

Praveer Sinha : As I mentioned to you, the 2 gigawatt cell line was commissioned in the month of November, that has got stabilized. It's now nearly at 90% capacity. The second 2 gigawatts got commissioned in January. And we expect that in end of February, it sh

ould get st abilized. So

that's the existing plan and the full benefit of operating it at more than 95% to 98% capacity will happen in the next financial year.

Apoorva Bahadur : So reach there by FY '26. And sir, where are we using these cells for our internal projects? Or are we selling them to third parties?

Praveer Sinha : I explained just now, again, you are repeating the same question. I told you that there are 3 ways of using it, third -party sales, third -party EPC projects, our own EPC projects and using it in rooftop.

Apoorva Bahadur : No, sir, I wanted to check if you can share for this quarter, if you can share where the cells were

sold?

Sanjeev Churiwala : Yes. We can provide that to you separately, not a problem. But I think it will be better to wait for the results for the next quarter. But this quarter, as is ramping up, it will not give you a complete representative for your modeling as well.

Apoorva Bahadur : Understood. Understood. Sir, last question was on the ordering for wind turbines. Have we locked capacity for our complex projects?

Praveer Sinha : So as we have shared with you, 1,000 megawatts, we had already, in fact, 1,100 -odd megawatt, we have already done. Those wind turbines are already under implementation. And all of them will get commissioned in the next 3 months to 12 months. There's another 1.6 gigawatts that we will be ordering. All this ordering will happen in the next 60 days .

Apoorva Bahadur: Okay. Thank you so much.

Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet : My first question is on renewables. Can you give some sense of what is the capacity installation plan for FY '26 and '27?

Sanjeev Churiwala : Sorry, could you just repeat your question once again?

Puneet : Yes. What is the capacity installation plan for FY '26 and '27?

Praveer Sinha : In this presentation. I think we have given that in the November analyst meeting, we have given the details.

Puneet : Individually for '26 and '27 if you have?

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Praveer Sinha : It's there in terms of...

Sanjeev Churiwala : Puneet, so I think Puneet, just to kind of recall on a discussion granted, normally, what you have said, our intention is to have about roughly definitely 2 gigawatt of installations every year.

Praveer Sinha : 2 to 2.5.

Sanjeev Churiwala : 2 to 2.5 gigawatt of installations every year. Of course, we cannot give you a specifically what we are doing next year and thereafter. And we have indicated this is the number that we're targeting.

Puneet : Yes. So what's resulting in a little slowness here, right? I mean you're probably going to do what is the plan for Q4, but it looks like you might just see about 1.2 to 1.3 gigawatts, any thoughts how to think about what's driving the slowness currently?

Praveer Sinha : So we have already this year added 865 megawatt, which is highest among all this in the country. And we have a large number of projects lined up, I think, about 600 megawatts is lined up in this previous quarter. And then we expect also projects for third-party you see to be implemented in this project -- in this quarter.

So all those details have been shared with you. And as Sanjeev mentioned, in FY '25 -- '26 and '27, about 2 to 2.5 gigawatt of renewable projects, which will be a mix of solar and wind that we will implement.

Puneet : Okay, understood. And on TPDDL side, there seems to be a little softness in profitability. Anything to know would there?

Praveer Sinha : It is doing consistent of profit in this quarter also, if you compare -- compared to last year, it has done a little bit higher. So it's a very consistent performance that have been shown by TP.

Puneet : And lastly, if you can give some update on the pump storage project. Have you placed an order, what is the progress there?

Praveer Sinha : So the

three project activities has already started and basic site civil work has started. The order for civil will be finalized within this month, and we also expect the last of clearances. And full-fledged work will start from next month. The work in the hydro project in Bhutan has started in January and it is going at full pace at all the locations that is the pump house as well as the dam as well as the surge shaft.

So I think we are all set to complete it within the target time line. And so also the pump hydro we will finish it in the target time line that we have shared.

Puneet : So specifically for Bhivpuri, which was the first one is financial project done now?

Praveer Sinha : We have already tied up money for the initial project and the financial project will be done by next month.

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Puneet: Okay. That's very helpful. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Ketan Jain from Avendus Spark. Please go

ahead.

Ketan Jain : Sir, my question is on the UP distribution bid, on which you can provide us with some flavor on what's the time line of the bid? And will we be bidding for it something about that?

Praveer Sinha : I also do not know the time line. When I come to know, I'll let you know. What I can tell you is that there is an intention by UP to go ahead and do public private partnership for two DISCOMs.

We are actively pursuing that and -- or we will actively pursue that because we have excellent experience of carrying out similar type of work in Odisha, where we were able to cater to both urban and rural consumers which no other utility has experienced in the country.

And as and when the bids come, we will definitely bid and we expect that we'll be able to be successful in these bids.

Ketan Jain: Thank you. That's it.

Moderator: Thank you. The next is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain : First, I wanted to understand, are on all these eliminations. You reported separately EBITDA for the module in cell line. If I look at the EBITDA, it seems like for EBITDA for cell also, it is assuming it is sold for DCR, look at the margin. So whatever you're doing internal or external, it seems to be a complaint. But when we look at Y-o-Y, if I strip out EBITDA from module in cell line, there is no increase in overall RE EBITDA.

What could be -- which is what I think some of the earlier questions were also trying to understand? So I just wanted to see why is there no Y-o-Y growth in the overall RE business if we take out certain module line?

Sanjeev Churiwala : I think the cell line module line is an integrated part of the overall business unlike many other businesses, which will set up or cell or a module only to cater to third parties. Our cell-in module is part of our integration plan where there caters to a large extent of in-house requirement with respect to a large-scale development that we do and as well as the third party.

So yes, to that extent the production of cell, which is largely around DCR, has gone to in-house production as well and as well as some content of the third party. But your question is, can we skip that and see separately. I don't think that we'll have any useful by stepping out separately.

Satyadeep Jain : No, I was trying to understand if you look at cluster-wise performance for the entire RE business, if you look at Y-o-Y increase in EBITDA for that business, it's about INR230 crores to INR240 crores, which is the EBITDA for the module in cell line. So it's the entire EBITDA increase Y-o-Y is because of module and cell line. So why are the other businesses?

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Why is there not generally, I would have assumed the EBITDA increase would be higher than that contribution from sola

r cell line modules, there would be higher generation EBITDA, higher

EPC, but on a cluster-wise, the Y-o-Y increase is only INR230 crores to INR240 crores?

Sanjeev Churiwala : Yes. So we'll have to see the elimination, because when you look at the separate clients, those are basically gross contribution of the respected units. You want to put it together and then you eliminate the cost billing that is happening. So that way it is a net billing content. On a Y-o-Y basis as compared to almost INR750 crores of EBITDA that we gained previous year, this quarter, we are almost very close to INR1,000 crores. So to that extent, there have been about INR240-odd crores of increase in the EBITDA.

And also, if you look at Slide #54, you will see the renewable separate business is coming in the elimination as well. But my sense is to get very specific to what we are bidding, we will be getting time with us, and we'll be able to help clarify that better.

Satyadeep Jain : Sure, sure. So secondly, this nuclear opportunity, I wanted to understand, if I look at the retender bid, which is out there from, it seems like this is mainly targeted at high energy-intensive industries like steel, cement and data centers, which these customers put up the capital and the asset is actually owned and operated by NPCIL.

So how does a developer fit into this picture? Is it like going to be similar to a group which we have for RE where the customer puts up 26% equity. Is that the understanding? And then how initially, if you look at evaluate this, I know it's far out in the future, but in terms of economics and all, any preliminary idea how this looks like?

Praveer Sinha : I think the big document, which came from NPCIL was before the announcement by the Finance Minister. And I am not very sure that whether it really go through now in this changed circumstances because at that time, they had no plans to offer private sector being participated accepting that. They give the lease and the nuclear island will be owned and operated by NPCIL.

So I think the whole arrangement is going to change now with the announcement from the Finance Minister. And I think we should wait and watch for what eventually because now the game has changed fully because they'll allow private sector to come in and what sort of arrangement it will be that whether they will allow foreign participants or foreign technology or it will only be Indian technology. So I think let's wait and watch and get more details before we

are able to take a call on it.

Satyadeep Jain : And any sense on economics at all or too early to say?

Praveer Sinha : It would be very good, but a little early to say that initial numbers that we have seen, it will be very good.

Satyadeep Jain : Just one more question, if I can squeeze on the EPC business. There was no new order inflow for third -party utility, including the captive book, what is the strategy there? And on solar rooftop, you're assuming 3 million households in the next year. That seems like a big step -up from where you are, both in terms of market share and overall opportunities.

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So how much is the solar rooftop as a country, what is the execution so far? What is our market share for Tata Power? And what mix you think that this 3 million is achievable. So a 2 -part question on the overall third -party utility book and then on rooftop solar?

Praveer Sinha : So we have a very large third -party EPC book, including DCR modules where we have to supply. Most of them are getting executed in this year and part of it will get executed in the next financial year. We have undergone a change in the way we were doing EPC . We now do pure EPC without land. Again, we used to acquire land also for the EPC projects.

So we do not do that. Secondly, we wanted to execute all these projects before we take more orders and plan as a

part of our order book. We already also have now large in -house order book, where we have plans of adding more than 2 gigawatt per year. So we will be very cautious and careful i n terms of taking third -party EPC orders.

We will more concentrate on our own EPC projects under our group captive as well as utility scale. And secondly, we also have opportunity to sell modules, especially the DC R modules, where we can get better margins. So we will decide on what's is the mix of capacity EPC, our own EPC and the module supply and then take a call.

Sanjeev Churiwala : Request, if you could refer to Slide #32 of the uploaded deck that has bid amount of details of the breakup.

Praveer Sinha : This is obviously rooftop opportunity as well.

Sanjeev Churiwala : Slide 32 or 37.

Satyadeep Jain : But FY '25 so far that in terms of overall rooftop execution in the country and how much it seems like a big step up if you look at your own target for 3 million in the next few years?

Praveer Sinha : See, this was announced by the Prime Minister in January, and it took time for all these state governments and others to come to speed. So I think FY '25 next sort of enabling provisions have not happened in some of the states, the state government support orders have only come in November or January.

So let's see whether the various entities and also the state governments have created necessary infrastructure for executing these or not. And I think that has been done very well, you will see a great amount of push in the coming year than many of these w here people have registered will get executed in the com ing year.

Satyadeep Jain: Thank you so much and wish you all the best.

Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay : And many of my questions have been answered. It's just a follow -up question which I have on two aspects. One is your Renewable generation business. In spite of 25% of facility additions from 4.2 gigawatt to 5.2 gigawatt of commissioning, profitability growth hasn't been much. I understand the PLFs were down, but it was marginally by 60, 70, 80 as such.

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So are these profitability numbers which have been report ed? Are there run rate numbers o r is just a timing which has led to an underperformance in terms of profitability?

Sanjeev Churiwala : So you're right, there are 2 points to it. And definitely, this is not a run rate. Quarter 3, normally, our weaker quarter for every solar company because the radiations are low. And to the extent the average radiation that we kind of factored in this time was also low. And that to extent has impacted some of our margins.

And of course, there was a slight delay in some of our projects because of various reasons that has been factored into the pack. But go forward, that's not what we have envisaged, run rate would definitely be much better than this. You can refer to Slide # 62 of the uploaded deck that has the breakup of all these elements.

Praveer Sinha : Also, how -- if you see on a 9 -month basis, the generation is much higher than compared to last year. So what we have to see is because also of the weather factor changes like this year, the

monsoon was much extended, was right up to October. So many of the solar plants would not generate, which they could have otherwise down. So I think what is important is to see a 12 - month rolling plan rather than just going on in quarter -to-quarter basis.

Anuj Upadhyay : Fair point, sir. Secondly, on the nuclear segment. Any ballpark figure which you can throw on the capex per megawatt on this added or maybe plant nuclear capacity and what anticipated tariffs for unit? I know it's premature, but still any approximate figure would be helpful, sir?

Praveer Sinha : I cannot throw any figure on this. See, what happens is that these

are all dependent on where

you are getting the technology, what is the capacity of the plant and what is the efficiency of the plant. The efficiency of these plants has gone from 70% to 90% . So it all depends on what is the commitment that the supplier or the technology partner is getting in this.

And secondly, apart from the capex, what is important is this is the flip of the fuel. So from where you will uranium, what is the cost at which is it bilateral government to government basis. So there are a whole lot of unknown things, which are there at this present. And I would not like to hazard a guess on these numbers at this stage.

Anuj Upadhyay : Okay. And any update on the section -11 continuation of Mundra plant?

Praveer Sinha : As I mentioned to you that there is a huge demand of power, and I expect that to meet this additional demand of power, all the imported coal -based plants will be asked to continue operations. And we do expect that government will take the call on this in the later part of this month.

Anuj Upadhyay : Okay. And just a last one, sir, on the debt across WREL project. It has been zeroed in the current quarter. That has been completely paid up or it's been realigned to some other segment, sir?

Sanjeev Churiwala : Yes. So about 25 companies have now been merged with TPREL and that merger is effective from 1st of April. So the financials that you see is from.

Anuj Upadhyay : Okay. So the WREL that has been now move to TPREL?

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Sanjeev Churiwala : So WREL is basically a GENCO , generating company and as part of our strategy, we have moved it and merged with TPREL, which is also has a large portfolio of GENCO . So we didn't want to have separate for separate GENCOs , most of the numbers together. WREL itself what about 22 -odd companies.

So if you see Slide #66, you kind of find the details between quarter 3 and quarter 2. Quarter 2 of FY '25 was there, if you kind of give you a good reflection of the merged entities.

Anuj Upadhyay: Got it, sir. That's helpful and thanks for the opportunity. Wish you best of luck.

Moderator: Thank you. The next question is from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar : So my first question, I may have missed this earlier, but what is the impact of the APTEL claim on the third quarter results from Mundra. Is there -- did you give a number and may I missed it?

Did you -- You mentioned the note number 3 on the APTEL order and some claim provision has been made in the third quarter. What is that figure?

Sanjeev Churiwala : Maybe I will not have it off hand, but to write it to us separately or providing the details.

Rajesh Majumdar : Okay. So it is not INR322 crores, as you mentioned earlier on some figures, this is not the same number, right? Not INR322 crores.

Sanjeev Churiwala : Also, there is a combination of things over there. Now question is very, very specific to a litigation . So we were very, very clear on what we're providing you.

Rajesh Majumdar : Okay. So I just wanted to assess the impact of that is a onetime on the stand alone performance has been significantly higher this quarter?

Sanjeev Churiwala : No, because I think I had mentioned earlier that there is a one -off now, which is INR332-odd crore. And there was a one -off last year of INR311 crores. So by and large the one -off gets netted off, so first, the number that you see is already a like -for-like number.

Rajesh Majumdar : All right. So it's netted about INR20 crores only, that's it?

Sanjeev Churiwala : Yes.

Rajesh Majumdar : Okay. Sir, my next question is on the Odisha discom. If you look at the 9 -month run rate of the Odisha DISCOMs, we are going at a run rate much significantly lower than last year. And at the same time, last year, we were having a run rate of nearly somewhere around INR200-odd crores. And now

it's about INR150 crores at the PAT level.

So we had a target of hitting a INR250 crore s kind of PAT level in the discom, except for CESU, all the other -- I mean South and West are particularly lagging. Is there any reason for this? And when do we see some kind of change in these numbers?

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Praveer Sinha : What typically happens in Odisha or has happened in the last year. In the first quarter, we could not do much because there were elections in Odisha and because of that reason, a lot of action on billing collection could not be done. It has got up in the last quarter. And the last quarter, that is the present quarter, you will see a substantial improvement on building efficiency, collection efficiency, which has the impact on the. So we'll definitely do much better than what you see now, and there will be substantial improvement going forward.

Rajesh Majumdar : And secondly, sir, are you bidding for any other discom in terms of the opportunities that are coming up now in India, what the Finance Minister spoke about any circles that you're bidding for, which could be there in the near future?

Praveer Sinha : See, we are definitely looking at opportunities. Bids have not come. So as and when the bids come, we'll definitely be looking to bid very aggressively and take few of the discoms.

Rajesh Majumdar : And just on this note, could you break up your capex, say, for the next 2, 3 years into the different areas? Like how much will be from the own generation, how much will be for other things and so on and so forth? The capex breakup of you say is roughly INR20,000 crores per annum that you've outlined?

Praveer Sinha : I think we have shared it earlier in our analyst presentation. Rajesh will be able to mention to you which slides are there. If you see Slide 43 of the analyst presentation, you will be able to get the full details. It brings out everything of where in that traditional generation, pump storage, transmission, distribution, renewable. Slide 43.

Rajesh Majumdar : Right, sir. I'll take a note then. If I could just have another question on this regard is that on the FDRE projects that you like won, are you seeing any traction in terms of the PPA, et cetera or do you foresee delays in it? What is your own internal assessment, this segment of the business? Is it going to be like a big part of the overall scheme of things or is going to be slow, and there are issues with this?

Sanjeev Churiwala : I don't know if we have any issue around the FDRE project.

Praveer Sinha : We don't have any issue at all.

Rajesh Majumdar : So where is the PPAs expected on this on the 2 projects that you won in FDRE?

Sanjeev Churiwala : PPA is there. And I think everything is fine. We had also shared in our December presentation that we have PPA for 90% of the project.

Rajesh Majumdar : So that means 1.3 gigawatt SJV and FDRE is going to get commissioned in FY '26. Is that correct?

Sanjeev Churiwala : Yes. So only the NTPC project is waiting for PPA, rest all the projects are PPA in this.

Rajesh Majumdar : Okay. Thanks so much.

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Moderator: Thank you. The next question is from the line of Mithil Bhuvra from Unlisted India.com. Please go ahead.

Mithil Bhuvra : Congratulations on the good set of numbers. On the contrary to the peers, I feel the presentation is excellent. I mean the presentation on the results, giving breakup of so many companies with excellent presentation, sir. Just I had a doubt on Slide #52. So when we see the numbers for Tata, that is the Delhi discom, we own only 51% stake here, but the numbers shown here, the EBITDA and the revenue is 100%, right, actually?

Sanjeev Churiwala : Yes, you're right.

Mithil Bhuvra : Yes, even in the Odisha discoms, you are only 51%. So is it kind of a wrong presentation because

we own actually only 51% of it. So only half of it belongs to us?

Sanjeev Churiwala : So performance basis, the overall number comes in, and the minority interest is then eliminated below. So if you really see, whatever is consolidated, we do that. And for each of the point, you've also given a chart to explain our share around that. So I think it's very transparently given us well.

Mithil Bhuvra : Okay. So the elimination includes those things, I mean, the 51%?

Sanjeev Churiwala : Whereby it's a subsidiary. Of course, the entire thing is getting consolidated. It's only in case of joint ventures, partly minority interest, we only take that respective share.

Mithil Bhuvra : But isn't that kind of wrong presentation because we own only 51% in it and you're showing the 100% number. So the overall EBITDA number looks bigger, but we own only 51% actually?

Sanjeev Churiwala : That's the accounting standard. We have to consolidate, it is a subsidiary for us.

Mithil Bhuvra : Yes. But in the presentation, at least we can give only the 51% number, I mean not according to the accounting standard, but at least for the presentation?

Sanjeev Churiwala : Yes, we can, but that will not really serve any purpose because what happens is the way I would expect the investors to look at it. I think how is the performance of this company overall and not

the performance of the 51% share that we have. So even the most if you see the accounts very clearly, the profit is kind of executed broken up into for the equity shareholders and for the non-controlling interest. That's the bid breakup is also there in the accounts.

Mithil Bhuva : Okay. Sir, also another question is that are we looking to do any fundraising, equity fundraising to repay our high-cost debt or anything for the future bid? I mean our peers have been doing that. That's why?

Sanjeev Churiwala : I don't know what the peers, but we don't have high-cost debt.

Mithil Bhuva : Like the current stock price is good enough to raise funds right at lower rates and to repay the high-cost debt. So isn't that a good opportunity?

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Praveer Sinha : Thank you for your advice.

Mithil Bhuva : We have used one. I mean the retail investors just love Tata Power. So if we can do your fundraising and repay our high cost that's well. That's the idea.

Praveer Sinha : Mithil, we'll have a separate chat come over, and we'll talk to each.

Mithil Bhuva : Okay. So one more doubt, sir. And the coal mining, are we profitable there? Are we looking to get back to coal plants because our peers have been looking to buy coal plans? So are we looking at the coal and the power business -- the thermal business again, anything on the actual business on the thermal power plant?

Sanjeev Churiwala : I think we are very clearly focusing right now on our energy transition business. And as you have heard earlier speakers say they want to see more growth in the renewable sector. So I think we should focus on over there.

Mithil Bhuva : One last question, sir.

Moderator: Sorry to interrupt to move on to the next.

Mithil Bhuva: Okay. Thank you.

Moderator: The next question is from the line of Swati Jhunjhunwala from JM Financial PMS. Please go ahead.

Swati Jhunjhunwala : Thanks for taking my question. So most of my questions have been answered. Just one on the PM Surya Ghar Yojana . So just wanted to understand what is the average revenue per megawatt that you were seeing here that you can make given that we have such a big target of 3 million households? And secondly, what is the kind of IRR you are looking at in this solar rooftop business? Just these two for now?

Praveer Sinha : So basically, the cost of 1 kilowatt of rooftop is about INR60,000 to INR65,000 depending upon the location. And this is on a sale basis. So that means there is no IRR in this, but there is a profit margin

that we have. And those profit margins, we have shared with you in rooftop business, what sort of profit margins.

We not really get and then you can see from there. So that's what we are looking at. But the numbers that you typically end up doing huge numbers, you would do in a year, say 1 lakh rooftop solar of say, 3 kilowatt or 5 kilowatt and you can imagine the type of capacity add and the type of returns we'll get from that.

And the numbers that we are seeing and the opportunity that we are seeing for ourselves based on the agreement or MoUs that we have signed in few of the states shows that we will be doing a huge number of such rooftops in the coming years.

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Swati Jhunjhunwala : Understood. And sir, just one more. So is there any target plan that you have yet decided for how you are going to ramp up to 3 million in 3 years? Is there any plan there that you can share right now?

Praveer Sinha : The 3 million means 30 lakhs in 3 years means average 10 lakhs per year. It can be more also. So it all depends on how quickly, we are able to streamline our processes and implement them.

Swati Jhunjhunwala: Understood. Sure. Thanks.

Moderator: Thank you. We have no further questions, ladies and gentlemen. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Praveer Sinha : Thank you all for joining for this analyst call. If you have any more queries, please connect with my colleagues from Investor Relations. We have tried to give as much of information as possible in our presentations, but we continue to look forward for your comments so that we can further improve the presentation quality both in terms of content and detailing . And we would be more than happy to connect with you offline also and respond to your queries. Thank you. Once again for joining us.

Moderator: Thank you, sir. On behalf of Tata Power, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: May 2025

May 16, 2025

BSE Limited Corporate Relationship Department 1
st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort Mumbai – 400 001. Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block
Bandra-Kurla Complex
Bandra (East) Mumbai – 400 051. Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on May 14, 2025, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and year ended March 31, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:
<https://www.tatapower.com/investor-resource-center#tabs-76324829de-item-26b1f57887-tab>
You are requested to take the same on record.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl - As above

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"The Tata Power Company Limited
Q4 & FY '2 025 Earnings Conference Call "

May 14, 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. RAJESH LACHHANI – HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITE D

The Tata Power Company Limited
May 14, 2025

Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 FY '25 Earnings Conference Call.

As a reminder, all participants' lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*", then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Dr. Praveer Sinha – CEO & Managing Director of Tata Power. Thank you, and over to you.

Dr. Praveer Sinha: Thank you, Yashashri. Good evening, everyone. And thank you for joining for the analyst call.

I am joined today by my colleagues, CFO – Mr. Sanjeev Churiwala, Mr. J.V. Patil, Group Financial Controller, Mr. Kasturi Soundararajan, Chief Treasury & Investor Relations, Mr. Rajesh Lachhani, Head Investor Relations and few other members from our Finance Team.

Let me first put the perspective of the power sector:

Last year the growth of power demand for the whole year has been nearly 5%, and in the March quarter it was nearly 4%. And we expect that this year also the growth will be in the range of about 5%. Though in the month of April we have only seen 2% growth, we do expect that this year the peak demand will increase to something like 270 gigawatts. And the way the power sector is geared up, I think we will be able to meet that additional load. From Tata Power's side also, all our plants will be operating at full capacity, so that whatever is our commitment in terms of supply we will be able to meet.

Coming to our performance:

This is the 22nd successive quarter in which our PAT has grown. Our reported PAT is nearly 25% higher in the March quarter, which is at Rs. 1,306 crores, while the adjusted PAT is 16% higher at Rs. 1,288 crores compared to last year's Rs. 1,109 crores. Our Q4 EBITDA has also increased 14% to Rs. 3,829 crores compared to last year's Rs. 3,358 crores.

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Coming to the full year:

FY '25 has been a historic year where for the first time the Company has posted a PAT in excess of Rs. 5,000 crores, and underlying EBITDA has been more than Rs. 15,000 crores, while the reported revenue has gone up by 5% to Rs. 64,502 crores. The PAT before exceptional has gone to Rs. 5,197 crores, which is a 26% increase on year-on-year basis. And the underlying EBITDA has increased by 10% to Rs. 15,261 crores. This achievement has been possible because many of our core businesses have performed exceedingly well. Our existing generation business has done very well, transmission and distribution has also done well, and similarly our renewable business has also done very well. And as we had shared with you last year, we are on track to double our PAT and EBITDA by FY '30.

For the year FY '25, the renewables business, we could achieve a capacity add of 1,026 megawatts. And for the first time we have been able to add capacity of more than 1 gigawatt. We also in the quarter commissioned 166 gigawatts of capacity. And over the years we have seen that our capacity adds has been growing. We also have a very good pipeline of our renewables business where nearly 5.5 gigawatts of capacity will get added in the next six months to 24 months, where land for most of the projects have been acquired as also the connectivity.

And we do hope that our target to have nearly 70% clean and green energy by 2030 will be possible, not only with the renewables projects that we are setting up, but also the pumped hydro project where the work has already started in the 1,000 megawatts Bhivpuri project and work in 1,800 megawatts Shirawata pumped hydro will start in the later part of the year. Our project in Bhutan, the 600

megawatts Khorlochhu project,

the work has already started from 1 January, and we expect that by November '29, the project will be completed.

In our solar business, especially the solar rooftop business, our revenues have gone up by 40% in the quarter to Rs. 865 crores and EBITDA has gone up by 72% to Rs. 132 crores. For the full year, our rooftop business had sales of nearly 782 megawatts peak with a revenue of Rs. 2,210 crores and PAT of Rs. 209 crores. And in the coming year, that is FY '26, we expect that this will nearly double considering that huge initiatives are being taken by us along with the government PM Surya Ghar project, especially in

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the states of Odisha, UP, Rajasthan, Assam and Maharashtra. We, in fact, continue to be number one in rooftop solar with our presence in more than 700 cities.

Coming to our manufacturing of solar cell and module :

The plant is now fully operational at Tirunelveli, and they are operating at more than 90% each. In this year though we started production a little late, in the whole year we have supplied nearly 3,300 megawatts of modules. In this quarter, we could supply 913 megawatts of modules and 650 megawatts of cells. And the reported revenue of this quarter was Rs. 1,500 crores and the EBITDA margin has gone up to 27%.

For the full year , TP Solar has reported revenue of Rs. 5,337 crores, EBITDA of Rs. 875 crores and PAT of Rs. 422 crores. With both the cell and module line fully operational, we do expect that in the coming year we will cross the 3,700 megawatts of production of both cells and modules.

In our T&D business also, which actually has shown record performance this year, in the quarter our revenue was Rs. 9,590 crores, PAT of Rs. 616 crores. For the full year, the revenue of T&D business is Rs. 39,122 crores and a PAT of Rs. 2,000 crores. This has been possible because of excellent performance by all our distribution companies, including Odisha Discoms, where the PAT has gone up by more than 3 x for the whole year. In fact, in Odisha Discoms, our PAT increased to Rs. 439 crores from Rs. 307 crores in the previous year. And we do expect that with the operations stabilizing and a whole lot of work that has been done in improving the quality of service, this performance will further improve in the coming year.

With all our distribution business, whether it is in Odisha, Delhi, Mumbai and Ajmer doing very good, the Company is also looking at the opportunities to expand, especially in some of the states where the distribution bidding process will start in the latter part of this month . And we do expect that, especially in UP where the big process is starting, we will be able to increase our footprint.

Our balance sheet with all these investments continues to be very , very strong. We had a CAPEX of Rs. 4,100 crores in the last quarter, and in the whole year we had a CAPEX of Rs. 16,200 crores. And in the coming year we have a plan of having a CAPEX of Rs. 25,000 crores. In spite of such a large CAPEX , we have been able to have the net debt at Rs. 44,700 crores . And our net debt to underlying EBITDA continues to be less

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than 3, it is actually at 2.93 , and our net debt to equity is at 1.0 compared to 1.1 in the previous quarter.

And because of these reasons, we continue to get the best ratings in corporate India and in the power sector. In fact, Moody's has recently upgraded the outlook on Tata Power from Ba 1 stable to Ba1 positive. Tata Power is committed to go for very calibrated growth and our CAPEX plan not only for FY '26 but for subsequent years is on track. And we do believe that our investments in hydro projects in Bhutan, pumped hydro projects in our existing hydro businesses, T&D investments in our transmission lines and distrib

ution projects , as well as in our renewables will help us to sustain the good performance of the Company and maintain the track record of growth in profit for next few quarters.

We believe that this is possible because there is a very strong foundation for the business and our growth plans are very well defined and calibrated. We look forward for your continued support.

And with this, I will return to Yashashri to open the floor for questions -and-answers.

Moderator: Thank you, sir. Ladies and gentlemen, we will now begin the question -and-answer session. We will take our first question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening, sir. My first question is in relation to CAPEX . On the 3rd Quarter call you had expressed confidence that the Company would be able to achieve its target of Rs. 210 billion of CAPEX that you had set for yourselves , and which would have implied nearly Rs. 9,000 crores to Rs. 10,000 crores of CAPEX in Q4. So, what led to the shortfall on CAPEX ? And even in the December Analysts Meet we spoke about 588 megawatts of renewable capacity addition in Q4 against which 166 megawatts have got added. So what are the challenges here which delayed your CAPEX and your capacity addition targets given that they were just three months out? That's the first

question.

Dr. Praveer Sinha: So our CAPEX for the whole year is Rs. 16,200 crores, for the 4th Quarter it was Rs. 4,000 crores plus. There were some delays in execution of projects. One was in the renewables, some of the locations, the transmissions, and evacuation system, which is

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being done by the other companies, they could not be set up. And because of those delays we could not complete the project in time and evacuate the power.

The second is some of the transmission lines that we were doing, those also got delayed because of right of way issues. We have been able to sort that out. And whatever we could not complete in the last quarter, we will be able to meet all those in this quarter. So, it's not that they have been deferred but it's just that the implementation timeline has got a little delayed for various reasons. And we are on track to make up in the coming quarters.

Sumit Kishore: Sure. So the transmission evacuation issues are largely sorted to commission 2.5 gigawatts plus of renewable in FY '26 like you targeted?

Dr. Praveer Sinha: Yes. This year we will commission nearly 2.5 gigawatts to 2.7 gigawatts of renewable projects. Last year we actually completed the 2.3 gigawatts of projects.

Sumit Kishore: Yes. My compliments on your very strong performance in the solar cell business operationally, both for very high levels of capacity utilization and the ramp up in cell production seen soon after commissioning. But it seems that the margin performance is also very strong, and it appears to be driven by a third-party sale of modules which are integrated with cells in the 4th Quarter. So, is this something that is likely to continue at this scale in FY '26 where you said you will have almost 3,700 megawatts of module and cell production? So, how should we think about the third-party mix? And any volatility through the year that you expect because of your internal requirements, if you could talk about that?

Dr. Praveer Sinha: So, as you are aware we commissioned the cell plant in the last quarter, and it has ramped up now to full capacity. You will only see improvement of it because in Q4 we produced 650 megawatts while in FY '26 we are expecting more than 3,700 megawatts. So, you can expect the full impact of production coming in the financial year. Similarly, the module line also has now stabilized, and you will see much better performance in the coming year. So you can assume that the plant will work at full capacity for

high all the steps have been taken by the Company.

Sumit Kishore: Sir my question was on, what will be the proportion of third-party sale in your solar module and cell business, because that is not going to get eliminated on consolidation?

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Dr. Praveer Sinha: I think we have huge backlog of orders that we need to execute. We ourselves have large projects and it's for our own Company. In addition to that, we have some third-party EPC obligations which we need to complete in the next six months. So, at least till this 3rd Quarter we do not have any excess capacity. In addition to that, as I mentioned to you, we are going to increase the supply to rooftop solar. And again, nearly 1 gigawatt will be required over there. So I think that we have a huge pipeline of orders to be executed. And most of these cells and modules that we will produce will get consumed ourselves. Maybe in subsequent years we might have some extra capacity for third-party.

Sanjeev Churiwala: And just to add to what Dr. Sinha said, when we say in-house consumption, even our third-party EPC that we do, finally the profit will also boil down to the consolidated profit of the renewal businesses. So kind of if you look at a consolidated basis, all the DCR cell that goes to third-party EPC businesses that we are doing and we do have a backlog of that, that will add up to the profits.

Sumit Kishore: Okay. So your third-party order backlog is how big right now for module cells?

Sanjeev Churiwala: I think next year for sure we may have about the delivery of 1 gigawatt or around so, to be done for the third-party EPC.

Sumit Kishore: Beyond the solar Rooftop?

Sanjeev Churiwala: Yes, Sumit, it's beyond solar Rooftop.

Dr. Praveer Sinha: Yes.

Moderator: Thank you. We will take our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Good evening, sir. Thanks for the opportunity. My first question was, there was

a news in the media that you are rethinking about exiting coal business , is that true? If true, are you also exploring organic growth?

Sanjeev Churiwala: Yes. I think there are mixed reactions that you see in the papers and all. I think as Dr. Sinha said, we will be opportunistic. If some opportunities come, we will see. But as of now, we are kind of more determined to ensure our capital allocation goes to our growth businesses, which is in the renewable and transmission and distribution.

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Mohit Kumar: Understood. Sir, my second question is, there is a Note Number 2 which talks about some adjustment from the CERC judgment. What is the impact of that Note Number 2 in this particular quarter?

Sanjeev Churiwala: There is no impact in this quarter. This pertains to the earlier quarter, which we have already discussed , the CERC order dated 3rd January 2003.

Mohit Kumar: Yes. They say they issued the final order in claim of , so you have tried up the amount. So that is what it says, that's why I am trying to chime in.

Sanjeev Churiwala: This order is kind of more supporting us in terms of collecting our receivables.

Mohit Kumar: So there is no material impact in this quarter , is that right?

Sanjeev Churiwala: Yes. So there is no impact on the P&L, because to that extent, as and when we are selling, we have also been booking as per the MOP orders. So , there is no impact on the P&L.

Mohit Kumar: My last question is, is it possible to break up the CAPEX layout across the various businesses for FY '26?

Sanjeev Churiwala: We have about a CAPEX layout of close to about Rs. 25,000 -odd crores for next year. And if I do a breakup, around 60% of the layout allocation will happen in our renewable businesses . Given that we are also growing our transmission and distribution, CAPEX

of about 30% odd will go there and the remaining are there. But this will remain dynamic. This is a broad allocation that we are starting the year. But depending upon the situation on the ground, the allocation might change.

Mohit Kumar: Understood, sir. Thank you. And all the best, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Hi, sir. Thank you for the opportunity. A couple of questions, sir, firstly on the cell module manufacturing business . I see in your presentation that we have commissioned a TOPCon pilot line as well , would you mind throwing some update on that? I mean, when do we intend to upgrade our PERC capacity?

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Dr. Praveer Sinha: So, right now we will continue with the 4 gigawatts of Mono -PERC and 300 megawatts of TOPCon. So that whatever technology we have used and the efficiency that we are getting, we maximize on that. Whenever the opportunity and the market demand is there for TOPCon, we will examine it at that stage. But right now, we will continue with the operation of these lines.

Apoorva Bahadur: Okay, sir. And sir, given the strong utilization which we are seeing for our cell module line, is there any plan to add capacity over here?

Dr. Praveer Sinha: We keep on examining these types of proposals. At the right time we will take a call.

Apoorva Bahadur: Okay. Lastly, I wanted to understand our strategy for Tata Projects. I think we have been holding this business for quite some time, have been getting diluted here , twice there has been a rights issue. So, how do we sort of look at this business? The intent is to hold it till a possible listing or maybe a sale to the parent at some time?

Dr. Praveer Sinha: So, as you are aware that Tata Projects came up with rights issue. And since we are now focusing on our core businesses, we have not subscribed to that. And we want to use our money for our own CAPEX growth, which we have planned. As far as Tata Projects is concerned, they have an ambitious plan. And hopefully in the next one to three years, they will perform very well and start making a profit . And maybe at the appropriate time Tata Projects ' management will take a decision on what they need to pursue to make it more robust in terms of a listing or whatever they have to do.

Apoorva Bahadur: Great, sir. One last question, if I can squeeze it in , and this is regarding the ordering for the wind plants. Wanted to know if we are through with all the orders that could be placed?

Dr. Praveer Sinha: Yes. In the final stages, hopefully in the next three to four weeks.

Apoorva Bahadur: Understood, sir. Thank you so much. All the best.

Dr. Praveer Sinha: Thank you.

Moderator: We will take our next question from the line of Satyadeep Jain from Ambit Capital.

Please go ahead.

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Satyadeep Jain: Hi. Thank you. First, Mr. Sinha, just a clarification question. My question is to what you responded to Mohit's question on the media articles around thermal. It seems you indicate that if there's an opportunity that comes along, you may look at it. Is that a strategic change? Because the earlier target was that you will phase out all the coal plants that you have by 2045 or something. Is there a change in that strategy that you might be opportunistic, and you may not phase out all the coal plants, you may look at coal? I know the word opportunistic, but that means you are open to evaluating different opportunities if there's a change in strategy, just want to understand that.

Dr. Praveer Sinha: So, our end date of 2045 continues to be there. So, it's the end date of where we will divest or we will close down the plants by 2045 for all the coal-based plants where we have the PPAs. But as

I mentioned to you, if there's some stressed asset or some asset which is there, and typically they would have been in operation for some period, we can look at that. But these are, again, very speculative at this stage. There's no plan per se that we are immediately going for anything like that.

Satyadeep Jain: Okay. Just on the RE, I know you acquired more IS TS connectivity, and there have been some delays in transmission evacuation. Now, what is your intent, you are acquiring more transmission connectivity? And given your targets, given the issues we have seen in transmission ROW, is that why you are holding off on maybe more aggressively building pipelines beyond the next two years? What's the thought there, and what's driving that strategy, whatever may be exercising caution on building future pipeline?

Dr. Praveer Sinha: So, as you are aware, there are challenges in acquisition of land and getting evacuation permission. So, as a long-term investment strategy, we continue to acquire land in various places, and also keep on applying for connectivity, so that we do not have to start looking for it when we win the project. And as you are aware, we do a large number of projects, not only utility-scale, but also under group captive for various industries as also for many of the group companies in Tata Group. So we definitely would be quite aggressive in the acquisition of land, as also getting the necessary connectivity from these locations.

Satyadeep Jain: Okay. Just one question if I can squeeze on very high margins you report in rooftop solar, and also Odisha Discoms I think there is some ECL provisioning write back is done. Just wanted to understand that ECL provisioning and what basically drove the profitability in Odisha, and also the rooftop solar? Thank you.

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Dr. Praveer Sinha: So, Odisha Discoms is a different business and that has nothing to do with the rooftop, excepting for the fact that they do support rooftop initiative that we take in Odisha. So I think we need to look at both of them separately rather than at once.

Satyadeep Jain: No, sir. Separately, but just want to understand what happened in those two different businesses? Just what led to high profitability in solar rooftop in that quarter? And also separately, Discom also reported very high profit, and it seems like there is some ECL provisioning write back, just wanted to understand two different businesses what led to the good performance here.

Sanjeev Churiwala: So I think you are right, there are two different businesses. On Odisha, of course, as you can see there is a continuous reduction in the AT&C losses, better efficiencies have come in, better billing and better collection have happened. And back on this we have better profitability. They are having some ECL provisioning in terms of clearing up some of the past dues. But even after providing for those ECL provisioning we delivered a very good set of numbers in Odisha. And hopefully, we have created a good baseline to kind of grow from here. So that's on Odisha.

On the rooftop businesses, I think the 4th Quarter has been a phenomenal quarter for us where we have delivered good growth. When you look at the numbers of rooftop for the quarter we have kind of delivered close to about Rs. 860 crores, Rs. 870 crores in terms of the top line revenues with a very healthy PAT margin. And that demonstrates our ability to penetrate the market, capturing the market share, getting a premium for our product based on a high amount of trust that the consumer has. We

are kind of operating with 600 -plus channel partners and we want to ensure that the growth that we have in the 4th Quarter we can continue this growth in the coming quarters as well.

Satyadeep Jain: Okay. Thank you so much. And wish you the best.

Moderator: Thank you. We will

take our next question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Yes. Hi. Thanks for the opportunity. Sir one clarification is that, the Government of India has come out with the new Shakti Scheme, which allowed imported coal-based power plant to source coal from the domestic sources. Do you think it makes sense for Mundra to tie up the domestic coal in the long term?

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Dr. Praveer Sinha: The Mundra plant is designed for imported coal, and imported coal has different chemical characteristics. It's not just the heat rate but what is the sulfur content, nitrogen content, what is the ash content. So there are a whole lot of chemical characteristics that it needs to comply to. So we need to consider all these aspects when we go for change in coal. So, because of that reason, for us it does not make sense to go for domestic coal. Secondly, the cost of coal if we get from eastern part of India, especially in terms of the transportation cost, is very high. And for us, until and unless we are able to have a very differentiated arrangement which brings down the cost of coal, and also brings down the transportation cost, it will not make real sense to move to any other coal than what we are using at the moment.

Mohit Kumar: Understood. The second question is, is there any update on the financial closure of the Pumped Storage Power Plant which you are building up the facility with 1,000 megawatts?

Sanjeev Churiwala: So, yes, we are working on financial closure. The discussions are happening with the banks. We have just started the work, so we still have a few months to close that.

Dr. Praveer Sinha: Yes. But the work is going on at the pumped storage project. So, notwithstanding the financial closure, the internal accrual is supporting the investment that is required for the project.

Mohit Kumar: Understood, sir. Thank you. And all the best, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Rajesh Bhojani from NSG Tech. Please go ahead.

Rajesh Bhojani: Yes. Thank you, ma'am, for the opportunity. I was interested if the Company is expanding in battery energy storage system?

Dr. Praveer Sinha: Yes. We set up those projects as a part of the complex renewable projects. So, we arrange source batteries from suppliers and combine it with solar and wind projects that we set up. So, it's a part of the hybrid solution that we are implementing.

Rajesh Bhojani: Yes, sir. And are there any challenges in the renewable sector in point of view with the government policy?

Dr. Praveer Sinha: No, there are no challenges, nothing like that.

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Rajesh Bhojani: Okay, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Bharanidhar from Avendus Spark. Please go ahead.

Bharanidhar: Okay. Just wanted to understand some operational and financial metrics on the Mundra Coal and Shipping line item in the cluster-wise performance slide, where we have seen a very good improvement in profitability and PAT in FY '25 versus FY '24, meaning Rs. 57 crores of PAT going up to Rs. 107 crores. So, what is driving this? And some color on how much spreads we are making per unit in Mundra and what would be the outlook for '26? That would be great.

Sanjeev Churiwala: So, if you are looking at the full year PAT, there are a couple of things there. A, suppose last year and this year the plant continues to run on Section -11, last year one unit was down so we were running on four units, this year we are running on the five units, so to the extent there's better contribution coming through. And that's the key reason. And there we have one of the regulatory upside coming in for Mundra, which was pending for the last almost a decade now, which has

been reported in the earlier quarters, almost at a figure of Rs. 332-odd crores. So that is because of that.

Bharanidhar: Understood. So, what would be the outlook for '26, sir, regarding Section -11?

Sanjeev Churiwala: It all depends. It's too difficult for us to predict the outcome for the entire year. As of now, Section -11 has been extended for two months. And we are also trying to very amicably work along and get into a revised PPA with them, with the government. So, it's too early for us to make any kind of comment as to how '26 will look like. But we are working towards the resolution.

Bharanidhar: Understood. And some updates on the UP privatization of Discoms and where is it at and when it is likely to be opened the bid, that would be helpful.

Dr. Praveer Sinha: UP have appointed a consultant to work on the bid process for two Discoms. We are also part of it, and hopefully, we would like to do something out there. But I think we are still working for good.

Bharanidhar: Okay. Thank you so much. And all the best.

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Moderator: Thank you. We will take our next question from the line of Atul Tiwari from JPMorgan. Please go ahead.

Atul Tiwari: Yes, sir. Thanks a lot. Sir, again on the pumped storage plants where you have started the work, what is the status of long-term PPAs there? Are you looking at something? And in case the PPA is not there, do you think financial closure will be possible from financial institution side?

Dr. Praveer Sinha: So, pumped hydro is being developed to basically give bundled power along with solar and wind. This will be done for both the utility-scale projects as well as for many of our C&I customers. This is a work in progress. This will take at least six more months for us to get finalized, so that we have maximum value for the investment that we are making in this project. As you know that many of the companies have to go for 24/7 renewable power as well as many of the Discoms are wanting to do that. Pumped hydro has a unique ability to give this power 365 days for eight hours every day. So, I think we need to position it in such a way that whether industries or utilities, they want certainty on the pumped hydro plant, they will be going for this along with the other renewable sources.

Atul Tiwari: Okay, sir. Thanks.

Moderator: Thank you. We will take our next question from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes. Hi. Thanks for the opportunity, sir. Sir, firstly on the EPC margin excluding the rooftop segment, it still struggles to cross 5% at EBITDA level EPC for the Q4. So, the reason behind that? And secondly, your wind PLF continues to struggle to cross 20% kind of a level, so what actually has been impacting the wind performance out here?

Sanjeev Churiwala: So, I think if you see the presentation that has been uploaded, I will just tell you the slide number. And if you see the EBITDA margin and PAT margin, PAT margin is consistent about 5% and EBITDA margin is beyond that, closer to 8% to 9%. And that's the targeted range we want to be in. So I think we are doing absolutely fine with respect to margins in our businesses.

Anuj Upadhyay: So, I guess the consol margin comes at around 8% to 9%, but the EPC is still in the range of 5% to 6%? I am referring to your slides only, sir.

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Sanjeev Churiwala: Yes. EPC business, if you look at it, we are delivering a margin of close to 5%.

Anuj Upadhyay: Yes. So, I mean, initially the sense was that the EPC segment, excluding the rooftop I am saying, could scale up a level of around 7% to 8%. So that time we had this concern that we had orders which were at a low margin business, and we had actually executed those low margin EPC work, so the upcoming orders would be of a healthy margin. But

still we see the margins to struggle somewhere in the range of 5% to 6% only.

Sanjeev Churiwala: I do not know where we are kind of missing your expectation. In slide number 62, for the quarter, for the EPC we delivered less than 3%. For the full year as well, we are delivering at 5%. And throughout the EPC business, and I think for the last couple of years we have said that we kind of want to maintain a margin profile of 5%. So that has been very consistent as well. And it's kind of done better than the previous year now. You see, for the last full year, when the margin was 3.3%, I very clearly remember we said that we are targeting 5%, and this year we are delivering 5%.

Anuj Upadhyay: Fine, sir. I will take this offline. And on the wind side?

Sanjeev Churiwala: On the wind side ?

Anuj Upadhyay: Wind PLF which continues to be at around 20% PLF.

Dr. Praveer Sinha: So, see, what happens is whether it is wind or solar, what we need to ensure is the availability of the plant. And the availability of all these plants has been in the 99 -plus range. The PLF is dependent upon the wind speed or what is the solar level. So , last year the wind speeds in many places were not very good. And that is why the wind PLFs are low. But our plant availability continues to be very high in all places.

Sanjeev Churiwala: Yes. And I think to be very precise, slide number 61 of the presentation has the full detail. And normally when we look at the wind PLF, we are in the zone of 19.5% to 20%. And that is what perhaps is the right zone.

Anuj Upadhyay: Okay, sir. And lastly sir, of the Rs. 1,078 crores of PAT which we have recorded for Mundra coal and shipment category, can you specifically mention how much was contribution from Mundra in it?

Sanjeev Churiwala: It's a combination of various things, but we can tell it to you separately.

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Moderator: Thank you.

Anuj Upadhyay: Fine, sir. That's helpful.

Moderator: We will take our next question from the line of Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Yes, sir. Thank you for the opportunity. My first question is on the cell and module operations. So just to understand, could you talk about what sort of realizations you will be getting in the market for these external sales, both for DCR and non -DCR module sales? And secondly, sort of heading into FY '26, what sort of EBITDA margin do you think this entity can make ?

Dr. Praveer Sinha: See, as I mentioned to you, we are not selling these DCR modules as such. A very small quantity we sell , depending upon the timelines in which it is required. Mostly it is being used in -house for our in -house projects or for the third -party EPCs that we are executing, for which we already had an order earlier with us . So, to that extent, we may not be able to share what sort of price will be applicable for the sale of just the DCR modules. You can see the margins which is there , the Q4 margin is just an indication. Going forward, it will further improve because the efficiency and the yields are improving. So , you can consider much better returns and a much better margin in the future projects.

Aniket Mittal: Okay. And just one bookkeeping question , for your Tata Power Solar EPC arm, what's the overall order book currently?

Sanjeev Churiwala: It should be about close to Rs. 11,000 -odd crores.

Aniket Mittal: This includes rooftop?

Dr. Praveer Sinha: Rooftop is separate , this is the large utility scale.

Aniket Mittal: Okay. Rs. 11,000 crores. And about Rs. 1,000 crores rooftop.

Dr. Praveer Sinha: Yes.

Aniket Mittal: Just to clarify, of this Rs. 11,000 crores, how much would be external? How much would be for own Tata Power?

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Dr. Praveer Sinha: Around Rs. 4,000 crores would be external and remaining would

be our own.

Aniket Mittal: Got it. Thank you. Those were my questions.

Moderator: Thank you. We will take our next question from the line of Rajesh Majumdar from B&K Securities. Please go ahead.

Rajesh Majumdar: Yes. Good evening, everyone. So I have another question Odisha Discoms, we have seen a sharp jump in the profitability in Q4 as well as for the year for Odisha Discoms. So how sustainable is this ? And what would be a kind of long run kind of PAT we can assume from this? Will it be slightly lower than this or will it be slightly higher than this?

Dr. Praveer Sinha: So Odisha Discoms had their huge challenges because there were a lot of issues regarding billing, collection, meters . And they were also large, old outstanding. We have been able to take care of all those things , including ECL provision. And what you have seen in Q4, a similar trend you will observe because the whole process has now been streamlined . And the performance in the future quarters will be consistent to what sort of performance you have seen in Q4.

Rajesh Majumdar: Yes. And sir, a related question on this , I mean , we have seen a lot of other Discoms

also being bid by some other companies, but we have not seen the kind of success in the other Discom privatization s as we have seen in the case of Odisha Discoms. So what is going on so good for you guys that is not going on so well for the other people that is distinguishing it? Any qualitative color on this?

Dr. Praveer Sinha: If you come here and spend some time, we will explain to you what we do. It cannot be replied in two minutes. You have to come and understand what we do and how we are unique and different than anyone else.

Sanjeev Churiwala: Yes, I think still better , you can take a visit to Odisha , we can facilitate that.

Rajesh Majumdar: Right. And sir, also because you are also bidding for other Discoms now , are we going to be having the same kind of returns in UP Discoms as well ? Because as I said again , the peer group experience is not as great as what we have seen in the Odisha Discoms.

Dr. Praveer Sinha: So you should know that today we are the biggest private Company in distribution. And we are the sum total of all the others put together. And no one has the type of The Tata Power Company Limited

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experience and the domain knowledge as we have , because we have done work in urban areas as well as in rural areas. So we have a huge edge compared to anyone else.

Rajesh Majumdar: Right. And sir, my other question is a bit of a general question for you , because you have always said in the last couple of calls that the peak demand is likely to hit 270 this year. But so far the demand trends are not suggesting anywhere near that number. So I know last year we had a base effect kind of impact on the power demand , is there any risk of the power demand again being in low -single -digits this year?

Dr. Praveer Sinha: So, last year we had the peak of 250 and this year, based on the data that we have from IMD, we are expecting that it will go to 270. So, it all depends. The summer has just started, and we normally have a long summer right up to August. So, let us wait and watch.

Rajesh Majumdar: The peak demand was hit in May, if I am not mistaken last year , and we are already in the middle of May now. That's why I asked this question.

Dr. Praveer Sinha: Yes. But there have been situations where peak demand have been in July also and in October also. So, it depends on how the weather condition is there. And apart from the heat, it is also humidity which has a huge factor on the usage of electricity. So, let's wait and watch.

Rajesh Majumdar: Thank you, sir. Thank you.

Moderator: Thank you. We will take our next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Thanks for the opportunity again. My first question is t

o Dr. Sinha , you had articulated the opportunity and keen interest that Tata Power has in the nuclear and SMR market that is likely to open up to private sector. Has there been any progress in terms of any tender invited by the government for private sector participation? We were reading that there were some companies which had immense interest , has that moved forward?

Dr. Praveer Sinha: So, we are waiting for the change in the law wherein the government has to amend the law in allowing private sector participation in nuclear power plants , also the civil liability law. And once we get more clarity on that, we can share with you our plan to implement SMRs and other type of nuclear plants.

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Sumit Kishore: And just a follow -up question on this UP privatization , we are hearing that five circles are going to be demarcated for private sector participation. So, is there any condition that one private player cannot take more than one or two circles or can take more than?

Dr. Praveer Sinha: We are still waiting for the bid documents. They have appointed a consultant. And what I understand , by the end of this month the bid documents will come and we will get some better clarity on that.

Sumit Kishore: Sure. Thank you so much and wish you all the best.

Dr. Praveer Sinha: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you very much. And it was a pleasure interacting with all of you. If you have any further questions, you can please connect with my colleagues, Rajesh and Kasturi. And also, if some of you want to visit Odisha Discom what changes we have made, what technology interventions, customer engagement and customer services that we

are offering, and I would request if -- plan the same. Also, at any stage, if you want more data, more information, please do not hesitate to connect with us, and we will take your feedback to improve the quality of presentation and also to provide you more data which will help you to make your reports more objective. Once again, thank you to all for joining us.

Moderator: Thank you, sir. On behalf of Tata Power, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

Call: Aug 2025

August 6, 2025

BSE Limited

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Symbol : TATAPOWER

Dear Sir/Madam ,

Earnings Call Transcripts

Pursuant to Regulation 46(2)(a) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on August 1, 2025, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter ended June 30, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab>

This is for your information and records.

Yours Sincerely ,

For The Tata Power Company Limited

Vispi S. Patel

Company Secretary

FCS 7021

Encl - As above

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"The Tata Power Company Limited

Q1 FY '26 Earnings Conference Call "

August 1, 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED

MR. SANJEEV CHURIWALA – CHIEF FINANCIAL

OFFICER , THE TATA POWER COMPANY LIMITED

MR. J. V. PATIL – GROUP FINANCIAL CONTROLLER ,

THE TATA POWER COMPANY LIMITED

MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED

MR. RAJESH LACHHANI – HEAD INVESTOR

RELATIONS , THE TATA POWER COMPANY LIMITED

The Tata Power Company Limited

August 1, 2025

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Moderator : Ladies and gentlemen, good day and welcome to the Tata Power Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO & Managing Director of Tata Power for his opening remarks. Thank you and over to you, Sir.

Dr. Praveer Sinha: Thanks, Reyo and good evening to everyone and thanks for joining for the Analyst Call. I am joined today by my colleague, Sanjeev Churiwala – CFO, J. V. Patil – Group Financial Controller, Kasturi Soundararajan – Chief Treasury & Investor Relations and Rajesh Lachhani - Head Investor Relations and some other colleagues from the Finance Department.

Let me give you a little background about the power sector :

After many years, we had a quarter in which the power consumption declined by nearly 1.3%. We have not seen for at least last 5 -6 years and this was because of the early onset of monsoons where we saw the monsoon coming around mid of May and this has continued till now. But we do expect now that with the rains going from most of the central and western part of India and northern part, we will have again high temperature along with humidity which will again lead to higher power demand in the later part of August and September. This quarter also we saw a huge capacity addition that have taken place. Many of them were capacity additions which should have happened in last year, last financial year but got spilled over to this financial year and we do expect that some of it will continue in the subsequent quarters.

On Section -11, all of you are aware that the Section -11 was valid till 30th of June and since then it has not been extended. We are since then in a very detailed discussion with all the 5 procurer states and all the details, papers have been shared with them and we do expect that we will be able to conclude to an arrangement acceptable to all the 5 procurers and us within August and we continue to work with them on finalizing this so that this becomes the template for the supply of power for next 13 years up to 2038.

As all of you are aware with these lower coal prices, international coal prices, the cost

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of Mundra Power is very attractive in the merit order and we do expect that this price will continue to be softer at least for next few years and hence the attractiveness of Mundra plant is there.

We have already shared with you the financial performance of Tata Power wherein our EBITDA has gone up, our PAT has gone up and even if we consider the one -off that we had last year in the same quarter, if we remove that our PAT has gone up substantially more, the details are already shared with you. I wanted to share with you that all our businesses have done exceedingly well, the generation business continues to be the cash cow, continues to have very steady performance as thermal, gas and hydro generation have performed exceedingly well and have been meeting the yearly and quarterly targets. Our transmission distribution business also have been very steady. We have seen that our transmission projects which are under implementation and which will get commissions, 2 of them in this quarter and the balance in next 3 to 4 quarters will again help in the improvement of the performance of the company. There is huge amount of CAPEX which is happening in transmission projects in Mumbai considering that there is a huge increase in demand in Mumbai city and to augment the capacity of transmission, capital expenditure

is being made on a yearly basis of nearly Rs. 600 crores to Rs. 700 crores.

Our distribution business has done well. Odisha distribution have now been able to clean up all the earlier challenges in terms of the billing issues and some of the so -called customers who were not there, the ghost customers, all that has been cleaned and that is why you have seen huge improvement in the performance of Odisha Disco and you will see further improvement as we go in the subsequent quarters. Our renewable business have done very well. Four areas that I would like to mention, first is our EPC business. We have commissioned this quarter a record 652 megawatt which is nearly double of the quantity that was commissioned in last year's same quarter and out of which 560 is for third party and 92 is for our own utility scale. We expect the third party order that we have will get more or less completed in Q2 and little bit in Q3 and thereafter all the projects that will come up will be for our own utility scale. We expect nearly 1,600 megawatt of own utility scale projects to come up in the next three quarters and that will help us in enhancing the operating capacity of the renewable business. Our manufacturing plant has done very well. Nearly 950 megawatts of

module and 900 -odd megawatt of cell has been done. This has now further stabilized and we do expect that this quarter will be much higher than the last quarter because of better yield and efficiency. Our rooftop business again has done exceedingly well. It
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has shown a huge increase in terms of the number of units we have been supplying as also in terms of megawatts and this has also demonstrated in higher revenue and higher PAT . Going forward , this will only increase because the supply chain has been further streamlined and the number of units that we have started supplying per month are very, very high numbers and this is further going to increase in next two quarters. We have also done exceedingly well in all our other areas including in our EV charging business where the performance has been again very good and much better than last year. This is because of higher utilization of our public charger as well as the bus charging infrastructure that we have created and our home charging continues to increase because we are virtually partners with all the OEMs who are operating in the market. So, we are seeing a huge improvement in each of our business performance and that is why you would see that our core business performance has improved substantially compared to the previous year and going forward that will be the trend that you would be seeing that some of the one -offs and some of the other business incomes that we were getting from our coal mining or others will not make a substantial difference in the overall performance of the company. Our balance sheet is very sturdy in spite of the increase in CAPEX . We spent in this quarter Rs. 3,700 crores against our full year plan of Rs. 25,000 crores and we are on track to implement all those projects. Our net debt has gone up by nearly Rs. 2,900 crores to Rs. 47,578 crores and in spite of this increase in net debt compared to the previous quarter, our leverage ratios have been very, very stable. Net debt to underlying EBITDA is 2.93 and net debt to equity is 1.08 which is I think one of the best in the industry . We are also committed that existing performance will not only continue but will also improve in the subsequent quarter considering that there is large amount of capital expenditures that we are doing and the returns of all that will start coming in the subsequent quarters. We have already started work on our pumped hydro project in the last quarter and we expect that this will get commissioned by 2028 -29. Similarly, the work on the Bhutan project started in January this year that will also get c

ommissioned in 29.

With all this, we are now getting ready to supply 24x7 clean power to our customers and these type of tie -ups are now happening with many of our C &I customers and also with this firm. We do look forward that this sort of sustainable business model that we have, which we have implementing now will help us to improve the performance in the subsequent quarters. We look forward to your continued support and we will be more than happy now to respond to your questions.

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I would request Reyto to open the floor for questions.

Moderator: Thank you. We will now begin the question -and-answer session. First question is from Puneet from HSBC. Please go ahead.

Puneet: Thank you so much and congratulations on good numbers. It is very impressive to see your performance on Odisha side. My first question is actually on Odisha. What are the levers still left with you to drive such strong performance on Odisha Discom, if you can elaborate a bit more on that, it will be very helpful ?

Dr. Praveer Sinha: So, as you are aware, we have carried out a huge amount of improvement in reducing the AT&C losses, which is the technical and commercial losses. We are still in some places in 17 %-18% range. We do expect that in the next 3 years, we will bring down to about 10% range and the type of reductions that we have seen in last 4 years, this trend will continue and that will help us in getting better returns. We also have a huge amount of capital expenditure that is happening and the return on equity will start flowing in all the capital expenditures that we have implemented. Our collection efficiency again is improving and many of the quarters we end up doing 100%. Sometimes because of weather reasons, weather conditions or because of certain extraneous reasons, the collections have got impacted. We do expect that this will consistently become 100% as we see in Delhi and Mumbai, where we have our distribution setup. So, I think there are a whole lot of opportunities to further improve and you will see substantial improvements considering that many of the legacy issues

which were there in Odisha, we have been able to overcome and the NCL provisions is no more required that we had been doing in the previous year. Cleaning of the customer data sets and customer information has been done. Huge amount of changes in meters have taken place. We have actually put nearly 25 lakh meters in last 4 years and now large scale smart meters are being sold there. So, I think you will see huge improvement in Odisha in the coming years.

Puneet: Okay, that is very interesting. Second question is on your module business. Would it be fair to assume that all modules that you are selling would be in the DCR market with your own cells?

Dr. Praveer Sinha: You are 100% right. Right now, very small quantity of imported cells we are using in some of the older projects. But other than that everywhere we are using our own cell and module. Rooftop business practically 100% is now our own cell and module DCR
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and also in many of our projects we are using our own cell and module. So, I think going forward you will see more and more of these type of projects happening with DCR cells and modules.

Puneet: In that context, why is the realization so low? It seems like Rs. 16.70 for a DCR module seems a bit low compared to what we hear in the market. Any comments here?

Dr. Praveer Sinha: So, these are for our own internal use. So, there is a transfer pricing that we do when we do internal projects.

Puneet: Okay, so that is why it is low. And if you can also talk a bit about what is the status on your Mundra plant given section 11. You talked about detailed discussion but is the plant running? Will you continue to run it for a while, pending discussions or is there

a plan to take some maintenance shutdowns etc.?

Dr. Praveer Sinha: So, we have taken maintenance shutdown for all the units and some of the work relating to FGD is going on. We do expect that as soon as the SPPA (Supplementary PPA) is finalized, we will be in a position to operate all the 5 units continuously for the balance of the year. So, we are waiting for this finalization of the SPPA before we start the plant.

Puneet: And if I can ask the last one, in your presentation you talk about lower merger benefit due to MYT. If you can talk a bit about that it will be helpful.

Management: So, that is basically from the current year starting from 1st of April, the multi year tariff has been implemented in Maharashtra and that is a slight dispute going on in terms of the tax that is applicable on the tariff side and the regulatory side and hence that has been disclosed separately.

Moderator: Thank you. The next question is from Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening. Sir, very strong performance in the renewables cluster. The question is, in your press release it is specified that the company sold 107 megawatt of module and 54 megawatt of cells to third party in Q1 FY '26. This appears to be a small proportion of the 949 megawatt of solar module and 904 megawatt of solar cells in Q1 FY '26 that you manufactured. Yet the EBITDA elimination is a much smaller number as a

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proportion to the renewables manufacturing EBITDA for Tata Power Solar. Am I reading this right or what is the clarification on the elimination?

Management: So, third party Solar EPC, in the beginning we said the total execution was 652 megawatt. Only 90 megawatt was internal. So, rest was all third party EPC as a result of which the elimination is not happening.

Sumit Kishore: Okay. So, I think there is a mention in your press release BSE filing which says 107 megawatt of module and 54 megawatt of cell was sold to third party. So, what does that mean?

Management: That is not part of the usage that we do in the last project. It is over and above that.

Sumit Kishore: Okay, got it. Second question is in relation to the UP Discom privatization, is there any progress there? And there was also some news flow regarding you are considering acquiring stake in Resurgent? Is that something that you would like to speak about in terms of strategy regarding Resurgent going forward?

Management: So, as far as UP is concerned, the process of discussion within the UP government and UP Regulatory Commission has been going on and they are expected to come with their bid some time in this month. We are very keen to pursue that. But we will do that

once we see the bid documents and the terms and conditions for that. As far as the Resurgent platform, that is still under discussion. As you know that we have partners over there. So, we are still discussing with them. If there is any progress, we will let you know.

Sumit Kishore: So, this is one last point regarding Mundra, while you have given ample clarification, but in terms of your strategy, in case, given the past track record of arriving at a resolution with the procurer, till what time are you prepared to wait before you restart the plant and start supplying in tune with your contract?

Dr. Praveer Sinha: So, we had number of discussions in last one month and there is a consensus that is building because one is that Mundra in merit order is very competitive and it makes sense for everyone to procure this power rather than buy from exchange or from other sources at a much higher source. And since the coal prices have come down and it is expected to be in the same range, going forward also it will remain very, very competitive. So, it is a win-win for everyone and I do expect that there is a huge pressure amongst these procur

ers also that they need to conclude this quickly.

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Sumit Kishore: Thank you. That is very clear. Thank you and wish you all the best.

Dr. Praveer Sinha: Thank you.

Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. Just want to clarify when you are selling supplying module to for rooftop and all, would that also be at similar price that we see or would that be a different DCR realization? Just trying to understand the arm's length.

Dr. Praveer Sinha: See, every pricing is based on the market demand and supply. Rooftop has a different demand and supply and a different price range in which they operate and you need to compete over there vis-à-vis other players with similar types and quality of modules. So, those prices are at arm's length and is independently negotiated between both businesses.

Satyadeep Jain: So, if I am understanding correctly, the realization for the internal IPP would be different for the module business and that for solar for the rooftop would be different, right? Both arm's length dependent on supply demand in each market?

Dr. Praveer Sinha: Absolutely, right.

Satyadeep Jain: Okay. Just on the commissioning, I am not sure if I missed in the prepared part. The commissioning, as you can understand, there is a spillover but overall industry saw a lot of significant increase in commissioning in this quarter, possibly some spillover from fourth quarter. What led to relatively muted commissioning for Tata Power in this quarter compared to the entire industry? Just generally trying to understand was there specific one-off reasons?

Dr. Praveer Sinha: See, we have commissioned much more than what we had commissioned last year. Last year, we were at about 350 and this year we have done 652. So, we have done nearly double of what we had commissioned last year. So, we need to look from that perspective that what is our pipeline and our readiness to commission this and we have been able to successfully implement nearly 650 megawatt in this quarter and have plans to substantially increase in the coming quarter. So, our yearly plan, whatever we have based on the projects that we have in our pipeline will get implemented and we are fully geared up for that in terms of the equipment and land that is required.

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Satyadeep Jain: Okay. One quick question if I can squeeze or follow up to Mundra. Just trying to understand that not running the plant, obviously, the under-recovery on fuel front, given where coal prices are, would be lower than the recovery on the fixed cost. So, this is a strategy that then there is supplementary PPA, you will not operate. Just clarifying, I think you mentioned in the last answer, but that would be a strategy no matter what happens, you will not operate the plant till the supplementary PPA is signed. And any maybe indication of what that based on the conversations, what are the timelines are we looking at as we look at the supplementary PPA and in what form and shape would it look like? Would that be different in terms of profit sharing or any other metric under-recovery? Just trying to see where are the negotiations on profit sharing or on under-recovery?

Dr. Praveer Sinha: So, one is that this will get finalized hopefully within August because as I mentioned

to you, lot of discussions have happened and there is a general consensus that is building on what is good for both sides. Secondly, this will definitely be much more than the PPA, otherwise there is no need of doing the SPPA and it will also protect us from any increases in cost of pool that happens in future. And to that extent, the consistency of supply going forward will be ensured. This will be either something like what we get in Section -11

or a little lower than that, but it will be in that range that it would be there.

Satyadeep Jain: Okay, thank you . Wish you the best.

Moderator: Thank you. Next question is from Atul Tiwari from J.P. Morgan. Please go ahead.

Atul Tiwari: Yes, thank you and congrats on good set of numbers. So, my question is on the strategy regarding coal based power generation. So, now obviously as we have seen multiple other players in the industry, both on the government and the private IPP side, they are very aggressively getting into expanding the coal based capacity organically. So, what is your strategy regarding the same? You are not looking at that space anymore or you are also getting into expansion of your coal based condition capacity?

Management: So, Atul, I will only say that we have a huge pipeline of projects that we are implementing. We have renewable projects. We have nearly 5.5 gigawatt of renewable projects that we have. We also have a pipeline of 2,800 megawatts of pumped hydro project and 1,000 megawatt already work has started, 1,800 megawatt work will start in 9 months and then we have the hydro plants in Bhutan where already work has

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started on the 600 megawatt and we have plans to increase it to nearly 5 gigawatts in next few years. So, we are already over committed in all these projects which we are investing in. These projects will give us either similar or better returns than what we will do in any other type of coal project or any other project. So, I think we need to prioritize in terms of what sort of investment we need to do and how committed we are in those investments and if it meets our overall objective of moving towards clean energy. So, that is where we are at present and we continue to work on those areas.

Atul Tiwari: Okay, thanks.

Moderator: Thank you. Next question is from Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi sir. Thanks for the opportunity and congrats on good set of numbers. Sir, again a follow-up question on your rooftop business. While we see even in the previous quarter where our cell plant is more partially operational, we did close to around 13 %-14% kind of a margin and considering the fact that the DCR supply has been quite constrained off late, the people who have access to it are meeting a very high margin by selling it to the third party. So, just want to get a sense on your rooftop business by using our own DCR cell and modules. Is there a probability that our margins in the rooftop segment can go further northward from 14 %-15% or it would be passed on at a pricing level so as to gain more market share? Just to get your sense into it.

Dr. Praveer Sinha: We are not looking at market share but we are definitely looking at improving our reach in the market. And today our reach in the market has improved and it is further getting enhanced as we continue to add more of channel partners and market segments in which we are supplying. We are making good returns in that and I think we will continue to make the type of returns that you have seen. What you will see is that the volume will increase tremendously because there is a huge demand and as you rightly mentioned there are not many players who are able to cater to that. And this is a brand and a demand for this product that we are building in the market so that we become number one or we are already number one but become number one with a much better service and quality of supply in this.

Anuj Upadhyay: That is helpful , sir. And secondly on your underperformance across the JV segment, has it largely to do with the coal underperformance in Indonesia or some other element to it?

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Dr. Praveer Sinha: So, basically the coal prices in Indonesia has come down and that is why our performance over there is mu

ted. But other than that all the others are doing very well.

Anuj Upadhyay: Thanks , sir. That is helpful and I wish you good luck.

Moderator: Thank you. Next question is from Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Congrats on a good set of numbers. Sir, my first question is on the renewable generation. So, you have mentioned that I think only 100 megawatts of solar capacity has been commissioned this quarter, right?

Dr. Praveer Sinha: Yes, you are right.

Mahesh Patil: And you mentioned that over the next three quarters around 1,600 megawatts additional capacity will be commissioned. Is that correct?

Dr. Praveer Sinha: That is our own internal project that we will commission.

Mahesh Patil: Okay. So, around 1.7 gigawatts target for FY '26, correct?

Dr. Praveer Sinha: Yes.

Mahesh Patil: Yes. And we can assume this would be the 100 going forward, let us say around 2 gigawatt of commissioning?

Dr. Praveer Sinha: More than that. This year itself we will be doing more than 2 gigawatt of commissioning. So, now that we do not have too much of orders for third party, subsequently as you will see much higher capacity that we get that commission and those will be for our own internal utility scale project.

Mahesh Patil: Okay. So, 1.7 gigawatt and next year onwards 2 plus gigawatt. Okay, sir?

Dr. Praveer Sinha: More than 2. Maybe in 2.5-gigawatt range.

Mahesh Patil: Next year onwards?

Dr. Praveer Sinha: Yes.

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Mahesh Patil: Okay. And sir, in terms of let us say PPA signing or transmission connectivity, are there any challenges in terms of even for the installed projects, let us say transmission availability, are there some challenges? We have heard about some issues in this quarter.

Dr. Praveer Sinha: Those are the localized issues in terms of land or evacuation and all that. Those are things that we keep on addressing as we implement these projects.

Mahesh Patil: Okay, sir. And sir, in this development, the issue with Kleros Capital Partners, would you like to share some update on this?

Dr. Praveer Sinha: So, we have already given in the notes, and you can see that since the matter is sub-judice, we cannot speak much on that. So, whatever we have provided in the notes, that is our stand.

Mahesh Patil: Thank you. Thank you so much.

Moderator: Thank you. Next question is from Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Hi, sir. Thank you for the opportunity and congratulations on the results. A couple of questions. I first of all wanted to check that recently the list of cell suppliers under ALMM -II was released. I think there were 5 or 6 players which are identified. Can you give any color why we were not on that list?

Dr. Praveer Sinha: On the cell, because they have not completed the inspection. I am told that they are inspecting next week. So, as and when they complete the inspection of plants, they keep on adding. So, they will add as soon as they complete the inspection.

Apoorva Bahadur: Sure, sir. That is helpful. I also seen in your presentation where you comment on individual businesses, so for the standalone business, a reason for decline in revenue has been attributed to change in the annual availability assumptions at Mundra. So, can you share what is the overall impact of these changes on the revenue? How much is the under recovery we are assuming at Mundra?

Dr. Praveer Sinha: We are not assuming any under recovery because in the first quarter, we already had 90% availability. And we expect that on an overall year basis, we will have 80% availability on which we get 100% capacity charge.

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Apoorva Bahadur: So, in that case, why is it impacting our standalone revenue?

Dr. Praveer Sinha: No, revenue will be less depending up

on the scheduling of power. During the first quarter, because of the early monsoon, the scheduling of power took place less. But the availability of power was always there. So, availability was say 90%. But scheduling they do only 60%. Then that is why the revenue. And the second is of course, the coal prices were soft.

Apoorva Bahadur: Sure. Sir, last question from my side. I see in your renewable portfolio, there has been a decline in solar PLF. Can you pinpoint like what is the reason for this decline?

Management: So, as I mentioned to you, during the last quarter, because the radiation was less

because of early rainfall and all that, the generation was less in solar. But the wind capacity, you see there was more generation in the wind. So, weather changes impact all these things.

Apoorva Bahadur: Sure, sir. Thank you so much.

Moderator: Thank you. Next question is from the line of Subhdeep from Nuvama . Please go ahead.

Subhdeep: Good evening and thank you for the opportunity . Subhdeep, here. I joined the call a little late. I'm sorry if this is a repeat question. Just wanted to get an understanding that on the Mundra project, in the given situation where the plant is not operational, what is the annual fixed cost, cash cost perspective that we are looking at?

Dr. Praveer Sinha: As I mentioned to you, we need to declare availability of the plant. Based on what we operated in first quarter and what is our plan to operate in the rest of the year once the SPPA is finalized, we will be doing 80% on which we get 100% fixed cost. And we don't expect any under -recovery.

Subhdeep: But that's under the assumption that the supplementary PPA is signed. And in case there are delays, then one could expect some under -recoveries between them ?

Dr. Praveer Sinha: Yes, but since we are expecting that this is in final stage, it should hopefully be finalized.

Subhdeep: Understood. Thank you. Lastly, on Tata projects, is it possible to share what is the share of profit or loss in this particular quarter?

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Dr. Praveer Sinha: So, that detail is already provided. We have considered a loss of Rs. 65 crores from our...

Management: Subhadeep , the loss was Rs. 65 crores this quarter compared to Rs. 8 crores profit last year.

Subhdeep: Understood. Perfect. Thank you so much.

Moderator: Thank you. Next question is from Avish from Chanakya Capital. Please go ahead.

Avish: Yes, thank you for the opportunity and congrats on the good set of numbers. Just wanted some color on any plans to expand the current module capacities considering the huge demand and the margins are so accretive in this business. So, any color on that?

Dr. Praveer Sinha: We always keep on looking on opportunities. So, continue to consider anything which will help us improve our performance based on the demand supply and how many other plants are coming, similar plants are coming. So, this is definitely under discussion.

Avish: Okay. Thank you so much.

Moderator: Thank you. Next question is from Aniket Mittal from SBI Mutual Fund. Please go ahead.

Aniket Mittal: Yes, thank you. A couple of questions on EPC front. So, when I look at the third -party utility scale order book that has come down fairly drastically this quarter, just to understand, is this like a conscious decision where we do not want to take these utility scale projects now or how do I look at that piece going forward?

Dr. Praveer Sinha: We have a pipeline of 5.4 gigawatt of our own projects in which we are the developers. So, for us, the focus is that how do we first cater to this 5.4 megawatt. So, in next 2 years, we want to complete all this and then see if we have capability to take up third - party projects. So, that is why we have taken a pause on that and we will first complete our project and then look at outside orders.

Aniket Mittal: Fair.

That is very clear. The second question was just to delve a bit into the rooftop market. We continue to see very good orders over here. Let us say if you were to take

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a 3 to 5 year view on this segment, how do you look at annual sort of installation happening within the rooftop segment and if you can break that up between both C & I and residential that would be great ?

Dr. Praveer Sinha: Just to give you an idea that last year March, we supplied 1 ,000 units. This year, March, we supplied 8 ,000 units. This year, June, we supplied 20,000 units and hopefully later part of this year, we will supply 40 ,000 to 50,000 units per month. So, the demand is humongous. The country, you know PM Surya Ghar, has said 1 crore households. We have actually in the country 25 crore households. So, whatever we will do will be still very small compared to the total market opportunity which is there. So, I would leave it to you to guess and estimate that what sort of demand will be there for next 5 -10

years. I think it is humongous.

Aniket Mittal: Just one clarification regarding this. When we talk about the DCR applicability, this is currently applicable only on the residential spaces. The DCR is not there for C & I rooftops. Is that correct?

Dr. Praveer Sinha: So, anything where the government funding is there or subsidy is there, so whether it is rooftop or it is PM, the KUSUM program, there you have to, also there are number of projects which insist on DCR model. So, we are executing number of projects which have prescribed that it should be only Indian made cells, DCR cells and models should be there. But effective 1st June 2026, for all projects you will require DCR cells and models.

Aniket Mittal: Even on the C & I site?

Dr. Praveer Sinha: Yes, everywhere.

Aniket Mittal: Thank you. Those were the questions.

Moderator: Thank you. Next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi. Thank you for the follow-up. Just on the Bhivpuri PSP, now that you have commenced construction, historically you were open to the idea of keeping this entire capacity open till maybe later stages. Are you still holding on to that thought? Keep it open and you will maybe look at signing agreements as you get closer to commissioning?

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Dr. Praveer Sinha: No. We are already in active discussion with large number of C & I customers and I think the whole 1,000 megawatt will get tied up very quickly and that is why we are now also looking at starting work on the another 1,800 megawatt. So, there is a huge demand especially for all companies who want to have signed under RE100 or want to supply their products to countries in Europe and UK which have the cross-border carbon tax. So, I think we will be able to tie up all the quantities with various subsidies.

Satyadeep Jain: So, just somebody like Tata Steel, I know all these RE-RTC would be relevant for steel and aluminum and all. Could Tata Steel be a potential customer for this? Because we have not seen a new steel company tie up PSP yet. So, I am just trying to understand.

Dr. Praveer Sinha: Because the PSPs have not come to that extent. But yes, we are in discussion with Tata Steel as also with many other Tata Group companies.

Satyadeep Jain: Okay. Thank you.

Moderator: Thank you. Next question is from Sushil Choksey from Indus equity Advisors. Please go ahead.

Sushil Choksey: Congratulations on very stable result. So, my first question is on solar cell capacity. Where are we today and what is the efficiency of Mono PERC and TOPCon? And second thing is what is the run rate on module 2?

Dr. Praveer Sinha: So, we have already shared with you that how much of cell and module we have supplied in the first quarter and now the plant

has got further stabilized and we will see

further improvement in the performance of the plant. And right now most of it is the Mono PERC. But soon we will start supplying even modules using TOPCon cells. And I think there is a huge demand for all this and we will continue to meet the requirement of the market.

Sushil Choksey: So, your own statement is that demand is not a problem keeping in mind 1 crore or 2.5 crore house which you expect all of us to assume based on demand. But what is your predictability in terms of 4 gigawatt of your capacity on Mono PERC going to rise if I take a 3 or 5 outlook and also on TOPCon once your current plant whenever it starts and stabilizes?

Dr. Praveer Sinha: So, we are still working on all those things. So, once we decide we will let you know.

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Sushil Choksey: And can you give an estimate on your production capacity utilization for the year or still it is on a ramp up stage on the second phase of 2 gigawatt?

Dr. Praveer Sinha: We are at around 94%-95%.

Sushil Choksey: On the 4 gigawatt capacity?

Dr. Praveer Sinha: Yes.

Sushil Choksey: And module is at 100%?

Dr. Praveer Sinha: No, they are all in 95%-97%.

Sushil Choksey: Okay. What is your, based on the new rules which are effective 1st of June next year, what kind of demand India will have for cell requirements?

Dr. Praveer Sinha: There are lot of consultant reports which are there. We can share with you some of those consultant reports.

Sushil Choksey: But if you just throw a ballpark number?

Dr. Praveer Sinha: I do not know the ballpark number. But I can share with you the reports which are there in the news.

Sushil Choksey: How are you seeing the demand on rooftop solar and KUSUM scheme from our perspective and competition?

Dr. Praveer Sinha: Yes, I mentioned to you there are whole lot of reports which are there. You can get in touch with Rajesh. He will be able to share some reports with you.

Moderator: Thank you. Next question is from Vishal Periwal from Antique Stock Broking. Please go ahead.

Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, on the start of our Delhi distribution entity, the slide talks about there has been a lower demand which led to decline in revenue.

But what would be the reason that it is slowing through a PAT, the decline? Because what we understand is, it is a regulated business and the PAT should matter much. So, if you can explain?

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Dr. Praveer Sinha: Last year, we had a one-off order of Rs. 164 crores. So, on a like-to-like, if you see, we have done much better in this quarter. So, if you remove 164 from 287, it becomes 123. Against that, we have done 134.

Vishal Periwal: Okay, got it. In terms of our EBITDA growth, we have started at a good growth rate this year. But once a base is stabilized, maybe like the solar cell and module for this year, next year, I mean, according to you, what could be a growth driver for us that we can visualize?

Dr. Praveer Sinha: There are a whole lot of things that we are doing. We still have to start getting the cells from the TOPCon line, the CAPEX that we are doing in our transmission business, in our distribution business, in our new renewable projects that we are setting up. So, all those will start getting reflected next year.

Vishal Periwal: Okay. Sure, sir. I think that's all from my side.

Moderator: Thank you. Next question is from Arun Selvan from Bajaj Allianz Life. Please go ahead.

Arun Selvan: Hi, just a quick question. With respect to the awards, I think that you are considering all options. I just wanted to check if, have we actually filed either an appeal or an application to set aside the quantum award? And any estimates on what would be the timeline for the higher court to take a decision on that?

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Dr. Praveer Sinha: So, we are given 90 days to file the appeal. The order was dated 1st July. So, we have time till 30th of September and we find that much before. Normally, it takes about 6 to 9 months for the matter to be heard and decided. So, that's the timeline that we are expecting.

Arun Selvan: Okay. Second, I want to ask, what is our policy on when we would be recognizing this liability? As in, would we wait till the order is passed?

Dr. Praveer Sinha: So, as we have written in that notice, once the decision is taken, then we can take a call on that.

Arun Selvan: No, what I meant was, you know, you will have multiple options, right? There will be one setting aside order and then at a later stage you can always contest this when they are enforcing this...

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Dr. Praveer Sinha: Yes, so let's see when and what sort of order we get in the high court and then we can decide on it.

Arun Selvan: Okay. Thank you.

Moderator: Thank you very much. That was the last question. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments.

Dr. Praveer Sinha: Thank you very much to all of you and to join the call. If you have any other queries, please connect with my colleagues, Rajesh and Kasturi and we will be more than happy to provide you the details. Also, if there are any inputs, any suggestions on improving the type of presentation that we have shared or more details that you require, we will be happy to incorporate that and improve the quality of presentation which is being shared with all of you. Once again, thank you and all the best and have a great weekend. Thank you.

Moderator: Thank you very much. On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Dec 2025

Nov

ember 16, 2025

BSE Limited

C

orporate Relationship Department

1st Floor, New Trading Ring

Rotunda Bldg., P. J. Towers Dalal Street, Fort

Mumbai – 400 001.

Scrip Code: 500400 National Stock Exchange of India Limited

Exchange Plaza, 5th Floor

Plot No. C/1, G Block

Bandra-Kurla Complex

Bandra (East)

Mumbai – 400 051.

Symbol : TATAPOWER

Dear Sir/Madam,

Earnings Call Transcripts

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ursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements)

Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on November 11, 2025, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter and half year ended September 30, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab>

This

is for your information and records.

Yours Sincerely,

For Th

e Tata Power Company Limited

Vispi S. Patel

Company Secretary

FCS 7021

Encl - As above

"The Tata Power Company Limited

Q2 & H1 FY'26 Earnings Conference Call "

November 11 , 2025

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED

MR. SANJEEV CHURIWALA – CHIEF FINANCIAL OFFICER ,
THE TATA POWER COMPANY LIMITED

MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED

MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED

MR. ANSHUL VERDIA – HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITED

The Tata Power Company Limited

November 11 , 2025

Moderator: Ladies and Gentlemen, Good Day, and Welcome to the Tata Power Q2 & H1 FY26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing “*” then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to “Dr. Praveer Sinha, CEO and Managing Director of Tata Power for his Opening Remarks .” Thank you and over to you, sir.

Dr. Praveer Sinha: Thank you very much. Good evening everyone and thanks for joining for the call. I am joined by my colleagues, Sanjeev Churiwala - CFO, J.V. Patil – Group Financial Controller, Kasturi Soundararajan , who is the Chief of Treasury and Investor Relations and Anshul, who is the Head of Investor Relations.

We have already shared with you the Presentation of the Quarter Performance . As all of you would have seen, this is the 24th consecutive quarter in which we have shown growth in our PAT; our PAT has grown by 14% compared to last year.

A couple of points :

- One is, last quarter was a tough quarter , in the sense that we had a very long monsoon and because of that, the demand of power was less ; secondly , because of that, we also could not run Mundra under Sec .11 and while we are discussing with Government of Gujarat to finalize, which we expect that we are in the last stage and hopefully maybe within this month, we will be able to close it.
- We also saw that many of our renewable projects could not get completed because the sites where these projects were supposed to come up were virtually inundated and access to these sites was very difficult, especially to the wind sites where carrying such heavy wind turbines and the blades was the challenge.

Three big things from this quarter :

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- One is our performance of Odisha Discoms have now come to age and we saw a PAT of Rs.174 crores compared to previous year 's PAT growth of 362%.

Similarly, our half yearly PAT for the Odisha Discom is Rs.279 crores and we do expect that this will be the template going forward because most of the initial issues have been sorted out.

- Similarly, our solar cell and module manufacturing plant has done exceedingly well, has stabilized production, the cost of production has reduced, we have been able to optimize lot of costs including the input material cost and that is why our PAT has gone to Rs.240 crores, which is a 262% increase from the previous year and our H1 PAT is Rs.340 crores and you can again see this happening in future quarters also.

- Another big area that has happened in the last quarter is our rooftop PAT which has grown to Rs.123 crores and which is a 390% increase over the previous year , and on H1 basis it is Rs.213 crores. We also saw for the first time the rooftop sales crossing Rs.1,000 crores in a quarter and I think going forward you will see many of these type of new benchmarks that will be set in the rooftop business.

- We have also for the first time in the quarter crossed an EBITDA of Rs.4,000 crores and again this is in back of excellent performance from all our businesses in spite of the fact that we had losses in Mundra because the plant was not operating. So, what you can see is that even without Mundra we continue to grow on back of excellent growth performance.

All our other businesses will continue to perform better in the subsequent quarters. In fact, we have huge target to add capacity in renewable projects, especially for our own utility projects in 3th and 4th Quarter and we are expecting about 700-megawatt capacity add in the 3rd Quarter and 600 megawatts in the 4th Quarter . So, at the end of the year you will find

that we would have crossed nearly 7 gigawatts of our operating renewable assets.

A few points I wanted to mention that in today 's Board meeting we decided that we will do investment in the 1,125 -megawatt Dorjilung project. It will be on similar terms as was done for the 600 Khorechhu project where 60% stake will be from the Bhutan government -owned DGPC and we will have 40% stake and that will continue. The initial work on this project has already started wherein access roads, bridges, colony, construction , power is all getting tied up , and we expect that the financial closure of this

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project will be achieved by mid of next year by when we start the work also. We will have World Bank financing and they will of course come in consortium with IFC and some of the other banks and they will syndicate the loan and we do expect that this will be again a

record in terms of the implementation of the project at a very fast pace as we have seen in the existing Kh orlochhu project where the work started nearly a year back on 1st January 2025. So, all in all I think lot of good things are happening.

Also, at some stage we are at evaluating the 10-gigawatt plant for manufacture of in got and wafer. We are in discussion with various state governments as to what sort of state subsidy they will provide as also the Government of India PLI and we will be finalizing this in the next few months .

And we do expect that many of these initiatives will start showing the type of results that we had presented to you in the last analyst meet that we had in our 4 gigawatt manufacturing plant in Tirun elveli.

Our balance sheet continues to be very strong in spite of the capital expenditure. We invested nearly Rs.7,349 crores in this year and as we have mentioned to you we plan to spend Rs.25,000 crores in this financial year.

Our debt increased by Rs.6,400 crores reaching Rs.54,000 crores . However, even with this rise in debt our leverage ratios are very good. Our net debt -to-underlying EBITDA remains 3.3 and our net debt -to-equity is 1.2, which is very competitive, especially in the infrastructure industry.

Having said that we continue to get one of the best credit ratings in corporate India with S&P Global Upgrade of Outlook from BBB -/ positive to BBB Stable and I think this will help us to further improve the interest rates for our borrowings that we have at present.

So, we do expect that our performance in future quarters will become more robust and will substantially improve once we are able to sort out the issue of Mu ndra and also with more capacity adds in renewable that is expected in this quarter and the subsequent quarter and all our other existing operations will continue to perform very well.

So, I will take a pause over here and look forward to respond to your questions.

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Moderator: Thank you very much. We will now begin the question -and-answer session. We will take a first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir, and thanks for the opportunity. My first question is on the solar manufacturing . I think I alluded to that you are going to set up 10-gigawatts of ingot and wafer. My question is that are you looking to set up this 10-gigawatt cumulative capacity of ingot, wafer, cell and module, everything? And are you expecting another PLI , because you mentioned the PLI ?

Dr. Praveer Sinha: So, it will be 10-gigawatt of wafer and ingot. We already have the 4.3 gigawatt of cell and module and another 250 in Bangalore. So, we already have 4.55 gigawatts of cell and module. But the new investment will be only in wafers and ingot.

Mohit Kumar: Only wafer and ingot of 10-gigawatt , right, sir?

Dr. Praveer Sinha: Absolutely right.

Mohit Kumar: Understood, sir. Are you expecti

ng any PLI for wafer and ingot separately?

Management: Yes, we are expecting. Government is very keen that this type of plans come up quickly and also the overall requirement of the country is large and very little capacity is there right now. So, to encourage that, they will be coming up with the PLI to support this sort of investment. This requires a lot of technology as well as large investment for huge capacity.

Mohit Kumar: Understood. S ir, my second question is, as you mentioned, that there is some progress on Mundra resolution with Gujarat. Is it fair to expect that we will be able to close the new arrangement with all the off-takers or are you expecting only Gujarat to go ahead for time being?

Dr. Praveer Sinha: We will start with Gujarat and then we will, of course, take it up with all the states and close it.

Mohit Kumar: Are you expecting this resolution to happen by the fiscal year end with all the states? Is that a fair assumption?

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Dr. Praveer Sinha: No, no. Much before that we are in final stages and hopefully within this month we will be able to do.

Mohit Kumar: Understood, sir. Thank you and all the best. Thank you.

Moderator: We will take our next question from the line of Puneet from HSBC. Please go ahead.

Puneet : Yes, thank you so much and congrats on good performance. My first question is actually on your investments in Bhutan. How much investment do you intend to commit in Bhutan?

I see there are at least three more projects on the hydro side that are listed in your presentation. How much investment should one look at between the first two and then the next two?

Dr. Praveer Sinha: So, the first project was about Rs.6,800 crores. This is about Rs.13,000 crores and these projects require a lot of detailed analysis. Engineering has to be finalized, access arrangements have to be made to the site, and also we need to carry out many other studies relating to the type of water flow is there, environment issues, forest issues. So, these projects require lot of time in development. So, first project, already construction work is started. The second one of 1,125, we expect the construction work to start by mid of next year. Already initial work, pre-project activities are already going on at this point of time.

Management: I will just add to a bit to what Dr. Sinha also said. Since you asked about the investment, in both the projects, the earlier Kho rlochhu one, we have a 40 % partnership over there our equity contribution would be about Rs.830 crores, and in the second one, which is Rs.13,000 crores CAPEX plan, we also have a 40 % equity over there and our investment there would be about close to Rs.1,500-1,600 crores. Both these projects put together, our total equity from Tata Power side will be about Rs.2,400 crores. Given that we have a 40 % equity here, the financials of those two companies will not get consolidated with Tata Power. Tata Power will be showing these as investment in the books.

Puneet: And would you be guaranteeing the debt that will need to go into these projects?

Management: No, the debt is taken in those companies, not in Tata Power.

Puneet: And there is no recourse to Tata Power?

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Management: Yes.

Puneet: Okay, that is helpful. Secondly, your Odisha performance has been extremely good. So, just if you can elaborate a bit more on whether these numbers should be sustainable or there were some collections, etc., that got included this time?

Dr. Praveer Sinha: There is no correction. In fact, you will see much better performance in the subsequent quarters.

Puneet: That is very helpful. Thank you so much and all the best.

Moderator: We will take our next question from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening and thanks for the opportunity.

My first question is in relation to your ingot

wafer 10-gigawatt plant. So, what is the ballpark investment timeframe?

Moderator: I am sorry, you are sounding muffled. Sumit, can you just repeat the question, please?

Sumit Kishore: I was asking about a 10-gigawatt ingot wafer. What are the CAPEX that you will be looking for setting this up and over what timeframe do you expect to start commissioning this capacity and when does it reach peak capacity? That is my question.

Dr. Praveer Sinha: We are examining the proposal. As I mentioned to you, we are in discussion with various state governments to understand what sort of subsidy and support they will provide and also from Government of India, the PLI scheme. So, that will give us an idea based on that what sort of eventual cost of the project will be there. So, I think we need to wait for some more time. In principle, we have decided that we will go ahead but we need to firm up some of these numbers in the next two months.

Sumit Kishore: Sure. So, in the first half of the year, how much CAPEX has Tata Power incurred?

Dr. Praveer Sinha: We have incurred about Rs.7,300 crores and our plan is Rs.25,000 crores. We are on track. You will see huge amount of those investments happening in Quarter 3 and Quarter 4.

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Sumit Kishore: Okay. And on the cell and module plant numbers that you have shown, the EBITDA margin seems to be better this time around, around 26% or so, is this sustainable and what was the mix of module cell sale to third-party and in-house use this time around?

Dr. Praveer Sinha: So, typically, the prices of modules and cells are governed by two things -- one is demand/supply and the other is what is the input cost where we import the wafers and what price we get wafers and some of the other input materials. So, it will vary to certain extent, but what is important is that the plant operation has stabilized and many of the efficiencies in plant operation, those get reflected in the cost of production and those benefits will be there to come.

Sumit Kishore: Sure. Just one final clarification or a question on what is the status of the bidding for the UP disco m privatization and what are the expected timelines here?

Dr. Praveer Sinha: So, we are also waiting for the bidding process to happen. Every time they have told us that it will happen very quickly. So, let us hope it happens in the next few weeks.

Sumit Kishore: Okay. Thank you and wish you all the best.

Moderator: Next question is from the line of Atul Tiwari from JP Morgan. Please go ahead.

Atul Tiwari: Yes, sir. Thanks a lot. Sir, in first half, your consol net debt has gone up by almost Rs.10,000 crores versus the CAPEX of Rs.7,300 crores. So, two questions here. Is there

some other cash usage in addition to the CAPEX that you have done in the first half? And the second thing is that obviously you are now embarking on very large CAPEX programs. So, what kind of debt -equity maximum or debt -to-EBITDA you will be comfortable with going ahead?

Management: Just to give some context here, the company has a rating of AA Plus, which is kind of a debt-to-EBITDA about 4x. If you see the balance sheet of the company as a whole, we are presently at a net debt -to-equity of about 1.2 and net debt -to-underlying EBITDA of 3.3. So, we have a very healthy ratio and the healthy balance sheet and that should cater to our future requirements of the CAPEX as well.

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Atul Tiwari: Okay. So, the 4x will be the upper limit , that is what you are trying to say, debt -to-EBITDA number , is that right understanding or you will even add on that ?

Management: So, we are trying to work on that guardrails, but depends upon what kind of project comes in, what kind of cash flow comes in, we will have to just monitor that every y

ear.

Atul Tiwari: Okay. But there is no hard upper limit that you have in mind at this point ?

Management: So, as I said, we are trying to keep a guardrail to ensure that we stay in a AA kind of environment always. And for that, around 4x is what it is. You can go slightly up and down, but by and large, we are looking at a net debt -to-EBITDA of about 4x.

Atul Tiwari: Okay. Sir, my second question is on your plans for solar , ingot s and wafers. So, obviously, in the first half, we have seen pretty sharp reduction in the solar project award and obviously power demand has been quite weak. And it looks like that even the government is rethinking the pace of capacity addition on the pure solar side. So, what is your take on the top -down landscape , I mean, do you think that this is just a very temporary situation and we will soon revert back to the pace of award that we saw in the previous two years? And if not, then what is the thought process behind committing more CAPEX on the manufacturing side?

Management: No, I do not think that the pace will slow down ultimately. We have seen a temporary pause where there have been issues around land and connectivity, but most of the players in the market have been announcing capacity. So, to that extent, I think we are all working towards the government's ambition of reaching the target. Now, in some way, there could be less or more, but I think the trend will only pick up.

Atul Tiwari: Okay. Thank you.

Moderator: We will take our next question from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Hi, sir. Thank you for the opportunity. So, we are seeing a lot of state government bids for thermal power projects. I would be interesting to know your thoughts if there is any intention of adding Greenfield or Brownfield thermal capacity over here.

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Dr. Praveer Sinha: We are examining all these opportunities, and we will take a call depending upon what sort of land we have, what sort of tariff one would be in a position to bid. So, it is something that we keep on continuously evaluating.

Apoorva Bahadur: Understood, sir. Also, any update on the Delhi regulatory asset liquidation ? There was a Supreme Court order.

Dr. Praveer Sinha: So, already, the regulatory assets in Delhi has been going down for the last two years. And this year also nearly, I think, Rs.600 crores of regulatory assets have got reduced. Last year also, there was a huge reduction. And now that the Supreme Court has asked the D ERC to amortize it within the seven -year period from the time they have been accrued . I think that will get completed. So, we do expect that there will be a good trajectory of regulatory asset reduction over a period of time. Also, some of the regulatory assets we have in Mumbai and all, everything will get liquidated.

Apoorva Bahadur: Understood, sir. Sir, lastly, on parallel distribution licenses, we understand Tata Power had applied in a couple of circles, if you can provide some color on that ?

Dr. Praveer Sinha: That electricity act amendment proposal has come and they had asked for comments. We have given our comments. I do expect that this will go to the parliament and of course, it has to go through the process of select committee to examine it and all. Hopefully, in the budget session, I expect that this may get passed.

Apoorva Bahadur: Sure, sir. Thank you so much.

Moderator: We will take our next question from the line of Bharanidhar Vijayakumar from Avendus Spark. Please go ahead.

Bharanidhar Vijayakumar: Good evening. So, my first question is on the media news on a discom bailout package by government to the tune of around Rs.1 trillion. My first question is whether

this is finalized and what is the likely timeline when this will be implemented , and if so, how will Tata Power be benefiting because of this

?

Dr. Praveer Sinha: So, we have also read in the newspaper that the government has such a plan. From whatever I know, it is still not finalized. Government has to take a decision on this. But considering

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that there is so much of debt as also losses of discoms, it will be necessary for some action to be taken. The nature of the action of course will depend on what the government decides. We do expect that we will open up more opportunities for Tata Power in doing the PPP of distribution as we have done in Odisha and Delhi and also the parallel license opportunity. So, I think Tata Power will play a very, very active role in power distribution in the coming years.

Bharanidhar Vijayakumar: Okay. My second question is on our renewable addition targets. We had some time back given a 2.6 gigawatt of addition target for '26 and about 2.3 for '27. Where are we to achieve that target? If not, could you highlight some of the reasons why there are challenges or delays -- is it because of PPAs not being in place or connectivity or transmission infrastructure not being placed or any other challenges?

Dr. Praveer Sinha: So, our capacity addition in H1 has been 205 megawatts . We expect that in Q3 and Q4, we will do about 1.3 gigawatt. This is based on the availability of transmission line and the land and all that. Whatever will get missed out in this financial year, we will try to complete it within the next financial year. So, hopefully by end of financial year '27, you will see that our overall target that we have set, we will be able to achieve.

Bharanidhar Vijayakumar: So, what I am hearing is 2.6-gigawatt target in '26, now, we will mostly read as 1.3 gigawatt plus 2 gigawatt already comes in around 1.5 gigawatt .

Dr. Praveer Sinha: Agree.

Bharanidhar Vijayakumar: Okay. My final question is on say Mundra plant . Two parts, one , on supplementary PPA you alluded to decision by Gujarat government getting finalized, but can you give broad contours of what we can expect given one bone of contention on this supplementary PPA was how much of the profit that the mining segment is doing will be knocked off from the proposed tariff , so, any contours you can give on what could be the primary tariff ? And also what is our thoughts on when Sec. 11 if at all can be brought back by the government, is it likely that next year when demand increase s it will be back?

Dr. Praveer Sinha: So, Sec. 11 is an emergency section whenever there is a shortage of power, the government has a right to call upon plants which are not operating to operate at full capacity. This year because of the monsoon coming early and a longish monsoon it was not imposed during

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summer months. Hopefully, it will be imposed next year . But in any case, we want to have a long -term resolution rather than going year -after-year on Sec. 11. So, we have been in discussion with the government of Gujarat and hopefully we should be able to come to some arrangement. The details are still getting finalized and it has to go to the government approval process , and once it is finalized we will be in a position to share.

Bharanidhar Vijayakumar: Thank you , sir. All the best.

Moderator: We will take our next question from the line of Satyadeep Jain from Ambit Capital . Please go ahead.

Satyadeep Jain: Hi, thank you. I just want to firstly ask on the decision or thought process to go long on ingot wafer versus cell. So, you are looking at 10-gigawatt ingot wafer versus cell line, what is the thought process there and does it mean that incrementally we should look at Tata Power as getting bigger on the third -party sales of cell module wafer, which currently most of the capacity is tied to internal, but it looks like increasingly that is the path we are going to choose ?

Dr. Praveer Sinha: So, based on the

demand /supply and the plan ts which are under implementation, we feel that there will be enough supply of cell and module. T hat is why we are doing the backward integration going for the wafer and ingot and we feel that the 10-gigawatt capacity will be good capacity to not only supply wafers for our plants, but also for other cell and module plants. This is under finalization and hopefully in the next two months we will be in a position to finalize and share the details.

Satyadeep Jain: Are you suggesting that the barriers to entry for wafer and ingot would be higher , so, incrementally not many players will be able to add ingot wafer, is that what you are trying to say?

Dr. Praveer Sinha: Yes, it has not only the technology, which is very sophisticated, but also in terms of the

ability of many people to execute such a complex project. Today , we have virtually very small capacity, just 2 gigawatts in the country , and the country will require about 50 to 60 gigawatts of wafer and ingot manufacturing capability in the next two, three years. So, we feel we are very well poised for this sort of investment opportunity.

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Satyadeep Jain: Yes, fair enough sir. Sir, secondly, I wanted to ask on one of the questions around thermal. I just want to allude to the recent podcast and case study that you had with the HBR. It seemed like you may look at the focus would be on renewable, but opportunistically you may look at some stress assets and you also have that 2045 net zero target. Are you suggesting you are still open to looking at some Greenfield assets also for thermal? Because initially the impression was that maybe Brownfield , maybe more of stress assets that anyway will retire by 2045 given the target ?

Management: No, we do not have any determined clear plans as yet now. We are kind of looking at opportunities, but as of now we are absolutely committed to grow our green portfolio. But as soon as those opportunities come, we will keep on evaluating them.

Satyadeep Jain: Okay. Just one quick question on the renewable energy addition for Tata Power in the first half. Just overall when we look at the industry, it seems like there is a spurt in commissioning maybe 27–28-gigawatt commissioning in the first seven months and 200 megawatt seems like less than 1% share. Is it taking really long and other players have succeeded , what exactly is going on in terms of, because some we are hearing challenges on transmission and all, but when you look at the entire industry commissioning, there is a jump , what exactly is going on, sir?

Dr. Praveer Sinha: What has happened is in the first two quarters, we had commitment of third -party EPC projects and these were DCR cells and modules that were to be used. We focus on completing all of them so that hereafter we will be in a position to execute only our project. So, that is the whole plan, and you will see that that is why there will be a lot of capacity additions in Q3, Q4 and in the next financial year, which will primarily cater to our own internal requirements and very little of third -party.

Satyadeep Jain: Okay. Thank you so much and wish you all the best.

Moderator: We will take our next question from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi, sir. Thanks for the opportunity. Sir, first question is on the rooftop sustainability. So, how big are we anticipating this market to be and are we directly tying up any of the states to supply the rooftop? Likewise, we have few new entrants who directly enter into

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agreement with certain states to install a rooftop of around say 700 megawatts plus kind of a capacity. So, are we looking out for similar kind of an opportunity here?

Dr. Praveer Sinha: So, rooftop, I think it is just tip of the iceberg. Only 20 lakh rooftops have been installed

till September, and my expectation is that in this country at least 5 crores homes will have a rooftop and so there is a long way that we have to go to cater to the country 's requirements. So, this is a very good opportunity. We are one of the best in the country with maximum market share of more than 20% and this is going to be a very sustained effort from Tata Power side for many more years in future.

Anuj Upadhyay: Okay. And next is on the Mundra, sir. Sorry, I guess you have already mentioned that initial phase you would not be able to comment on the resolution as such, but as you mentioned that Gujarat would be the first state with whom we are negotiating as such , so, how long basically would it take for the entire 4 gigawatt capacity to get resolved? Earlier we used to have close to around 2 gigawatt or 1.5 gigawatt with Gujarat. So, is the only those capacity with which we are having a resolution or the quantum could be much higher than that?

Management: I think as Dr. Sinha said, we are in active discussions and trying to resolve and get to an understanding just within November. And with a couple of states, we are also discussing, we are kind of ensuring that post discussion with Gujarat, we also close with the remaining states. The idea is to close that as fast as possible, but on the call today, probably we cannot commit a particular timeline, but the idea is that we resolve it sooner than later.

Anuj Upadhyay: And can you split across the balance CAPEX , the Rs.17,500 crores across various segments? You mentioned that roughly, the renewable capacity would have at least close to Rs.7,500 crores of CAPEX . The balance 10,000 would be spent across which segment if you can elaborate, that would be helpful, sir ?

Management: You are talking about the full year?

Anuj Upadhyay: For the balance year.

Management: So, whatever is there, almost 50% to 60% of the balance will definitely go in the renewable, plus, we have a commitment to our transmission business, and plus, we are kind of already
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doing our pumped storage businesses, and the balance will go in thermal. So, you can assume 60% of the balance. So, if we are about 25,000 now for the full year, and we have only done let us say 7,500, we are still talking about Rs.17,000-odd crores, you assume 60% of that will go into the renewable, and the remaining in the rest of the businesses.

Anuj Upadhyay: Fair point, sir. And lastly, anything on the green hydrogen, sir. Just want to understand the group's view out here, because we are going very aggressively on the equipment side for solar, but are we planning or thinking anything to get into the green hydrogen as well?

Dr. Praveer Sinha: No plans as of now. But we keep on evaluating opportunities.

Anuj Upadhyay: Thank you, sir. Thanks for the opportunity.

Moderator: We will take our next question from the line of Vishal Periwal from Anti que. Please go ahead.

Vishal Periwal: Yes, sir. Thanks for the opportunity. Sir, in your slide of the cluster-wise performance, the coal SPV, Mundra and shipping -

Moderator: I am sorry to interrupt. Can you use your handset mode, please, Vishal?

Vishal Periwal: Sir, in your slide, which has cluster-wise performance, the Mundra, coal, and then shipping, it has contributed negatively to our PAT of almost like Rs.360-odd crores. The Mundra contribution could be how much? This is just to understand on a quarterly basis, what kind of negative contribution may come in?

Management: We report that basically on a cluster basis because Mundra and coal both go hand-in-hand. And of course, because the Mundra has been shut because of overhauling and various reasons for the entire quarter, there have been losses there. So, what the number that you see is a combination of all of them put together. I think the slide #51 of the deck has that

breakup, you can have a look at it.

Vishal Periwal: Okay. But then I think one of the slides also has a negative contribution from coal investments, almost like Rs.70-odd crores. So, the remaining is Mundra, is that fair to understand?

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Management: You can construct that, but there are pluses and minuses. Yes.

Vishal Periwal: Okay. Got it. And then in terms of our pipeline, again, one slide has almost like 5.8 gigawatts of project, which includes FDRE, solar, wind, hybrid combined as a pipeline.

So, in this, what sort of projects have PPA tied up as of now?

Management: We have the entire PPA tied up. We do not have any open position. It is just for the one or two small quantities here and there, but normally, we would have the entire thing.

Vishal Periwal: Okay. Okay. Got it. And maybe one last thing. I think you did mention the solar rooftop is probably a growth engine for us and also for industry. But sir, at one point of time, there are untied solar PPA, which are there in the market. And again, the solar rooftop, again, it is not getting accounted. But do you not think like at some point of time, the state will put some sort of regulations around that, which as of now, it is quite open for anyone to install?

Management: That will take a long time because if you see the solar rooftop penetration is very small. It does not really impact the overall PPA and other things. So, I think this is a discussion probably we will have to have three or four years down the line.

Vishal Periwal: Okay. Sure, sir. I think that is all from my side. Thank you.

Moderator: We take our next question from the line of Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Yes. Thank you, sir. So, my first question is on the RE capacity addition. So, for this year, you have mentioned around 1.3 gigawatt in H2, so around 1.5 gigawatt overall in FY26.

So, what is the target for FY27?

Management: I mean, we kind of plan on a runway to do about 2 to 2.5 gigawatt every year. As of now, we have already installed 5.7 and we have almost 5.8 in the pipeline. So, I think we will be kind of tracking quite well with respect to the overall target that we have set for ourselves.

Dr. Praveer Sinha: In fact, this year, if you consider third-party, then we would be doing nearly 3 gigawatt.

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Mahesh Patil: Okay, sir. And, sir, second related question, as you mentioned, close to 4 to 5 gigawatt we are planning to do over the next two years. So, what about some bidding projects, what are your thoughts on that, because I think the bidding has been slower, I mean, what about adding more to the pipeline?

Dr. Praveer Sinha: So, we are looking at bidding projects such as FDRE and RTC and all that. As we had mentioned to you earlier, we are now in the process of constructing our pump hydro project, which will also be operational by 2029. So, a lot of planning will be done in such a way that we package this as a solution of RTC power or peak power for consumers and this can be discoms as well as industrial and commercial consumers. So, it will not only be just bidding for the discoms but also tying up with C & I customers.

Mahesh Patil: Okay. And one observation. Your third-party PC order book has come down to around 19 billion from around 27 billion. So, is this because we are focusing more on our own projects? So, is this why the contribution from third-party EPC will go on to go down and rooftop will go up to?

Management: So, it is a mix and match depending upon the supply and demand. But of course, our execution overall pipelines will happen in Quarter 3 and Quarter 4 as well. So, when you look at the full year's number, this quarterly variations will be taken care.

Mahesh Patil: Okay, sir. Thank you.

Moderator: We will take our next

question from the line of Rajesh Basu Majumdar from 360 One

B&K. Please go ahead.

Rajesh Basu Majumdar: Yes, good evening, sir. And thanks for the chance. I just had a question on renewables. What is the capacity addition we have seen in 1H and what is the outlook for 2H in terms of the total additions for the year?

Management: So, we have added about 205 megawatts in H1 and as Dr. Sinha mentioned earlier, we have planned to execute another 1.3. So, for the full year, you will see about 1.5 on the large-scale utility. But when you look at our rooftop installation, we have already done close to 650 and most likely will be closer to 1.4-gigawatt rooftop as well, plus the third-party PC.

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So, I think unlike pure Genco capacities, we have to look at the capacity installing across EPC, rooftop, and Genco. All three put together will be a significant high number.

Rajesh Basu Majumdar: That is fair. That is fair. And, sir, if you look at your quarterly EBITDA run rate and the fact that now we are entering the lean season and Mundra is unlikely to contribute to the second half, does it mean that we will see a fall in the pockets at least for this year till the PPAs or etc., are signed and that is coming into the season starting from March, so, is that a fair assumption to make?

Management: I do not think that is a fair assumption to make, because even in Quarter 2, we are delivering a 14% PAT growth in spite of the impact at Mundra. So, of course, many of our projects that we are doing, including the transmission, the recovery that we see in the distribution in Odisha, also solar rooftop manufacturing, all of them will be contributing significantly.

In fact, if you really look at the core businesses, they have significantly delivered in Quarter 1 and Quarter 2, and those deliveries will continue in Quarter 3, Quarter 4 as well.

Rajesh Basu Majumdar: Okay. Thank you.

Moderator: We will take our next question from the line of Puneet from HSBC. Please go ahead.

Puneet: Yes, thanks. So, on your 1.3-gigawatt future capacity addition in the second half, is it possible to break down between how much solar and how much wind would that be?

Management: We would not have that number readily available, but a significant part of that would be solar.

Puneet: Okay. Understood. Thank you so much.

Moderator: Ladies and gentlemen, that was the last question. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you, everyone, for joining for this call. And if you have any queries, you can always get in touch with my colleagues, Kasturi and Anshul, and we will be more than happy to provide you all the required information. Thank you and take care.

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And Kasturi, you have informed everyone about that visit?

Kasturi Soundararajan: Yes, we have started informing them. If you want, you can go ahead.

Dr. Praveer Sinha: Okay. The next Analyst Meet is in Bhubaneswar on 15th of December. My colleagues will get in touch with you and provide you more details and the agenda.

Moderator: On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Feb 2026

February 9, 2026

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block Bandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on February 4, 2026, on the Audited Standalone Financial Results and Unaudited Consolidated Financial Results of the Company for the quarter and nine months ended December 31, 2025 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab>

This is for your information and records.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl: As above

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"The Tata Power Company Limited Q3 FY'26 Earnings
Conference Call"

February 4, 2026

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER, THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY
& INVESTOR RELATIONS, THE TATA POWER
COMPANY LIMITED
MR. ANSHUL VERDIA – HEAD INVESTOR RELATIONS,
THE TATA POWER COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Tata Power Q3 FY'26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha – CEO and Managing Director of Tata Power for his opening remarks. Thank you and over to you, sir.

Dr. Praveer Sinha: Thank you very much and good evening to everyone and thanks for joining the call. I have my colleague, Sanjeev Churiwala – CFO, J.V. Patil – our Group Financial Controller, Kasturi, Chief – Treasury and from Investor Relations we have Anshul and some of my other colleagues from the finance department.

Before I share with you some of the salient features of the quarter performance, just to give you a little background, the power demand during the Quarter 3 and 9-months for the last financial year has been, I would say, not very high, muted this year but saw 7% growth in recent months.

But I think when we look at both the demand increase in December and January, it looks like we will have a rebound in this year, especially with summer expected to be a little more warmer than last year. We do expect that our peak demand will be in the 270-280 gigawatt range, and we can expect a very large increase in the demand of power in the coming months.

In the last nine months, we have seen huge capacity add especially in renewable space, and while our overall capacity has reached 514 gigawatt of installed capacity, nearly 45 gigawatt was added in this fiscal, out of which 38 gigawatt is renewable capacity. So, huge capacity additions have happened, and we do expect that going forward this momentum will be continued.

Looking at the financial performance of the Company for the quarter, we have given a very strong operational and financial performance with the EBITDA increase of nearly 12% year-on-year at Rs. 3,913 crores compared to the previous year. Similarly, the PAT has increased marginally to Rs. 1,194 crores, despite Mundra being non-operational for the quarter and having a substantial hit because of that. For the 9-months, the EBITDA has jumped 12% year-on-year to Rs. 11,874 crores as compared to Rs 10,639 crores. Similarly, the PAT is up by 7% for the 9-month period to Rs 3,702 crores.

This quarter, what we have seen is many of our new businesses have come to age, whether we look at our solar cell and module manufacturing, where there has been a huge increase in our plant profit after tax, which has gone up to nearly Rs. 251 crores in the quarter compared to Rs.

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112 crores last year. For the 9-month period, the plant has delivered a PAT of Rs. 592 crores, which is an increase of 154% compared to Rs. 233 crores in the last year 9-months. Similarly, our rooftop has done exceedingly well. We crossed one gigawatt in the 9-months period and in Q3, in this quarter, we executed 372 megawatt compared to 173 MW in the previous year. The rooftop PAT has increased in the quarter to Rs. 111 crores compared to Rs. 60 crores last year.

In the 9-month period, it has gone to Rs. 324 crores compared to Rs. 110 crores in the previous year 9-months. Similarly Odisha Discoms have done very well. The profit of Odisha Discoms has gone up to Rs. 226 crores in the quarter compared to Rs. 86 crores last year. And in the 9-month period, it has gone to Rs. 505 crores compared to Rs. 164 crores in the previous year, 9-months. I think what is important is that many of our new businesses have now started showing

results and in the future quarters, they will further stabilize and produce much

h better results than

what we have seen in the previous quarters.

We also have seen that many of our other businesses, including the transmission businesses, have started showing results. We were able to commission some of our TBCB projects such as the 400 kV Koteshwar-Rishikesh transmission line. Similarly, we were able to complete some of the other projects which were under implementation. And some of the projects will get completed in this quarter also. We also got a letter of intent in the last quarter for the Hinjewadi line and we are expecting some more projects in this quarter also.

Last quarter, we had a huge challenge because Mundra was not operating. We have been able to now conclude the arrangement with Gujarat on all the issues of the SPPA, except one point. We hope that in the next 2-3 weeks, we will be able to close that. And on a similar basis, we will parallelly start discussing with the other states so that we are in a position to start operation of the plant, maybe by the end of this month. As there is now a huge demand of power that is coming up, we should be ready for the summer months requirements of these states. Work on

all our other businesses, especially our PSP project in Bhivpuri and our hydro plant in Bhutan are going at full swing and they will meet the timelines that have been set by us for both these projects. These are very ambitious timelines that we have set for PSP and the Bhutan project and we are very confident with the pace of work that is going on that we will be able to complete.

On our distribution business, we expect that some changes will happen by way of the Electricity Act Amendment and we are expecting that once the Electricity Act Amendment is put in the Parliament for approval in this budget session, we will get many more opportunities on parallel

licensing in the country. Similarly, we are expecting some more announcements on the distribution sector in the next 6 to 9 months whereby certain more states will come up for public-private partnerships based on some of the other incentives and concessions to be provided to them, especially to states which have huge financial losses in their distribution business. We also expect that many of the new initiatives of the government including nuclear power and all that will bring more clarity in terms of the technology transfer, in terms of sourcing of fuel and in terms of the opportunity that will come up to set up these nuclear plants, especially the small modular nuclear plant in various parts of the country for which we are in continuous discussion

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with the government, Department of Atomic Energy and NPCIL as also with NITI Aayog, so that these are put in practice quickly and some of the projects can start work in the next 24 months. We are always working towards improving our performance and to that extent you will see that our financial metrics are very, very conservative and we continue in spite of the type of CAPEX that we are incurring, we continue to have a net debt to underlying EBITDA of 3.4 and a net debt to equity of 1.2 and we expect that the type of calibrated growth we have will continue in future quarters also.

So, with this I will hand over back to you for your questions and me and my colleagues are here to respond. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question-and-answer session. We will take a first question from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: Good evening, sir and congratulations on the strong numbers in solar manufacturing and solar rooftop especially. My first question is on Mundra. Of course, you are trying to resolve with the Gujarat and you will subsequently go to the other procurers. My question is, till the time we get the final resolution from the other procurers, is it fair to assume that you'll be able to r

un the

capacity which you only link to Gujarat in the interim?

Dr. Praveer Sinha: This is all under discussion. We had a few months back a joint meeting of all the procurers during which it was agreed that Gujarat will take the lead in finalizing the SPPA term. Now that the SPPA is agreed with Gujarat, leave one point, we will be circulating this to other states and once we get their in-principle approval, we will try to start operating the plant and scheduling it to them based on their acceptance. So, hopefully in the next few weeks, we should be able to find out the comfort level of the other procurer state and then we will start scheduling the power.

Mohit Kumar: Understood. My second question is, how do you think about the renewable capacity addition over the next three months? I think the target we have set for ourselves was 2-2.5 gigawatt, if I remember correctly. I think you added on 600 megawatt if I am not wrong in the last nine months. Do you think we will still be able to meet that 2-gigawatt target?

Dr. Praveer Sinha: So, our target this year was that we will set up 2.6 gigawatt which included third party and ourselves. We have already done 1.9 gigawatt which includes third party and also it includes 600 megawatt of our own capacity addition. We have another 400 to 500 megawatt of project which we are pursuing which we expect to complete in this quarter and then we have projects which will come up in 2027,

wherein most of the projects will be our own because all our so-called third party projects have got over including the SJVN, MSEDCL, NHPC. So, all the new projects that will come up will be catering to our own department.

Mohit Kumar: Thank you and best of luck. Thank you.

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Moderator: Thank you. We will take our next question from the line of Sumit Kishore from Axis Capital.

Please go ahead.

Sumit Kishore: Good evening, sir. When I look at the Q3 FY'26 EBITDA to Q3 FY'25 the delta of Rs. 432 crores, it is almost entirely explained by the bump up that has happened in the Delhi distribution business. Although the Delhi distribution business has seen a 2% decline in power purchase and sale, there seems to be some regulatory adjustment there which has bumped up the EBITDA.

So, why hasn't it been properly called out in accounts in the presentation and what are the details there because it seems to be explaining the whole growth for the quarter?

Dr. Praveer Sinha: What you have to do is this. You have to see the increase in EBITDA considering that last year we had EBITDA impact from Mundra where there was a positive EBITDA of Rs. ~300 crores.

That is not there this year and that is being compensated from our rooftop business, from our manufacturing business and our Odisha business. There is a one-off that we have got in Delhi

Discom because of the regulatory order that we got for trueing up of our tariffs for 2022-2023.

But notwithstanding that also, there has been increase in our existing portfolio of businesses and that has helped us for the increase in EBITDA for this quarter.

Sumit Kishore: That is very clear, sir. The trueing up amount has just become congruous in a quarter where you have had the big Mundra impact. What is the amount for the quarter?

Sanjeev Churiwala: Mundra, there are various provisions that we have to do. I think in the next quarter when we do the complete true up, we will be able to give you the complete picture.

Sumit Kishore: Okay, but what is the impact for 9-months that you have trueed up in your numbers, if not the 3rd Quarter?

Sanjeev Churiwala: I think all put together when we look at 9 months, it is closer to about Rs. 800 odd crores of losses that we have booked.

Sumit Kishore: Which is losses for Mundra?

Sanjeev Churiwala: For Mundra only, yes. Because Mundra has been shut for 6 months now and of course when the plant is shut, we do not get the capacity char

ges. Now 6 months, the plant is still there. So to that extent the Rs. 800 crores have been booked as a loss.

Sumit Kishore: This is at the EBITDA level or the PAT level?

Sanjeev Churiwala: At the PAT level because for Mundra and other thermal power plants, PAT level matters the most.

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Sumit Kishore: Okay, asking is for Delhi distribution, for the 9-month period, what is the true-up benefit that you have taken in numbers?

Sanjeev Churiwala: For 6 months, which again to your earlier point, we have been reporting that in the earlier quarter and this quarter, the total regulatory impact at TPDDL is about Rs. 344 crores. We also had a similar true-up impact last year of Rs. 333 crores. That is there, plus in the last year, corresponding same period, we had the order impact for Mundra at Rs. 332 crores. All of that have been appropriately reported in the accounts.

Sumit Kishore: It is still not clear to me what is the benefit that you have booked in the 3rd Quarter?

Sanjeev Churiwala: You wanted YTD or 3rd Quarter only?

Sumit Kishore: 3rd Quarter only also. Because you are saying that the 6-month number was clearly mentioned.

Sanjeev Churiwala: In the third quarter, PAT impact is about Rs. 344 crores on TPDDL regulatory impact.

Sumit Kishore: And that is flowing from revenue to profit or is there any other benefit at the EBITDA level?

Sanjeev Churiwala: So, this is net of taxes, of course.

Sumit Kishore: So, the EBITDA benefit is more?

Sanjeev Churiwala: Yes, so it is Rs. 460 crores at the EBITDA level.

Sumit Kishore: How much? 464?

Sanjeev Churiwala: 460.

Sumit Kishore: 460 crores, I heard. Okay.

Sanjeev Churiwala: In fact, if you see the notes on accounts, Sumit, that is a complete disclosure around that. You will get the full numbers.

Sumit Kishore: Okay. That is clear. The second question is, typically, you have elimination in the renewable cluster under others, which is a negative number. This time, it is a small positive number. So, typically, our understanding over the last few quarters was that because you do some internal intra-transfers, there is some elimination. Why is the

elimination positive this time?

Sanjeev Churiwala: So, you are right. The elimination that is done, whether it is a positive number or a negative number, everything has to be eliminated. So, whenever there is an intra-transfer and there is some positive number, that is eliminated. So, you see a negative elimination. And whenever

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there is an intra-transfer loss, that is also eliminated to a positive number. So, the idea is that at the PAT level, there is no impact. And this is basically a true-up on a quarterly basis. So, the way you have to read it is net of elimination. When you look at Rs. 912 crores, you can look at the slide number 52, which has been uploaded. It shows the cluster-wise performance. The break-up is there.

Sumit Kishore: Yes, I am looking at the cluster-wise performance. So, because you are doing projects which Tata Power is setting up on its own books, I am assuming that part of the modules are going from your manufacturing facility to your own projects. So, which is why the elimination needs to happen on consolidation because it is being consumed by your own entity. So, why is the elimination a positive number?

Sanjeev Churiwala: That is what I am saying. So, if you look at the renewable, you have this Genco, Solar EPC, TP Solar. So, TP Solar will provide services to the Genco in terms of supply of modules. Similarly, the Solar EPC will also do the services for Genco and as well as the third party. So, of course, there are many, many projects within that. However, if any project is having a negative loss because of the contractual nature of the agreement, that also needs to be eliminated. So, one of the projects could be a negative P

AT margins for most likely for the Solar EPC, which now has been eliminated for positive Rs. 60 crores.

Sumit Kishore: There was a loss which you have made in the Solar EPC business because the elimination has then become a positive thing.

Sanjeev Churiwala: As you can see, Solar EPC overall PAT is Rs. 183 crores. It is positive. But let us say there are 100 different projects happening, which include in-house supply. So, as per the accounting standard, any contract which even has a loss for in-house supply also needs to be eliminated. So, as a result, Rs. 60 crores is in elimination.

Sumit Kishore: This is very clear. Just one last point. There is some positive impact for FGD recovery in Q3 and 9 months for Maithon, which also seems to be bumping up the number quite dramatically on a year-on-year basis in Q3 particularly. So, what is that impact? That is my last question.

Sanjeev Churiwala: So, we have commissioned the FGD for Maithon. And given that this is a regulatory asset, we are getting the regulatory returns. So, that impact of that is about 15 odd crores. And you will see that reckoning happening in the subsequent quarters now.

Sumit Kishore: So, Rs. 50 crores in every quarter it will come?

Sanjeev Churiwala: 15 crores.

Sumit Kishore: Thank you and wish you all the best.

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Moderator: Thank you. We will take our next question from the line of Apporva Bahadur from IIFL Capital. Please go ahead.

Apporva Bahadur: Hi, sir. Thank you for the opportunity. Sir, you briefly mentioned about more opportunities on the distribution from the PPP side, possibly due to some sort of a package for the discoms. Can you give some more color on that? What sort of package are we posing over here?

Dr. Praveer Sinha: So, there are many states who have huge financial losses. And so, some of those states will be given the opportunity of a long-term loan at zero rate of interest. But there will be certain caveats in terms of they need to go for PPP and only against that they will be given. So, those are states which are already identified in terms of the type of financial losses they have. And it is expected that once that is announced, we will have a few states who will be availing that opportunity and going for PPP.

Apporva Bahadur: So, when should we expect this around, any timelines?

Dr. Praveer Sinha: I think in the next 6 to 9 months, this should happen.

Apporva Bahadur: Okay. Understood. Sir, I also wanted to sort of understand our strategy on the rooftop side. Commendable, I mean, the improvement that has happened and the growth and profitability. But has it reached some sort of a peak revenue or a peak profit or do we foresee more growth here? And secondly, any plans of cross-selling more, especially on the storage side?

Dr. Praveer Sinha: Well, this is the tip of the iceberg, I would say. And the opportunity is phenomenal. What we are seeing is, again, the Prime Minister's Surya Ghar program, 1 crore houses were supposed to be done. We have already done only 25 lakhs. So, there is a huge number. In this budget, another 50 lakhs have been added, 5 million has been added. So, there is a huge opportunity with the type of financial support that is being provided. Without the financial support also, we are

finding that a lot of C&I customers are also going as also customers who want larger capacities, 10 kilowatt and above. So, I think this is a business which is going to be there for a very, very long time. We would also find that people will, those who have put up smaller capacities will augment it in future based on their increase in energy requirement. And this business, I do feel it is something which is very futuristic and will keep on improving going forward.

Apporva Bahadur: Okay, sir. Sir, lastly, one theoretical question. Now that we are close to solving Mundra in terms of the supplemental PPA, in

case the government again sort of implements Section 11, because the last time it implemented, it was not just for Tata Power, but for all the imported coal-based assets. So, does Section 11 supersede the supplementary PPA or will we be kept out of the purview?

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Dr. Praveer Sinha: Section 11 is imposed when there is a shortage of power. And hopefully, before that happens, we should be in a position to close this arrangement because this power is required by all the procurer states and if they go for Section 11, they have to pay more. So, it makes more sense for them to go ahead and finalize the SPPA rather than going to Section 11.

Apporva Bahadur: Okay, sir. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Puneet from HSBC. Please go ahead.

Puneet: Thank you so much. My first question is, you talked about one point which is missing in Mundra. Can you elaborate where is the point or difference still?

Dr. Praveer Sinha: There is one point. Let's wait for that clarity to come from the government.

Puneet: Okay. Secondly, on the Delhi distribution side, there was this talk about reducing regulated assets. But in this quarter, the number has gone up again. Any progress that you're seeing there or it's a slow outcome?

Dr. Praveer Sinha: So, the regulatory asset per se has gone down. But what has happened is that there is one more order that has come. The true-up order has come for 2022-23, which has given another Rs. 400 crores additional regulatory assets to the company. So, that's why it's looking high. But in actual, during the quarter, it has come down by Rs. 460 crores. So, it's come down by Rs. 460 crores.

Puneet: Okay, understood. And lastly, if you can talk about which are the big renewable projects that you will commission in FY'27?

Dr. Praveer Sinha: I think some of the Tata Steel projects, we already commissioned 198 megawatt wind project. There are some more wind projects which will get commissioned in this quarter. So, I think many of the wind projects will get commissioned, as also some solar projects will get commissioned between this quarter and the next quarter.

Puneet: Understand. And what should be the run rate for the year that we should assume for your own and separate?

Dr. Praveer Sinha: So, this year, we will do something like another 500 megawatts. But next year, the so-called 2.5, we will do 100% for ourselves.

Puneet: Okay. So, FY'27 onwards.

Dr. Praveer Sinha: Yes.

Puneet: Understood. That's very helpful. Thank you so much and all the best.

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Moderator: Thank you. We will take our next question from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Thank you. Good evening, sir. Congratulations on a strong performance in rooftop and module manufacturing. Just on the rooftop side, what's your outlook on the rooftop addition in India? I think, year-to-date, we have added around 7 to 7.5 gigawatts. Will this continue going forward in '27 and '28?

Dr. Praveer Sinha: I think if you look at the stage of rooftop addition in the country, as also by us, it has increased tremendously with much better supply chain, much better channel partner, much better arrangement to supply and erect information. I do expect that the speed will go much further. Also, the government has come up with a new scheme, which is the state discoms have been asked to go ahead and implement it. We are doing it in Odisha, which is known as the ULA scheme, utility-led scheme, which is there. And I think the capacity adds that you are seeing last year, at least 50% to 60% more will happen in this year and we will continue to see the increase going forward.

Ketan Jain: Understood. Thanks, sir. So, my next question is on the module manufacturing. I could see that we have sold around 9

60 megawatt of modules. And we have also produced 960 megawatt of cells. So, is it right to assume that all of these cells are DCR module cells?

Dr. Praveer Sinha: So, in the last quarter, we had some ALMM, that is, imported cells we had used, because the order was for supply of imported cells with domestic modules. But I think in the next two quarters, we will have more of our own cells and our own modules, because from 1st June only

DCR cell and DCR modules are utilized. So, you will see more or less that whatever cell that we produce is fully consumed internally.

Ketan Jain: Understood, sir. So, the 962 megawatt is all the external sales which we have done?

Sanjeev Churiwala: Largely, as mentioned for Rooftop and our own businesses. And the rough breakup is a small quantity of about 168 megawatt peak for ALMM and DCR we have done 795 megawatt peak.

Both put together is about 962.

Ketan Jain: So, external would be just 20%-25%?

Sanjeev Churiwala: External would be even smaller than that. Very small percentage.

Ketan Jain: So, the realization is a blended realization of the DCR and non-DCR module, both?

Sanjeev Churiwala: Yes.

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Ketan Jain: And what would be the current realization, sir, in the market for a DCR and a non-DCR?

Dr. Praveer Sinha: It's very difficult to... It depends on the type of it because they are 540 and 580 and also which ones are Mono PERC, which ones are not.

Sanjeev Churiwala: I think it's difficult for us to give a breakup because a large quantity of that is in-house consumed in our various businesses. But if you look at the P&L, which is also up loaded, we will have an EBITDA margin of close to 28% for the quarter. And for 9 months, we are delivering close to 24% of EBITDA margin.

Ketan Jain: Correct. Okay. So, my last question is on the renewal execution part. You mentioned 2.5 gigawatt next year. So, 2.5 gigawatt in FY'27 is the target, right, sir? For our own capacity?

Dr. Praveer Sinha: Our own capacity.

Ketan Jain: And just one addition to this is, what are the challenges are we facing in execution of our own capacity? Or is it a strategical call that we are first finishing our third-party order book and then focusing on our existing, our own capacity or is there any challenges you're facing in execution?

Dr. Praveer Sinha: This was timing issue only. So, the third-party orders we had received much earlier. And our own capacity, our orders that we got last year. So, based on the timelines that have been agreed with, these are getting executed.

Ketan Jain: Understood, sir. Thank you and all the best.

Moderator: Thank you. The next question is from Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Hi, thank you. Sir, I just wanted to ask on renewable energy execution once again. I know you're looking at 1 gigawatt broadly commissioning this year. In the last nine months, it's been 600 megawatt against industry at 38 gigawatt. Even if you strip out solar rooftop, that's about 30 gigawatt, 2% market share for Tata Power. And that 1 gigawatt that you're looking at now is despite third-party execution, the initial expectation was 1.5 to 2 gigawatt. So, there seems to be a miss and we are seeing it across the board for some of the larger players, misses in terms of execution. But the industry is still adding a lot of capacity, which means it's a long, very long tail. In case you do meet the target next year, either mathematically, if you look at the market share, the industry commissioning has to more than double or some smaller players lose market share. Just want to understand, if you do take market share, how is that going to play out? Why should smaller players commission less or take less market share next year in the overall, not just Tata Power, just trying to understand this entire long tail, how will that shrink?

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Dr. Praveer Sinha: If you look at Tata Power this year, we have already commissioned 2.2 gigawatt of projects. And that means that we have inherent capacity to execute such large capacity and we will add another 500 megawatt in this quarter. So, 2.7 gigawatts we will be doing in this financial year.

If we look at next year, we have a capacity to execute 2.7. We may do more than 2.5 while we have taken the initial estimate of 2.5, we can go up to 3 gigawatts of capacity add. As you are aware, we have a pipeline of nearly 5.5 gigawatts of projects, which we need to execute. So, within the next two years, we will execute. Also, it's not just executing the project, but also the timeline when the transmission line comes up. As you are aware, many of the transmission lines got delayed and we are now timing the project completion with the transmission line completion so that it should not be that these projects are left stranded and unutilized when the transmission lines are not available. So, I think it's a question of better planning, better phasing, and staggering it in such a way that it is able to produce as soon as they are implemented and the power can be executed.

Satyadeep Jain: Let me ask it another way. When the year started, obviously, you're looking at 1.5-2 gigawatts

if it roll back one year ago. So, at that time also, you had the third party order book. So, is it not some delay in execution, transmission or is it purely that compared to initial expectations, you prioritized third party book? And the delay in commissioning transmission has been an industry-wide phenomenon. But despite that, we are looking at 38 gigawatts capacity for the entire industry. But still, are you saying the delay in commissioning for capacity delayed capacity commissioning for certain players more than it did for others? Just in the context of overall addition, trying to understand compared to the earlier targets you had?

Dr. Praveer Sinha: You need to understand that many of the projects are either intrastate projects or interstate projects. The intrastate projects, the challenge of transmission lines is not so much. But in interstate transmission lines, there have been challenges. Our projects that we were doing for third parties were synchronized with the commissioning of those transmission lines. For our internal projects, again, it was synchronized. Some places, some of the lines which were supposed to come last year have got delayed and they are expected by March this year, or maybe it may go up to May, June this year and some by December. So, that's why the project completion has to be staggered in such a way that it meets the timeline for evacuation. Otherwise, there's no point in setting up of the plant if the power cannot be evacuated.

Satyadeep Jain: Perfect. Sir, one more question on Odisha. Just we are seeing increase in income. Largely, it seems to be reduction in ECL losses. Just wanted to understand what is driving that reduction in ECL and is it also reflected in actual increase in cash profit? Is it mainly accrual or actually your cash receipts have also increased significantly in Odisha and what has led to that ECL reduction?

Dr. Praveer Sinha: Well, I think our collection efficiencies have improved. Our billing efficiency has improved. And the performance of Odisha discoms have improved tremendously. If you track it in last three years, the performance has been improving every quarter. And the coverage of billing has

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been better. Loss reduction has happened. Spilling of electricity which was there has reduced drastically. So, I think overall the performance of all the 4 discoms has been very good. And we need to acknowledge that the type of work that they have done to bring about a turnaround, not only financially, but also operationally is phenomenal. And that is

why you are seeing a much

better performance in this quarter as we'll see in the 9-month of this year.

Sanjeev Churiwala: And to add to your question whether it is converted to cash, absolutely if you look at Quarter 3 itself, when we look at the distribution cash flows, largely Odisha, we have earned about close to Rs. 800 crores of cash only for the quarter.

Satyadeep Jain: Okay. That's great. Thank you so much.

Moderator: Thank you. We will take our next question from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Thank you, sir. So, my question was on your Wafer and Ingot plan, where are we right now and what is the size and any state incentives? That was the first question, sir.

Dr. Praveer Sinha: This is under discussion. We are examining the technology, equipment, size, all those things. And we will take some more time to take the final decision.

Girish Achhipalia: Okay. And from China, we are seeing wafer and polysilicon prices increase. Currently, we have, I think, more than 5 gigawatts under construction. So, how much of an equity IRR impact does this cost? Because you would be sourcing some of the raw materials from there, if you can quantify?

Dr. Praveer Sinha: So, if the input material cost goes up, the output material cost also, because this is true for everyone who is manufacturing the modules in the country. So, by these phenomena, we will get highest price realization.

Girish Achhipalia: Yes, I mean, but your EBITDA for your utility scale projects remains the same, but your gross block increases, right? So, I wanted to understand the equity IRR impact. Is it like 300 bps, 400 bps, or is it lower?

Dr. Praveer Sinha: It is not having a great impact because we also have a mix of solar and wind in most of our projects. So, from whatever we know, there is not going to be any substantial impact.

Girish Achhipalia: Okay. And if I heard you correctly, sir, for excluding third party, next year you are targeting 2.5 gigawatt and FY'28 another 2.5 gigawatt. Is that the way it will happen in terms of your...

Dr. Praveer Sinha: 2.5, more nears up to 2-3 gigawatt.

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Girish Achhipalia: Okay. Thank you.

Moderator: Thank you. Next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Hi, sir. Thanks for the opportunity. The first is on the margin front across your EPC and the rooftop. So, during the quarter, the margin has fallen across both the segment. And probably I was of an opinion that with the complete operation of your cell and module capacity, this margin

volatility across the EPC should come down significantly. So, could you just explain the reason for this fall in EPC margin and rooftop?

Sanjeev Churiwala: I think on the EPC side, we kind of target PAT margin of close to 5% to 6% every quarter. But if you look at within quarter-to-quarter, depending upon the true-up, there could be challenges. But by and large, that's what we have been targeting. Because if you look at the overall solar EPC margins, it's a very healthy margin overall. Solar rooftops, about 14.5% and then we look at large projection rooftops, it is close to about 9.1%. And PAT margin, we are kind of delivering on a consol basis which is about close to 8%.

Anuj Upadhyay: Okay. So, this is what it should be on a sustainable basis?

Sanjeev Churiwala: That's what we think. Because even Quarter 3, when we look at the Quarter 3, PAT margin is 7.6 and 9-months is also 7.8.

Anuj Upadhyay: Okay. And secondly, on a debt profile, sir, I can understand on the regulatory side where debt can go up. But say for companies like Maithon and your Coal SPV, the debt across the respective businesses has largely remained stagnant. So, any timeline on when can we expect the debt reduction happening over there?

Sanjeev Churiwala: I think the debt, what we see from

on a console basis, we have a debt equity of 1.2, a debt to underlying EBITDA of 3.4. So, we are on a very comfortable journey, given that we will be spending close to 15,000 crores-20,000 crores -25,000 crores of CAPEX every year. We will have debt in the books, but we want to ensure that we maintain our debt equity and debt to EBITDA profile on a very conservative basis.

Anuj Upadhyay: Okay, fine, sir. I mean, like on a console, no issue. But just on these two segments, I wanted to have your view. Whether we should expect any kind of a debt reduction happening from here on, or it would largely remain at a similar level?

Sanjeev Churiwala: You are referring to which segment?

Anuj Upadhyay: For Maithon and Coal SPV.

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Sanjeev Churiwala: Maithon is a regulatory asset. We are not doing any CAPEX. So, as per the regulatory asset, we will keep on earning the cash over there and to that extent, the debt will only reduce.

Anuj Upadhyay: Fair point, sir. No issues.

Moderator: Thank you. We will take next question from the line of Aniket Mittal from SBI Mutual Fund.

Please go ahead.

Aniket Mittal: Actually, I had a question more at a sector level to understand. So, we have obviously seen renewable awarding pretty much dry up. And there seems to be some sort of deadlock here with 40 gigawatts of PPA unsigned. Just to understand your thoughts, what's the pushback that

Discoms are having on signing PPAs? And when do you think renewable awarding in the country can sort of come back?

Dr. Praveer Sinha: I think the renewable projects are getting delayed because of the connectivity issue. And in such time, new evacuation lines are set up. The pace at which the renewable projects are coming up. it will be a little slower. So, all the existing connectivity approvals have been given and there is no fresh approval being given. And until that happens, there's no point in tying up new renewable projects. So, I think we will have to see how quickly some of the big sum up and some of these new lines are awarded, so that the project pipeline can be sufficiently developed.

Aniket Mittal: In that context, how do you look at certain country level, let's say, renewable addition happening? Obviously, last year has been a fairly good year for India, but do you see this to that number sort of slowing down for the next couple of years?

Dr. Praveer Sinha: I think at least for the next two years, we have a lot of renewable projects as also transmission line projects which are under implementation. So, to that extent, I don't think this will slow down to a very large extent. And we should see a good momentum at least for the next year.

Aniket Mittal: Fair. Just one confirmation I want to have. So, for all the renewable projects that let's say Tata Power builds on their books, you will be using your own manufactured cells. Is that understanding correct?

Dr. Praveer Sinha: Absolutely right.

Aniket Mittal: Okay. And within that, so 2.5 gigawatt of renewables expected to get commissioned next year, how much would solar be out of that?

Dr. Praveer Sinha: I think it's now about 50-50.

Aniket Mittal: Okay. Got that. So, those are my questions. Thank you.

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Moderator: Thank you. We will take our next question from the line of Nikhil Bhandari from Goldman Sachs. Please go ahead.

Nikhil Bhandari: Hi. Thank you. Thank you for the opportunity. I just want to ask about the cell and the module business. The profitability currently is, of course, phenomenally pretty high. And I understand many of the other companies have not been able to ramp up their cell plants with a good yield on time. But how do you see the sustainability of these margins, let's say, beyond next 6 months to 12 months? And a connected question would be for your rooftop solar business margins as well. How much of

your rooftop solar margins are currently benefiting from this policy support of the ALMM requirement for the cells, because you have your own cells. So, probably that positions you to make a higher margin. How much of that margin strength is because of this benefit? And how do you see the durability of this advantage if the cells become more widely available in the market? Thank you.

Dr. Praveer Sinha: Very short answer for your long question. And this will be much, much better going forward. Once we have learned how to run the plant, it will only improve. It will not become worse.

Nikhil Bhandari: Understood. Thank you.

Moderator: Thank you. We will take our next question from the line of Girish Achhipalia from Morgan Stanley. Please go ahead.

Girish Achhipalia: Thanks for the follow up. If you can just help us currently, how's the Indonesian law situation evolving? Have they levied the export tax and who's kind of bearing it because the market realization, I mean are you passing it on? Are the producers taking some impact on the margins? How is it brewing through in Q4 now?

Dr. Praveer Sinha: There is no impact. At least we have not heard or seen anything. So, we are not expecting any impact.

Girish Achhipalia: Okay, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question for today. I would now like to hand the conference over to Dr. Praveer Sinha for closing comments. Over to you, sir.

Dr. Praveer Sinha: Thank you, everyone. During the last one hour, we heard a lot of questions on renewable, but very few questions on distribution. I think we had taken all of you to Bhubaneswar and shown you the type of work and the phenomenal improvement that has been there. We will need to consider it because there are not many players in this country who have this sort of skill set, knowledge and experience. Considering that a lot of distribution opportunity will come in the future, I think suitable justice should be done to distribution business in your analysis. So, please

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consider that also. We should not just get carried away by a few areas where there are too many players and I think margins are a challenge. With that advice, I would like to close. Thank you all. If you have any queries, please connect with Anshul and Kasturi and any questions you have, please ask them. We will try to respond to you. Thank you.

Moderator: Thank you, sir. On behalf of Tata Power Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: May 2026

May 15, 2026

BSE Limited
Corporate Relationship Department
1st Floor, New Trading Ring
Rotunda Bldg., P. J. Towers
Dalal Street, Fort
Mumbai – 400 001.
Scrip Code: 500400 National Stock Exchange of India Limited
Exchange Plaza, 5th Floor
Plot No. C/1, G Block Bandra-Kurla Complex
Bandra (East)
Mumbai – 400 051.
Symbol : TATAPOWER

Dear Sir/Madam,
Earnings Call Transcripts

Pursuant to Regulation 46(2)(oa) of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, as amended, the transcript of the audio call recording of the Company's Analyst Call held on May 12, 2026, on the Audited Financial Results (Consolidated and Standalone) of the Company for the quarter and financial year ended March 31, 2026 is attached herewith.

The transcript of recording can also be accessed on the Company's website using the following link:

<https://www.tatapower.com/investor-resource-center/analyst-call-transcript-tab#analyst-call-transcript-tab>

This is for your information and records.

Yours Sincerely,
For The Tata Power Company Limited

Vispi S. Patel
Company Secretary
FCS 7021

Encl: As above

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Q4 & Year Ended FY '26 Earnings Conference Call"
May 12, 2026

MANAGEMENT : DR. PRAVEER SINHA – CEO & MANAGING DIRECTOR ,
THE TATA POWER COMPANY LIMITED
MR. SANJEEV CHURIWALA – CHIEF FINANCIAL
OFFICER , THE TATA POWER COMPANY LIMITED
MR. J.V. PATIL – GROUP FINANCIAL CONTROLLER ,
THE TATA POWER COMPANY LIMITED
MR. KASTURI SOUNDARARAJAN – CHIEF TREASURY &
INVESTOR RELATIONS , THE TATA POWER COMPANY
LIMITED
MR. ANSHUL VERDIA –HEAD INVESTOR RELATIONS ,
THE TATA POWER COMPANY LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Tata Power Q4 and Full Year FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Dr. Praveer Sinha, CEO and Managing Director of Tata Power for his opening remarks. Thank you, and over to you, sir.

Praveer Sinha: Good evening, everyone, and thank you for joining for this call. I have with me my colleagues, Sanjeev Churiwala , CFO; J.V. Patil , Group Financial Controller; Kasturi , Chief Treasury & Investor Relations; Anshul , Head Investor Relations and other colleagues from Finance and Corporate Communications.

Before I share with you some of the major highlights of the Q4 performance of the year, let me just quickly share with you our understanding of the power sector in the past few months and as of now. We saw in the last quarter that the increase in demand was very modest of 2%.

And we are now seeing from April onwards that the demand has gone up by 5% to 6%. And the peak power also has touched 256 gigawatts. We do expect that in next 1 to 2 months, this will cross about 270 gigawatts. And this is because of the heat wave that we see across the country. And also, because of the prediction that we will have a severe impact because of El Nino.

So, we do expect that the demand will increase both in terms of peaking requirement and energy requirement. And we are already seeing in many places, Mumbai has crossed 4,600. Delhi is more than 6,500. And so also many other places that we are finding that the demand is going after. Fortunately, in our country, our power systems are very stable.

The increased demand is met mainly by our coal -based plants and hydro plants and also renewable solar and wind supporting them during solar hours and wind hours. We have also seen that for our imported coal -based plants, there has been no impact per se. There is adequate supply of coal that is coming. There is, of course, a small increase in the prices of coal and shipping but those are very, very nominal increases that has been seen in the last 2 months.

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Coming to the financial performance, I think Tata Power has posted a very strong financial and operational performance in FY '26. This is in spite of the fact that Mundra did not operate for 9 months. And we have, for the first time, have reported a full year PAT of nearly more than INR5,000 crores. And the EBITDA, which has also gone up by nearly 11% to INR16,090 crores because of the strong performance of our existing businesses of generation, transmission, distribution and renewables.

During the quarter also, we have seen our EBITDA has jumped by nearly 10% to INR4,216 crores compared to INR3,829 crores last year. PAT has gone up by 8% to INR1,416 crores compared to INR1,306 crores last year in the same quarter.

This, of course, has been driven by all our businesses. I have been sharing with you that our solar cell and module manufacturing plant is doing exceedingly well. We have stabilized the operations of the plant, and the yields are very good. We have seen during the year, the plant has delivered a PAT of INR857 crores, which is more than double

of the previous year. Similarly, rooftop solar has done exceedingly well with doubling of the installations.

And we have also seen not only in the quarter but through the year, the performance has been exceedingly well with a PAT of nearly INR500 crores, INR499 crores. Odisha DISCOM has done exceedingly well.

In the previous year, the whole year PAT was just INR439 crores. This year, we have a PAT of INR809 crores. In our utility scale renewable, we have been able to commission a large number of projects and in-house projects which have been commissioned have started yielding results. And we do expect that the nearly 5 gigawatt of projects which are under implementation, and these are all in-house projects. 50% of it will be completed in this financial year and the balance 50% in FY '28. So, a very robust pipeline of projects, and we are on top of them in terms of implementing and start generating power from all those plants in the coming 2 years. We did have a challenge of Mundra. And because of that, we had issues about the shipping profit also.

But that is a thing of the past. We have now concluded the SPPA with Gujarat, and we are in the process of finalizing it with all the other 4 states, which we expect in next 4 to 6 weeks, we will complete. We are in very advanced stage of approval in the government. We are already operating the plant under Section 11 but with the understanding that the tariff will be as per the SPPA, and that has been accounted for in our quarterly results. And going forward, it will be accounted for in our operations.

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Our distribution business everywhere will continue to grow, and we will have large capital expenditure as planned in our large utility scale projects as also in our hydro projects in Bhutan and the pumped hydro project that we are implementing in Bhivpuri. We have informed you that we are going to start work in our new 10 gigawatt of wafer and ingot plant in 2 phases, and that will cater to our existing operations of cell and module plant, which will require Indian made wafers from 1st June 2028 onwards. So, we do feel that all our businesses, which have now stabilized, will give very good performance in the coming quarters. On the balance sheet also, I find that our debt is at approximately INR56,000 crores. And this is in spite of a capital expenditure of nearly INR13,000 crores in the last financial year.

Our leverage ratios are very stable. Our net debt to underlying EBITDA is 3.3 and our net debt to equity is 1.2, which is very competitive for infrastructure and power industry. And we do expect that we will maintain similar discipline while going forward with our new investments in the coming years.

As we have been sharing with you, we believe in growing but the growth has to be very calibrated so that the financial discipline and the balance sheet discipline is maintained. And we are committed to enhance our generation capacity has also enhance our transmission distribution and hydro generation facilities in the country and also in Bhutan. And we will continue to perform exceedingly well in the coming quarters.

With this, I will conclude my part of sharing my thoughts on the company and also on the power sector. I do look forward to hear from you and take your inputs as also take your questions and respond to them. So, we can please start asking the questions.

Moderator: Thank you very much. We will now begin with the question-and-answer session. First question comes from the line of Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: Good evening, Dr. Sinha. You mentioned in your opening remarks that the capex for the financial year has been INR130 billion. This is meaningfully below the guidance that you had given to us in November in Odisha, which was INR250 billion. So, what really led to that guidance with 4 months remaining in the fiscal seeing such a sharp decline? And what is your guidance -- realistic guidance for FY '27? And what will it comprise in terms of the end projects? That's my first question.

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Praveer Sinha: Yes, Sumit, so I agree that our guidance

was, I don't think INR25,000 crores, but it was, I think, about INR22,000 crores. We have fallen short because some of the

projects that we were planning to execute in the last quarter could not happen. And these projects are typically relating to the large utility scale projects, solar projects or wind projects or the transmission line projects. Many of the places, the right of way got delayed. Many of the places, the transmission system was to be done by someone else under the TBCB.

We were supposed to use that transmission system for evacuating, that got delayed, and you have seen there have been a large number of reports of many TBCB projects, especially ISTS projects getting delayed. We are now in this quarter, trying to complete some of the projects around 600 megawatts of large utility scale.

Similarly, in the pipeline are some of the transmission projects that we are executing as the ROW issues are resolved. So, these are not that these will not come. It's just that the phasing has got impacted. And those which we missed out in the last year, we will complete all of them in this financial year. So that's why our target of yearly investment continues to be the same. And there may be certain deferment by a quarter or 2. But otherwise, we are very much on track.

Sumit Kishore: No, sir, I was referring to the slide in your Bhubaneswar presentation, which shows INR25,000 crores of capex. So the second question is on the Delhi distribution business, where in the last 2 quarters, there have been regulatory favourable prior period regulatory orders. The quantum was INR4.6 billion in Q3. It was INR3.2 billion in Q4 at the EBITDA level and the profit level positive impacts have also been shown.

So can you -- can Mr. Sanjeev sort of clarify what is the entire benefit that you have taken because of prior period regulatory orders at EBITDA and profit level in FY '26 and FY '25, how much is expected? It is very difficult to predict.

But what sort of claims do you think are rightfully yours, which are yet to materialize because these are meaningful deltas in the quarterly results. So let us say for FY '27, is there any expectation that we should have or we should budget for a decline in reported numbers for Delhi distribution?

Sanjeev Churiwala: Yes. So I think what you're saying is relevant, but give a little context to that. The good part is whenever you see the regulatory upside, those are pertaining to matters a few years back, either those regulatory approvals were denied or deferred. So as a result, we are very happy that many of those past regulatory clearances are now coming in.

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And this is not the first time that we are getting the clearances. This happens every year.

In fact, if you look at FY '25, we had about INR333 crores of regulatory approvals coming in. This year, as you rightly picked up, INR783 crores is reflected. Next year, too, we will have something. But to quantify at this stage, it might be very, very difficult because there are a pipeline of regulatory assets that we are kind of contesting and discussing.

And as you are aware, it's very difficult to predict an outcome on a regulatory settlement or regulatory clearances. But yes, we would expect some amount to materialize. Now whether that is lower or higher, sitting today is very difficult. But my sense is as and when every quarter passes on, we should be able to give you a better understanding on that.

Sumit Kishore: Sure. Just one last bookkeeping question. What is the IPP RE capacity that you expect to add in FY '27? What will be the phasing of that capacity? And would it be right to expect that for the solar component there is the module and cell would be supplied from Tata Power's own manufacturing unit?

Sanjeev Churiwala: The second question is very clear forward. That's the whole purpose why we have put

up the cell and module manufacturing. And I think that we are kind of quite integrated that we are able to kind of have the entire line -up of cells modules locked in on all the pipelines. And as you can see, we have about 5 gigawatts of pipeline as we speak. And a lot of things will start materializing this time around from quarter 1 onwards. So from a capex phasing point of view, I think you will see in the current year, a lot of consistency coming in.

Praveer Sinha: Also, Sumit, last year, we did a huge amount of third-party projects. This year, we don't have third party. So everything that we will do will be in-house. And last year, we did about 2,500 megawatt of total project implementation. So you can imagine that 2,500 will be virtually internal that we will carry out and maybe a little more.

Sumit Kishore: So if you deliver, for instance, 2 gigawatt of solar project, then the requirement of module cell will be 2 into 1.4, the multiplying factor. about 2.8 out of your capacity

will go into -- in this example, it will go into your own capacity addition. Is that the right understanding?

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Praveer Sinha: Exactly. And then we have rooftop. So whatever we are going to manufacture, we are going to meet our own requirements.

Sumit Kishore: Sure. So the intrasegment elimination should basically reflect that in FY '27?

Sanjeev Churiwala: Yes. And that is largely around the RPT compliance in terms of the margins but are very, very consistent. So that should not be posing a problem for you to kind of do your modelling as well. But I think you kind of alluded to the 2 gigawatt of commissioning next year, which is kind of a ballpark number that we're also looking at. And if everything goes well, maybe it could be slightly higher than that.

Praveer Sinha: No. But everything is not solar.

Sumit Kishore: Solar and wind combined.

Sanjeev Churiwala: Yes. So solar and wind combined is there. So solar would be about 1.5 to 1.8.

Sumit Kishore: Got it. Thank you so much, and thanks for the wonderful disclosures. Thank you once again.

Moderator: Thank you. The next question comes from the line of Puneet Gulati from HSBC. Please go ahead.

Puneet Gulati: Yes, thank you so much, and congrats on good performance. My first question is on Odisha, where you've been giving phenomenal performance year -after-year. Do you still see room for more efficiencies, or should we sort of pencil in future growth more from regulated equity growth only?

Praveer Sinha: We get to see much better than this in the next financial year. And I think next financial year possibly will be the best year for Odisha DISCOMS because many of the initiatives that we had taken in the last few years have started showing results. Some of the initiatives were taken last year. And the impact of it, you will see in this year. I think Odisha performance next year should possibly peak in terms of the type of results you would see.

Puneet Gulati: Okay. That's very interesting. And second is on the hydro side. You started taking large exposures to hydro now. And is the PPA already in place or would you be looking to sign PPA in some time?

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Praveer Sinha: It is in advanced stage of approval. As you know that while the PPA is agreed, it has to go through a regulatory approval process. And that process is in the final stages, and we do expect next few months that approval will come in.

Puneet Gulati: Understood. And lastly, if you can comment on the regulatory asset wind down in Delhi DISCOM. Supreme Court had indicated an intention to wind this down. Any progress there?

Praveer Sinha: Yes. So both the Supreme Court and APTEL are monitoring that. And the regulatory commission has promised that this will be amortized over 6 years up to 2032. And we are closely monitoring

that. They have already given an affidavit under which they will amortize it. And we expect that it will get implemented as per the affidavit that they have provided.

Moderator: Your next question comes from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Can you provide some colour on the Gujarat SPPA? What is the agreement over there if you are sacrificing any profit -- sharing any profitability on coal, what's the quantum?

Praveer Sinha: So Gujarat SPPA details we have already shared. And since it is also under discussion with the other 4 procurers, more details finally what is agreed, we'll share once everyone signs on the dotted line.

Apoorva Bahadur: Okay, sir. And in your disclosure for renewable business, we see that the PLF for solar is lower due to lower resource availability. And also there's a comment on curtailment.

Can you quantify the impact of curtailment in FY '26 and your expectation in FY '27?

Praveer Sinha: So the curtailment are happening in a few places. That also is not on a continuous basis. So very difficult for us to say that how much of curtailment will happen. Also, some of the lines have been commissioned. So it is not that there is full curtailment part of -
- so in some cases, at least 60%, they have allowed to evacuate.

In some places, they have allowed 80%, in some places, it is at 20%, 25%. So it's a moving target, which is there. And we continue to work with the transmission companies and CTU to ensure that the curtailment is reduced, and we are able to evacuate all the power. In cases where we have the GNA and curtailment takes place, there, of course, we are reimbursed the cost on the supply basis.

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Apoorva Bahadur: And sir, for next year, FY '27, the target we have for adding solar capacity, do we have permanent GNA for all those substations or some of it is still on temporary GNA.

Praveer Sinha: So now we are being extra careful, and that is why some of our capex, which we had planned last year got deferred because we do not want to set up the plant and be on temporary GNA. So we have been very cautious now, and we are only commissioning or completing the project if we have certainty on the transmission line and the permanent GNA happening. So that action has been taken now.

Apoorva Bahadur: Makes sense, sir. Sir, lastly, if you can provide some colour on the Indonesian coal prices, especially after the West Asian war, the index is backward looking. So what's your take over there? How the prices should move this year as well as there was some news flow around potential tax imposition by the Indonesian government on coal mining. So if we can have some view on that as well would be very helpful?

Praveer Sinha: So one is on the coal prices, there has not been too much of movement. And we expect that prices will be within plus/minus 5% in that range. We're not expecting lot of deviation. The second is that we are hearing that there will be some more taxes that will be imposed on export of coal. But this has been under discussion for the last many months. So, let's see what eventually gets decided.

Sanjeev Churiwala: We have shared some details on the thermal coal prices, also including Indonesian coal prices in Slide 24, the analyst presentation, which is uploaded. We'll have a look at that if you want.

Praveer Sinha: It will be virtually flat for Indonesian coal.

Apoorva Bahadur: Sure, sir. Sir, lastly, I mean, if I may just squeeze in one more. In your cash flow statement, there's an item of movement in balance related to service concession agreement. So, what is this regarding because we see it has been a drag on cash flow for this year?

Sanjeev Churiwala: Capex related to HBA, TBCB project.

Management: Capex related to TBCB project, it is there in the working capital.

Apoorva Bahadur: So it's a drag because

revenues have not been recognized.

Management: It is related to capex spend on the service concession arrangement. It's onetime of capex only, which is shown in the capex in the presentation of investor presentation.

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Apoorva Bahadur: Okay. So I believe it should be added to capex. Understood.

Moderator: Apoorva sir?

Apoorva Bahadur: No, I am good. Thank you. I will get back in the queue.

Moderator: The next question comes from the line of Ketan Jain from Avendus Spark. Please go ahead.

Ketan Jain: Sir, my first question is on the Mundra plant. Is the entire plant operating under the supplementary PPA terms? Or is it only the Gujarat part? Is the rest under operating on the section level?

Praveer Sinha: The full plant is operating all the 5 units. The Section 11 is to facilitate the operation of the plant and give time to the procurers to get the necessary approval. The billing that is being done is being done as per the SPPA, as per the overall understanding that has been reached with them as well as with Ministry of Power.

Ketan Jain: Understood. So my next question is on the key growth drivers, which segments do you see to contribute most in the coming next 2 years for EBITDA growth?

Sanjeev Churiwala: Key growth drivers for the next 2 years.

Praveer Sinha: Next 2 years, I've explained to you, all these businesses will give good profit and good returns. So generation, transmission, distribution, renewable and renewable manufacturing, rooftop, utility scale. So each of these businesses are doing very good. We had a drag on Mundra that also is behind us. So you will see excellent performance going forward.

Moderator: The next question comes from the line of Satyadeep Jain from AMBIT Capital.

Satyadeep Jain: Sir, first question on the supplementary PPA and the coal mines. In the past, I think we were meant to understand that once you sign the supplementary PPA, then maybe you look to monetize the coal assets. Is that thought process still intact? And let's say, if you sign the supplementary PPAs in the next few months with other states, would you look to start the sale process sometime this year? Just trying to understand where you are on that coal monetization?

Praveer Sinha: It also depends on what sort of opportunity is there, what sort of valuation we get. If the coal market is good and we get a good valuation, we can always look at that. But
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it's a little premature. Let us first sign with everyone and then how the market is there.

And at the right time, we'll take the decision, which is benefiting us.

Satyadeep Jain: Okay. Fair enough. Sir, just a clarification on the RE captive use of modules and cell that you mentioned. As per the order, any new tender after 1st September, the developers have to use domestic cell but there is no mandate before that. So, given the tariffs that you bid for don't reflect that the domestic cell requirement, why would you look to use domestic cell in your FY '27 commissioning, given I believe this year, you would be commissioning projects that were awarded before September '25, right? Just trying to understand there. And secondly would be solar rooftop. So, you executed 1.7 gigawatts, which means almost 40% market share. Is that something you are looking at in terms of FY '27 also, that market share has remained intact despite competition. Just trying to understand what is the opportunity you're looking at next year and what's the market share you're targeting?

Praveer Sinha: So we are definitely looking to enhance our market share. And our target is that in next 3 years, we will do 20%. And having said that, we expand our rooftop business. So, you have seen last year, it has grown by 100%. And I definitely expect in this year also, it will grow substantially more than

what is expected from the market at this time.

So, I do expect that in FY '27, the rooftop market, the rooftop business will grow, if not by 100%, at least by 50%, 60%. So, you will see exceedingly good performance from rooftop business going forward. I also expect that most of our rooftop and you know that for rooftop, if you have to get the government subsidy, then it has to use Indian -made cell and module. That will be catered from our existing manufacturing plant.

Also going forward, effective 1st June 2026, you have to use only Indian -made cell. And many of the projects are not grandfathered. So, some of the projects, which will get implemented in FY '27 will require Indian -made cells and modules. So, I think our manufacturing plant is very well positioned to cater to large utility scale as well as to rooftop solar.

Moderator: Thank you. The next question comes from the line of Atul Tiwari from JPMorgan. Please go ahead

Atul Tiwari: Yes. Sir, I missed the FY '27 capex guidance. Could you please repeat it?
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Praveer Sinha: It's about INR25,000 crores. That is what we are expecting. As I mentioned to you, those projects, which we missed out last year, we'll ensure that those get completed in this financial year. And these are a range of projects. These are not just large utility scale, but it is also including the distribution projects and the transmission projects and the hydro projects where work is going on.

Atul Tiwari: Okay, sir Thanks.

Moderator: Thank you. The next question comes from the line of Mohit Kumar from ICICI Securities. Please go ahead.

Mohit Kumar: My first question on the Note number 5 of the consolidated P&L. There is an amount mentioned of INR250 crores deferred tax assets. Can you clarify whether we need to adjust or increase the taxes by INR250 crores to arrive at the profit for the quarter?

Sanjeev Churiwala: So, as you are aware, this is a deferred tax noncash. So basically, given our future profitability projections, so I think that will give you some genesis as to where it is coming from. We have, of course, carry forward losses. And of course, when you look at the stand-alone book, everything has to be adjusted against the stand-alone to fully

recognize this. We have better visibility of profits in the subsequent years now. And we feel that some of the carry forward losses can now be utilized within the time frame. And as such, from a statutory purpose, we have to recognize the deferred tax in the books, which we have done in quarter 4 now.

Mohit Kumar: So, this has impacted our consol profit also, right? Consol profit positively.

Sanjeev Churiwala: Yes, of course.

Mohit Kumar: My second question is the Tata Projects. It has been making losses for -- it was making losses prior to FY '24, I guess. And '24 was the first year, I think, where we have started making profit. FY '26 again, I think there's a loss. FY '25, they loss. FY '26 again, they a loss. What is your outlook on the same for as we enter FY '27, '28? Do you think the losses will get restricted now?

Praveer Sinha: What has happened in Tata Projects is they had legacy projects such as the dedicated freight corridor project from the refining project in Barmer and some other projects which are there. Fortunately, all those projects have now been completed and very little of it is left. And we expect that those legacy projects impact will be very minimal going

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forward. The subsequent projects that Tata Projects have got have good margins. And I do expect that in FY '27, it will be back, and it will start making profit from FY '27.

Mohit Kumar: One more question, if I can squeeze in. We haven't seen accretion to the under-development RE portfolio for a long time. How are you thinking about bidding for new assets for

renewables given the, of course, the structural headwinds right now? Do you still want to remain on the pause? Or do you think we can start adding to the portfolio from FY '27 onwards?

Praveer Sinha: Yes. So, as we mentioned to you that many of the places, there were 2 challenges. One was the transmission lines have got delayed and there is no point in taking a project and not able to implement it because the transmission system or the power evacuation system is not ready. Secondly, we have now come up with a unique solution where we can offer renewable projects along with the storage projects, the pumped hydro project. And going forward, we are looking for that sort of arrangement.

These types of arrangements are not only with utilities but also with large C&I customers, steel companies. We are in discussions with Tata Steel and some of the other large data centres, which are coming up. And we do expect that going forward, we will not do pure solar or pure wind, but it will be hybrid with storage. And those will be much attractive in terms of the returns compared to the type of projects, which have been bid out in the last 2 years.

Moderator: Thank you. The next question comes from the line of from Rupesh Rai from PL Capital. Please go ahead.

Rupesh Rai: Sir, in terms of commissioning, you have mentioned -- yes, sorry. So, in terms of commissioning, I think you mentioned we'll be adding 2.5 gigawatts this year and 2.5 similar number next year and further like 1.5 to 1.7 gigawatt is solar. But if I look at the pipeline, then solar number is pretty small, like 600-odd megawatts only. So, is this -- I mean, like are we adding FDRE or complex FDRE, I think if you can give colour or maybe a breakup of 2.5 between this?

Praveer Sinha: So those details are there. In which slide it is there? In Slide 7, we have given the breakup. And those are the type of projects that you would see, which will be a combination of solar and wind. I agree that there are large number of wind projects, which are there.

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And for that, we have already tied up all the wind turbines, which have to go, and we are going to implement all those wind projects apart from the solar project. But these are all hybrid projects. These are not stand-alone solar or stand-alone wind but these are all part of the hybrid FDRE projects that we are.

Sanjeev Churiwala: In case you are only referring to this and looking at pure solar, you also look at FDRE and hybrid. They will also have component of solar as well.

Rupesh Rai: Okay. But is it fair to say that a large part of maybe like 1.6, 1.7 gigawatt will be FDRE in this commissioning?

Sanjeev Churiwala: It will be a combination of all of this, but larger chunk would be towards hybrid and

FDREs.

Rupesh Rai: Okay. Got it. And then in terms of commissioning, I think last year for our business, we have added the 1 -odd gigawatt. And now we are seeing like probably a pickup for us.

So, I mean, is it fair to say probably the issues on transmission and other infra -related issues that are kind of behind us and probably things are much better?

Praveer Sinha: Not everything is behind us. But yes, some of the areas where it has got delayed, they are now coming up so those projects are coming up, and we should be in a position to match our project implementation with the power evacuation timeline.

Rupesh Rai: Okay. And maybe one last thing. Anything that we can share that we are doing at Tata Power for nuclear as such? And anything that you're seeing any traction that is happening on the ground? That's my last question, sir.

Praveer Sinha: So, on nuclear, we have shared with you that we have working with 3 state governments. We have identified the land. We have also taken up for water allocation for which necessary approvals have been given to us and are in pipeline. We are

also

carrying out detailed geotechnical studies of each of these.

And then nuclear plants require different types of geotechnical studies. Those are under progress. We are now doing detailed DPR of projects to be set up, and this will be done in collaboration with NPCIL. These are small modular 2 x 220 megawatt plants.

And we do expect that some of them, especially some of the states, we will be able to do DPR in next 6 months' time. And we are also parallelly working on some of the

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other aspects, which needs to be finalized with Nuclear Power Corporation. So quite detailed discussions but it will take some more time for us to finalize the arrangement.

Rupesh Rai: Okay. But when you say -- I mean, DPR, so probably in terms of megawatt and all, it's still not -- it's still kind of WIP as of now, that is.

Praveer Sinha: I told you 2 x 220 megawatts, so 440 megawatt.

Rupesh Rai: Okay. Fine. Yes, I think, thanks for answering all the questions. Sir, thank you.

Moderator: Thank you. The next question comes from the line of Nikhil Nigania from Bernstein. Please go ahead.

Nikhil Nigania: Hi. Thank you. I had just one question. I know the company has taken a stance to not add any new coal -based generation capacity. I wanted to check if there is any change in that view given so many states are coming up with coal -fired power plant tenders?

Praveer Sinha: We are examining that. If there is a good opportunity and we find that the tariff is attractive and it's a bankable PPA, we'll definitely look at those.

Nikhil Nigania: Got it. Understood. And if I may ask just one more question. I think an earlier question on the use of domestic, the cells you are producing. I understand the use for the rooftop solar segment.

But on the utility scale side, most of your tenders are pre the 2025 dates. So, I believe they should not be needing DCR cells. So, anything I'm missing there?

Praveer Sinha: I think some of them do require domestic. So, we are working on that because they will bid under those conditions that you will be using domestic cell and modules. So out of the projects that we have, we find that majority are with domestic cell and modules.

Nikhil Nigania: Okay, thank you . Those are my questions.

Moderator: Thank you. Your next question comes from the line of Rajesh Majumdar from 360 ONE Capital. Please go ahead.

Rajesh Majumdar: Yes, good evening, sir. And thanks for the opportunity. I had a couple of questions. On your Slide 7, the current operational capacity is 16.7 gigawatts and including pipeline is 26.3, which means an addition of 10 gigawatts. So, is this the FY30 figure, 26.3 or how should we take this figure? That was the first question.

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Praveer Sinha: This would be, I would say...

Sanjeev Churiwala: A current pipeline, which will go ahead.

Praveer Sinha: Yes. So, this is the current pipeline. So, this includes the 2,800 -megawatt pump hydro at Shirw ata, where the work will start in this financial year. And all the existing, that means the Bhutan hydro, 600 plus 1,125 where we have already signed the financing

arrangement with World Bank.

So, this takes care of all. Some of them will come up in 2031, '32, that is the 1125 Bhutan project will come in that year. Some will come in '30, '31. So -- but of course, all these solar and wind projects will come by 2030.

Rajesh Majumdar: And sir, your capex figure of INR25,000 crores, if you take an addition of 2 gigawatts per annum, then the capex is roughly about, say, on the higher side, maybe INR12,000 crores to INR15,000 crores. Does this mean that INR10,000 crores of regulated capex will happen in FY27?

Sanjeev Churiwala: No, I think it's not about regulated capex, but a combination of all the capex that Dr. Sinha spoke about. Of course, 2.5 gigawatt of solar

and wind, that as you rightly said, that INR15,000 crores.

But then you have capex coming up in pumped storages, capex coming up in pure hydro, so a combination of all of this -- transmission as well, so I think a combination of all of this, next year is INR25,000 crores, our sense is probably going forward also, we'll have a similar kind of capital outlay.

Rajesh Majumdar: For FY28 as well, you're saying?

Sanjeev Churiwala: Yes.

Rajesh Majumdar: And sir, my last question is, we have signed the SPPA with Gujarat, of course. But now if there is an export duty or royalty, which comes from Indonesia, then how does that work with the SPPA, and how does it impact the negotiations with the other states going forward?

Praveer Sinha: Coal cost is pass-through. So, whatever is the cost of coal will be paid for. So that's the type of arrangement that we have.

Rajesh Majumdar: Including a major royalty change?

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Praveer Sinha: It's a coal cost, FOB cost, it has to be passed through what is included in that.

Rajesh Majumdar: All right. Thank you.

Moderator: Thank you. The next question comes from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes, Hi Sir, Thanks for the opportunity. Sir, need one clarification on how should we read Slide 7 and Slide 32 together? Because Slide 7, where we have highlighted 5 gigawatt of renewable capacity, of which, I guess, 1 gigawatt is a combination of plain wind and solar capacity?

Whereas we have 4 gigawatt a combination of, I guess, 2.5 of FDRE and rest the hybrid project at the RTC. But if I see your FY32 slides, where we have highlighted the time line of the FDRE and hybrid wind getting commissioned, the contracted capacity comes only to the tune of 1,200 megawatt.

So does the 5,000 gigawatt of renewable capacity is the actual installed capacity or the contracted installed capacity? Because to the prior question, you have mentioned that we'll be adding 2.5 gigawatt each of IPP projects. So, this is the contracted 2.5 or the actual capacity?

Sanjeev Churiwala: This is the installed capacity. Installed capacity given the Slide 34.

Praveer Sinha: Installed capacity there in the third row.

Anuj Upadhyay: Sorry?

Management: Slide 32, Anuj, we have given the installed capacity and the heading gives the contracted capacity. So contracted will be lower than the installed. When we give the guidance, we gave it on the installed capacity.

Anuj Upadhyay: Exactly. So Anshul, when you -- we have mentioned that 4 gigawatt of hybrid and FDRE, so does that translate to around 1,200 megawatt of contracted capacity? Is my understanding correct? Or we are -- there are a few more capacity for which the details are not here because the PPA or the approval are yet to be received?

Management: [inaudible 00:48:06].

Anuj Upadhyay: Okay. And my second question belongs to your Odisha projects. Again, to a prior question, you mentioned that next year probably we'll be peaking out in terms of the

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performance. So apart from Northern circle, I believe other areas still have in the range of 18% kind of an AT&C?

So, what kind of loss reduction trajectory we can assume for the other 3 circles and to what level it can go? I mean, like North Odisha is already at around 10%, whereas others are already at 18%. So, to what level we can expect the loss to further go down and by what timeline, sir?

Praveer Sinha: There is a trajectory that has been agreed with the Odisha regulator. And based on that, we do expect that all of them will come in 12% to 13% range in the next 4 to 5 years. So, you can expect that you will reduce about 2% every year in that sort of reduction will be a ballpark number.

Anuj Upadhyay: Okay. You mentioned around 4 to 5 years, right, sir?

Praveer Sinha:

Yes.

Anuj Upadhyay: Okay. Thank you, sir. That's it from my end. Thanks for the opportunity.

Moderator: Thank you. The next follow-up question comes from the line of Apoorva Bahadur from IIFL Capital. Please go ahead.

Apoorva Bahadur: Thank you. Sir, I had a bookkeeping question. In your Q4 profitability for IEL, we see an increase of almost INR63 crores. And then similarly for Mumbai Transmission as well of around INR50 crores. Given the nature, regulatory nature of these businesses, is it safe to assume that there was a significant asset capitalization? Or are there any one-offs?

Management: This is more the deferred tax part, right? One of the plants got commissioned. So, it's an asset, which has been added because of that.

Apoorva Bahadur: In IEL?

Praveer Sinha: Yes.

Apoorva Bahadur: Okay. So, this increase is recurring for transmission business?

Sanjeev Churiwala: No, that depends upon the asset capitalization timing and the deferred tax that is created because of that. So yes, I think it's not a yearly phenomenon but depends upon the asset capitalization and the profitability of that particular plant.

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Apoorva Bahadur: Okay. And same thing in IEL as well?

Sanjeev Churiwala: I'm talking about IEL.

Apoorva Bahadur: Okay. And Mumbai Transmission?

Praveer Sinha: It's based on capex only. That is also capex.

Management: That is based on capex, pure capex. It is recurring.

Praveer Sinha: Mumbai transmission adds every year INR1,000 crores of capex. So, on a 70-30, you will have a return on equity on 30%. So that's what you need to consider plus certain O&M.

Apoorva Bahadur: Very clear, sir. Thank you.

Moderator: Thank you. Ladies and gentlemen, we will take that as our last question for today. I now hand the conference over to the management for closing comments.

Praveer Sinha: Thank you, everyone. And if you have any other questions, please connect with Kasturi and Anshul and we'll be more than happy to respond to that. Also, if you have any suggestions on improving the quality of presentation or any more details are required, please reach out. We'll try to make it more analyst-friendly in terms of giving you more information and data. Thank you. Thank you all of you, and take care.

Moderator: Thank you. On behalf of Tata Power's, that concludes this conference. Thank you, everyone, for joining us, and you may now disconnect your lines.